

IN THE MATTER OF AN ARBITRATION
UNDER THE ARBITRATION AND CONCILIATION ACT 1996 AND THE
UNCITRAL ARBITRATION RULES 1976
27653/GL/DTI/HBH

BETWEEN:

Prvo Plinarsko Drustvo d.o.o.

[Claimant]

Gazprom Export LLC

[Respondent]

Before

Onsite hearing on 16 to 27 March 2026

Day 1

Wednesday, 15 April 2026

**Mr A.Ramasubramanian, Mr Manikandan Murugesan
(of Adroit Claims & ADR Consultants),
Mr Abdalla Alowais (of Abdalla Alowais Advocates) and
Mr Chinniah Titus appeared
*On Behalf of Claimant***

**Mr R Venkataramani, Attorney General of India; Mr Vivek Kohli, Senior
Advocate;
Ms Neetika Bajaj, Ms Shambhavi Srivastava, Mr Anav Mathur (of Zeus Law
Associates);
Mr Samir Malik, Mr M Shahan Ulla, Mr Lakshay Mehta and Ms Yachana Gupta
(of DSK Legal);
Mr Raman Yadav, Mr Abhishek Kumar Pandey, Ms Yamika Khanna and
Ms Deboshree Mukherjee (assisting the AGI);
Mr Shivang Singh, Ms Vasudha Chadha and Mr Vaibhav Chaturvedi (assisting
Mr Vivek Kohli)
*On Behalf of Respondent***



Transcript — Annotations Summary

QFact

Red

Created by res 6 | 16/03/2026

P 63.1 – 63.2

- 1 11:02 coSwiss law to finds that any modification requiring the
- 2 11:02 payment mechanism is null and void.

Note: coSwiss law to finds that any modification requiring the payment mechanism is null and void.

Red

Created by testRT RT | 16/03/2026

P 54.14 – 54.16

- 14 10:47 y were a payment to the bank for a service which
- 15 10:47 was setting up the guarantee, so there was no flow to
- 16 10:47 the sancti

Note: y were a payment to the bank for a service which was setting up the guarantee, so there was no flow to the sancti

aloklIssue

Created by testRT RT | 16/03/2026

P 54.9 – 54.10

- 9 10:47 But the end beneficiary of the guarantee was
- 10 10:47 sanctioned. I

Yellow

Created by Muhammad Saeed | 16/03/2026

P 49.12 – 49.16

- 12 10:38 The third and final form of prohibition relied on
- 13 10:38 relates to circumstance venges provisions and they are
- 14 10:38 applicable alongside the prohibitions we have already
- 15 10:38 looked at and circumstance venges of a sanction is
- 16 10:38 broader than a violation of it.

Red

Created by Muhammad Saeed | 16/03/2026

P 49.2 – 49.5

- 2 10:37 ussian war effort and this sanction prohibits
- 3 10:37 transactions related to the management of the assets and
- 4 10:37 reserves of the CBR.
- 5 10:37 So breaking it down again transacti

2nd

Created by Alok jha | 20/04/2026

P 6.18 - 6.23

18 09:09 Did Mr -- how do you pronounce his name properly,
19 09:09 "Go-et" or?
20 09:09 MR TALANOV: I guess "Goeth", but I may be wrong, I am not
21 09:09 a native speaker.
22 09:09 DR REINER: Did he sign any declaration of confidentiality
23 09:09 yet?

Note: Did Mr -- how do you pronounce his name properly, "Go-et" or? MR TALANOV: I guess "Goeth", but I may be wrong, I am not a native speaker. DR REINER: Did he sign any declaration of confidentiality yet?

alokIssue

High



Created by Alok jha | 21/04/2026

P 3.16 - 3.21

16 09:04 PRESIDENT: Thank you very much.
17 09:04 Can you confirm, claimant, that none of the
18 09:04 witnesses who are going to be called are in attendance
19 09:04 this morning? On your side?
20 09:04 MR HAUGENEDER: I confirm that.
21 09:04 PRESIDENT: Respondent?

Note: PRESIDENT: Thank you very much. Can you confirm, claimant, that none of the witnesses who are going to be called are in attendance this morning? On your side? MR HAUGENEDER: I confirm that. PRESIDENT: Respondent?

Pink

Created by Alok jha | 20/04/2026

P 2.5 - 2.10

5 09:01 Thank you, there are no other matters at this moment
6 09:01 to decide.
7 09:01 PRESIDENT: Thank you, claimant, and very shortly the
8 09:01 tribunal will invite you to introduce all the members of
9 09:02 the delegation that is composed on my right-hand side.
10 09:02 Respondent.

Note: Thank you, there are no other matters at this moment to decide. PRESIDENT: Thank you, claimant, and very shortly the tribunal will invite you to introduce all the members of the delegation that is composed on my right-hand side. Respondent.

Orange

Created by Alok jha | 17/03/2026

P 1.9 - 1.12

9 08:20 good morning, testing audio through the remote connection,
10 08:34 SP01: Yeah, I'm. Here. I think. Great. Thank you.
11 08:35 SP02: Testing terminal number 1. Testing terminal
12 08:35 number 2. Testing terminal.

Note: good morning, testing audio through the remote connection, SP01: Yeah, I'm. Here. I think. Great. Thank you. SP02: Testing terminal number 1. Testing terminal number 2. Testing terminal.

Full Fact

Pink

Created by Alok jha | 20/04/2026

P 2.1 – 2.6

- 1 09:01 the tribunal. First of all, we are very glad to see
- 2 09:01 that also the tribunal could be -- everyone on the
- 3 09:01 tribunal could be here personally. We are very glad
- 4 09:01 about that.
- 5 09:01 Thank you, there are no other matters at this moment
- 6 09:01 to decide.

Note: the tribunal. First of all, we are very glad to see that also the tribunal could be -- everyone on the tribunal could be here personally. We are very glad about that. Thank you, there are no other matters at this moment to decide.

alokIssue

Created by Alok jha | 20/04/2026

P 1.5 – 1.7

- 5 09:00 The members of the tribunal are very happy to meet
- 6 09:00 with the parties and counsel representatives, we look
- 7 09:00 forward for this two-week hearing.

Note: The members of the tribunal are very happy to meet with the parties and counsel representatives, we look forward for this two-week hearing.

alokIssue

Created by Alok jha | 20/04/2026

P 1.17 – 1.20

- 17 09:01 The second point on the agenda is the use of the
- 18 09:01 slides and some of the slides identified by parties"
- 19 09:01 respective counsel as being demonstrative exhibit, this
- 20 09:01 will be dealt with before we start this morning.

Note: The second point on the agenda is the use of the slides and some of the slides identified by parties' respective counsel as being demonstrative exhibit, this will be dealt with before we start this morning.

alokIssue

Created by Alok jha | 20/04/2026

P 1.8 – 1.13

- 8 09:00 We have, before we start the evidentiary hearing
- 9 09:00 with the opening statements of the respective parties,
- 10 09:00 I have to review and decide on a few procedural matters.
- 11 09:00 The first matter on the agenda today is the
- 12 09:00 participation of Mr Goeth to this hearing and to this
- 13 09:00 arbitration.

Note: We have, before we start the evidentiary hearing with the opening statements of the respective parties, I have to review and decide on a few procedural matters. The first matter on the agenda today is the participation of Mr Goeth to this hearing and to this arbitration.

Quick Mark

Created by Alok jha | 17/03/2026

P 5.13

change or any amendment to the representative team.

P 5.12

the list of participants is not really related to any

P 5.14

MR TALANOV: We see your point, but there was a procedural

P 5.15

deadline established by the tribunal when this clarity

P 1.3

PRESIDENT: Good morning. Welcome to all of you. I hope

P 1.2

Introductions and procedural discussion

 DocLink

P 4.4 - 4.7

- 4 09:04 May I first ask counsel for respondent whether
- 5 09:04 Mr Goeth is in attendance right now, in this room?
- 6 09:04 MR TALANOV: Mr Goeth is not in attendance in this room
- 7 09:05 now.

Outgoing DocLink



Decree Amendment No. 992 (Russian) and English Translation

Exhibit No. C-21

Ref: 1-4 | Bundle: B3

01 08:43:35 (9.00 am)

02 08:59:59 Introductions and procedural discussion

03 09:00:19 **PRESIDENT:** Good morning. Welcome to all of you. I hope

04 09:00:23 you had safe travels.

05 09:00:26 The members of the tribunal are very happy to meet

06 09:00:30 with the parties and counsel representatives, we look

07 09:00:34 forward for this two-week hearing.

08 09:00:38 We have, before we start the evidentiary hearing

09 09:00:40 with the opening statements of the respective parties,

10 09:00:44 I have to review and decide on a few procedural matters.

11 09:00:48 The first matter on the agenda today is the

12 09:00:51 participation of Mr Goeth to this hearing and to this

13 09:00:55 arbitration.

14 09:00:57 We have received an application from the claimant on

15 09:01:00 Saturday night and we have received the comments of the

16 09:01:04 parties.

17 09:01:05 The second point on the agenda is the use of the

18 09:01:10 slides and some of the slides identified by parties'

19 09:01:13 respective counsel as being demonstrative exhibit, this

20 09:01:18 will be dealt with before we start this morning.

21 09:01:20 We have these two points on the agenda today before

22 09:01:25 we start; is there any other point that needs to be

23 09:01:29 covered before we commence with the evidentiary hearing?

24 09:01:32 Claimant?

25 09:01:36 **MR HAUGENEDER:** Good morning, madam president, members of

01 09:01:38 the tribunal. First of all, we are very glad to see

02 09:01:41 that also the tribunal could be -- everyone on the

03 09:01:46 tribunal could be here personally. We are very glad

04 09:01:51 about that.

05 09:01:54 Thank you, there are no other matters at this moment

06 09:01:56 to decide.

07 09:01:57 **PRESIDENT:** Thank you, claimant, and very shortly the

08 09:01:59 tribunal will invite you to introduce all the members of

09 09:02:02 the delegation that is composed on my right-hand side.

10 09:02:09 Respondent.

11 09:02:12 **MR TALANOV:** Thank you, dear members of the panel, a very

12 09:02:14 good morning. Many thanks from our side as well for

13 09:02:16 being here today.

14 09:02:17 There are no other procedural issues to discuss

15 09:02:19 before we start. Thank you.

16 09:02:22 **PRESIDENT:** Thank you. May I invite counsel for claimant

17 09:02:25 to introduce the parties' representatives and any member

18 09:02:30 of the delegation, I call it this way.

19 09:02:39 **MR HAUGENEDER:** Thank you, madam president.

20 09:02:40 On behalf of the claimant, PPD, we have Mr Lovro

21 09:02:47 Gasparac, we have Ms Tea Piacun and to my left Mr Ben

22 09:02:57 Holland. To my right Ms Jurgita Petkute, Mr Theo Hall.

23 09:03:04 And then in our team Ms Arias Lim, Ms Kirsten

24 09:03:11 McGoldrick, Mr Benjamin Weber, Mr Max Murtinger,

25 09:03:16 Mr Nikalas Peristorakis, Ms Emma Lidstrom, Mr Jack

01 09:03:21 Salter, Mr James Jago and Mr Sam Gordon.

02 09:03:27 Thank you.

03 09:03:28 **PRESIDENT:** Thank you very much.

04 09:03:32 Respondent.

05 09:03:33 **MR TALANOV:** Thank you, dear members of the panel. With

06 09:03:35 respect to the legal counsel, to my right is

07 09:03:37 Ms Natalia Soldatenkova, to my left is Mr Arseniy

08 09:03:40 Bystrov, Mr Evgeny Raschevsky, Ms Anastasia Alexandrova.

09 09:03:48 There is also the representatives of the Gazprom expert

10 09:03:53 legal team, Ms Natalia Kosinova, Ms Karina Rostovtseva,

11 09:03:59 Ms Ekaterina Mikhlenko and Mr Maksim Petchenko.

12 09:04:04 And as for the experts, we also have

13 09:04:07 Mr Pascal Hildebrand, Ms Yulia Dubovik,

14 09:04:12 Ms Valentina Smirnova and Ms Ksenia Berezneva present

15 09:04:15 here as well.

16 09:04:18 **PRESIDENT:** Thank you very much.

17 09:04:19 Can you confirm, claimant, that none of the

18 09:04:23 witnesses who are going to be called are in attendance

19 09:04:25 this morning? On your side?

20 09:04:28 **MR HAUGENEDER:** I confirm that.

21 09:04:29 **PRESIDENT:** Respondent?

22 09:04:31 **MR TALANOV:** We can confirm that. Thank you.

23 09:04:32 **PRESIDENT:** The first point we will address is the

24 09:04:36 claimant's application requesting that LGP and Mr Goeth

25 09:04:42 be excluded from acting as counsel for respondent in

01 09:04:45 these proceedings and therefore be prevented from
02 09:04:47 attending the evidentiary hearing commencing today,
03 09:04:49 16 March.
04 09:04:52 May I first ask counsel for respondent whether
05 09:04:55 Mr Goeth is in attendance right now, in this room?
06 09:04:59 **MR TALANOV:** Mr Goeth is not in attendance in this room
07 09:05:01 now.
08 09:05:01 **PRESIDENT:** Is he in the premises?
09 09:05:04 **MR TALANOV:** He's not. We invited him not to be here
10 09:05:06 today, because of the unresolved issue with his
11 09:05:12 attendance.
12 09:05:19 **PRESIDENT:** Do you intend to have Mr Goeth participate in
13 09:05:22 the hearing?
14 09:05:23 **MR TALANOV:** Yes, not today. Starting from tomorrow.
15 09:05:47 **PRESIDENT:** Is he in the hotel right now?
16 09:05:49 **MR TALANOV:** He is not.
17 09:05:51 **PRESIDENT:** The tribunal has a question to the respondent
18 09:05:57 before we discuss and decide on this question.
19 09:06:04 When did Mr Goeth or at which point in time, on
20 09:06:08 which date, did Mr Goeth or LGP became involved in this
21 09:06:12 arbitration? We were notified, we understand we were
22 09:06:15 notified on 9 March, but at which point in time did he
23 09:06:18 become involved?
24 09:06:20 **MR TALANOV:** Mr Szucich, who was the original Austrian
25 09:06:24 counsel by the respondent, passed away on 20 February

01 09:06:29 and the respondent started searching the new counsel
02 09:06:32 right afterwards. It took us about maybe five, seven
03 09:06:36 days to find the counsel, so somewhere in the end
04 09:06:38 of February was the first time Mr Goeth confirmed he has
05 09:06:44 no conflict to act in this case as representative.
06 09:06:51 **PRESIDENT:** Which date was he hired by your client?
07 09:06:55 **MR TALANOV:** I need to check, not to mislead you, but it
08 09:06:58 was something around 27 or 28 February.
09 09:07:02 **PRESIDENT:** Thank you.
10 09:07:16 **DR REINER:** Did you consider informing the tribunal by
11 09:07:19 that date that you had appointed new counsel? Because
12 09:07:23 the list of participants is not really related to any
13 09:07:26 change or any amendment to the representative team.
14 09:07:33 **MR TALANOV:** We see your point, but there was a procedural
15 09:07:35 deadline established by the tribunal when this clarity
16 09:07:39 could have been brought in and therefore we thought it
17 09:07:43 is best to do it accordingly.
18 09:07:47 **PRESIDENT:** Okay. Further to the questions that were
19 09:07:51 asked for the -- by the tribunal to the respondent, is
20 09:07:55 there any comment you may wish to add and do you
21 09:07:59 maintain your request as filed on Saturday?
22 09:08:04 **MR HAUGENEDER:** Madam president, we maintain our request
23 09:08:09 and the information we just received reinforces our
24 09:08:13 concerns, because the list of participants to a hearing
25 09:08:19 is not the same matter as the appointment of counsel.

01 09:08:24 We believe the appointment of counsel should be
02 09:08:27 notified without delay and as it seems here, there was
03 09:08:32 at least a delay of 10 days.
04 09:08:36 So that also speaks against the respondent's
05 09:08:47 objection that our request was untimely. We made the
06 09:08:54 request immediately on the day we discovered these
07 09:08:57 issues and we would submit that there is an obligation
08 09:08:59 of counsel to notify any issues that could endanger the
09 09:09:08 integrity of the proceedings.
10 09:09:11 **PRESIDENT:** Thank you. This is noted.
11 09:09:13 We are going to take a two-minute break. We're
12 09:09:15 going to deliberate on this point and we'll be back in
13 09:09:17 the room.
14 09:09:18 Please don't move. We will move and resume very
15 09:09:22 shortly.
16 09:09:23 **DR REINER:** Can I perhaps ask one question before we
17 09:09:25 leave.
18 09:09:27 Did Mr -- how do you pronounce his name properly,
19 09:09:30 "Go-et" or?
20 09:09:31 **MR TALANOV:** I guess "Goeth", but I may be wrong, I am not
21 09:09:33 a native speaker.
22 09:09:35 **DR REINER:** Did he sign any declaration of confidentiality
23 09:09:38 yet?
24 09:09:40 **MS SOLDATENKOVA:** We have a confidentiality clause in the
25 09:09:42 engagement letter, because we include it as per the

01 09:09:44 terms of reference in all engagement letters which are
02 09:09:46 made in relation to this arbitration.
03 09:09:49 **DR REINER:** Okay.
04 09:09:51 **PRESIDENT:** I'm sorry, I didn't hear the answer and the
05 09:09:53 transcript is not following --
06 09:09:54 **DR REINER:** It's not very loud.
07 09:09:56 **PRESIDENT:** Could you repeat the answer, just for me
08 09:09:59 because I -- the transcript, I mean the realtime is
09 09:10:03 suspended.
10 09:10:05 **MR TALANOV:** Absolutely. There is a confidentiality
11 09:10:06 clause in the agreement signed between our law firms on
12 09:10:09 the one hand, and on the second there is an issue raised
13 09:10:13 as a solicitor; under the English rules he's in any case
14 09:10:18 obliged to comply with the highest professional
15 09:10:20 standards.
16 09:10:22 **DR REINER:** Did you receive any information on other cases
17 09:10:26 that Mr Goeth is dealing with?
18 09:10:28 **MR TALANOV:** We were just getting the information that
19 09:10:32 there is no conflict, and that's all we could ask for.
20 09:10:36 So he confirmed that there is no conflict.
21 09:10:38 **DR REINER:** No, but my question is did you get some
22 09:10:40 information on these other cases --
23 09:10:42 **MR TALANOV:** No.
24 09:10:43 **DR REINER:** -- that he's dealing with?
25 09:10:45 **MR TALANOV:** No, no.

01 09:10:47 **PRESIDENT:** Further to the question asked by my colleague
02 09:10:51 to the respondent, is there anything the claimant wants
03 09:10:54 to add?
04 09:10:57 **MR HAUGENEDER:** Yes. First, a clarification. Mr Goeth,
05 09:11:02 according to our information, is not a solicitor. He's
06 09:11:04 a barrister in England and Wales.
07 09:11:10 Second, to underscore the point, Mr Goeth was
08 09:11:17 visibly engaged in finding out confidential information
09 09:11:23 about Mr Vujnovac and about this arbitration. So in
10 09:11:28 this sense --
11 09:11:30 **PRESIDENT:** I would like -- we have read your submission.
12 09:11:35 We have read the information that was to be collected.
13 09:11:40 I think the question is narrowed on any conflict of
14 09:11:45 interest. Please address the question, any comment, on
15 09:11:51 the question that was asked.
16 09:11:52 **MR HAUGENEDER:** Yes.
17 09:11:53 **PRESIDENT:** So, to the point that it is addressing that
18 09:11:55 question, I will take your comment, but if we expand it
19 09:11:59 we will not be able to make a determination on the
20 09:12:02 points that are on record.
21 09:12:04 **MR HAUGENEDER:** I was going to, just now to address that.
22 09:12:08 Under the applicable bar rules, a barrister is certainly
23 09:12:13 not allowed to try to obtain or to obtain confidential
24 09:12:20 information about his opponent and that's what Mr Goeth
25 09:12:23 has done. So we submit that excludes Mr Goeth

01 09:12:30 automatically. This is a serious irregularity and that

02 09:12:33 is a very, very serious conflict.

03 09:12:42 **PRESIDENT:** Thank you. We will resume in a few minutes.

04 09:12:49 (9.12 am)

05 09:12:53 (Short break)

06 09:12:55 (9.19 am)

07 09:19:27 **PRESIDENT:** So we're back on record.

08 09:19:29 So the tribunal has deliberated on the participation

09 09:19:33 of Mr Goeth. The tribunal notes that the issue is, in

10 09:19:38 the present case, is an allegation of a misconduct. The

11 09:19:43 tribunal finds that there has been up to now, on the

12 09:19:48 face of the evidence that's been provided to the

13 09:19:50 tribunal, no misconduct in this arbitration, that

14 09:19:58 whether there was a misconduct in relation to pending

15 09:20:03 procedural, parallel procedures, that are with related

16 09:20:06 parties, this is not a matter at this point of a breach

17 09:20:11 of misconduct of the lawyer or barrister in this

18 09:20:15 arbitration.

19 09:20:17 So therefore, the participation of Mr Goeth in this

20 09:20:20 arbitration at this point does not constitute a threat

21 09:20:24 to the integrity of these arbitration proceedings.

22 09:20:27 However, the tribunal is very concerned with the

23 09:20:32 integrity of this arbitration and matters of

24 09:20:36 confidentiality, including the parties' commitment made

25 09:20:40 in paragraph 71 to 73 of the terms of reference, whereby

01 09:20:45 the parties undertook confidentiality duties and made
02 09:20:52 declarations that they would provide for confidentiality
03 09:20:58 undertakings by the persons who are participating in
04 09:21:01 this arbitration, which includes counsel for respondent.
05 09:21:06 With that in mind, and in view of the specific
06 09:21:10 agreement signed by both parties in the terms of
07 09:21:13 reference and pursuant to article 19 and 22 of the
08 09:21:17 rules, the tribunal decides that the participation of
09 09:21:20 Mr Goeth in this arbitration and to this hearing is
10 09:21:25 subject to Mr Goeth providing to the other party and to
11 09:21:28 the tribunal, one, an undertaking requirement -- the
12 09:21:33 undertaking required so as to comply with the parties'
13 09:21:37 specific agreement contained in article 71 to 73 of the
14 09:21:40 terms of reference and, two, a declaration by Mr Goeth
15 09:21:44 that this undertaking does not violate the duty Mr Goeth
16 09:21:48 may owe to any other client and/or party or to the
17 09:21:52 court. Under the provision of such undertaking and
18 09:21:56 declaration, Mr Goeth will be allowed to participate to
19 09:22:00 the hearing commencing today, 16 March 2026.
20 09:22:04 A procedural order will be issued in the course of
21 09:22:10 the day or tomorrow confirming this decision.
22 09:22:19 Respondent, you have understood the tribunal is
23 09:22:21 requesting the respondent to provide such undertaking
24 09:22:26 and, subject to the provision of the undertaking,
25 09:22:28 Mr Goeth will be allowed.

01 09:22:31 I would like to ask now two questions.

02 09:22:35 Is the scope of Mr Goeth expertise in this

03 09:22:39 arbitration related to his expertise in Austrian law?

04 09:22:44 **MR TALANOV:** Absolutely, that is the case.

05 09:22:45 **PRESIDENT:** Is Mr Goeth going to be involved in the

06 09:22:48 cross-examination of any of the fact witnesses or expert

07 09:22:52 in this arbitration?

08 09:22:55 **MR TALANOV:** When you ask "involved", you mean will he

09 09:22:57 be --

10 09:22:59 **PRESIDENT:** Conducting cross-examination.

11 09:23:00 **MR TALANOV:** It was not the plan that we had in mind at

12 09:23:01 least before --

13 09:23:03 **PRESIDENT:** Is this a no?

14 09:23:05 **MR TALANOV:** It is a no.

15 09:23:06 **PRESIDENT:** Okay, so he will not be cross-examining any

16 09:23:09 fact witness of the claimant? I'm asking again.

17 09:23:13 **MR TALANOV:** He will not.

18 09:23:14 **MS SOLDATENKOVA:** No.

19 09:23:14 **PRESIDENT:** He will not. Very good. This is noted.

20 09:23:19 And the expert as well?

21 09:23:21 **MR TALANOV:** And the expert as well.

22 09:23:23 **PRESIDENT:** And the legal experts?

23 09:23:25 **MS SOLDATENKOVA:** And the legal experts.

24 09:23:26 **MR TALANOV:** And the legal experts.

25 09:23:27 **PRESIDENT:** So EPAM is exclusively conducting the

01 09:23:31 evidentiary hearing in terms of cross-examination or any

02 09:23:35 re-direct.

03 09:23:35 **MR TALANOV:** That is the plan, yes.

04 09:23:38 **PRESIDENT:** Thank you.

05 09:23:39 This is noted.

06 09:23:41 Were now going to turn to claimant.

07 09:23:45 **MR HAUGENEDER:** Madam president, thank you. We appreciate

08 09:23:49 the tribunal's concerns about the integrity of the

09 09:23:52 proceedings and we thank you for (inaudible -- coughing)

10 09:23:59 in this regard.

11 09:24:00 However, with respect, we must object against this

12 09:24:05 decision (inaudible -- coughing) 40 of the ICC Rules.

13 09:24:09 We believe that the threat to the integrity of these

14 09:24:15 proceedings is serious and real, as long as Mr Goeth and

15 09:24:19 LGP are counsel of record in this arbitration.

16 09:24:27 Again, it is not only about confidentiality.

17 09:24:32 Mr Goeth was engaged and has engaged a professional spy,

18 09:24:41 was engaged -- he engaged a professional spy to find out

19 09:24:46 pressure points about Mr Vujnovac, who is a key witness

20 09:24:50 in this arbitration.

21 09:24:53 He also was engaged to find out confidential

22 09:24:58 information on this arbitration for another client.

23 09:25:05 We believe this in itself excludes the participation

24 09:25:10 of Mr Goeth. Whether he conducts personally

25 09:25:15 cross-examination or not, we believe he cannot be

01 09:25:22 a counsel in this matter.

02 09:25:26 **PRESIDENT:** You just referred to an ICC provision of the

03 09:25:30 rules. Can you repeat the number? Did you mention 40?

04 09:25:38 **MR HAUGENEDER:** Yes.

05 09:25:48 **PRESIDENT:** On the waiver, right?

06 09:25:51 **MR HAUGENEDER:** We believe that this is a very serious

07 09:25:55 irregularity and that's the reason why we are raising

08 09:26:00 this point immediately, because we believe he and LGP

09 09:26:07 cannot stay counsel of record.

10 09:26:10 **PRESIDENT:** Your objection is noted and it's on record.

11 09:26:16 We're now moving to the demonstrative exhibits which

12 09:26:20 were submitted by the parties.

13 09:26:22 We have reviewed the 41 slides submitted by

14 09:26:25 respondent in respondent's opening submission and we

15 09:26:42 agree with the claimant that each of these slides, these

16 09:26:47 41 slides, do constitute exhibits, demonstrative

17 09:26:52 exhibits under the procedural order and the definition

18 09:26:57 of demonstrative exhibits. They do contain charts, they

19 09:27:07 do contain tabulations and they do contain illustrations

20 09:27:16 or forms that qualify them as a demonstrative exhibit.

21 09:27:21 That being said, each of these slides provides for

22 09:27:24 the source of the information that is conveyed on those

23 09:27:30 charts.

24 09:27:30 So the question here is to the tribunal, the

25 09:27:37 non-compliance by respondent of the 72-hour deadline.

01 09:27:43 The tribunal finds that this violation of the
02 09:27:48 deadline, that actually claimant complied with the
03 09:27:52 deadline, respondent did not comply with the deadline,
04 09:27:55 does not -- is not serious enough to exclude those
05 09:27:59 slides at this stage, today, in the slides that have
06 09:28:03 been submitted in respondent's opening submission.
07 09:28:09 However, should this happen again, the tribunal puts
08 09:28:13 the respondents on notice not to take a too narrow
09 09:28:17 approach to the definition of a demonstrative exhibit
10 09:28:20 and any use of an exhibit, a legal material, in order to
11 09:28:26 provide a secondary presentation of, in primary, either
12 09:28:35 exhibit or legal matter through a chart, a form, a flow
13 09:28:38 chart or a design, will be considered as a demonstrative
14 09:28:43 exhibit, and the tribunal reserves its right to exclude,
15 09:28:50 in particular for the examination of the witnesses and
16 09:28:53 the experts, reserves its right to exclude the use of
17 09:28:57 the slide for the purpose of cross-examination or
18 09:28:59 closing submissions.

19 09:29:05 There are rules in this arbitration and we
20 09:29:10 appreciate the amount of work put by the parties and the
21 09:29:13 parties' teams, so that the parties may prepare in
22 09:29:18 advance for every step of the proceedings.

23 09:29:21 The preparation of the opening submissions is one of
24 09:29:25 them and the 72-hour deadline was precisely made in
25 09:29:32 order to allow the parties not to have to search at the

01 09:29:37 last minute the content and double-check the content of
02 09:29:40 the slides.
03 09:29:44 So this is addressed to both parties, but in
04 09:29:48 particular for this topic it's addressed for the
05 09:29:51 respondent.
06 09:29:52 Now, the claimant has also reviewed the objection
07 09:29:55 raised by the respondent on the amount of slides
08 09:30:00 submitted by the claimant and the tribunal thinks it is
09 09:30:04 for each party to present its case as it so wish, with
10 09:30:08 the number of slides it so wish, and use them within the
11 09:30:11 time that is allocated by the tribunal in this hearing.
12 09:30:17 Should an extension of time be required, we just
13 09:30:21 remind the parties that the parties are equal -- I mean,
14 09:30:24 have the same amount of time and that the evidentiary
15 09:30:27 hearing is to start tomorrow, so there will not be at
16 09:30:32 this point any extension of time because of the
17 09:30:34 inability to present the entire slides.
18 09:30:37 As to the objection raised by the respondent on the
19 09:30:40 content of the slides submitted by the claimant, the
20 09:30:43 tribunal does not find that these slides constitute
21 09:30:46 demonstrative exhibits that should have been submitted
22 09:30:49 72 hours before the hearing. We received two
23 09:30:55 demonstrative exhibits and these have been addressed by
24 09:30:59 the claimant. The tribunal does not find that any other
25 09:31:03 slides identified by respondent do constitute

01 09:31:06 demonstrative exhibit.

02 09:31:08 As to the scope and the content of the slides, it is

03 09:31:14 up to the parties to make their presentation as they so

04 09:31:18 wish and the tribunal will determine the relevance of

05 09:31:20 each of these slides with the decision that has to be

06 09:31:24 made by the tribunal.

07 09:31:26 So with this in mind, we're keeping the

08 09:31:29 presentations as they are with a warning that the

09 09:31:31 tribunal will treat as a strict deadline any provision

10 09:31:36 of slides for the purpose of examination, so that none

11 09:31:40 of the parties feel that they're ambushed in this

12 09:31:43 arbitration.

13 09:31:46 **MR TALANOV:** If you permit just one clarification as for

14 09:31:48 those objections that were raised by the respondent.

15 09:31:52 We never raised any objections as to the

16 09:31:54 demonstrative aspects and we are very happy with the

17 09:31:57 presentation of the claimant to that extent.

18 09:32:00 There is a number of slides that do not identify the

19 09:32:03 sources, but as said, we do not object to that as well,

20 09:32:07 but they were just four specific slides raised that

21 09:32:10 contain new information, evidence and statements never

22 09:32:14 raised in this arbitration before.

23 09:32:16 So that was the precise concern of the respondent.

24 09:32:21 I just had to put it on the record that that was exactly

25 09:32:25 the content. Thank you.

01 09:32:28 **PRESIDENT:** Counsel, that was well noted by the tribunal
02 09:32:31 in your objections yesterday and that was addressed in
03 09:32:37 response, and the tribunal made its decision in light of
04 09:32:43 the comments that were submitted by both parties.
05 09:32:49 Claimant, anything?
06 09:32:53 **MR HAUGENEDER:** We have no further procedural issues.
07 09:32:55 **PRESIDENT:** So, claimant, you will shortly have the floor
08 09:32:59 to present. We're only three minutes behind schedule.
09 09:33:01 **MR TALANOV:** Excuse me --
10 09:33:01 **PRESIDENT:** You may wish to take a three-minute break to
11 09:33:08 get organised, so we will resume at 38 of the hour, in
12 09:33:13 five minutes. Thank you.
13 09:33:37 (9.33 am)
14 09:33:41 (Short break)
15 09:33:42 (9.36 am)
16 09:36:37 **PRESIDENT:** We will have a 15-minute break at some point
17 09:36:40 of time. Please take the 15-minute break at the point
18 09:36:47 in time in the flow of your presentation that you find
19 09:36:50 suitable.
20 09:36:52 I understand you'll be standing for quite a few
21 09:36:54 hours.
22 09:36:56 **MR HAUGENEDER:** It's not only me who will be giving our
23 09:36:59 opening presentation.
24 09:37:01 **PRESIDENT:** Should you prefer to click from your desk, the
25 09:37:05 tribunal is perfectly fine with you making your

01 09:37:08 presentation -- appreciate facing you, but is also very

02 09:37:13 much comfortable having you take a seat.

03 09:37:16 **MR HAUGENEDER:** Thank you. I think I prefer standing, but

04 09:37:22 a colleague will click, so that should work very well.

05 09:37:28 Are you hearing me? Because I have the information

06 09:37:28 that the sound --

07 09:37:39 **PRESIDENT:** The acoustic is a little bit slow, so speak

08 09:37:41 close to the microphone, but we have the ...

09 09:37:52 (Discussion off the record)

10 09:37:52 Opening submissions by Mr Haugeneder

11 09:38:42 **MR HAUGENEDER:** Madam president, members of the tribunal,

12 09:38:46 it is a privilege for Ms Petkute, Mr Holland and myself

13 09:38:51 to present PPD's opening statement in this important

14 09:38:57 matter.

15 09:38:59 After introducing some key facts and legal

16 09:39:03 principles that are highly relevant for the case, we

17 09:39:07 will first set out PPD's claims for suspended gas

18 09:39:11 deliveries, then move to PPD's claim on market

19 09:39:19 manipulation, followed by the quantification of these

20 09:39:23 claims.

21 09:39:24 We will then address Gazprom's counterclaims and

22 09:39:28 conclude with the request for relief.

23 09:39:32 I move to my introductory points.

24 09:39:38 First, Gazprom, the respondent in this case, is not

25 09:39:47 an ordinary corporation, it was one of the most powerful

01 09:39:51 companies of the world. Gazprom has the export monopoly
02 09:39:57 for pipeline gas from the Russian Federation, which
03 09:40:01 before 2022 was the most important source of gas for
04 09:40:06 Europe.
05 09:40:08 So Gazprom had enormous power.
06 09:40:13 Gazprom is managed by senior political allies of
07 09:40:18 President Putin. President Putin has often personally
08 09:40:24 intervened on matters of Gazprom and has made
09 09:40:28 representations on behalf of Gazprom.
10 09:40:32 Gazprom is used as a commercial vehicle for Russian
11 09:40:37 foreign policy. It is an instrument of geopolitical
12 09:40:42 pressure, as you can see from numerous respectable
13 09:40:48 sources that we have submitted in this arbitration.
14 09:40:54 The influence of the Russian Government on Gazprom
15 09:40:57 is also acknowledged by Gazprom itself, as you can see
16 09:41:01 from these exhibits.
17 09:41:04 As the European Parliament concluded already before
18 09:41:08 the events of 2022, Gazprom used its enormous market
19 09:41:14 power to create dependency relationships throughout
20 09:41:19 Europe.
21 09:41:21 These conclusions also apply until 2022 to Croatia.
22 09:41:26 Croatia required gas imports of around 17 to 24 terawatt
23 09:41:32 hours since 2017. The annual contract quantity under
24 09:41:38 the contract at issue here was 21.1 terawatt hours per
25 09:41:43 year.

01 09:41:44 Therefore, the contract delivery volume provided for
02 09:41:48 most of the gas quantities imported by Croatia.
03 09:41:55 Through the contractual take or pay obligation
04 09:41:58 Gazprom had control over a very significant part of
05 09:42:03 Croatia's gas consumption.
06 09:42:08 In the month before the full-scale invasion of
07 09:42:14 Ukraine, Gazprom applied the market power it had built
08 09:42:20 up with full force and restricted gas supplies in
09 09:42:24 Europe, creating an artificial scarcity of gas. Gazprom
10 09:42:30 disputes this, but the evidence that we have submitted
11 09:42:34 speaks for itself.
12 09:42:36 What did Gazprom concretely do?
13 09:42:40 First, Gazprom cut its sales from the trading
14 09:42:45 platform ESP, that concerns spot sales, up to full
15 09:42:53 discontinuation in October 2021. This means long-term
16 09:42:58 contracts were generally fulfilled in 2021, but Gazprom
17 09:43:03 stopped spot sales, creating a very significant deficit
18 09:43:09 of gas supply.
19 09:43:12 Second, Gazprom has emptied gas storage in Europe
20 09:43:18 throughout 2021 and failed to refill them, leaving the
21 09:43:23 gas storages empty before the winter and causing
22 09:43:28 additional scarcity during a time of the year when gas
23 09:43:32 was most needed.
24 09:43:35 After the full-scale invasion of Ukraine and the
25 09:43:40 adoption of wide-ranging sanctions by the European

01 09:43:43 Union, President Putin directed Gazprom, the Russian
02 09:43:48 Central Bank and the Russian Government to work out
03 09:43:53 measures to unilaterally change the currency of payment
04 09:43:57 of gas supplies for so-called unfriendly countries.
05 09:44:03 So Gazprom was not just implementing laws and
06 09:44:12 government regulations; it was instrumental in setting
07 09:44:16 up an elaborate mechanism to circumvent sanctions.
08 09:44:22 Decree 172 was issued on 31 March 2022.
09 09:44:29 The letters which Gazprom sent to European gas
10 09:44:35 buyer, that requested to change the payment currency to
11 09:44:40 roubles and to agree on a new payment mechanism, was
12 09:44:46 sent on 1 April 2022. This was one day after the
13 09:44:54 issuance of decree 172.
14 09:45:02 Clearly, these letters, with which Gazprom
15 09:45:08 threatened that gas supplies would be interrupted unless
16 09:45:13 the buyers of gas agree to a changed payment mechanism,
17 09:45:20 were part of a coordinated action in which Gazprom had
18 09:45:28 worked in tandem with the Russian State. These letters
19 09:45:35 were sent in early afternoon of 1 April, so immediately
20 09:45:44 after the issuance of decree 172.
21 09:45:48 That was also freely admitted in the public
22 09:45:51 statements of Gazprom, such as in the statement of
23 09:45:54 Mr Miller, the head of PJSC Gazprom, "Our product, our
24 09:46:00 rules".
25 09:46:02 Clearly, Gazprom was not a corporation implementing

01 09:46:05 bona fide regulations. It was participating in making
02 09:46:10 these rules.
03 09:46:13 The mechanism Gazprom imposed on its buyers, and
04 09:46:18 that you can see here, provided that PPD had to open
05 09:46:22 a bank account at Gazprombank and instruct Gazprombank
06 09:46:26 to sell PPD's euros at the Moscow Stock Exchange using
07 09:46:33 a national clearing centre, the NCC.
08 09:46:37 However, under this mechanism, PPD would not know
09 09:46:40 the identity of the buyer of euros with which it
10 09:46:44 transacted.
11 09:46:49 The roubles that PPD received from the unknown buyer
12 09:46:57 of euros would then be transferred to a roubles account
13 09:47:01 of PPD and from there to Gazprom.
14 09:47:08 Therefore, the essence of the mechanism was that PPD
15 09:47:14 would not know with who -- who was buying its euros to
16 09:47:20 obtain roubles.
17 09:47:23 I will now move to the consequence of Gazprom's
18 09:47:29 behaviour for the gas buyers, and there were two main
19 09:47:37 consequences.
20 09:47:39 First, the lasting withholding of gas from the
21 09:47:44 European market caused an unprecedented rise of gas
22 09:47:48 prices.
23 09:47:50 The TTF price was stable in 2019/2020 as you can see
24 09:47:57 here, but spiked in 2021/2022 during the artificial
25 09:48:05 scarcity of gas.

01 09:48:07 There is a direct and obvious correlation between
02 09:48:10 Gazprom's conduct and gas prices up until late 2022,
03 09:48:16 which you can see from the graph on the right-hand side.
04 09:48:21 You see the gas supplies going down and the price
05 09:48:26 spiking.
06 09:48:28 This was of course immensely profitable to Gazprom
07 09:48:34 because the cost of production remained largely the
08 09:48:37 same.
09 09:48:40 This was not only the case for the contractual TTF
10 09:48:45 price, but also for other hub prices, like CEEGEX in
11 09:48:52 Hungary or CEGH in Austria.
12 09:48:54 There is widespread agreement that the crisis was
13 09:48:58 caused by Gazprom, that Gazprom manipulated the gas
14 09:49:03 market despite the record high production at the same
15 09:49:06 time.
16 09:49:10 The second consequence of Gazprom's actions in 2022
17 09:49:15 was the threat to cut off supplies unless buyers
18 09:49:20 accepted the payment mechanism, which left buyers with
19 09:49:26 the choice between the interruption of gas supplies
20 09:49:29 entailing a struggle for survival, or compliance with
21 09:49:35 the request.
22 09:49:37 As you can see here, already at the time Commission
23 09:49:40 President von der Leyen described Gazprom's conduct as
24 09:49:46 blackmail.
25 09:49:48 Gazprom indeed cut off supplies to buyers who

01 09:49:52 refused to comply with the payment mechanism. The
02 09:49:56 cut-offs concerned, for instance, Orlen, Bulgargaz
03 09:50:02 in April 2022, Gasum, GasTerra, Orsted, Shell Energy
04 09:50:10 in May/June 2022, and ENGIE in August.
05 09:50:18 Companies highly dependent on Russian gas, such as
06 09:50:23 OMV or PPD, had no alternative, as you can see here from
07 09:50:33 OMV's statement, to accepting -- to complying with the
08 09:50:41 payment mechanism.
09 09:50:44 The example of Uniper shows that European gas buyers
10 09:50:47 could not procure gas from alternative sources at
11 09:50:51 sustainable cost, which in the case of Uniper led to
12 09:50:54 Uniper's insolvency and forced administration.
13 09:51:00 Why? Because the spot market prices were much
14 09:51:03 higher than those in Gazprom's contract and were
15 09:51:08 unsustainable for the buyers of Russian gas.
16 09:51:14 Countries dependent on Russian gas were pushed into
17 09:51:16 a state of emergency.
18 09:51:19 In Croatia, an early warning about the emergency
19 09:51:24 situation on the gas markets was given. This was the
20 09:51:28 situation in which PPD had to decide in April 2022
21 09:51:38 whether to sign Gazprom's terms or face the end of gas
22 09:51:43 supplies and likely insolvency.
23 09:51:49 I move now to my third introductory point, the legal
24 09:51:52 point. Sanctions imposed by the European Union.
25 09:51:57 The purpose of sanctions is to increase the cost of

01 09:52:01 war for Russia. In broad terms, the sanctions relevant
02 09:52:06 here prohibited transactions related to the management
03 09:52:10 of resources or related to assets of the Central Bank of
04 09:52:15 Russia or of Russian publicly controlled entities, and
05 09:52:22 they prohibited making available directly or indirectly
06 09:52:26 funds or economic resources to sanctioned entities.
07 09:52:31 In addition, there were prohibitions to circumvent
08 09:52:35 sanctions and to satisfy claims in connection with
09 09:52:39 transactions effected by sanctions.
10 09:52:43 In the recently published opinion of Advocate
11 09:52:46 General Biondi in the Reibel matter, it is once again
12 09:52:52 confirmed that sanctions are a fundament of European
13 09:52:58 public policy.
14 09:53:00 It was also confirmed that sanctions are built on
15 09:53:03 the principle that they can have significantly negative
16 09:53:08 consequences for certain economic operators, because
17 09:53:13 that is their purpose.
18 09:53:18 The widespread agreement in the authorities is that
19 09:53:24 EU sanctions must be interpreted broadly to ensure their
20 09:53:29 effectiveness.
21 09:53:33 The payment mechanism imposed by Gazprom breached
22 09:53:38 sanctions in several ways which we set out in detail,
23 09:53:40 but already from the overview that I have shown, it is
24 09:53:46 clear that PPD was forced to instruct Gazprombank to
25 09:53:50 sell euros without knowing the buyer, which obviously

01 09:53:57 entails the risk, and in fact the high likelihood, that
02 09:54:01 euros were made available to sanctioned entities,
03 09:54:05 including the CBR.
04 09:54:08 The European Commission confirmed this in commenting
05 09:54:13 on an application of Croatia's High Commercial Court in
06 09:54:17 the bank guarantee case related to this arbitration as
07 09:54:22 well as the Croatian Government.
08 09:54:27 The referral was rejected as procedurally
09 09:54:30 inadmissible, but that does not change the weight of the
10 09:54:38 Commission's and the Croatian Government's observations.
11 09:54:46 It is worth mentioning that in our case, regardless
12 09:54:50 of the decision on all other issues, sanctions prohibit
13 09:54:55 any award in favour of Gazprom.
14 09:54:58 As Advocate General Biondi pointed out in Reibel,
15 09:55:03 the no claims provision prohibits an award of any claims
16 09:55:08 if a transaction or its performance has been affected by
17 09:55:18 sanctions.
18 09:55:20 So the claim itself need not be covered by other
19 09:55:25 sanctions provisions, it does not matter whether the
20 09:55:30 satisfaction of the claims would entail the infringement
21 09:55:34 of other sanctions provisions, and we submit this is
22 09:55:41 dispositive of all of Gazprom's counterclaims.
23 09:55:48 No award can be made in favour of Gazprom.
24 09:56:01 After having highlighted these points, which we
25 09:56:04 submit are of fundamental importance for the decision of

01 09:56:07 the case, I will now give an overview of our legal
02 09:56:12 submission and its structure.
03 09:56:17 The legal consequences of the facts of the case are,
04 09:56:22 first, PPD was not obliged to comply with decree 172 or
05 09:56:29 decree 254 due to the application of sanctions, due to
06 09:56:34 article 102 TFEU, PPD did not consent to the variation
07 09:56:42 of the contract and did not accept to offer -- the offer
08 09:56:47 to vary the contract.
09 09:56:50 Even if PPD had consented to the variation, this
10 09:56:56 consent is invalid because the variation was avoided
11 09:57:02 with ex tunc effect as it was procured under duress.
12 09:57:07 Gazprom was not entitled to rely on decree 172 as
13 09:57:12 a force majeure event. Gazprom's letter of 1 April
14 09:57:17 threatening the suspension of deliveries was therefore
15 09:57:20 an unlawful threat.
16 09:57:22 PPD has not waived the right to avoid the purported
17 09:57:27 variation.
18 09:57:29 Of course, the variations, if they were -- if you
19 09:57:34 find they were validly agreed, are also invalid due to
20 09:57:39 the application of sanctions and due to
21 09:57:42 article 102 TFEU.
22 09:57:45 Second, as a consequence of the above, PPD was
23 09:57:50 entitled to pay in euros and refuse payment in roubles.
24 09:57:54 Third, because PPD had not breached the contract,
25 09:58:00 Gazprom was not entitled to suspend performance

01 09:58:02 in November 2022.

02 09:58:06 Fourth, PPD validly avoided the contract by its

03 09:58:10 letter dated 8 March 2023.

04 09:58:16 Gazprom had committed a fundamental breach of

05 09:58:20 contract by conditioning its contractual obligation to

06 09:58:23 deliver gas to the modification of the contract in its

07 09:58:27 favour, and because it refused to accept payment in

08 09:58:32 euros and suspended gas supplies.

09 09:58:38 Fifth, as a consequence of Gazprom's breach of

10 09:58:45 contract and the avoidance of the contract, PPD is

11 09:58:48 entitled to recover the incurred losses resulting from

12 09:58:54 the failure to supply gas to PPD.

13 09:58:57 Sixth, and independently of the above, Gazprom is

14 09:59:03 liable for damages caused by its unlawful market

15 09:59:06 manipulation, which constituted a breach of REMIT,

16 09:59:11 article 102 TFEU, a breach of the requirement to observe

17 09:59:17 good faith, and a duty of care and loyalty in

18 09:59:20 contractual relations, as well as a breach of the

19 09:59:24 requirement not to cause damages contrary to good

20 09:59:28 morals.

21 09:59:31 Seventh, PPD has with its claims validly declared

22 09:59:37 set-off against Gazprom's claim to payment of gas

23 09:59:40 delivered in September and October 2022.

24 09:59:46 Eighth and finally, Gazprom is not entitled to the

25 09:59:50 counterclaim because PPD has not committed a fundamental

01 09:59:55 breach of contract. Because all of Gazprom's
02 10:00:00 counterclaims fail due to sanctions, Gazprom is not
03 10:00:04 entitled to payment for the September and October 2022
04 10:00:11 gas deliveries due to PPD's set-off. Gazprom is not
05 10:00:16 entitled to unjust enrichment. Gazprom is not entitled
06 10:00:20 to the MAQ counterclaim and Gazprom is not entitled to
07 10:00:27 lost volume seller damage.
08 10:00:38 I will now move to PPD's claim for suspended gas
09 10:00:42 deliveries.
10 10:00:46 First, contrary to Gazprom's submissions, the
11 10:00:52 amendments of the contract requested by Gazprom required
12 10:00:57 PPD's consent.
13 10:01:02 The contract stipulated payment in euros. When
14 10:01:06 Gazprom demanded payment in roubles under the payment
15 10:01:11 mechanism, PPD was not obliged to comply with this by
16 10:01:18 **virtue of article 54 CISG. Article 54 provides:**
17 10:01:27 "The buyer's obligation to pay the price includes
18 10:01:29 taking such steps and complying with such formalities as
19 10:01:34 may be required under the contract or any laws and
20 10:01:39 regulations to enable payment to be made."
21 10:01:41 There is widespread agreement in legal writing that
22 10:01:48 the CISG does not provide the seller with the right to
23 10:01:53 elect a replacement currency.
24 10:01:57 A right of the seller to choose the payment currency
25 10:02:00 was expressly rejected when drafting the CISG, as the

01 10:02:06 drafting history shows.

02 10:02:09 As Prof Perner notes, there may be a right to elect

03 10:02:17 a replacement currency where it has become impossible to

04 10:02:23 the buyer to pay in the agreed currency. The reason for

05 10:02:28 this is that the buyer should not be able to rely on

06 10:02:34 foreign exchange controls of his own country to refuse

07 10:02:39 payment, but that is not the case here.

08 10:02:42 Even Prof Klicka admits that if a right of the

09 10:02:48 seller to elect a replacement currency is accepted, the

10 10:02:52 chosen replacement currency must be suitable and must

11 10:02:55 not burden the buyer inappropriately.

12 10:02:59 Therefore, the obligation of the buyer to comply

13 10:03:03 with steps and formalities to effect payment does not

14 10:03:07 grant the seller a right to choose a replacement

15 10:03:11 currency.

16 10:03:12 If such right is accepted, then the replacement

17 10:03:15 currency must not burden the buyer inappropriately.

18 10:03:20 However, as the record shows, the payment mechanism

19 10:03:26 introduced a new currency into the contract, imposed

20 10:03:31 significant costs and further very substantial risks on

21 10:03:38 PPD.

22 10:03:38 This therefore does not fall under steps and

23 10:03:43 formalities according to article 54 CISG, and PPD did

24 10:03:49 not have to comply with the payment mechanism.

25 10:03:54 Gazprom not only imposed a change of currency, but

01 10:03:58 also a complex and intransparent payment mechanism
02 10:04:03 involving considerable costs and risks.
03 10:04:08 The decrees imposed financial costs on PPD as
04 10:04:14 payment had to be made three to eight days earlier than
05 10:04:17 under article 9.1 of the contract.
06 10:04:20 This caused significant additional costs as Mr Way
07 10:04:26 confirmed in his report.
08 10:04:28 The mechanism imposed by Gazprom was subject to
09 10:04:34 payment delays due to compliance investigations caused
10 10:04:40 by the numerous interposed banks and entities, which in
11 10:04:45 turn resulted in late payments and cut-offs by Gazprom.
12 10:04:50 The decrees further imposed burdensome processes
13 10:04:54 without any electronic access to PPD's Gazprombank
14 10:04:58 account. PPD was in the dark about what was happening
15 10:05:01 with its payments which, as you know, were very
16 10:05:05 significant sums.
17 10:05:08 The imposed processes were burdensome, as the
18 10:05:13 correspondence on the record shows.
19 10:05:17 Particularly relevant for sanctions, the payment
20 10:05:25 mechanism meant PPD did not have control over the
21 10:05:30 identity of the buyer of euros. This in itself
22 10:05:35 precludes reliance on article 54 CISG because there
23 10:05:39 cannot be an implied duty to expose oneself to
24 10:05:44 a sanctions risk.
25 10:05:46 And finally, the decrees exposed PPD to the Russian

01 10:05:51 legal system for dispute resolution, adding additional
02 10:05:55 risks to PPD's position.
03 10:05:57 The sums at issue were very significant and it was
04 10:06:01 therefore certainly not a formality which PPD could have
05 10:06:08 been asked to comply under the CISG.
06 10:06:15 The decrees vested the Russian administration with
07 10:06:20 significant authority to decide on the fulfilment of
08 10:06:24 PPD's payment obligations under the payment mechanism
09 10:06:28 which interfered with the contract and which again is
10 10:06:32 not a formality.
11 10:06:34 Therefore, the contention that PPD was obliged to
12 10:06:38 accept the imposed payment mechanism pursuant to
13 10:06:40 article 54 CISG fails.
14 10:06:48 Even Prof Klicka seems to recognise this when he
15 10:06:53 suggests that PPD's non-acceptance of the payment
16 10:07:02 mechanism would be "an action against good faith, which
17 10:07:07 results in rendering the respective rejection of the
18 10:07:11 request to amend unlawful under the Contract".
19 10:07:14 This contention evidently has no legal basis,
20 10:07:18 because it is contrary to the fundamental principles of
21 10:07:25 party autonomy and freedom of contract.
22 10:07:30 There is simply no basis for a rule that the party
23 10:07:34 must comply with contract amendments requested by the
24 10:07:37 other party pursuant to unspecified, I quote again,
25 10:07:43 "values incorporated in the contractual provisions [and]

01 10:07:47 various provisions of the CISG".

02 10:07:49 The CISG exhaustively sets out the requirements for

03 10:07:54 valid contract modification. If article 54 is

04 10:07:58 inapplicable, any modification of the contract requires

05 10:08:03 the agreement of the parties.

06 10:08:05 The inescapable conclusion is that PPD's consent to

07 10:08:09 the payment mechanism was required under the CISG, which

08 10:08:13 was not validly given.

09 10:08:20 Gazprom alternatively tries to argue that PPD only

10 10:08:24 needed to consent to material changes to the contract in

11 10:08:28 accordance with article 19 to CISG by analogy.

12 10:08:35 However, article 29 CISG states in abundantly clear

13 10:08:44 terms that any contract modification requires the

14 10:08:47 agreement of the parties.

15 10:08:51 There is no doubt in the case law and in the legal

16 10:08:53 commentaries that after the conclusion of a contract,

17 10:08:59 modifications are governed by article 29 CISG alone and

18 10:09:04 not by article 19.

19 10:09:06 Therefore, agreement to any modification was needed.

20 10:09:12 I move now to the application of these principles to

21 10:09:15 the facts.

22 10:09:18 PPD had signed the 1 April letter, but there was no

23 10:09:23 agreement to allow Gazprom to change the payment

24 10:09:26 mechanism unilaterally at its discretion in the future.

25 10:09:31 However, this is what happened.

01 10:09:36 The CBR's official clarification of 29 April 2022

02 10:09:43 sought to further amend the risk allocation set out in

03 10:09:47 the 1 April letter in case the bank failed to make the

04 10:09:52 payment.

05 10:09:56 Decree 254 introduced the NCC, another party, to the

06 10:10:00 payment mechanism, which was evidently not part of, part

07 10:10:08 and parcel of the initial offer to modify the contract,

08 10:10:10 as Gazprom submits.

09 10:10:15 Gazprom's own witnesses confirm that Gazprom did not

10 10:10:19 seek consent to apply decree 254 and PPD did not consent

11 10:10:25 to any further modifications.

12 10:10:29 Gazprom simply notified PPD of changes, which can

13 10:10:34 have no contractual effect.

14 10:10:37 There were no offers, and therefore nothing could be

15 10:10:42 accepted.

16 10:10:44 Therefore, in conclusion, PPD never consented to the

17 10:10:48 modified payment mechanism set out in Gazprom's letter

18 10:10:51 of 5 May 2022.

19 10:10:58 Gazprom alternatively says that PPD impliedly

20 10:11:05 consented to the change of the payment mechanism by its

21 10:11:09 conduct in accordance with article 18 CISG. This fails

22 10:11:15 because silence or continued performance of the contract

23 10:11:20 cannot in the absence of a of clear indications to the

24 10:11:25 contrary, be interpreted as consent to modification of

25 10:11:29 the contract.

01 10:11:30 This applies with particular force after the start
02 10:11:34 of the performance of the contract as Prof Schroeter
03 10:11:39 confirms. There are no such clear indications of
04 10:11:44 consent on the record, rather there are clear statements
05 10:11:48 of disagreement.
06 10:11:52 As a last resort Gazprom says that it relied on
07 10:11:57 PPD's conduct and that this reliance would be protected.
08 10:12:01 However, under article 29(2) of the CISG, the protection
09 10:12:08 of reliance is limited and ends when a contrary
10 10:12:13 information is given.
11 10:12:15 The fact show that PPD never gave rise to legitimate
12 10:12:23 trust on Gazprom's side. With letter 26 May 2022, PPD
13 10:12:29 expressly stated that it did not agree to any
14 10:12:33 contractual amendment. PPD never made any payment under
15 10:12:39 the payment mechanism set out by decree 172.
16 10:12:46 Equally, no payments were made under the payment
17 10:12:50 mechanism before PPD's letter of 26 May 2022, in which
18 10:12:57 PPD made clear that it did not agree to any amendment of
19 10:13:02 the contract.
20 10:13:04 Any reliance of Gazprom under article 29(2) had been
21 10:13:09 expressly destroyed by PPD with its letter of
22 10:13:13 26 May 2022, even if one assumes there were such
23 10:13:20 a reliance.
24 10:13:21 In conclusion, PPD has not validly consented to the
25 10:13:26 amendment payment mechanism and Gazprom also cannot

01 10:13:30 invoke protection of reliance.

02 10:13:42 I move to the next point, duress.

03 10:13:49 Even if it is found that PPD had consented to the

04 10:13:52 payment mechanism of the 1 April letter, and no consent

05 10:13:59 was needed for any subsequent change to the payment

06 10:14:02 mechanism, this consent is invalid because it was given

07 10:14:08 under duress.

08 10:14:11 In accordance with section 870 of the Austrian Civil

09 10:14:15 Code, if a threatened party was not free to form its

10 10:14:20 will out of fear that the threatened harm would occur,

11 10:14:26 the threatened party can avoid the contract with

12 10:14:30 retroactive effect.

13 10:14:31 Section 870 protects the free will of the party who

14 10:14:37 was forced to agree to a contract under duress.

15 10:14:43 The legal prerequisites to avoid a contract in

16 10:14:46 accordance with section 870 are, first, an

17 10:14:51 unjust/unlawful threat; second, well-founded fear, and

18 10:15:01 third, a causal link between the threat and the

19 10:15:06 agreement to the contract or the contract amendment.

20 10:15:10 I will now discuss these elements.

21 10:15:14 In its 1 April letter, Gazprom clearly made a threat

22 10:15:19 because it announced PPD would not receive gas under the

23 10:15:23 contract unless it consented to the amended payment

24 10:15:27 mechanism.

25 10:15:28 As Prof Perner notes, this was not an amicable

01 10:15:32 communication, this was a written ultimatum.

02 10:15:38 In legal terms, a threat is the announcement of

03 10:15:42 a severely negative consequence should the counterparty

04 10:15:51 not act accordingly that is agreed to the contract or

05 10:15:55 the contract amendment.

06 10:15:57 A threat does not have to be made explicitly, it can

07 10:16:00 be hidden or implied.

08 10:16:04 Here we have an explicit threat. Gazprom explicitly

09 10:16:11 announced a severely negative consequence, the cessation

10 10:16:14 of gas supplies, on which PPD heavily depended, should

11 10:16:20 PPD not agree to the amendment of the contract.

12 10:16:25 The intention of the threatening party to make

13 10:16:30 a threat is not a prerequisite for the avoidance of the

14 10:16:36 contract. Section 870 does not even require the

15 10:16:40 threatened party's awareness of wrongdoing, contrary to

16 10:16:44 what Gazprom wrongly alleges.

17 10:16:49 **Gazprom in essence says:** we just informed you about

18 10:16:55 governmental regulations in Russia that are binding on

19 10:16:58 us.

20 10:17:00 However, as you have seen already from the facts

21 10:17:04 summarised in the introduction, Gazprom is not an

22 10:17:07 ordinary corporation that was simply subject to

23 10:17:10 government regulation. It was complicit with the

24 10:17:14 Russian State and collaborated with it precisely with

25 10:17:20 the purpose of interfering with gas contracts.

01 10:17:24 As Mr Miller said, "Our product, our rules", and
02 10:17:28 with "our", he clearly means Gazprom and Russia.
03 10:17:33 The 1 April letter was therefore not only a threat,
04 10:17:38 but it was an unlawful threat that was not justified by
05 10:17:43 bona fide government regulations.
06 10:17:49 There is a general principle that state entities
07 10:17:51 cannot rely on the separate legal entity from the state
08 10:17:55 to the detriment of its contract partners, which was
09 10:18:00 formulated by Prof Bockstiegel and which is therefore
10 10:18:04 called the Bockstiegel test. According to this test
11 10:18:10 there is the presumption that a state will not have its
12 10:18:14 executive organs act to the detriment of its own
13 10:18:18 institutions, including state enterprises. Therefore,
14 10:18:22 administrative acts of state are in principle not
15 10:18:26 considered force majeure and therefore in the context of
16 10:18:31 duress they are not considered as an excuse for making
17 10:18:39 a threat.
18 10:18:42 This presumption is not applied if it can be seen
19 10:18:46 prima facie or can be proved by the state enterprise
20 10:18:50 that the administrative act was caused by general
21 10:18:53 considerations not connected with this contract or this
22 10:18:58 sort of contract.
23 10:19:00 The primary presumption is applicable again if the
24 10:19:03 private party proves that in its specific case, general
25 10:19:09 considerations did not apply.

01 10:19:21 Decree 172 was not the general law, but an
02 10:19:26 administrative act of state that specifically targeted
03 10:19:32 a particular class of contracts.
04 10:19:35 It specifically aimed to interfere with the
05 10:19:38 contractual relationships of Gazprom with its contract
06 10:19:42 partners in unfriendly countries.
07 10:19:46 It applied to Gazprom alone, which had the expert
08 10:19:50 monopoly, and targeted a specific subsection of
09 10:19:54 Gazprom's contract portfolio.
10 10:19:58 Decree 172 aimed to amend the gas supply contracts
11 10:20:05 to the detriment of Gazprom's contract partners, and to
12 10:20:08 benefit the strategic interest of the Russian State and
13 10:20:13 of Gazprom.
14 10:20:20 The amendments of the contracts were to be achieved
15 10:20:22 without negotiation, without any concession on Gazprom's
16 10:20:27 part, as also the documents produced by Gazprom show.
17 10:20:35 Following the basic presumption, as an
18 10:20:38 administrative act of state cannot be considered force
19 10:20:44 majeure, Gazprom has the burden to prove the contrary,
20 10:20:49 to show that decree 172 was caused by general
21 10:20:56 considerations not connected with the contract or this
22 10:20:59 sort of contract.
23 10:21:00 But Gazprom cannot prove this. As Gazprom's public
24 10:21:05 statements and the record shows, Gazprom was not opposed
25 10:21:11 to the interference with contracts, but it was complicit

01 10:21:16 with it.

02 10:21:18 Therefore, government regulation cannot justify the

03 10:21:24 threat made by Gazprom.

04 10:21:30 There is clear authority in Austrian law that the

05 10:21:33 threat of a breach of contract amounts to unlawful means

06 10:21:38 and is therefore unlawful.

07 10:21:45 With its letter dated 1 April, Gazprom conditioned

08 10:21:51 the performance of its delivery obligations on the

09 10:21:54 acceptance of amended payment terms. This was, in line

10 10:22:01 with the jurisprudence and the legal commentaries, an

11 10:22:05 unlawful threat in the sense of section 870.

12 10:22:13 The second element of duress is well-founded fear.

13 10:22:21 It is recognised that a threat with breach of contract

14 10:22:27 triggers reasonable fear if the threatened party is

15 10:22:30 urgently dependent on the performance of an existing

16 10:22:34 contract.

17 10:22:36 On the facts, there can be no doubt that PPD was

18 10:22:41 urgently dependent on Gazprom's gas and that its fear of

19 10:22:46 the consequences of not signing the letter were real and

20 10:22:50 well founded.

21 10:22:52 As the testimony of Mr Vujnovac and Ms Measic shows,

22 10:22:57 they reasonably feared that the end of gas supplies from

23 10:23:02 Gazprom would have catastrophic consequences.

24 10:23:07 Finally, section 870 requires a causal link between

25 10:23:12 the threat and the conclusion of the contract amendment.

01 10:23:17 Only the perspective of the threatened party is
02 10:23:20 relevant, it must be examined whether the threatened
03 10:23:23 party would also have concluded the contract amendment
04 10:23:28 in this specific form without the threat. Contributory
05 10:23:34 causation is sufficient.
06 10:23:39 On the facts it is clear that Gazprom's threat was
07 10:23:43 the cause of the conclusion of the contract amendment in
08 10:23:48 the sense of section 870.
09 10:23:51 Had it not been for Gazprom's threat, PPD would not
10 10:23:54 have countersigned Gazprom 1 April letter in this
11 10:23:59 specific form on 4 April 2022.
12 10:24:04 This was -- the threat was the only cause. PPD had
13 10:24:11 no reason whatsoever to conclude a contract amendment
14 10:24:14 that brought no benefits but only disadvantages.
15 10:24:19 The conclusion is that the countersignature of the
16 10:24:23 1 April letter was made under duress and was therefore
17 10:24:29 validly avoided.
18 10:24:32 Gazprom says that if there was duress, PPD waived
19 10:24:38 its rights to challenge the purported variation through
20 10:24:41 its subsequent conduct.
21 10:24:46 The applicable standard for an implied waiver is
22 10:24:50 particularly strict under Austrian law. A waiver can
23 10:24:55 only be assumed if there is conduct that leaves no
24 10:24:59 reasonable doubt with respect to the intention to waive
25 10:25:04 a right, which will rarely be given.

01 10:25:09 The case law of the Supreme Court confirms that
02 10:25:13 extreme caution is required when it comes to implied
03 10:25:18 declarations of intent in the context of waivers.
04 10:25:24 In addition, as Prof Perner stresses, there can be
05 10:25:33 no waiver as long as the situation of duress continues.
06 10:25:39 PPD's fears could at the earliest have ended when it
07 10:25:44 was possible for it to receive replacement supplies of
08 10:25:48 gas and this was available only in November 2022, when
09 10:25:53 PPD clearly expressed not to be bound by the purported
10 10:25:58 contract amendment.
11 10:26:00 There is therefore no basis for Gazprom's assertion
12 10:26:04 that PPD had waived its right to challenge the purported
13 10:26:08 variation.
14 10:26:18 I will now deal with Gazprom's reliance on force
15 10:26:21 majeure.
16 10:26:25 Under article 6 CISG, the parties are free to
17 10:26:31 supplement, replace or even discard provisions of the
18 10:26:38 CISG. Therefore, the parties were able to fully or
19 10:26:45 partially derogate from article 79 CISG. Accordingly,
20 10:26:52 with article 11 of the contract, the parties derogated
21 10:26:56 from the CISG and agreed on a detailed code to
22 10:27:02 extensively regulate force majeure events, including the
23 10:27:05 steps required to invoke a force majeure event, which
24 10:27:12 replaced the regime of the CISG.
25 10:27:16 Under article 11.4 and 11.5 of the contract, Gazprom

01 10:27:21 was obliged to immediately notify PPD upon the
02 10:27:24 occurrence of a force majeure event and to provide
03 10:27:28 a confirmation of the occurrence and the duration of the
04 10:27:32 force majeure event by the chamber of commerce and
05 10:27:35 industry of the Russian Federation.
06 10:27:39 As Prof Perner confirms, with this, the parties have
07 10:27:43 agreed upon formalities which must be complied with and
08 10:27:49 they have validly derogated from the regime of the CISG.
09 10:27:55 Gazprom claims that article 79 CISG should
10 10:28:01 nevertheless apply as a default rule. However, as
11 10:28:06 Prof Perner notes, this submission is impossible; it is
12 10:28:13 impossible to conceive a reason why the terms of the
13 10:28:18 contract should simply be disregarded, because that's
14 10:28:24 what Gazprom's position amounts to.
15 10:28:30 On the facts, there is no doubt that Gazprom did not
16 10:28:33 comply with the procedures set out in article 11 of the
17 10:28:36 contract, Gazprom did not make a force majeure
18 10:28:44 notification.
19 10:28:45 The letters of 1 April, 31 October and
20 10:28:47 3 November 2022 were not force majeure notifications.
21 10:28:57 Also, Gazprom's own witnesses did not understand
22 10:29:01 Gazprom's 1 April letter to be a force majeure notice as
23 10:29:07 required by the contract.
24 10:29:11 A certificate of the Chamber of Commerce & Industry
25 10:29:14 of the Russian Federation dated 2 December 2024 was only

01 10:29:19 submitted two and a half years later in the course of
02 10:29:24 this arbitration which is evidently not timely.
03 10:29:29 The consequence of Gazprom's non-compliance with the
04 10:29:32 prerequisites of article 11 of the contract is that the
05 10:29:36 invocation of force majeure must fail.
06 10:29:40 In any event, as I have outlined before and I'm not
07 10:29:45 going to repeat it here, there was no force majeure
08 10:29:50 event because Gazprom has promoted the government
09 10:29:54 regulation it now claims was force majeure.
10 10:30:00 The contractual definition of force majeure is not
11 10:30:06 met, and also under the Bockstiegel test the reliance on
12 10:30:11 force majeure fails.
13 10:30:14 In addition to this, the party affected by force
14 10:30:17 majeure must do all in its powers to avoid the effect of
15 10:30:22 the force majeure event and to ensure contractual
16 10:30:26 performance, as the contract confirms. Gazprom did not
17 10:30:32 do this.
18 10:30:34 There was a possibility to seek an exemption from
19 10:30:38 the effects of decree 172. Gazprom could at least have
20 10:30:44 filed application with Russian Government bodies to
21 10:30:47 obtain an exemption. Gazprom could also have delivered
22 10:30:52 gas via its subsidiaries in the EU. Gazprom did not do
23 10:30:59 this.
24 10:31:01 Therefore, Gazprom did not comply with its duty to
25 10:31:05 do all in its power to carry out its obligations

01 10:31:08 required under the contract, and the reliance on force

02 10:31:13 majeure also fails for this reason.

03 10:31:21 This concludes my part of the opening statement.

04 10:31:25 Mr Holland will now continue our presentation on the

05 10:31:31 issue of sanctions.

06 10:31:38 Opening submissions by Mr Holland

07 10:31:51 **MR HOLLAND:** Members of the tribunal, respectfully, we

08 10:31:53 continue our submissions.

09 10:31:55 There will be a natural break in our submissions in

10 10:31:58 about 50 minutes, but there would be an alternative in

11 10:32:02 about 30 minutes, if you would like to indicate if you

12 10:32:06 wish to take an earlier break.

13 10:32:10 This, first, is PPD's submission that the purported

14 10:32:14 variation to the contract was null and void under

15 10:32:19 Austrian law for breaching EU sanctions.

16 10:32:24 We will address the relevant provisions and how

17 10:32:28 they're to be interpreted, the payment mechanism itself

18 10:32:32 and the violations of EU sanctions that were requested

19 10:32:36 of the gas buyers by the payment mechanism.

20 10:32:41 So first, as we heard before, the way that sanctions

21 10:32:45 are implemented and interpreted depends on their

22 10:32:50 objective, and on screen is the CJEU decision from one

23 10:32:57 month ago affirming this principle of interpretation.

24 10:33:02 That decision echoes the European Commission's

25 10:33:05 explanation of the broad objectives of the Russia

01 10:33:11 sanctions. It was to reduce the financial resources
02 10:33:16 available to the Russian State in the context of its war
03 10:33:21 with Ukraine.
04 10:33:24 The broad objective was confirmed in September 2025
05 10:33:27 for regulation 269, that's the top half of the screen,
06 10:33:32 to impose sanctions and increase pressure to put an end
07 10:33:37 to military action. And then just three weeks ago, for
08 10:33:43 regulation 833, which is at the bottom, the same
09 10:33:48 **objective is confirmed:** to increase the costs of the war
10 10:33:54 and to promote peace.
11 10:33:56 So next, the language and interpretation of the
12 10:34:01 sanction provisions themselves.
13 10:34:03 So you heard before that EU authorities interpret
14 10:34:08 sanctions broadly, and that's because they have
15 10:34:13 important public policy objectives.
16 10:34:15 If you look at it from the point of view of the EU,
17 10:34:19 a limited interpretation would allow loopholes to open
18 10:34:24 up.
19 10:34:24 All this is relevant to your task in applying these
20 10:34:29 provisions to give them effect.
21 10:34:33 Looking at the relevant provisions, there are three
22 10:34:36 types. And to show how they are interpreted, we have
23 10:34:43 put on these slides the cases commenting on the language
24 10:34:46 that they use, and where there is no case on the
25 10:34:50 specific language of the regulation that we're using, we

01 10:34:53 use language that's identical in another sanction, and
02 10:34:58 that is the approach that the CJEU takes.
03 10:35:03 So the first prohibition relates to sanctioned
04 10:35:06 entities and there are two separate restrictions and
05 10:35:09 both are on screen together. Looking at the language of
06 10:35:14 article 2(2) first, we highlight the language it uses on
07 10:35:21 the right and then comment on it on the left.
08 10:35:24 So first, you must have made available funds or
09 10:35:28 economic resources. This has been held to have a broad
10 10:35:32 meaning and it covers anything which allows a sanctioned
11 10:35:36 person to have access directly or indirectly to an
12 10:35:41 economic resource.
13 10:35:43 Second, those words "directly or indirectly"
14 10:35:47 indicate that you cannot make funds available through an
15 10:35:51 intermediary. You cannot use a middleman.
16 10:35:56 The CJEU has explained that as long as it's possible
17 10:36:01 for the funds to be passed on to a sanctioned entity,
18 10:36:05 then this is a violation.
19 10:36:07 Confirming that, third, there is a violation if
20 10:36:12 funds may or is likely to benefit a sanctioned party.
21 10:36:20 Let's move regulation. So this is the next one,
22 10:36:23 it's the broad interpretation of article 5aa(1), and
23 10:36:28 then first, transaction, that is to be interpreted
24 10:36:32 broadly and regulation 269 has a definition of
25 10:36:37 "transaction", and that's relevant therefore to both

01 10:36:41 this and regulation 833.

02 10:36:45 Three points on that definition.

03 10:36:48 So it includes a transaction in any form whatsoever,

04 10:36:53 the transaction could be a chain of one or more

05 10:36:58 transactions and these can involve different parties or

06 10:37:03 points in the chain.

07 10:37:06 So to finish this one, it applies both directly or

08 10:37:09 indirectly as before, so a breach can again be via an

09 10:37:15 intermediary.

10 10:37:19 The second form of prohibition relates to the CBR,

11 10:37:24 the Central Bank of Russia, and it was crucial to the

12 10:37:28 Russian war effort, and this sanction prohibits

13 10:37:32 transactions related to the management of the assets and

14 10:37:36 reserves of the CBR.

15 10:37:39 So breaking it down, again, transaction has the same

16 10:37:42 meaning as before. Second, reserves are a type of asset

17 10:37:48 and they include foreign exchange, which is one of the

18 10:37:51 most important reserves. And third, management. That

19 10:37:57 includes increasing or preserving assets or reserves.

20 10:38:05 The third and final form of prohibition relied on

21 10:38:10 relates to circumvention provisions, and they are

22 10:38:14 applicable alongside the prohibitions we have already

23 10:38:18 looked at, and circumvention of a sanction is broader

24 10:38:24 than a violation of it.

25 10:38:28 On the slides you get this from the words, "avoid

01 10:38:33 the constituent elements of an infringement".

02 10:38:36 So by necessity, here you have not met the elements

03 10:38:42 needed for a direct violation and infringement, but you

04 10:38:47 have, by avoiding these elements, by not doing them,

05 10:38:52 circumvented the provision. You have frustrated the

06 10:38:57 sanction and caused it to fail, despite not violating it

07 10:39:03 directly.

08 10:39:04 So this is much wider in scope than the violation

09 10:39:08 itself and this is also important in your task of

10 10:39:12 applying these known circumvention prohibitions to give

11 10:39:15 them effect.

12 10:39:17 Finally, circumvention also requires an element of

13 10:39:22 knowledge and intent by the EU party.

14 10:39:28 Next, the operation of the payment mechanism. So

15 10:39:31 claimant, you have seen this before, but claimant has

16 10:39:33 created this graphic as an illustration of this. From

17 10:39:38 the left, in dark blue, PPD first pays to its euro "K"

18 10:39:45 account at Gazprombank, which is in light blue also on

19 10:39:49 the left.

20 10:39:51 Now, Gazprombank was, as a matter of banking

21 10:39:54 practice, PPD's agent, and we will cover that role

22 10:39:58 shortly. And on this graphic, where you see a step

23 10:40:03 taken by Gazprombank as agent for PPD as principal, they

24 10:40:10 are in small black boxes.

25 10:40:12 So the next step is that on behalf of PPD,

01 10:40:17 Gazprombank sends PPD's euros to the NCC, and that's in
02 10:40:22 the centre bottom circle.
03 10:40:26 The NCC gathered PPD's euros and the Russian buyer's
04 10:40:33 roubles and then it transacts the exchange from euros at
05 10:40:39 the bottom to roubles shown just above. That
06 10:40:45 conversion, the currency conversion happens on MOEX, the
07 10:40:50 Moscow exchange.
08 10:40:54 Looking to the right, the euros then go to the buyer
09 10:40:58 of euros and the roubles, looking up, go to PPD's rouble
10 10:41:05 "K" account, that's the second box from the top, and
11 10:41:10 then to Gazprombank, the Gazprom account at Gazprombank,
12 10:41:19 and Gazprom is shown in dark blue at the top.
13 10:41:23 So two points about how the payment mechanism
14 10:41:26 operated. First, the gas buyer was involved as
15 10:41:30 a participant throughout the entire procedure and that's
16 10:41:34 clear from the 1 April letter and decree 172; you
17 10:41:40 received the roubles in exchange for the euros that you
18 10:41:44 gave at the start of the transaction and you pay Gazprom
19 10:41:48 in roubles, right at the end of the transaction. So it
20 10:41:53 matters to you how you got hold of the roubles and what
21 10:41:58 happened to your euros.
22 10:42:00 You cannot just pay into your euro "K" account, the
23 10:42:05 first step, and not care what happens next. It's not
24 10:42:10 like a fire-and-forget process. You are being asked to
25 10:42:14 trigger the entire sequence.

01 10:42:17 So second, Gazprom has consistently confirmed that
02 10:42:22 Gazprombank acted for and on behalf of PPD. And that's
03 10:42:27 right, because Gazprombank's letter to PPD, which was
04 10:42:31 attached to the 1 April 2022 letter, required
05 10:42:36 pre-authorisation instructions from the gas buyer of the
06 10:42:41 whole procedure. The entire process took place because
07 10:42:46 the gas buyer asked for it to happen. The gas buyer was
08 10:42:50 the principal and Gazprombank was the agent in the
09 10:42:55 payment process.
10 10:42:56 So performance of every step was based on the gas
11 10:43:02 buyer's orders.
12 10:43:03 If all this seems very complex to those here, which
13 10:43:08 it is, then we may approach this the way that
14 10:43:12 international bankers are trained to.
15 10:43:15 PPD says that to an international banker, this
16 10:43:19 complex payment mechanism triggers red flags on an
17 10:43:23 industrial scale.
18 10:43:26 On the state of the expert and other evidence, PPD
19 10:43:31 will present two experts to you. One, Mr Boublik, who
20 10:43:38 had that red flag opinion above, was the former COO of
21 10:43:44 the largest private sector bank in Russia, Alfa-Bank.
22 10:43:47 And the other is Mr Papadia, who was a central banker at
23 10:43:52 the European Central Bank.
24 10:43:56 Gazprom advances no banking evidence, only more
25 10:44:01 legal submissions which we address as counsel.

01 10:44:08 Moving on, the payment mechanism breached each of
02 10:44:13 the prohibitions that we introduced earlier and we take
03 10:44:16 each of those three groups in turn.
04 10:44:19 First, on the prohibition of funds directly or
05 10:44:23 indirectly made available to sanctioned entities under
06 10:44:28 article 2(2) of regulation 269, three authorities really
07 10:44:35 help to show the risks that the gas buyer faced.
08 10:44:40 The first case is Mollendorf and in that the CJEU
09 10:44:46 held that the prohibition to make funds available
10 10:44:51 applies to any mode of making available an economic
11 10:44:55 resource and also any act which flows from the execution
12 10:45:01 of a contract.
13 10:45:04 **So you look at how the euros flowed onwards:** does
14 10:45:09 your payment let euros flow to sanctioned entities?
15 10:45:15 Now, in Mollendorf, the money was to flow from an
16 10:45:20 escrow agent to a sanctioned party. So the escrow agent
17 10:45:25 was between the buyer and the sanctioned party and was
18 10:45:31 going to pass the money on.
19 10:45:35 Sanctions stopped that deal and the payment going
20 10:45:39 through and it didn't matter who was in the middle.
21 10:45:44 So having Gazprombank or the NCC as an intermediary
22 10:45:49 should not shield you in any way. Remember, the words
23 10:45:53 were "directly or indirectly".
24 10:45:57 Now, Mollendorf was about the Taliban sanctions and
25 10:46:01 not the Russian sanctions, although the words "made

01 10:46:05 available" were the same.

02 10:46:08 But in September last year it was confirmed by

03 10:46:12 Advocate General Norkus in the case Ciekuri, so this is

04 10:46:14 relevant to the Russian sanctions. In this case it was

05 10:46:19 **said:** you need to look at whether a sanctioned entity

06 10:46:22 could access the resources.

07 10:46:26 **So a bit like the flow of funds before, you ask:** who

08 10:46:30 can access the funds? Am I placing them where they are

09 10:46:37 available? Again, regardless of the status of any

10 10:46:40 middleman.

11 10:46:43 In the final case, which was on the Libyan

12 10:46:45 sanctions, in SH v TG, the party was to pay

13 10:46:51 a non-sanctioned bank to maintain a bank guarantee, so

14 10:46:55 the payment was for -- it was a fee for the bank to keep

15 10:47:01 the guarantee in place. But the end beneficiary of the

16 10:47:05 guarantee was sanctioned. It was held in that case that

17 10:47:09 that payment was not a problem and the funds were not

18 10:47:14 going to be passed to the sanctioned entity; they were

19 10:47:17 not to be passed on at all. They were a payment to the

20 10:47:21 bank for a service, which was setting up the guarantee,

21 10:47:26 so there was no flow to the sanctioned entity. There

22 10:47:29 was no access of funds and nothing was made available.

23 10:47:35 **So for the payment mechanism, you ask:** was it

24 10:47:39 possible for euros to be passed on? And the answer is

25 10:47:43 that they were sent to the NCC, which then needed, it

01 10:47:50 had an obligation under its own rules, to pass them on
02 10:47:53 to the Russian buyer, and Mr Boublik confirms that the
03 10:47:58 NCC must strictly segregate the euros that it was
04 10:48:04 collating away from its own property.
05 10:48:08 So it must not keep these for its own use. The NCC
06 10:48:13 cannot be an end user of the euros and nor does the NCC
07 10:48:20 buy the euros. It doesn't pay anything and it just
08 10:48:25 keeps the collateral and it passes it on.
09 10:48:29 Remember, to breach article 2(2), you just need to
10 10:48:33 show that it must be possible for those funds to be
11 10:48:36 passed on. They do not need to be passed on to
12 10:48:40 a sanctioned entity in order to violate sanctions.
13 10:48:44 So these cases give a wide interpretation to "made
14 10:48:47 available", which guides the tribunal's approach.
15 10:48:53 Now, next, because of the flow of the euros, you
16 10:48:55 must undertake due diligence on who gets them and there
17 10:48:58 were three people who could in theory have been doing
18 10:49:01 sanctions checks on the Russian buyer of the euros.
19 10:49:04 The first was the gas buyer itself or its bank, but
20 10:49:09 Gazprom concedes multiple times that they cannot check
21 10:49:12 who is buying the euros. They deliberately made it
22 10:49:15 impossible to conduct the normal sanctions screens.
23 10:49:21 So the second party is Gazprombank. Maybe they
24 10:49:24 could do that under the irrevocable order that they
25 10:49:29 asked for. But, no, Gazprombank is not doing any

01 10:49:33 sanctions checks either, as Gazprom accepts, on the
02 10:49:36 final recipient of the euros.
03 10:49:40 In theory at least, the third checker would be the
04 10:49:43 NCC who was doing the exchange on the Moscow exchange.
05 10:49:48 But by the same submission, Gazprom accepts that the NCC
06 10:49:53 is not doing any sanctions checks either.
07 10:49:57 This would only not be a problem if Gazprom could
08 10:50:04 prove that there were no sanctioned entities that were
09 10:50:07 trading on MOEX, but it does not even try to do so
10 10:50:12 because the opposite is true.
11 10:50:16 This is because the CBR openly says that there were
12 10:50:20 sanctioned parties such as designated banks buying on
13 10:50:25 MOEX. It says buyers, especially those under the
14 10:50:31 sanctions, were the parties who engaged in foreign
15 10:50:35 exchange purchases on the market.
16 10:50:39 This is from the CBR's own report into the
17 10:50:43 anti-crisis, or we say anti-sanctions measures that it
18 10:50:48 took.
19 10:50:49 Crucially, even in a market where information is
20 10:50:53 being intentionally suppressed, VTB Bank, which has been
21 10:50:58 a sanctioned entity since April 2022, openly admitted in
22 10:51:05 its 2022 annual report that sanctions had caused a drop
23 10:51:12 in foreign exchange liquidity, requiring VTB Bank to
24 10:51:18 purchase foreign exchange from the open market. And
25 10:51:23 MOEX is the largest such market in Russia and Mr Boublik

01 10:51:29 says that sanctioned entities are the largest FX traders
02 10:51:36 on MOEX.
03 10:51:43 The operation of MOEX and the NCC in fact made
04 10:51:45 things worse, because they use something called
05 10:51:48 multilateral netting, and that gathers and sends all the
06 10:51:54 euros to multiple unknown buyers of the euros.
07 10:52:01 So your millions of euros each month gets sent all
08 10:52:05 over. It was much more likely that big batches of them
09 10:52:11 were being sent to any of the sanctioned entities who
10 10:52:14 were seeking them and this was all by design.
11 10:52:20 So the gas buyer presses "send" on the euros, the
12 10:52:24 procedure operates, the euros go off, absolutely
13 10:52:28 unchecked, and sanctioned entities dominate the market
14 10:52:31 that they are sold on.
15 10:52:34 So we say in breach of article 2(2) the euros were
16 10:52:38 made available to those entities, and also in breach of
17 10:52:42 article 5aa(1), this was a transaction with them.
18 10:52:49 Now, for the separate violation related to that
19 10:52:54 prohibition, by way of circumvention, you need to look
20 10:52:58 at whether the activity has the object or effect of
21 10:53:06 circumventing sanctions.
22 10:53:10 So first, the activity, the conduct, that's the gas
23 10:53:13 buyer's continued payment under the payment mechanism.
24 10:53:15 Second, the effect of the payment mechanism was to
25 10:53:21 frustrate sanctions.

01 10:53:23 So maybe you have friends. Maybe they have euros.

02 10:53:27 Maybe they're in banks. Maybe they're in the EU. Then

03 10:53:31 suddenly they're frozen. So that's a problem.

04 10:53:35 Now, Gazprom was not sanctioned. So you make it

05 10:53:43 look like Gazprom are still getting the euros, but

06 10:53:47 they're not. So you leave them where your friends can

07 10:53:52 get them and then you don't have a problem again.

08 10:53:58 Remember that Gazprom was not sanctioned. The idea

09 10:54:03 that the payment mechanism was facilitating

10 10:54:07 non-prohibited payments is a nonsense. Something

11 10:54:13 powerfully deceptive was going on.

12 10:54:19 Worse still, that was the effect, but you must also

13 10:54:22 look at the object, and the object, the purpose of these

14 10:54:27 decrees, was to get around sanctions.

15 10:54:31 So on screen from Gazprom's statement of defence is

16 10:54:35 an open admission that leaves no doubt on this. In the

17 10:54:40 first paragraph of the quote, Gazprom tell us that

18 10:54:44 sanctions are imposed. Next, in the second paragraph in

19 10:54:50 response to sanctions, unfriendly countries are listed.

20 10:54:53 And then finally, in this context, ie the context of the

21 10:54:58 sanctions, decree 172 was issued.

22 10:55:02 President Putin said the same thing, and that is the

23 10:55:04 reference on the end of this slide.

24 10:55:06 So whether you find that there has been a direct

25 10:55:09 violation or a circumvention, the payment mechanism

01 10:55:14 violates sanctions.

02 10:55:18 The second form of the prohibition relates to the

03 10:55:21 management of the reserves and assets of the CBR and

04 10:55:26 this violation is helped by a diagram, again this is

05 10:55:30 claimant's diagram.

06 10:55:33 The first slide shows sources of euros on the left,

07 10:55:38 and users or people needing euros on the right, plus

08 10:55:45 a chart showing financial stability.

09 10:55:50 So on the first slide, before the war and sanction,

10 10:55:54 Russian companies, MOEX trading members, there on the

11 10:55:57 middle right, were always able to go to MOEX to sell

12 10:56:05 roubles and buy euros that they would need.

13 10:56:09 If there were not enough euros, which would lead to

14 10:56:13 a rouble devaluation, then the CBR intervened, and

15 10:56:19 that's shown on the top left. It could sell the euros

16 10:56:23 which it held in the EU and take roubles, that's shown

17 10:56:27 to the top right, and that maintained rouble stability

18 10:56:33 because there was a balance between supply and demand.

19 10:56:38 So the next slide shows the changed position after

20 10:56:42 the CBR's euro reserves in Europe were frozen by

21 10:56:46 sanctions, the CBR can't use them anymore to balance

22 10:56:50 supply and demand, and that led to a very well-reported

23 10:56:57 rouble devaluation.

24 10:56:58 The CBR called it a panic in the financial market

25 10:57:03 and the CBR was forced to use its finite, its limited

01 10:57:07 euro reserves in Russia to intervene, because it no
02 10:57:11 longer had any other euros to use.
03 10:57:15 But at the bottom you'll see that gas buyers at this
04 10:57:18 point are still undisturbed by Russia's problems; they
05 10:57:23 were still happy, they were still paying Gazprom in
06 10:57:26 euros under their contracts.
07 10:57:28 But next, the payment mechanism told all of the gas
08 10:57:33 buyers to sell all of their euros on MOEX and start
09 10:57:37 getting involved in the Russian economy, and there were
10 10:57:41 two impacts of this.
11 10:57:42 First, the CBR is a MOEX member. It particularly
12 10:57:49 needed to buy euros on MOEX in exchange for roubles,
13 10:57:53 which it's doing at the top right.
14 10:57:55 So this is now doing the same as with sanctioned
15 10:57:58 entities earlier. The payment mechanism is providing
16 10:58:02 a pool of extra euros, an opportunity for it to buy
17 10:58:07 euros, and it could do that cheaply because the euros
18 10:58:10 were flooding in from all gas buyers at the end of each
19 10:58:13 month and whenever there's an excess available, they
20 10:58:17 would be cheaper, they weren't scarce.
21 10:58:19 So buying them would increase the reserves of the
22 10:58:24 CBR.
23 10:58:26 Second, by forcing gas buyer euros onto MOEX, there
24 10:58:31 was no panic. Euro demand was satisfied. There were
25 10:58:35 lots of euros.

01 10:58:37 So the CBR knew what euro payments were made and
02 10:58:43 they knew what buyers needed them, due to controls in
03 10:58:48 reporting within Russia. So it could co-ordinate and
04 10:58:52 balance supply and demand, buying and selling, and that
05 10:58:55 reduced instability.
06 10:58:59 So for both of those last two, the CBR did not need
07 10:59:04 to put its euros in, so it was able to preserve its
08 10:59:09 limited stocks of euros.
09 10:59:13 Mr Boublik and Mr Papadia confirm that both an
10 10:59:17 increase to and a preservation of foreign currency in
11 10:59:23 banking equates to management, and their opinions are on
12 10:59:26 this slide.
13 10:59:27 The EU Council has confirmed the objective of this
14 10:59:37 sanction and made it clear that it's not restricted only
15 10:59:41 to the CBR's frozen assets in the EU.
16 10:59:47 So the EC FAQs have no geographic limit, they use
17 10:59:52 a broad interpretation and you must not restrict its
18 10:59:56 scope. So euros within and outside the EU should fall
19 11:00:02 within the prohibition.
20 11:00:04 Also, the wording of article 5a(4), which talks of
21 11:00:11 assets and reserves of the CBR, means that it applies to
22 11:00:16 those assets and reserves which the CBR already holds
23 11:00:20 and those it might obtain.
24 11:00:23 The payment mechanism allow both buying and
25 11:00:27 preserving, and the suggestion that you are banned from

01 11:00:31 dealing with the CBR's existing reserves, but allowed to
02 11:00:36 help it get new reserves, would make the sanction
03 11:00:39 pointless.
04 11:00:42 Finally, the separate violation related to the CBR,
05 11:00:47 the circumvention of the restriction above. So PPD's
06 11:00:51 submissions on this are as before. The logic is the
07 11:00:55 same. The objective of EU sanctions was to reduce the
08 11:01:01 financial resources available to the Russian State and
09 11:01:05 that was done by removing the CBR's access to euro
10 11:01:09 reserves.
11 11:01:12 It was to limit the CBR's ability to intervene in
12 11:01:16 foreign exchange market, to smooth the market.
13 11:01:19 The payment mechanism circumvented that objective
14 11:01:23 because it allowed the CBR to support the rouble and
15 11:01:28 support the war.
16 11:01:29 So even again, if there is no breach of the
17 11:01:32 violation of the prohibition, there is a breach by
18 11:01:36 circumvention of the prohibition.
19 11:01:41 That concludes the analysis of the breaches of the
20 11:01:43 relevant sanctions.
21 11:01:47 PPD submits the payment mechanism violated one, more
22 11:01:50 or all of those restrictions, and in terms of
23 11:01:55 consequences, any obligation requiring a party to act in
24 11:02:01 a way that breaks the law is a breach of good morals
25 11:02:05 under the law governing the contract and its

01 11:02:08 modification, and that's Austrian law.

02 11:02:12 So by way of section 879 ACC, the tribunal is

03 11:02:17 required under mandatory public policy, **Eco Swiss law,**

04 11:02:24 **to find that any modification requiring the payment**

05 11:02:27 **mechanism is null and void.**

06 11:02:40 That concludes our submissions on sanctions.

07 11:02:43 **PRESIDENT:** Thank you. Thank you very much.

08 11:02:45 We will now take a 20-minute break and we will

09 11:02:48 resume at 22 of the hour, 11.22.

10 11:02:56 (11.02 am)

11 11:02:59 (Short break)

12 11:03:00 (11.24 am)

13 11:24:28 **PRESIDENT:** So we're back on record.

14 11:24:32 I suggest it's a good moment to confirm who is in

15 11:24:37 attendance via video conferencing, and I will now invite

16 11:24:42 the respondent to indicate who will be joining today for

17 11:24:48 the rest of the day through the videolink this hearing.

18 11:24:52 **MR TALANOV:** Thank you. Prof Hildebrand, the expert on

19 11:24:56 anti-trust issues, is joining online. Thank you.

20 11:25:02 **PRESIDENT:** Thank you. Claimant?

21 11:25:04 **MR HAUGENEDER:** From our side nobody is joining online.

22 11:25:10 Before, I should have mentioned that also Mr Riechmann,

23 11:25:15 Mr Van Huystee and Ms Baum from Frontier are in

24 11:25:18 attendance personally.

25 11:25:21 **PRESIDENT:** Can you confirm, I understand Dr Hildebrand is

01 11:25:25 connecting from Germany?

02 11:25:26 **MR TALANOV:** That is correct.

03 11:25:28 **PRESIDENT:** Where are Mr Riechmann and Ms Baum?

04 11:25:40 **MR HAUGENEDER:** They are here.

05 11:25:41 **PRESIDENT:** Okay, but they're in attendance?

06 11:25:44 **MR HAUGENEDER:** Yes, they're in attendance.

07 11:25:45 **PRESIDENT:** Okay, I get it now. I apologise. I did not

08 11:25:48 understand.

09 11:25:52 We are going to continue with the presentation and

10 11:25:54 we have planned the presentation to end at 1.20. So you

11 11:26:08 have the floor now.

12 11:26:10 **MR HOLLAND:** Thank you.

13 11:26:11 Members of the tribunal, thank you. On timing,

14 11:26:13 there will be another natural break in about one and

15 11:26:18 a half hours and if it would be convenient to take

16 11:26:22 a short break then for the transcriber, I hope the

17 11:26:27 tribunal or they will indicate.

18 11:26:31 But for now, PPD next claims that the imposition of

19 11:26:37 new and unfair commercial terms in Gazprom's 1 April and

20 11:26:42 5 May 2022 letters, to change the payment mechanism

21 11:26:48 under the threat of the end of gas supplies, was void as

22 11:26:54 it violated article 102 TFEU.

23 11:26:59 PPD's submissions on this are as follows.

24 11:27:02 First, that Gazprom was dominant in the relevant

25 11:27:04 market.

01 11:27:05 Second, that the terms that Gazprom imposed were
02 11:27:09 unfair trading terms and that they cannot be considered
03 11:27:14 to be normal market practice.
04 11:27:17 Third, that Gazprom cannot apply the state
05 11:27:21 compulsion doctrine.
06 11:27:24 So first, to find that Gazprom was dominant, for PPD
07 11:27:29 you will be hearing from Dr Riechmann, and he is
08 11:27:32 a competition economist specialising in gas and energy
09 11:27:36 markets.
10 11:27:37 And some points for you to have in your mind as you
11 11:27:42 consider the competing expert evidence.
12 11:27:46 Now, first, there is a rulebook for you, and Gazprom
13 11:27:52 agrees that this is the European Commission's Market
14 11:27:54 Definition Notice, or MDN. The parties agree that
15 11:28:00 following the MDN, there are two steps in the dominance
16 11:28:04 assessment.
17 11:28:05 The first is the establishment of the relevant
18 11:28:08 product and geographic market, and the second is the
19 11:28:11 assessment of the market position of Gazprom within that
20 11:28:15 market.
21 11:28:16 Starting with product market, the only relevant
22 11:28:19 disagreement concerns whether LNG is part of the
23 11:28:25 relevant product market after 2021, and the appropriate
24 11:28:31 comparison used by the European Commission looks at the
25 11:28:35 interchangeability of products.

01 11:28:39 Dr Riechmann concludes that during 2021, it was not
02 11:28:44 always cost-economic to switch from PNG, pipeline
03 11:28:49 natural gas, to LNG, liquefied natural gas.
04 11:28:53 The correct way to look at that is through the SSNIP
05 11:28:55 test. When prices were in the shaded area on the slide,
06 11:29:00 LNG was more than the 5 or 10 per cent more expensive
07 11:29:06 than pipe gas, which is the standard set in that SSNIP
08 11:29:10 test.
09 11:29:12 Then in 2022, the gas crisis happened and gas prices
10 11:29:17 rose to more than 400 per cent higher than was normal.
11 11:29:23 The MDN says that the SSNIP test will be unreliable
12 11:29:29 outside of normal market conditions.
13 11:29:31 So what a gas buyer might buy in a crisis is not
14 11:29:36 reliable evidence of its choice to switch between
15 11:29:39 products.
16 11:29:41 Because of this, Dr Riechmann's product market
17 11:29:44 definition leaves this LNG issue open, and it's common
18 11:29:49 for the European Commission to leave things open, which
19 11:29:52 means undecided, and he does this because if you agree
20 11:29:58 with him on the geographic market, then nothing turns on
21 11:30:04 this LNG issue.
22 11:30:06 So moving, then, to the geographic market, this
23 11:30:11 should be an integrated Croatia and Hungary market, and
24 11:30:16 what you are looking for between them is homogeneity.
25 11:30:21 The test is on screen now, and it's set out in the MDN,

01 11:30:26 and Gazprom agrees with this test.

02 11:30:31 So you need to look at whether the conditions for

03 11:30:36 competition in Croatia are sufficiently homogenous to

04 11:30:42 the nextdoor market in Hungary.

05 11:30:45 Are the two markets similar enough to be considered

06 11:30:49 integrated for gas? Can cross-border deals be done?

07 11:30:55 You don't need perfect harmony, just sufficient

08 11:30:59 homogeneity.

09 11:31:01 The MDN sets out five categories of evidence to

10 11:31:06 assess. These may be relevant, but you don't need to

11 11:31:10 answer all of them in toto. Each is, if you like,

12 11:31:14 a plus factor when you look at them together.

13 11:31:17 So you must carefully check for evidence and data in

14 11:31:22 both markets to see what barriers or opportunities there

15 11:31:26 are. And what Gazprom hopes that it will be able to

16 11:31:31 show you, in order for it to be correct, and what you'll

17 11:31:35 be looking for in the evidence, are things that make

18 11:31:39 Croatia and Hungary distinct, like all of these features

19 11:31:45 on screen.

20 11:31:48 Gazprom will not be able to show you that any of

21 11:31:50 these features on screen exist as a barrier to

22 11:31:54 integration, because the opposite is true.

23 11:31:58 They all speak in favour of integration. That's

24 11:32:03 because rational operators can buy in Hungary if Croatia

25 11:32:08 is more expensive and the other way around. That's

01 11:32:12 because these two countries are homogenous markets.

02 11:32:18 Then there is an odd thing. So I said just now in

03 11:32:22 relation to the product market that Prof Hildebrand for

04 11:32:28 Gazprom wants to include LNG. That's ships arriving in

05 11:32:34 Croatia. But she then says that this LNG when it

06 11:32:40 arrives in Croatia is just travelling, transiting from

07 11:32:44 Croatia to Hungary, and she does not account for it as

08 11:32:48 gas supply in Croatia.

09 11:32:50 No way, we say. You should either exclude this LNG

10 11:32:58 arriving in Croatia because it's too expensive, or you

11 11:33:02 should take account of it consistently with the fact

12 11:33:05 that it is in Croatia. You have to do this, because you

13 11:33:08 can't test whether Croatia and Hungary are homogenous

14 11:33:14 without doing so.

15 11:33:15 This gas is moving freely today from Croatia to

16 11:33:19 Hungary, and that's powerful evidence that they are the

17 11:33:26 same market.

18 11:33:28 Next, prices. Prof Hildebrand compares PPD's sales

19 11:33:36 prices in Hungary and Croatia. But we are doing an

20 11:33:43 assessment of Gazprom's dominance. So we need to look

21 11:33:47 at Gazprom's prices, at its level in the market.

22 11:33:52 Price will not help you of course if you are looking

23 11:33:56 one step down the contract chain, and it would have been

24 11:34:00 better for Gazprom to compare its downstream wholesale

25 11:34:05 prices because it has them for both Hungary and Croatia,

01 11:34:09 and that was not done.

02 11:34:12 Once you adjust PPD's prices to account for the

03 11:34:16 different commercial terms that were offered in its

04 11:34:20 contracts, they are closely homogenous anyway, if you

05 11:34:24 look at the left-hand side of this graph, but until the

06 11:34:30 difference in commercial terms get all skewed by the gas

07 11:34:35 crisis, which happens further to the right.

08 11:34:40 Now, Prof Hildebrand has also last week compared

09 11:34:43 prices from a survey in Croatia to Hungarian

10 11:34:49 CEEGEX-traded prices, and yet again and obviously,

11 11:34:53 comparing a survey of average prices with traded actual

12 11:34:58 spot prices is comparing apples and oranges and they are

13 11:35:03 bound to be different.

14 11:35:06 Before leaving geographic market, you will also hear

15 11:35:09 more about the Gazprom decision.

16 11:35:12 This was a finding of Gazprom's dominance in Hungary

17 11:35:18 and several other CEE countries, but not Croatia,

18 11:35:21 because Croatia had not at that time joined the EU.

19 11:35:28 The European Commission noted three other factors

20 11:35:33 that it considered to be of relevance, and they overlap

21 11:35:38 a bit with the five before in the MDN, but they are

22 11:35:42 specific to gas markets.

23 11:35:45 So Dr Riechmann has noted all of these too, but he

24 11:35:50 concludes that they no longer apply because Croatia and

25 11:35:55 Hungary are now much better connected.

01 11:35:58 I mean, when it joined the EU, for example, Croatia

02 11:36:02 immediately was more homogenous with Hungary than the

03 11:36:07 period under study in the decision.

04 11:36:12 So when you have made your decision about pipeline

05 11:36:16 natural gas plus LNG or not, and then either Croatia

06 11:36:20 plus Hungary or just Croatia, you can then assess

07 11:36:26 Gazprom's market position within that relevant market.

08 11:36:32 You can refer to Gazprom's position through its market

09 11:36:35 shares, but also the competitive constraints on it.

10 11:36:42 These include two things. Firstly, was Gazprom an

11 11:36:45 unavoidable trading partner, and secondly, could it act

12 11:36:50 independently of its customers?

13 11:36:52 So there's three indicators. First, market shares.

14 11:37:01 **On this, the question first is:** what gas is Gazprom's

15 11:37:05 gas? So you need to see what share of gas is Gazprom's

16 11:37:09 in the market.

17 11:37:13 Gazprom is the monopoly seller of Russian PNG. So

18 11:37:17 if the gas through -- if the gas comes from Russia, it's

19 11:37:25 via Gazprom, whether it's direct or indirect, and so

20 11:37:28 it's quite easy to account for. Much easier than other

21 11:37:33 products. And it's also quite intuitive.

22 11:37:34 And Gazprom, because it's a monopoly, can structure

23 11:37:41 the contract as it chooses and it can sell gas through

24 11:37:46 intermediaries by an indirect sale, who can then sell on

25 11:37:52 that gas into the relevant market.

01 11:37:55 So with Gazprom and gas markets to not account for
02 11:38:00 these indirect sales will under-represent and
03 11:38:05 under-report what Gazprom's share truly is.
04 11:38:10 This need to take into account indirect sales is
05 11:38:14 spelt out in the Gazprom decision and also the BEH Gas
06 11:38:20 decision which was in Bulgaria, it was another gas
07 11:38:23 market in the CEE. It reconfirmed that yet again.
08 11:38:28 Prof Hildebrand acknowledges that Gazprom's indirect
09 11:38:33 sales via traders, hub, and intermediaries may fall
10 11:38:39 within the scope of assessment of Gazprom's dominance.
11 11:38:44 But then another odd thing happens. Prof Hildebrand
12 11:38:50 applies selected and we say invented criteria to
13 11:38:57 Gazprom's indirect sales to artificially whittle them
14 11:39:02 down. And this is important, because the effect of that
15 11:39:06 step is so limiting to the indirect sales that basically
16 11:39:13 you would only be looking at Gazprom's direct sales.
17 11:39:17 As pointed out by Dr Riechmann, all -- its small
18 11:39:21 text, but all of those red types of very common indirect
19 11:39:28 sale of Gazprom's gas would just be ignored.
20 11:39:31 On that basis, Gazprom would never be dominant, it
21 11:39:34 would just engineer its contracts in one of these ways.
22 11:39:42 So if you were to agree with PPD on that point, and
23 11:39:46 not apply those filters, then that would be enough to
24 11:39:51 reach a conclusion that Gazprom was dominant.
25 11:39:56 Now, it's normal to take annual data, and for 2022,

01 11:40:00 for April 2022, when Gazprom's market share by the way

02 11:40:04 was dropping anyway because it was cutting everybody

03 11:40:07 off, Dr Riechmann finds 54 per cent, if you see the top

04 11:40:13 row, for 2022. And even if LNG is included for 2022,

05 11:40:18 it's 45 per cent.

06 11:40:21 The parties agree that a market share above

07 11:40:26 50 per cent triggers a presumption of dominance and also

08 11:40:31 that at 40 per cent you are at the danger zone where

09 11:40:35 dominance is likely to be found, but with some

10 11:40:40 additional evidence.

11 11:40:43 The evidence does establish dominance because the

12 11:40:45 **second indicator of dominance is:** was Gazprom an

13 11:40:51 unavoidable trading partner?

14 11:40:55 You test this by taking away all of Gazprom's gas

15 11:40:58 from the relevant market. Dr Riechmann conducted this

16 11:41:02 analysis for Croatia and Hungary and he found that

17 11:41:06 demand for gas in Croatia and Hungary could not be met

18 11:41:11 fully without Gazprom's gas, nor if you look in the

19 11:41:16 wider import zone, which is all the countries that could

20 11:41:22 feed gas to Croatia and Hungary.

21 11:41:26 So there wasn't enough gas to meet demand and by

22 11:41:30 definition, Gazprom was an unavoidable trading partner.

23 11:41:35 You could not do without Gazprom's gas. You would run

24 11:41:39 out.

25 11:41:43 The third and final indicator of dominance is that

01 11:41:47 PPD could not constrain Gazprom's actions.

02 11:41:51 Now, when Gazprom reduced gas supplies to Europe,

03 11:41:58 the whole market reacted. Nobody could push back.

04 11:42:03 Everybody was affected. Huge gas giants like Uniper

05 11:42:10 failed.

06 11:42:11 So in those two years, 2021 and 2022, Gazprom had

07 11:42:16 huge leverage. It's not credible that everybody in the

08 11:42:21 gas industry was wrong about this. And only a dominant

09 11:42:26 firm would be capable of imposing those disadvantageous

10 11:42:32 and uncommercial payment terms in April 2022.

11 11:42:36 If Gazprom was not dominant, everybody, including

12 11:42:40 PPD, would have just refused to accept those amendments

13 11:42:44 and found gas elsewhere.

14 11:42:47 So on the basis of all that evidence, those three

15 11:42:50 indicators, Dr Riechmann finds that Gazprom was dominant

16 11:42:54 in the relevant market in 2022.

17 11:43:00 But if you were to find a Croatia-only market, there

18 11:43:06 would be one more step for you to take, and looking on

19 11:43:10 screen for the column 2022, at the bottom are three rows

20 11:43:16 with market shares contended for just in Croatia by

21 11:43:20 Prof Hildebrand.

22 11:43:23 You might see straight away that Gazprom's 2022

23 11:43:26 market share is only, at most, 13 per cent. And that's

24 11:43:31 a fraction of the contract's annual contracted quantity,

25 11:43:36 and the lowest share is zero. That's strikingly low,

01 11:43:44 because Dr Riechmann is calculating 44 per cent at the
02 11:43:48 top.
03 11:43:49 Now, there are two reasons for that wide difference.
04 11:43:51 The first is that Prof Hildebrand excludes Gazprom's
05 11:43:58 direct sales to PPD under the contract itself from the
06 11:44:03 dominance analysis in Croatia.
07 11:44:09 The contract was the largest gas supply contract in
08 11:44:11 Croatia and under it, Gazprom's title to the gas was
09 11:44:16 held onto, right up to the delivery point in Croatia.
10 11:44:21 So you cannot ignore that the contract involved gas
11 11:44:26 sent by Gazprom to Croatia.
12 11:44:31 Gazprom's error arises from the impact of the GTA
13 11:44:36 and the swap agreements.
14 11:44:39 This error is even worse than the idea of ignoring
15 11:44:42 indirect sales that you saw earlier, because this is now
16 11:44:47 ignoring a direct sale.
17 11:44:51 This is all because PPD was in charge of helping
18 11:44:57 Gazprom with its duty to deliver gas under the contract
19 11:45:01 from Hungary to Croatia, to the delivery point in
20 11:45:04 Croatia.
21 11:45:08 So the argument is just not sustainable.
22 11:45:11 Anyway, even if you were to see that Gazprom's PNG
23 11:45:17 was accountable in Hungary, not Croatia, which is wrong,
24 11:45:23 for a swap under the swap agreements, you need something
25 11:45:26 to swap it with. You need something to swap the

01 11:45:30 contract's gas with. And it was swapped with LNG that
02 11:45:34 was in Croatia. Hungary is landlocked.
03 11:45:38 So whether you start with the contract's gas in
04 11:45:41 Croatia as we say, or if you swap it in either of the
05 11:45:48 two ways on the slide at the moment, on all the
06 11:45:53 approaches, it's right to allocate all of the contract's
07 11:45:58 volumes to Croatia, where they're delivered, and to
08 11:46:01 Gazprom, who supplied them.
09 11:46:05 There's one more reason for those very low Croatia
10 11:46:08 market shares before. The second reason is that in
11 11:46:12 Prof Hildebrand's first or primary market share
12 11:46:16 analysis, there is inflation of the total size of the
13 11:46:22 Croatian market, to completely unrealistic levels.
14 11:46:27 This is done by adding trading volumes.
15 11:46:32 They're not part of the relevant market. You can
16 11:46:34 trade a molecule of gas countless times before it
17 11:46:38 reaches a user. Introducing trading volumes introduces
18 11:46:44 double counting in the actual gas that's there. That
19 11:46:48 succeeds, of course, by raising the total market size,
20 11:46:52 it succeeds in lowering Gazprom's share in it.
21 11:46:55 If you look at the table on the top far right-hand
22 11:46:59 side, the total size at the top right is an outlier
23 11:47:07 against the other amounts, including Prof Hildebrand's
24 11:47:11 other calculation.
25 11:47:14 So when you correct Gazprom's share and the total

01 11:47:19 market size, you get to that 44 per cent again.

02 11:47:23 That remains above the danger level for a finding of

03 11:47:27 dominance and you apply once again those two further

04 11:47:31 tests, and we repeat our position on unavoidable trading

05 11:47:36 partner and conduct.

06 11:47:38 So, even if you did look in a Croatia-only market,

07 11:47:42 which we don't agree with, Dr Riechmann holds that

08 11:47:46 Gazprom is dominant nevertheless.

09 11:47:51 The second part of PPD's submission is that Gazprom,

10 11:47:54 as a dominant undertaking, had a special responsibility

11 11:47:58 under European law not to allow its conduct to impair

12 11:48:03 competition.

13 11:48:05 There are three conditions for an unfair term that

14 11:48:10 constitutes an abuse of dominance under article

15 11:48:13 102(a) TFEU. They're on the slide. They were confirmed

16 11:48:21 by the European Commission in Apple streaming.

17 11:48:24 So the first condition, Gazprom imposed the payment

18 11:48:27 mechanism on PPD, and we just established that on our

19 11:48:33 submissions on duress.

20 11:48:36 On the second condition, the terms of Gazprom's

21 11:48:40 1 April letter were unfavourable and detrimental to PPD.

22 11:48:45 You heard that as well.

23 11:48:48 But on screen are each of the detrimental terms.

24 11:48:51 You know, not least the threat to be cut off with gas,

25 11:48:54 banking arrangements.

01 11:48:57 And just maybe taking a step back, none of this is
02 11:49:00 normal. It's not normal in the gas industry in the
03 11:49:04 middle of a war to be asked to pay money into the
04 11:49:07 economy of another country.
05 11:49:09 It's obviously against the interests of a commercial
06 11:49:13 trading partner that just wants to buy gas for delivery
07 11:49:17 in its home state.
08 11:49:20 So next, on the third and final condition, the terms
09 11:49:26 imposed by Gazprom to implement decree 172 were not
10 11:49:32 objectively necessary, the third part of the test.
11 11:49:37 So we saw decree 172s 172 and 254 before. Now, they
12 11:49:43 don't mention, when you read them, anywhere in their
13 11:49:48 text at all, how Gazprom should implement those decrees,
14 11:49:56 what the decrees said.
15 11:49:58 On this slide are some of the steps which the
16 11:50:01 decrees could have necessitated. They're steps that
17 11:50:07 they could have prohibited Gazprom, by law, from doing,
18 11:50:11 but they absolutely did not. They didn't add any
19 11:50:15 implementation rules for Gazprom on how it was to
20 11:50:20 proceed.
21 11:50:23 Gazprom's implementation steps therefore have no
22 11:50:28 basis in the words of decree 172 and they were not
23 11:50:31 necessary.
24 11:50:34 When Gazprom says in its defence submission that its
25 11:50:39 1 April 2022 letter corresponded exactly to decree 172,

01 11:50:45 that is not correct.

02 11:50:48 Also, as shown on the slide, there were no

03 11:50:51 efficiencies or benefits produced to buyers or consumers

04 11:50:58 using Gazprom's gas that would excuse the term from

05 11:51:02 being imposed.

06 11:51:04 The opposite was the case.

07 11:51:07 Gazprom unnecessarily over-implemented decree 172.

08 11:51:12 It was not necessary for a legitimate purpose and

09 11:51:18 Gazprom ignored the other options that it has.

10 11:51:23 So the term was unfair and meets all three tests

11 11:51:28 under article 102.

12 11:51:33 Moving on to the third and final part of this

13 11:51:35 submission, Gazprom can't rely either on the doctrine of

14 11:51:39 state compulsion. This is a narrow doctrine that would

15 11:51:45 abrogate it of all its responsibilities under

16 11:51:49 competition law.

17 11:51:51 Gazprom accepts, and this is on screen, it's

18 11:51:54 a reference from its last submission, that it only

19 11:51:58 applies where a state leaves a company without any

20 11:52:04 possibility to act in a competitive way.

21 11:52:09 That test is from the leading case, the CJEU's

22 11:52:13 decision in Ladbroke Racing. The test is put in

23 11:52:19 similarly absolute terms by the CJEU in Irish Sugar.

24 11:52:26 That's at the bottom. There were two points made in

25 11:52:29 that bottom extract from the last case that are worth

01 11:52:34 noting. First, it makes clear that the burden to prove
02 11:52:40 state compulsion is on Gazprom, and second, that Gazprom
03 11:52:45 must show that it was deprived of all independent choice
04 11:52:50 in its commercial policy.
05 11:52:54 Gazprom fails on both. First, it has not met its
06 11:52:58 burden. Gazprom is subject to EU competition law. It's
07 11:53:03 been investigated many times.
08 11:53:05 And in 2022, in PGNiG, a Polish gas company in
09 11:53:09 commission, the general court held specifically in
10 11:53:14 relation to the state compulsion defence that Gazprom is
11 11:53:18 now maintaining, and specifically applicable to
12 11:53:23 Gazprom's own actual conduct and its own actual
13 11:53:25 ownership and control structure, that, first, due to the
14 11:53:32 restrictive nature of the defence, a factual and legal
15 11:53:40 analysis must take place of the autonomy of Gazprom.
16 11:53:45 Second, what actual evidence is there of the
17 11:53:49 interventions of Russia in Gazprom's decisions?
18 11:53:54 Here, there is no evidence, other than the words of
19 11:53:58 decree 172 itself and the way it was drawn up, which
20 11:54:04 could satisfy Gazprom's burden.
21 11:54:06 And secondly and anyway, decree 172 did not take
22 11:54:11 away all of Gazprom's independent choice.
23 11:54:16 Due to the decree's silence on implementation, which
24 11:54:20 we just saw before, Gazprom did have freedom and
25 11:54:26 autonomy in its implementation and it chose what to

01 11:54:31 write on 1 April. It chose the most hostile and most
02 11:54:38 extreme option to it.
03 11:54:41 As explained earlier, in relation to duress and
04 11:54:44 force majeure, it was acting in complicity with the
05 11:54:49 Russian State and it was leaning on the power of the
06 11:54:53 state through the overlap between the management and the
07 11:54:58 government. It was trying to secure a benefit to
08 11:55:00 itself. It wanted to secure this outcome for itself and
09 11:55:07 for the state. It wasn't compelled in any way.
10 11:55:13 So there is nothing to allow the tribunal to find
11 11:55:17 the state compulsion doctrine can be applied.
12 11:55:21 In conclusion, the imposition of the unfair trading
13 11:55:26 terms was a breach of article 102 and so the terms in
14 11:55:30 the 1 April and the 5 May letters can't form a valid
15 11:55:36 contractual amendment, which is null and void again
16 11:55:39 under section 879(1) of the Austrian Civil Code, because
17 11:55:45 it was procured by abusive behaviour of the dominant
18 11:55:50 party, and to repeat myself again for my last
19 11:55:53 submission, that obligation as well to avoid any such
20 11:56:00 amendment extends to the tribunal under Eco Swiss.
21 11:56:06 That concludes PPD's submissions on the purported
22 11:56:09 variation being void.
23 11:56:16 Opening submissions by Mr Haugeneder
24 11:56:27 **MR HAUGENEDER:** Members of the tribunal, I will now
25 11:56:30 briefly continue PPD's presentation on the claim based

01 11:56:34 on market manipulation.

02 11:56:37 I will start by showing that PPD's claim falls

03 11:56:43 within the scope of the arbitration agreement.

04 11:56:49 It is PPD's submission that Gazprom manipulated the

05 11:56:55 TTF month-ahead price, the index determining the price

06 11:56:59 under the contract, through capacity withholding and

07 11:57:05 other actions.

08 11:57:07 By these actions, Gazprom committed torts as well as

09 11:57:12 breached the contract.

10 11:57:17 The claim is based on Gazprom's breach of REMIT,

11 11:57:25 article 102 TFEU, the contractual duty to perform

12 11:57:31 contracts in good faith, and the breach of the

13 11:57:35 obligation not to cause harm in breach of good morals.

14 11:57:41 So you have here contractual as well as

15 11:57:45 non-contractual causes of action for the same conduct.

16 11:57:49 Gazprom claims that the tribunal does not have

17 11:57:53 jurisdiction because claims for breach of REMIT and

18 11:57:57 article 102 TFEU would fall outside the scope of the

19 11:58:03 arbitration agreement because they would not have

20 11:58:08 a sufficiently close connection to the contract.

21 11:58:11 This allegation fails.

22 11:58:14 The starting point is that the scope of the

23 11:58:18 arbitration agreement requires interpretation under the

24 11:58:22 applicable Austrian law. Relevant for the

25 11:58:26 interpretation of arbitration agreements is the text,

01 11:58:31 the intention of the parties and the understanding of
02 11:58:36 the agreement in accordance with the practice of honest
03 11:58:42 dealings.
04 11:58:44 There is clear and uncontroversial case law from the
05 11:58:48 Austrian Supreme Court case that arbitration agreements
06 11:58:52 must be interpreted broadly, because this corresponds to
07 11:58:57 the parties' intention to exclude the jurisdiction of
08 11:59:01 the state courts and to avoid split jurisdiction.
09 11:59:09 Split jurisdiction would, however, occur if you
10 11:59:13 follow Gazprom's submissions, because you would have
11 11:59:20 contractual jurisdiction for contractual causes of
12 11:59:22 action, state court jurisdiction for non-contractual
13 11:59:27 causes of action.
14 11:59:28 We submit there's no basis for that.
15 11:59:31 When in doubt, an interpretation that favours the
16 11:59:34 application of the arbitration agreement must be given
17 11:59:39 preference, as the Austrian Supreme Court held.
18 11:59:43 In our case, there is no doubt whatsoever that the
19 11:59:47 arbitration agreement is exceptionally broad, covering,
20 11:59:50 **I quote:**
21 11:59:50 "All controversy, claims, disputes and other matters
22 11:59:56 arising out of or relating to contractual liability,
23 12:00:00 tortious liability, and/or to this Contract ..."
24 12:00:07 This is not an ICC model clause, but a tailor-made
25 12:00:09 clause intended to capture the broadest possible scope

01 12:00:12 of the disputes between the parties. It expressly
02 12:00:18 covers tortious liability relating to the contract or
03 12:00:22 not.
04 12:00:24 Neither in the arbitration agreement, nor in the
05 12:00:28 Austrian law, is there a requirement of foreseeability,
06 12:00:34 functional connection or strong, significant, close,
07 12:00:41 sufficiently close connection with the contract, as
08 12:00:44 Gazprom postulates.
09 12:00:45 In its leading case on competition law, the Austrian
10 12:00:51 Supreme Court set aside an award because the tribunal
11 12:00:54 did not hear a tort claim over damages based on
12 12:00:59 article 102 TFEU.
13 12:01:02 **This case involved a narrow clause:** "any dispute
14 12:01:09 arising ... under this Capacity Contract". So not
15 12:01:13 related to. The clause was narrow, but the Supreme
16 12:01:16 Court still found that the claim for abuse of a dominant
17 12:01:22 position was functionally closely linked to the contract
18 12:01:25 and was therefore covered by the arbitration agreement.
19 12:01:31 The Austrian Supreme Court confirmed in this context
20 12:01:36 that this interpretation corresponded to the Apple sales
21 12:01:42 case of the CJEU.
22 12:01:46 There is no doubt in the Austrian arbitration law
23 12:01:50 that non-contractual claims may fall under a legal
24 12:01:57 relationship that is submitted to arbitration, and that
25 12:02:01 is what has happened here; in our case, the submission

01 12:02:05 to arbitration is exceptionally broad.

02 12:02:14 Looking at this legal relationship, under the

03 12:02:18 contract the price of gas was calculated by reference to

04 12:02:21 the TTF index. We submit that Gazprom, through actions

05 12:02:29 which constitute torts, as well as breaches of

06 12:02:35 contractual duties, abusively inflated the TTF index.

07 12:02:44 The invoked manipulation of the contractual price

08 12:02:48 index is evidently closely connected to the contract.

09 12:02:55 We claim Gazprom manipulated the contract price; what

10 12:03:00 closer connection to the contract can there be?

11 12:03:04 Therefore, without a doubt this claim is covered by the

12 12:03:08 arbitration agreement.

13 12:03:11 I will now very briefly address the issue of

14 12:03:15 arbitrability of Gazprom's submission that the claim

15 12:03:21 under REMIT is not arbitrable.

16 12:03:25 Under the Austrian arbitration law, any pecuniary

17 12:03:29 claim is arbitrable. I quote section 582 of the

18 12:03:33 **Austrian Civil Procedure Code:**

19 12:03:36 "Any pecuniary claim within the jurisdiction of the

20 12:03:38 courts of law may be made the subject of an arbitration

21 12:03:42 agreement."

22 12:03:43 The notion of pecuniary claim is understood broadly

23 12:03:48 by the case law and the legal commentary.

24 12:03:53 PPD's claim, based on the private enforcement of

25 12:03:57 REMIT, is a claim for money. It is therefore

01 12:04:03 a pecuniary claim. There cannot be any serious
02 12:04:06 suggestion that the claim is not arbitrable.
03 12:04:11 Even if it is assumed that a decision of the NRA is
04 12:04:19 required before an award of damages, as Gazprom submits,
05 12:04:23 this pertains to the tribunal's substantive decision of
06 12:04:28 the merits of PPD's claim and not to arbitrability.
07 12:04:35 With that, I hand again back to Mr Holland who will
08 12:04:40 set out Gazprom's liability for market manipulation.
09 12:04:48 Further opening submissions by Mr Holland
10 12:04:59 **MR HOLLAND:** To establish that Gazprom's conduct was
11 12:05:03 actionable by PPD and led to its loss, we address,
12 12:05:07 first, a recap on Gazprom's market manipulation conduct.
13 12:05:13 Next, PPD's four claims, set out at points (ii) to (v)
14 12:05:20 on the slides. Then the governing law and the standard
15 12:05:22 of proof for causation. And then how Gazprom's conduct
16 12:05:27 resulted in PPD's loss.
17 12:05:32 So earlier you heard the steps that Gazprom took in
18 12:05:36 2021 and the beginning of 2022, and without repeating,
19 12:05:41 it created an artificial scarcity of gas.
20 12:05:46 Addressing now PPD's first claim, again, it's
21 12:05:50 a breach of article 102(a) of the TFEU and you will
22 12:05:55 remember the three elements of that claim are on screen.
23 12:06:01 We say they're met.
24 12:06:02 Firstly, Gazprom was dominant in the market of
25 12:06:05 Croatia and Hungary where the actions impacted on PPD.

01 12:06:09 And then from that position of dominance, Gazprom
02 12:06:15 directly or indirectly imposed unfair selling prices and
03 12:06:23 unfair trading conditions.
04 12:06:26 If either of those is made out, Gazprom has breached
05 12:06:31 article 102.
06 12:06:35 So in the first element, PPD repeats its submissions
07 12:06:39 on dominance, and the test, the first indicator is
08 12:06:46 market shares. We're now back on the slide. In the top
09 12:06:50 table is the relevant market, Croatia and Hungary. This
10 12:06:55 time we now look at 2021, which was when Gazprom's
11 12:07:01 pattern of conduct changed.
12 12:07:05 Gazprom was over 50 per cent, it was at 58 per cent
13 12:07:09 or 51 per cent, no matter how you look at LNG. So
14 12:07:15 dominance is presumed in 2021, which is the period where
15 12:07:21 most of the steps were taken.
16 12:07:24 Then for 2022, you saw before it was 54 and 45,
17 12:07:31 a very high level.
18 12:07:34 Underneath the market shares for the Croatia-only
19 12:07:37 market that Gazprom argues for, that's the bottom table,
20 12:07:43 it's 49 per cent for 2021 and 44 per cent for 2022.
21 12:07:51 So you look again at the second indicator of
22 12:07:54 dominance, that unavoidable trading partner, and
23 12:08:00 Dr Riechmann's analysis of that, which we discussed
24 12:08:03 before, analysed Gazprom's market power within the
25 12:08:09 import zone.

01 12:08:11 I mention that before, but let me explain it a bit
02 12:08:14 more now.
03 12:08:15 That included the Netherlands, and that's where TTF
04 12:08:22 is based. That confirmed Gazprom's market power as an
05 12:08:28 unavoidable trading partner within the import zone, so
06 12:08:33 including Croatia and Hungary, and the details are on
07 12:08:37 the slides.
08 12:08:39 Then finally, Gazprom had no effective competitive
09 12:08:43 restraint. We simply repeat what I addressed to you
10 12:08:48 before.
11 12:08:51 Moving on to the second element of this first claim,
12 12:08:58 Gazprom imposed unfair selling prices, including
13 12:09:02 excessive pricing.
14 12:09:06 In United Brands, as well as subsequent decisions,
15 12:09:10 the CJEU set out a two-step test for this abuse. The
16 12:09:19 **first step asks:** is the price excessive in relation to
17 12:09:22 the economic value of the product?
18 12:09:28 Now, gas had been selling for years across Europe at
19 12:09:33 about 15 euros per megawatt hour. So that must be the
20 12:09:39 upper limit of the supply cost of a producer like
21 12:09:45 Gazprom. That's shown at the -- in the chart, that's
22 12:09:48 the price chart between 2019 and 2020.
23 12:09:54 And in July 2021, the forward price, that's the
24 12:10:00 price the market expects, for the remainder of 2021 and
25 12:10:05 2022, was well below 50 euros.

01 12:10:10 That appeared fair. But then in 2022, prices
02 12:10:16 reached 150 euros, and those prices cannot bear any
03 12:10:22 reasonable relationship to Gazprom's costs of
04 12:10:25 production. Gazprom hasn't suggested that its costs
05 12:10:30 rose, and so this test is met.
06 12:10:35 But there was a second step, which then asks whether
07 12:10:38 the price was unfair in itself when compared to fair
08 12:10:44 prices.
09 12:10:46 The price was unfair in itself and we make two
10 12:10:51 points.
11 12:10:53 First, Mr Michael Fulwood is one of the principal
12 12:10:59 designers of the World Gas Model or WGM. That is used
13 12:11:06 by market participants. Nigaz Ekonomika(?), a Gazprom
14 12:11:13 company, had a licence previously, as did national
15 12:11:16 governments and other gas companies; it's
16 12:11:19 a sophisticated price model.
17 12:11:24 The modelling created a factual scenario using
18 12:11:27 actual supply and demand inputs and observed behaviours
19 12:11:32 in 2021 and 2022 and then it compared it with
20 12:11:38 a counterfactual of what the impact would have been
21 12:11:45 without Gazprom's conduct.
22 12:11:48 The result was that prices were 43 per cent higher
23 12:11:53 than they would have been if Gazprom did not withhold
24 12:11:57 gas over that period.
25 12:12:06 But second, actual TTF prices were significantly

01 12:12:08 higher than the price the market had reasonably
02 12:12:12 expected, which we say is a fair benchmark. And again,
03 12:12:17 taking July 2021 just before this happened, the blue
04 12:12:21 line, right down at the bottom, that was what the market
05 12:12:27 expected, and the actual TTF price is in red. You can
06 12:12:31 see it's significantly higher than the market
07 12:12:34 expectation.
08 12:12:36 So in fact, Mr Fulwood's 43 per cent higher
09 12:12:42 calculation could be considered to be conservative. But
10 12:12:46 in both cases the manipulated price was unfair.
11 12:12:53 Then the alternative.
12 12:12:56 In the alternative, Gazprom imposed unfair trading
13 12:13:00 conditions. We saw this before. This was the one from
14 12:13:05 earlier. So you get again the three-step test from
15 12:13:09 Apple streaming.
16 12:13:12 To the right here, so as not to repeat ourselves,
17 12:13:16 PPD applies the facts of this abuse to the test, with
18 12:13:22 the conclusion that the trading conditions were unfair.
19 12:13:29 Before leaving article 102, all these abuses took
20 12:13:34 place in the relevant market. The manipulation of gas
21 12:13:42 prices was an abuse by Gazprom of its dominant position
22 12:13:46 in Croatia and Hungary, where it had a special
23 12:13:50 responsibility not to do so.
24 12:13:53 Gazprom's conduct caused very high Hungarian gas
25 12:13:58 prices. If you see the blue line in this figure on the

01 12:14:04 slide, they were rising because TTF prices rise. That's
02 12:14:09 the red line.
03 12:14:12 TTF governed the contract price. So this connection
04 12:14:18 operated as a tool that enabled Gazprom to impair
05 12:14:25 effective competition in Croatia and Hungary where it
06 12:14:29 was dominant.
07 12:14:31 It didn't need to be dominant at TTF. Just like
08 12:14:38 Apple can make a chip in California that abuses its
09 12:14:43 dominance in Croatia and Hungary.
10 12:14:45 So all of these conditions are satisfied and
11 12:14:50 article 102 was breached.
12 12:14:57 Moving to PPD's claim for breach of REMIT. REMIT is
13 12:15:01 an EU-wide regulation for deterring market manipulation
14 12:15:06 in the EU wholesale energy markets, and the parties
15 12:15:10 agree that REMIT operates without prejudice to
16 12:15:14 article 102 and regardless whether Gazprom is dominant
17 12:15:20 for the purpose of article 102.
18 12:15:25 The operative provision in REMIT is article 5. It
19 12:15:31 prohibits engagement in market manipulation.
20 12:15:35 We address two issues.
21 12:15:38 First, article 5 creates a private law cause of
22 12:15:43 action and, secondly, that Gazprom's actions engage the
23 12:15:46 definition of market manipulation referred to in
24 12:15:52 article 5.
25 12:15:55 On the first issue, whilst it is true that REMIT

01 12:15:58 gives national regulators -- they're called NRAs, as we
02 12:16:03 heard before -- powers to impose fines, Prof Koller
03 12:16:06 emphasises that the enforcement of public law
04 12:16:15 remedies does not exclude private damages actions.
05 12:16:19 There is nothing in REMIT to suggest that a prior
06 12:16:24 decision is a prerequisite or that an NRA has the only
07 12:16:29 say whether a breach has occurred. In fact, article --
08 12:16:34 recital 31 keeps the courts and tribunals involved. And
09 12:16:40 damages of course are separate to fines.
10 12:16:47 PPD has a right to a private law cause of action for
11 12:16:51 three reasons.
12 12:16:54 First, REMIT is directly applicable in all EU Member
13 12:16:59 States and all the actions here were within the EU.
14 12:17:05 So both Professors Perner and Koller say that the EU
15 12:17:11 principle of effectiveness requires that anyone who has
16 12:17:15 suffered loss through a breach of REMIT is able to claim
17 12:17:20 damages.
18 12:17:22 Second, this is also intuitive when you look at the
19 12:17:26 text and the preambles of REMIT because it's aiming to
20 12:17:30 protect market participants' interests.
21 12:17:34 So relying on that, in order to ensure
22 12:17:36 effectiveness, Prof Perner says that market participants
23 12:17:42 can enforce market manipulation provisions by private
24 12:17:47 damages claims. And the other way to look at this is
25 12:17:52 that there is a common public interest in prohibiting

01 12:17:56 both market manipulation and competition law abuses, so
02 12:18:02 both should allow damages claims.
03 12:18:08 Finally, also on this principle of effectiveness of
04 12:18:11 the regulation, private law enforcement acts as
05 12:18:16 a supplement to the action of the authorities. This was
06 12:18:20 founds in the Munoz case. All of this is in line with
07 12:18:26 the market abuse regulation, which is REMIT's twin and
08 12:18:32 which the EU tries to keep in alignment. That covers
09 12:18:37 financial services. So the same logic should apply to
10 12:18:42 REMIT.
11 12:18:44 The Austrian securities law regime does give
12 12:18:49 a private right of action for market manipulation, as
13 12:18:53 does well-developed competition law regime, and some
14 12:19:00 relevant case law is on the next few slides.
15 12:19:07 So PPD had a private law right of action, and on the
16 12:19:12 second issue, Gazprom's actions engaged the definition
17 12:19:18 of market manipulation, which is prohibited by
18 12:19:23 article 5.
19 12:19:26 On screen now is article 2(2)(a) of REMIT, which
20 12:19:31 contains the start of the definition of market
21 12:19:35 manipulation, and it begins by prohibiting entering into
22 12:19:40 any transaction or issuing any order to trade in
23 12:19:45 wholesale energy products.
24 12:19:47 Now, wholesale energy products includes gas
25 12:19:50 contracts.

01 12:19:52 But the words "transaction" and "order to trade" are
02 12:19:56 not defined in REMIT or even in the MAR, the market
03 12:20:01 abuse regulation.
04 12:20:03 But the MAR treats transactions as the execution of
05 12:20:05 a trade, a transaction is the execution of a trade, and
06 12:20:09 an order is an instruction to trade, even if it doesn't
07 12:20:14 go ahead.
08 12:20:16 Gazprom did transact under contracts, it was
09 12:20:20 entering contracts when it decided what gas to sell and
10 12:20:24 store.
11 12:20:28 So next, looking at the three defined market
12 12:20:31 manipulation events in 2(2)(a) of REMIT. I must say,
13 12:20:38 whenever I read them I find they overlap quite a lot.
14 12:20:40 But on the three, which are on the right-hand side, and
15 12:20:44 our view is on the left, first, Gazprom withheld
16 12:20:50 available gas which it sent, following a clear pattern
17 12:20:54 for years, and that withholding gave signals of false or
18 12:20:59 misleading scarcity of supply and demand. It had the
19 12:21:03 gas, but it wasn't there.
20 12:21:05 Second, for the second part, Gazprom secured the TTF
21 12:21:10 price at an artificial level without legitimate reason
22 12:21:14 or accepted market practice.
23 12:21:17 And third, Gazprom employed a fictitious device
24 12:21:21 which was likely to give false signals.
25 12:21:24 That's because Gazprom was telling the market how it

01 12:21:28 was meeting the high demand whilst actually reducing
02 12:21:33 supplies to the EU.
03 12:21:34 On the slide now is just an example. Other ones are
04 12:21:40 founds elsewhere.
05 12:21:44 And on this, none of Gazprom's three witnesses
06 12:21:48 defend its motives and they don't give any legitimate
07 12:21:53 reasons for this, and the submissions made on its
08 12:21:58 innocence on this point are some of its least convincing
09 12:22:02 of all.
10 12:22:05 So, because of this, PPD is also claiming a breach
11 12:22:08 of part B of the definition of market manipulation and
12 12:22:13 that deals directly with media and market announcements,
13 12:22:18 at the bottom of the slide.
14 12:22:23 In fact, the REMIT guidance on the current slide has
15 12:22:25 a name for what Gazprom did, and they call it
16 12:22:25 "manipulative capacity withholding". That's the
17 12:22:25 violation; it's the label for the violation.
18 12:22:42 Moving to PPD's third claim, which is for Gazprom's
19 12:22:45 violation of ancillary duties of good faith and
20 12:22:48 cooperation and Austrian duties of care and loyalty, to
21 12:22:51 maintain the timetable, our submissions in brief are on
22 12:22:56 these bullets on screen and we will address you on those
23 12:22:59 in closing. And the same applies for PPD's fourth claim
24 12:23:05 on the violation of good morals. But all the facts and
25 12:23:09 the principles that we've discussed and will discuss

01 12:23:12 will apply to those.

02 12:23:17 So we move on to the governing law of these tortious

03 12:23:22 claims and as you heard, the parties expressly selected

04 12:23:27 Austrian substantive law, and two points support the

05 12:23:31 view that that choice is applied directly, rather than

06 12:23:37 through Austrian conflict rules.

07 12:23:40 The first reason for this is the principle of party

08 12:23:44 autonomy in international arbitration.

09 12:23:49 So the parties chose the conflict rules for

10 12:23:52 determining the applicable law, article 21 of the ICC

11 12:23:56 Rules, which means that Austrian law applies without

12 12:24:01 engaging its conflict of law rules.

13 12:24:04 That includes Rome II and section 603 ZPO

14 12:24:11 specifically allows Austrian substantive law to be

15 12:24:16 applied directly, not via Austrian conflict rules.

16 12:24:21 Prof Koller says that the Rome II regulation does

17 12:24:27 not override the parties' choice of Austrian law.

18 12:24:32 That's since Rome II is part of the conflict of law

19 12:24:38 rules, so it cannot be directly applied in international

20 12:24:42 arbitration.

21 12:24:44 Prominent commentators, including Born, agree. Born

22 12:24:48 says that Rome II does not have any mandatory effect in

23 12:24:53 international arbitration or any greater effect than

24 12:24:58 national conflict rules. And Prof Koller likewise

25 12:25:03 states that Rome II does not qualify as European public

01 12:25:08 policy.

02 12:25:11 Our second point here is that the EU principle of

03 12:25:15 equivalence and effectiveness must apply. Rome II aims

04 12:25:21 to avoid circumvention of the law of the affected

05 12:25:26 market. And there can be no circumvention here.

06 12:25:31 Remember what Rome II is trying to do.

07 12:25:33 Austrian law is not a less stringent liability

08 12:25:39 regime. Of course it's a more stringent liability

09 12:25:45 regime, it allows a more effective remedy, because it

10 12:25:50 only calls prima facie evidence of causation.

11 12:25:59 On this lower standard of proof requirement, it

12 12:26:03 applies under Austrian law to claims under article 102

13 12:26:08 by way of legal ruling and the principles on screen.

14 12:26:15 Foreseeability of loss is also presumed, in the

15 12:26:17 middle of this slide.

16 12:26:22 All of this applies also to REMIT because it's

17 12:26:26 a protective law as supported by both Prof Perner and

18 12:26:30 Koller. The professors also note that REMIT provisions

19 12:26:37 on market manipulation were modeled on the MAR, which is

20 12:26:41 also a protective law too.

21 12:26:44 So the effect of all of this is that once PPD

22 12:26:50 establishes only prima facie causation, the burden to

23 12:26:55 show that it has not acted culpably is then passed to

24 12:27:00 Gazprom.

25 12:27:03 PPD next makes two points on causation. So, first,

01 12:27:07 under article 102, Gazprom's conduct does not have to be
02 12:27:11 the only reason for the price increases that cause PPD's
03 12:27:17 loss.
04 12:27:20 A counterfactual analysis will isolate the wrongful
05 12:27:24 conduct and counterfactuals need not be perfect to prove
06 12:27:30 causation. They just need to get to a plausible
07 12:27:32 outcome.
08 12:27:34 The European Commission's draft article 102
09 12:27:36 guidelines confirm that approach and it has been
10 12:27:40 recently applied in Google Shopping, and we saw earlier
11 12:27:44 how Fulwood 1 established that counterfactual following
12 12:27:50 the European Commission's principles and found the
13 12:27:54 43 per cent -- prices were 43 per cent higher than they
14 12:28:01 would have been.
15 12:28:02 On this, our second point is that Gazprom's defence
16 12:28:08 of the perfect storm of other factors is, in reality,
17 12:28:15 just the economic and legal context in which Gazprom's
18 12:28:19 conduct should be assessed.
19 12:28:21 PPD accepts that because of those other factors,
20 12:28:25 there was already not much gas around. They call that
21 12:28:30 a tight market. If you think about it, any further
22 12:28:35 reduction, even a small one, tips the market. And so
23 12:28:43 Gazprom's actions on top made the situation worse.
24 12:28:48 You cannot just discount the actions of the largest
25 12:28:52 seller. That's really not the way that complex markets

01 12:28:55 work.

02 12:28:58 Other independent views point the finger at Gazprom

03 12:29:02 and they are summarised on the next slides, and so

04 12:29:06 Gazprom caused the prices to rise.

05 12:29:09 And lastly, we discuss how those excessive prices

06 12:29:14 which were caused by Gazprom in turn caused PPD's loss.

07 12:29:22 So, Petrokemija is a fertiliser producer. It was

08 12:29:26 PPD's largest customer and it closed down. Gas is the

09 12:29:31 main thing you use when you're making fertiliser and it

10 12:29:34 became uneconomic with high gas prices.

11 12:29:38 This was also happening in Russia and would have

12 12:29:40 been foreseeable to a seller like Gazprom.

13 12:29:44 It's not right to say that Petrokemija stopped

14 12:29:49 making fertiliser and then stopped taking gas.

15 12:29:54 Petrokemija's annual report at the time makes absolutely

16 12:29:57 clear that the high price of gas caused it to close

17 12:30:02 down, not the other way around.

18 12:30:03 It closed down because once the price under its

19 12:30:07 contract with PPD was at a sustained price over about

20 12:30:12 100 euros per megawatt hour consistently -- and that's

21 12:30:16 the months in red in the table -- it couldn't stay open.

22 12:30:22 Now, if prices had not been 43 per cent too high,

23 12:30:27 Petrokemija would have paid PPD 77 euros on average,

24 12:30:32 instead of 110 euros on average.

25 12:30:37 So that's what caused Petrokemija to stop buying gas

01 12:30:41 from PPD. That's caused the loss.

02 12:30:45 Next, PPD also sold gas to GPZ, which then sold gas

03 12:30:50 on to households in Croatia, and for households there is

04 12:30:56 a regulated price like a price cap.

05 12:31:01 Price caps were imposed, you might remember, by

06 12:31:04 governments right across Europe, and the cap would have

07 12:31:07 been foreseeable to Gazprom to happen whenever prices

08 12:31:10 were really high. And because the gas price rose

09 12:31:14 towards the end of 2021, the price cap stayed low. It

10 12:31:20 was a protection to citizens.

11 12:31:23 It became far lower than the price that GPZ was

12 12:31:27 paying to PPD, which meant that GPZ started trading at

13 12:31:33 a heavy loss and couldn't pay the amounts due.

14 12:31:36 So that loss now sits with PPD.

15 12:31:41 PPD did try to cut off GPZ. It was a credit risk

16 12:31:48 because of its debts. But during a crisis meeting, at

17 12:31:51 the top level, the Croatian Minister of Economy stepped

18 12:31:55 in and he said citizens must not be left without gas.

19 12:32:00 So PPD couldn't stop delivering. It was completely out

20 12:32:03 of PPD's hands.

21 12:32:05 None of this would have happened if prices were not

22 12:32:08 inflated.

23 12:32:09 PPD is chasing this debt and a part-payment was made

24 12:32:12 in February, but 174 million euros have still not been

25 12:32:18 paid today. If there's no further payment from GPZ by

01 12:32:25 the close of evidence, then PPD seeks a declaratory
02 12:32:30 award for the liability of that amount.
03 12:32:33 We will update the tribunal if there are any further
04 12:32:38 payments right up to the close of evidence.
05 12:32:41 Finally, unlike the other two PPD customers, HEP
06 12:32:45 bought from PPD at a fixed annual price. So that price
07 12:32:50 didn't rise and that exposed PPD when TTF prices rose.
08 12:32:57 PPD couldn't pass on the higher prices as it had done
09 12:33:01 with Petrokemija. It had to implement a financial hedge
10 12:33:05 to protect itself.
11 12:33:07 By financial hedge, I mean you lock in the buy price
12 12:33:13 that you're paying by buying a derivative from
13 12:33:17 a counterparty or a bank, and that stops the buy price
14 12:33:20 rising higher than the sell price. It's price
15 12:33:24 protection.
16 12:33:27 PPD tried to hedge. All its large fixed price HEP
17 12:33:33 contracts were hedged and prior to late 2021 PPD had no
18 12:33:38 issues doing this.
19 12:33:41 But the high price and volatility meant that it
20 12:33:44 couldn't find a counterparty. So significant volumes
21 12:33:49 had no price protection and PPD bought gas at high
22 12:33:55 prices, but was locked into its contracts.
23 12:33:58 So as a direct consequence of the high prices, it
24 12:34:03 suffered a loss.
25 12:34:09 To conclude on this submission, PPD has established

01 12:34:11 that Gazprom caused the TTF price rise and the other hub
02 12:34:14 prices to rise and the contract price to rise, and also
03 12:34:18 that Gazprom's market conduct caused PPD's losses and
04 12:34:22 the on-sale of gas to customers.
05 12:34:26 It's then Gazprom's burden to disprove the causal
06 12:34:30 link and it has supplied no gas model, its witnesses are
07 12:34:35 silent, and it has failed to do so.
08 12:34:39 That concludes our submissions on these market
09 12:34:41 manipulation claims.
10 12:34:48 I now turn next to the quantum of PPD's claims.
11 12:34:53 That concludes our liability submissions.
12 12:34:56 I'll deal with this as follows. First, the legal
13 12:34:58 principles and contractual framework. Next, replacement
14 12:35:03 gas losses that fall into two parts. Next, other losses
15 12:35:10 associated with a failure to supply, and this really is
16 12:35:13 the transportation loss. And next, market manipulation
17 12:35:16 losses, the quantum of those themselves.
18 12:35:20 I'll also cover discounting and interest, but before
19 12:35:23 starting, Gazprom's counterclaim will be the subject of
20 12:35:28 a different presentation.
21 12:35:31 Now, as you heard, there has been a recent
22 12:35:33 development, PPD received that part-payment from GPZ,
23 12:35:37 and there's also been a recalculation of PPD's loss.
24 12:35:42 That will reduce PPD's total claim and we seek
25 12:35:46 permission to update our request for relief, and for

01 12:35:53 convenience, we will set that out in the slides at the
02 12:35:57 very end of these presentations.
03 12:36:03 Returning to the claim which PPD has made and the
04 12:36:08 legal principles. So it's agreed that Austrian law and
05 12:36:13 the CISG govern the parties' entitlement to damages and
06 12:36:18 quantum.
07 12:36:19 The claims are made under article 74, 75 and 76
08 12:36:24 CISG, but I emphasise article 74, because that applies
09 12:36:30 to all of PPD's claims.
10 12:36:32 That permits claims for damages based on the
11 12:36:36 difference between the price of an original contract and
12 12:36:40 the replacement contract, and the applicable standard of
13 12:36:45 proof is reasonable certainty.
14 12:36:51 So the first issue is, what is a replacement
15 12:36:55 transaction under article 74.
16 12:36:59 Gazprom breached the contract on 1 April 202 by
17 12:37:03 threatening to suspend gas deliveries, and a further
18 12:37:08 breach on 1 November 2022 by not supplying gas.
19 12:37:15 If you have a long-term contract which is not likely
20 12:37:20 to be performed, should you sit on your hands and wait
21 12:37:24 to suffer a loss, or should you instead take precautions
22 12:37:29 or try to mitigate that loss. And a rational commercial
23 12:37:35 party would do the latter and CISG Advisory Council
24 12:37:42 Opinion 6 fully affirms this. And Gazprom specifically
25 12:37:48 acknowledges AC6's application.

01 12:37:53 So it's common ground that a party can enter into
02 12:37:57 replacement transactions from the moment of breach,
03 12:37:59 either as a precaution or as mitigation or both.
04 12:38:08 That is what PPD did. PPD's witnesses say that it
05 12:38:11 was only after the 1 April breach that it sought out
06 12:38:16 replacement gas, and that takes time to organise as
07 12:38:21 there was a severe shortage of gas at the time.
08 12:38:24 So Gazprom is wrong to try and assert, without any
09 12:38:27 authority, a different test to breach as the trigger for
10 12:38:32 replacement contracts, and it's also wrong to ask you to
11 12:38:37 disregard all of PPD's losses until avoidance on
12 12:38:42 8 March.
13 12:38:46 So that now leads me to the first of five points on
14 12:38:49 the applicable damages framework, and the first issue is
15 12:38:51 that the contract assesses loss based on a daily
16 12:38:57 shortfall.
17 12:38:58 The parties agree that the contract is an instalment
18 12:39:01 contract and it operates daily; there are consequences
19 12:39:04 each day.
20 12:39:06 It's also confirmed by a clause you might have seen
21 12:39:09 as you read the contract that both parties accept and
22 12:39:13 agree it's not applicable. That's article 12 on
23 12:39:16 seller's deficiencies. It's not applicable, both
24 12:39:19 parties say, when gas has stopped flowing, but it does
25 12:39:22 stress the daily nature of deliveries.

01 12:39:27 It also doesn't contain, nor does the rest of the
02 12:39:31 contract, any exclusion of indirect losses.
03 12:39:38 So article 12 reflects how the gas industry works.
04 12:39:43 You buy to sell on each day based on the price that day.
05 12:39:48 Both experts agree to that.
06 12:39:53 Second, it follows that gas that was replaced is
07 12:39:57 assessed on a daily basis. So if the replacement gas
08 12:40:01 was more expensive than the contract price, you
09 12:40:05 calculate the loss for that day.
10 12:40:09 But if the replacement gas was cheaper than the
11 12:40:11 contract price, you do not hand over gains on that day.
12 12:40:16 **That's confirmed by leading commentators:** the party
13 12:40:20 in breach should not benefit from its wrong. Gazprom
14 12:40:25 actually does not deny that principle, at the bottom of
15 12:40:27 the slide, and that's because gas is a trading
16 12:40:31 commodity. So how do you apply this agreed principle in
17 12:40:35 a commodities market?
18 12:40:38 Now, PPD needed this commodity, the gas under the
19 12:40:44 contract, because its customers needed it. The annual
20 12:40:49 amount of gas that PPD had to buy from Gazprom under the
21 12:40:55 contract was driven by how much its customers needed.
22 12:40:59 And if it didn't buy gas from Gazprom, it had to pay for
23 12:41:03 it anyway.
24 12:41:05 After the contract ended, PPD still needed to buy
25 12:41:09 this gas. It had no choice. PPD had to replace the

01 12:41:15 contract and that is where it made a loss.

02 12:41:22 As a commodities trader, PPD also had the option to

03 12:41:27 either buy extra gas when it could make a profit, or

04 12:41:31 take less gas in a day when the contract was less

05 12:41:35 profitable.

06 12:41:36 So in either scenario, PPD's actions were driven by

07 12:41:42 profit. It would only do this trading when it could

08 12:41:47 make a gain.

09 12:41:48 You have to assume rational commercial behaviour, so

10 12:41:53 there would never be any losses with these traded

11 12:41:57 volumes.

12 12:41:59 So if we find any gains after 1 November 2022, these

13 12:42:05 were the result of PPD's profitable trading. There is

14 12:42:10 no way that these should be handed over to Gazprom.

15 12:42:16 Mr Way, who is a gas market expert, sees this

16 12:42:19 approach all the time.

17 12:42:23 This brings me to the third principle, which is

18 12:42:26 relevant to the volumes of gas on which PPD's losses are

19 12:42:30 based each day.

20 12:42:33 There was a daily flexibility for PPD. It could

21 12:42:38 take gas up to the daily contract quantity, but it

22 12:42:42 didn't have to.

23 12:42:43 Both parties agree that flexibility is a benefit

24 12:42:48 conferred on PPD and both parties rely on the same

25 12:42:53 passage from Saidov. PPD's witnesses say that full

01 12:42:58 flexibility would have been used had the contract
02 12:43:01 continued. So PPD's loss should be based on the annual
03 12:43:06 **sum of these DCQs. That's called the ACQ.**
04 12:43:15 **So fourth, on days when PPD failed to replace gas up**
05 12:43:19 **to the DCQ, it lost the opportunity as a trader that it**
06 12:43:23 **had to use the flexibility and make an additional profit**
07 12:43:27 **in that market.**
08 12:43:28 **That loss is neither speculative, nor a loss of the**
09 12:43:32 **chance, because Gazprom was obliged to make available**
10 12:43:34 **the DCQ in each day. PPD has shown that market prices**
11 12:43:41 **are known and that its losses can be calculated on those**
12 12:43:45 **days with reasonable certainty.**
13 12:43:49 **The final issue of principle: known data should be**
14 12:43:55 **used when available. That approach is undisputed and**
15 12:43:59 **it's what PPD has done.**
16 12:44:03 **So with these five principles, PPD establishes its**
17 12:44:06 **damages. First, those that are based on its actual**
18 12:44:09 **costs.**
19 12:44:11 **So a gas company tracks all of the contracts and**
20 12:44:15 **cost data that it has, it has to know its trading**
21 12:44:18 **position. So PPD records this in its ETRM system and**
22 12:44:24 **a data room was set up to collate all this data, and it**
23 12:44:29 **was checked by Mr Gilbey and his forensic accounting**
24 12:44:33 **team. Once all the costs were reconciled, they all**
25 12:44:38 **match up against audited financial statements.**

01 12:44:43 Second, Mr Gilbey also went on to check those
02 12:44:47 entries against the actual underlying invoices and
03 12:44:51 contracts, point by point, and in person. And remember
04 12:44:57 PPD did not need to take that approach. It could have
05 12:45:00 used an anticipated market price, and particularly as
06 12:45:05 Gazprom seems to be allergic to all data when it comes
07 12:45:09 to its counterclaim, which is not supported by any costs
08 12:45:13 or sales data at all.
09 12:45:19 Gazprom was invited to review the data room. It
10 12:45:24 declined that invitation. But once the data was
11 12:45:26 checked, you then apply legal principles to the data in
12 12:45:31 order to assemble your loss.
13 12:45:33 So, first, we only included contracts after 1 April.
14 12:45:38 That was permitted by CISG 74. Second, only those that
15 12:45:44 were for delivery after 1 November were included. Next,
16 12:45:51 we excluded related party transactions.
17 12:45:56 PPD's ETRM system only records the costs of PPD and
18 12:46:02 not those of the group. So there's no chance that group
19 12:46:06 costs are being loaded up on top.
20 12:46:10 PPD excluded deals within its group because they
21 12:46:14 just can't be considered to be arm's-length
22 12:46:16 transactions, because those transactions are not market
23 12:46:21 tested.
24 12:46:24 Gazprom had agreed, in the middle of this slide,
25 12:46:26 with that approach, but it is then -- or has become

01 12:46:30 inconsistent in application at the bottom, because
02 12:46:34 elsewhere it says you might look at intragroup
03 12:46:38 contracts, but that would not be safe at all, it's not
04 12:46:43 industry practice.
05 12:46:44 If these were added, they would not be PPD's costs,
06 12:46:44 they would be another company's costs, and you actually
07 12:46:52 normally spend huge effort to try to make sure that
08 12:46:56 these costs are fully excluded.
09 12:47:01 Also, the record in this arbitration records
10 12:47:05 a network of services and other relationships that could
11 12:47:09 affect prices between affiliates.
12 12:47:12 What we're looking for here is market prices only.
13 12:47:17 PPD's affiliates, such as a company called PPD Global,
14 12:47:20 are also trading companies. Gas companies typically
15 12:47:27 purchase gas based on their own portfolio and it's
16 12:47:32 separate. So it's quite impossible to trace the price
17 12:47:37 that PPD Global paid for any chunk of gas that it then
18 12:47:41 sold to PPD. It's all mixed up and you would have to
19 12:47:46 speculate what it paid.
20 12:47:48 So once all those steps are applied, PPD's damages
21 12:47:52 related to the cost of replacement transactions was
22 12:47:56 calculated.
23 12:47:59 Next, PPD's future loss. So after the period of
24 12:48:04 data ends, which was in August 2024, damages are then
25 12:48:09 claimed to the end of contract, and PPD had entered into

01 12:48:13 a long-term LNG contract which covers about one-third of
02 12:48:17 the replacement gas.
03 12:48:21 PPD claims the incremental cost under that contract
04 12:48:27 in its loss.
05 12:48:29 The LNG contract is based on TTF FM prices, which is
06 12:48:34 just like the contract. That base TTF price under the
07 12:48:39 LNG contract would over time rise and fall exactly the
08 12:48:43 same as the contract.
09 12:48:46 So you'd then just account for the difference in
10 12:48:48 what's called the constant, and that's a little value
11 12:48:52 which you either add or take away from TTF, and the
12 12:48:57 difference, they're in different units of measurement,
13 12:49:00 but when you work that out, the difference between them
14 12:49:02 is 1.62 euro per megawatt hour.
15 12:49:06 No assumptions are needed for that loss. It's just
16 12:49:09 simple maths.
17 12:49:12 Then to place the LNG on a like-for-like basis with
18 12:49:16 the gas under the contract, you then adjust the
19 12:49:20 additional costs of buying LNG compared to gas. And
20 12:49:25 Gazprom doesn't dispute that approach.
21 12:49:29 Next, there are no other long-term replacement
22 12:49:33 contracts to replace the remaining two-thirds of the
23 12:49:37 contract volumes.
24 12:49:39 Gazprom does challenge this. It has reviewed
25 12:49:41 Mr Gilbey's historical dataset. It's trying to find

01 12:49:46 other long-term contracts, but it can't find any. All
02 12:49:50 it's found is a framework agreement and some repeat
03 12:49:53 purchases, but there are no other long-term contracts,
04 12:49:57 as Mrs Measic has confirmed.
05 12:50:02 So PPD and Gazprom agree that PPD has to find the
06 12:50:07 market price of a replacement contract and that that has
07 12:50:12 to have the same characteristics as the contract.
08 12:50:17 So, unlike historical damages, there's no need to
09 12:50:20 look backwards for historical data. What you're now
10 12:50:23 doing is looking at what the contract offered.
11 12:50:28 Gazprom says you should look backwards. It says you
12 12:50:31 should look backwards at the pattern of gas purchases
13 12:50:34 after November 2022 to try and benchmark the
14 12:50:38 characteristics, and that is wrong, wrong for two
15 12:50:42 reasons.
16 12:50:43 First, they were only short-term emergency
17 12:50:46 replacement contracts, so they're not going to reflect
18 12:50:50 the market price of a long-term contract.
19 12:50:53 Second, the market was in absolute turmoil at this
20 12:50:58 time. Gazprom's approach wouldn't replicate the
21 12:51:01 contract, it would replicate the crisis. We have to
22 12:51:06 look at how we can replicate the key characteristics of
23 12:51:10 the contract.
24 12:51:12 So the best way to replicate, to get like for like,
25 12:51:15 is to buy a TTF price.

01 12:51:21 That perfectly matches the price under the contract
02 12:51:24 and then you have to add your constant, we just saw that
03 12:51:27 with the LNG contract, and this is, by the way,
04 12:51:31 a constant is perfectly standard. It covers a wide mix
05 12:51:34 of things like transportation costs, entry fees,
06 12:51:38 a profit for the seller, but you can't just take
07 12:51:41 a constant from one contract and kind of copy it across.
08 12:51:45 It really depends on the dynamics of the deal.
09 12:51:48 So we have to build our constant. TTF is in the
10 12:51:53 Netherlands. The cost of transporting gas from the
11 12:51:55 Netherlands to the delivery point reflects a location
12 12:52:00 differential. You have to get it there from the
13 12:52:03 Netherlands. So that's added, based on transportation
14 12:52:11 cost data, public data.
15 12:52:14 Now, you can't buy TTF at any other place in the
16 12:52:19 world other than the Netherlands without paying
17 12:52:24 something as a location differential to get it there
18 12:52:28 from the Netherlands.
19 12:52:32 So Gazprom are wrong to want PPD to buy a TTF price
20 12:52:37 at a hub in Austria called CEGH, with no proper constant
21 12:52:44 to get it there. The replacement cost on that basis
22 12:52:47 would be much too low. You can't buy at CEGH prices,
23 12:52:52 not TTF prices, without moving away from the
24 12:52:56 like-for-like approach under the contract. If you did
25 12:52:59 that, you're not replicating TTF under the contract very

01 12:53:04 well at all. You would be giving PPD the risk that CEGH
02 12:53:10 and TTF over time would swing away from each other.
03 12:53:17 Still and finally building this constant, we saw
04 12:53:19 that the contract offered daily flexibility, so you add
05 12:53:24 an additional storage cost. That's to replace the
06 12:53:28 flexibility in the contract.
07 12:53:31 When you add up those things, that completes the
08 12:53:34 constant.
09 12:53:37 Add that to TTF and you compare the price that PPD
10 12:53:41 would have had to pay for the replacement gas against
11 12:53:44 the contract price.
12 12:53:46 By that approach, PPD has discharged its burden of
13 12:53:50 proof.
14 12:53:53 **PRESIDENT:** Sir, before we move to the last three items
15 12:53:57 under the quantum, maybe we could take a break, because
16 12:54:02 we have been 90 minutes into the presentation. I know
17 12:54:08 you may have wanted to finish quantum of PPD's claims,
18 12:54:13 but maybe it would be a good time to stop.
19 12:54:17 **MR HOLLAND:** We fully sympathise and we will take a short
20 12:54:20 break.
21 12:54:20 **PRESIDENT:** Let's take a 10-minute break.
22 12:54:25 You're still contemplating finishing at 1.20, right?
23 12:54:30 **MR HOLLAND:** We'll confer and check and come back.
24 12:54:33 **PRESIDENT:** Very good. See you in 10 minutes.
25 12:54:40 (12.54 pm)

01 12:54:45 (Short break)

02 12:54:46 (1.06 pm)

03 13:06:27 **PRESIDENT:** We're back on record. According to the

04 13:06:30 tribunal's calculations, the claimant has used

05 13:06:33 172 minutes. We're going to go over the time break

06 13:06:41 which was scheduled at 1.20, to allow the claimant to

07 13:06:46 complete its presentation.

08 13:06:48 We just conferred with lead counsel, the tribunal,

09 13:06:53 a few minutes ago. The respondent is instructed before

10 13:06:57 the end of the presentation to provide the demonstrative

11 13:07:05 exhibits which were identified by the tribunal earlier

12 13:07:09 today as demonstrative exhibits, as RD, and to be

13 13:07:16 submitted and put on the e-bundle. The claimant's

14 13:07:23 counsel has indicated that it was not materially

15 13:07:27 possible to review these demonstrative exhibits before

16 13:07:33 the presentation that is going to start this afternoon,

17 13:07:38 so for the respondent.

18 13:07:41 So the claimant is directed to provide any objection

19 13:07:46 it may have on the accuracy of the reference and any

20 13:07:50 objection it may have on the demonstrative exhibit

21 13:07:53 before the closing statements, which are scheduled at

22 13:07:56 the end of this week.

23 13:07:59 With that in mind, we continue with the presentation

24 13:08:01 on quantum.

25 13:08:03 **MR HOLLAND:** Next I turn to PPD's loss of transportation

01 13:08:08 fees. We address three questions. The first is why
02 13:08:11 these losses arise from the end of gas supply under the
03 13:08:15 contract.
04 13:08:17 The answer is that Gazprom had to get the gas to PPD
05 13:08:21 in Croatia and in not doing so, PPD loses whatever the
06 13:08:25 gas gives it, including the transportation fees.
07 13:08:31 Loss of those transportation fees was an inherent
08 13:08:35 value under the contract. It was lost as a consequence
09 13:08:40 at the end of supply.
10 13:08:42 That's because on the facts, PPD had the only
11 13:08:46 long-term contract with delivery to Croatia. Everybody
12 13:08:50 else was trying to get gas out of Croatia and out into
13 13:08:55 Hungary, and that was a feature of the contract, the
14 13:09:00 delivery point, and that let PPD enter profitable swap
15 13:09:05 agreements to meet its transportation duty to Gazprom.
16 13:09:09 So all of the elements of it arise under the
17 13:09:12 contract, and Prof Koller agrees that the claim does not
18 13:09:17 arise under the GTA because the loss flows from the
19 13:09:22 failure to supply gas via the contract.
20 13:09:27 So second, why did Gazprom have to keep using
21 13:09:32 transport whilst the contract was running? It admits it
22 13:09:36 can't get gas to PPD under the contract without help.
23 13:09:40 PPD's route, on the screen in green, is also the
24 13:09:44 cheapest. So it would make no sense to stop using it
25 13:09:48 and to use the much longer route, in red.

01 13:09:50 So although PPD accepts that Gazprom could have
02 13:09:54 decided not to use the transport service, with
03 13:09:58 reasonable certainty it never would.
04 13:10:01 Finally, on causation, PPD says that the contract
05 13:10:06 breach caused the loss of transportation. But Gazprom
06 13:10:10 says that the loss of transportation caused the end of
07 13:10:14 the contract.
08 13:10:15 Now, this is easy. The first step under the system
09 13:10:20 was that each day of the contract, Gazprom had to make
10 13:10:26 available gas at the delivery point. So before that, it
11 13:10:30 needed to ask PPD to transport the gas to the delivery
12 13:10:35 point.
13 13:10:36 The cause of no nomination of transport fees was the
14 13:10:41 breach of contract and Mr Mazilov states that PPD was in
15 13:10:47 total control of the volumes transported on each day and
16 13:10:52 that is because of that flexibility under the contract.
17 13:10:59 We would move now to PPD's claim for market
18 13:11:02 manipulation, but we've described those claims earlier
19 13:11:07 and we intend to cover the quantum of those claims in
20 13:11:11 closing, and that therefore just leaves discounting and
21 13:11:15 interest.
22 13:11:19 Gazprom in this case uses an assessment date for
23 13:11:21 damages of the date of avoidance, as it says. But on
24 13:11:28 this slide, Gazprom is using that as one way to not look
25 13:11:34 past that date. It's a way to not ask what it did with

01 13:11:40 the contract's gas, the steps it took to mitigate, and
02 13:11:44 that's entirely unhelpful.
03 13:11:47 So PPD does not want to do that. It wants to take
04 13:11:51 into account known data and as such, PPD uses the date
05 13:11:57 of the award, not the date of the breach. And that
06 13:11:59 means that less interest is claimed because you only
07 13:12:03 claim it when each chunk arrives, but there is no
08 13:12:06 discounting.
09 13:12:07 We'll explain in closing how, if we had used the
10 13:12:11 date of breach, the rate you would use for discounting
11 13:12:16 is, in all circumstances, lower than the rate you would
12 13:12:20 use to go forward again.
13 13:12:22 So you most likely would increase the claim, had the
14 13:12:25 date of breach been used.
15 13:12:29 So after set-off, which we will address in the
16 13:12:31 counterclaim, interest is added again. There's no
17 13:12:35 dispute on the calculated interest and PPD accepts that
18 13:12:39 the tort rate, which is lower, would be applied to PPD's
19 13:12:43 market manipulation claims.
20 13:12:46 So that concludes our submissions on the loss of
21 13:12:50 PPD's claims and Ms Petkute will now address the
22 13:12:54 tribunal on Gazprom's counterclaim.
23 13:13:00 Opening submissions by Ms Petkute
24 13:13:12 **MS PETKUTE:** Madam president, members of the tribunal, it
25 13:13:15 is a privilege to stand before you today to present

01 13:13:18 PPD's position on Gazprom's counterclaims.

02 13:13:22 Gazprom seeks over 5.4 billion euros from PPD. That

03 13:13:28 is what respondent asks you to award.

04 13:13:31 This is a counterclaim for which Gazprom failed to

05 13:13:34 meet its burden of proof. This is a counterclaim by the

06 13:13:38 breaching party.

07 13:13:40 In the next 20 minutes I will address three points

08 13:13:43 related to liability on the counterclaims.

09 13:13:47 First, it is Gazprom, not PPD, that committed

10 13:13:52 a fundamental breach of the contract.

11 13:13:55 Second, I will explain why EU sanctions laws bar any

12 13:14:00 award in Gazprom's favour.

13 13:14:01 And third, I will turn to specific heads of

14 13:14:06 Gazprom's counterclaims to address liability.

15 13:14:10 Let me begin.

16 13:14:13 **Gazprom's counterclaim rests on one key assertion:**

17 13:14:17 that PPD fundamentally breached the contract.

18 13:14:21 As you can see on the screen, fundamental breach is

19 13:14:24 defined in article 25 CISG. It is a precondition for

20 13:14:29 avoidance of the contract. It is also a precondition to

21 13:14:33 claim damages up to the end of the contract term, that

22 13:14:38 is end of 2027.

23 13:14:41 In Gazprom's view, it validly avoided the contract

24 13:14:44 and for that reason it is entitled to damages up to that

25 13:14:48 period.

01 13:14:49 The opposite is true.

02 13:14:52 On 1 April 2022, Gazprom sent a letter that was not

03 13:14:57 a mere request. It was an ultimatum. The message was

04 13:15:02 **clear:** accept a new payment mechanism or there would be

05 13:15:06 no more gas.

06 13:15:09 Article 9.1 of the contract is unambiguous. Payment

07 13:15:14 was to be made in euros, no unilateral modification and

08 13:15:19 certainty no MOEX, no NCC, no instructions from Russian

09 13:15:24 Central Bank. Yet, Gazprom demanded precisely those

10 13:15:29 things.

11 13:15:31 Gazprom fundamentally breached the contract in two

12 13:15:34 **ways:** first, by subjecting its primary contractual

13 13:15:39 obligation to supply gas upon conditions not contained

14 13:15:44 in the contract, and second, by suspending supply of gas

15 13:15:49 to PPD from 1 November 2022.

16 13:15:54 As we got subjecting primary contractual obligations

17 13:15:58 to supply gas upon conditions not contained in the

18 13:16:01 contract, the tribunal will have observed that Gazprom

19 13:16:07 required to pay via the mechanism after the decree 172

20 13:16:13 was issued on April 1, after the decree 254 was issued

21 13:16:18 in May, and after the decree 992 was issued in December.

22 13:16:25 The authors are unanimous in their conclusions.

23 13:16:28 A seller who conditions delivery on non-contractual

24 13:16:34 terms commits a fundamental breach of the contract.

25 13:16:38 You see several authorities on this slides. I will

01 13:16:41 **quote only one, Magnus:**

02 13:16:43 "It is ... a fundamental breach if the seller

03 13:16:46 requests, as condition for delivery, that the buyer

04 13:16:50 first fulfils further conditions ... which had not been

05 13:16:53 agreed upon in the original contract."

06 13:16:56 This is the first leg of Gazprom's fundamental

07 13:17:00 breach.

08 13:17:02 The second one is failure to supply from 1 November.

09 13:17:07 On this slide you also see authorities supporting that

10 13:17:10 this is a fundamental breach.

11 13:17:13 On 8 March, PPD formally avoided the contract for

12 13:17:18 these two reasons. On the slide you see PPD's notice of

13 13:17:22 avoidance.

14 13:17:23 PPD noted, "you have refused to accept payment in

15 13:17:27 Euros" and you "ceased supply of Natural Gas". By that

16 13:17:32 time, 17 weeks had passed without any gas deliveries

17 13:17:37 from Gazprom. This was a valid exercise of article 49

18 13:17:42 of CISG, a right confirmed upon PPD by virtue of

19 13:17:48 Gazprom's own fundamental breach of the contract.

20 13:17:53 Gazprom invokes article 71 CISG which governs

21 13:17:58 anticipatory breach and claims a right to suspend gas

22 13:18:03 deliveries because of PPD's alleged failure to pay on

23 13:18:08 31 October.

24 13:18:10 Gazprom has to rely on anticipatory breach because

25 13:18:14 alleged failure to pay on 31 October was for the gas

01 13:18:19 delivered in the past in September, but Gazprom
02 13:18:22 suspended supply for further periods.
03 13:18:26 This assertion fails for several reasons.
04 13:18:30 PPD did not refuse to perform its obligations under
05 13:18:34 the contract. PPD insisted on paying in euros. Lawful
06 13:18:40 insistence on contractual compliance cannot constitute
07 13:18:44 **an anticipatory breach. Prof Perner explains:**
08 13:18:49 "If a party lawfully refuses to effect performance
09 13:18:52 under a contract, the counterparty can never invoke
10 13:18:56 Art 71 CISG and suspend its own performance."
11 13:19:01 Article 80 further supports PPD's position. It
12 13:19:06 **provides:**
13 13:19:07 "a party may not rely on a failure of the other
14 13:19:10 party to perform, to the extent that such failure was
15 13:19:14 caused by the first party's [breach] or omission."
16 13:19:17 Gazprom asserts that even if PPD's non-payment via
17 13:19:23 the mechanism is justified by circumstances beyond the
18 13:19:27 party's control, Gazprom still had a right to suspend
19 13:19:31 performance.
20 13:19:32 This argument must be rejected. PPD was not
21 13:19:36 affected by any impediment to performance within the
22 13:19:40 meaning of article 71. PPD always had the ability to
23 13:19:44 pay in euros.
24 13:19:46 The very same author upon which Gazprom relies
25 13:19:49 clarifies that article 80 here comes into play.

01 13:19:54 Article 80 must also be taken into account when
02 13:19:58 assessing the breach of duty. Suspension is not
03 13:20:01 permissible if the creditor is responsible for the
04 13:20:05 debtor's breach.
05 13:20:07 Issuance of decree 992 does not change this
06 13:20:11 conclusion. What decree 992 did, it allowed payments of
07 13:20:21 debt by foreign buyer in euros. However, it continued
08 13:20:25 to condition the obligation of supply upon payments to
09 13:20:30 mechanism.
10 13:20:31 Therefore, Gazprom after decree 992 continued to be
11 13:20:36 in fundamental breach of the contract.
12 13:20:39 In any event, the claim defect of decree 992 is
13 13:20:44 moot, as Gazprom has no claim for gas supplies
14 13:20:47 in September and October because of PPD's valid set-off.
15 13:20:54 Gazprom therefore has no right to avoid the contract
16 13:20:58 because PPD was not in fundamental breach; Gazprom was.
17 13:21:03 Moreover, Gazprom failed to comply with formal
18 13:21:06 requirements and issue a notice of avoidance. It
19 13:21:09 purports that it did so with the answer to the request
20 13:21:13 for arbitration in May.
21 13:21:16 However, while it is required that parties' intent
22 13:21:21 is clear to avoid the contract, you cannot find such
23 13:21:25 intent in the answer.
24 13:21:28 In its opening presentation Gazprom submits that it
25 13:21:31 could choose whether to exercise avoidance right under

01 13:21:34 article 25. This is exactly the point. Gazprom might
02 13:21:39 choose of course the remedies it wishes to invoke;
03 13:21:41 however, the intent to avoid the contract must be clear.
04 13:21:47 The consequences of Gazprom's fundamental breach are
05 13:21:50 significant. It had no right to suspend performance
06 13:21:53 in November and no right to avoid the contract.
07 13:21:58 Accordingly, Gazprom is not entitled to the
08 13:22:00 counterclaim it now pursues.
09 13:22:05 Even if the tribunal were to find, contrary to PPD's
10 13:22:09 submission, that PPD was in breach, Gazprom's
11 13:22:13 counterclaim would still fail because of EU sanctions
12 13:22:16 regulations.
13 13:22:18 Here PPD invokes article 11 of Council Regulation
14 13:22:22 833 and article 10 of Council Regulation 269.
15 13:22:28 **Article 11 of Council Regulation is explicit:**
16 13:22:33 "No claims in connection with any contract ... the
17 13:22:36 performance of which has been affected, directly or
18 13:22:40 indirectly, in whole or in part, by the measures imposed
19 13:22:44 under this regulation ... shall be satisfied, if they
20 13:22:47 **are made by:**
21 13:22:48 "(b) any other Russian person, entity or body.
22 13:22:52 "2. In any proceedings for the enforcement of
23 13:22:54 a claim, the onus [the burden] of proving that
24 13:22:58 satisfying the claim is ... on [a party who is] seeking
25 13:23:01 the enforcement..."

01 13:23:03 There is of course no dispute that Gazprom is
02 13:23:07 a Russian entity, nor can there be any serious dispute
03 13:23:11 that the performance of the contract was affected by EU
04 13:23:15 sanctions.
05 13:23:17 The consequences in this article are also clear. No
06 13:23:22 claim shall be satisfied.
07 13:23:26 Just a few weeks ago, and my colleagues discussed
08 13:23:29 that briefly, Advocate General Biondi opined exactly on
09 13:23:33 **this article, on article 11 of regulation 833. It said:**
10 13:23:40 "... the arbitration bodies ... are not only bound
11 13:23:43 by EU law but also, at their level, are the guarantors
12 13:23:47 [of] EU law ..."
13 13:23:49 It also found that article 11 must be interpreted as
14 13:23:54 being part of EU public policy.
15 13:23:57 Advocate General noted the broad scope of the
16 13:24:05 wording "directly or indirectly", literal analysis,
17 13:24:08 contextually interpreted the provision, and noted that
18 13:24:15 the regulation includes no circumvention provision, and
19 13:24:20 also mentioned the purpose of this regulation, which my
20 13:24:23 colleagues already addressed.
21 13:24:26 But I would like to particularly draw your attention
22 13:24:29 to the second paragraph on the slide.
23 13:24:33 Critically, article 11 is automatic, it's
24 13:24:38 autonomous, it is irrelevant whether satisfying the
25 13:24:41 claim would itself entail a prohibited measure. Let me

01 13:24:45 **quote:**

02 13:24:47 "... where the claim relates to a contract or

03 13:24:49 a transaction the performance of which has been affected

04 13:24:54 by the measures laid down by that regulation, the

05 13:24:58 non-satisfaction of that claim is automatic,

06 13:25:01 irrespective of whether satisfying the claim would

07 13:25:05 entail infringement of the other measures provided for

08 13:25:09 in that regulation ..."

09 13:25:14 It is very important, members of the tribunal. Just

10 13:25:16 consider the situation in the Reibel case. What was

11 13:25:19 sanctioned there? It was the good itself, it was the

12 13:25:24 metal parts which were considered to be of dual use for

13 13:25:27 helicopters. This good was sanctioned, it could not be

14 13:25:32 delivered, but the advance payment was made.

15 13:25:37 While the tribunal found that the advance payment

16 13:25:41 should be repaid because the good was not delivered

17 13:25:43 because of the sanctions, Advocate General says that

18 13:25:47 article 11 still captures that advance payment, although

19 13:25:53 what's sanctioned is the good, of course, not the

20 13:25:58 advance payment.

21 13:25:59 That is how broad article 11 should be interpreted.

22 13:26:06 Gazprom contends on slide 189 of its opening

23 13:26:09 submissions that the debt for September and October 2022

24 13:26:16 could be paid directly to GPE into euro account, because

25 13:26:19 of that decree 992, and therefore it fails outside

01 13:26:24 article 11.

02 13:26:26 But this ignores the scope of the sanctions as just

03 13:26:30 addressed.

04 13:26:31 It is sufficient that the contract performance is

05 13:26:35 affected by sanctions and then article 11 provides that

06 13:26:40 no claims can be satisfied.

07 13:26:45 On the consequences of the application of

08 13:26:49 article 11, Advocate General noted that the body who

09 13:26:54 **receives the claim:**

10 13:26:54 "... is obliged not to satisfy it. Not satisfying

11 13:26:58 a claim means ... that a favourable response must not be

12 13:27:02 given to it."

13 13:27:06 There can be no doubt that the performance of this

14 13:27:08 contract was affected by the measures imposed under

15 13:27:12 regulation 833.

16 13:27:14 Here you see a quote by the European Commission who

17 13:27:18 observed that transactions resulting in the Central Bank

18 13:27:21 of Russia gaining control over funds could be considered

19 13:27:26 prohibited transactions, and that prohibitions in the

20 13:27:29 sanctions should be interpreted broadly.

21 13:27:35 Also, I now quote the view of the Ministry of the

22 13:27:41 Foreign and European Affairs of Croatia, responsible for

23 13:27:45 implementing and enforcing sanctions in the Republic of

24 13:27:48 **Croatia:**

25 13:27:48 "The procedure for converting the paid funds is

01 13:27:53 entirely within the jurisdiction of the bodies of the
02 13:27:55 Russian Federation and is related to the management of
03 13:27:59 the funds and reserves of the Central Bank of
04 13:28:01 Russia ..."

05 13:28:04 Prof Klicka further openly asserts that the very
06 13:28:10 issuance of the decrees was because of EU sanctions.

07 13:28:18 **This is what Prof Klicka says:**

08 13:28:20 "While EU sanctions at the respective time did not
09 13:28:23 make it impossible for GPE to continue to accept
10 13:28:26 payments in accordance with Clause 9.2 of the Contract,
11 13:28:29 they triggered in effect the introduction of decree 172,
12 13:28:34 which was issued by the Russian state in the context of
13 13:28:38 the EU measures enacted against Russia ..."

14 13:28:43 Therefore, contract performance was definitely
15 13:28:46 affected by the EU sanctions. The decrees were issued
16 13:28:50 in response to EU sanctions. It opened up the mechanism
17 13:28:56 under which sanctioned parties could acquire PPD's
18 13:29:00 euros. Also the contract was avoided and no payment was
19 13:29:05 made because of the risks of sanctions.

20 13:29:08 Now I turn to article 10 of Council Regulation 269.
21 13:29:12 Even if PPD was mistaken and no sanctions apply,
22 13:29:20 **this provision releases from liability:**

23 13:29:25 "The freezing of funds and economic resources or the
24 13:29:28 refusal to make funds or economic resources available,
25 13:29:31 carried out in good faith ... shall not give rise to

01 13:29:36 liability of any kind ... unless it is proved ..."

02 13:29:41 And the burden is here on Gazprom, that this was

03 13:29:43 done "as a result of negligence".

04 13:29:45 PPD was not negligent. Here on this slide you see

05 13:29:55 various opinions of EU officials confirming their views

06 13:30:00 that the mechanism fell under sanctions.

07 13:30:03 PPD did not act negligently when it suspended

08 13:30:06 payment due to the risk of sanctions. These statements

09 13:30:11 confirm this.

10 13:30:13 PPD was not reckless. PPD faced a genuine

11 13:30:18 regulatory uncertainty and chose compliance with EU law.

12 13:30:24 For that choice it cannot be liable.

13 13:30:30 The consequences of application of these two

14 13:30:32 **sanction regulations:** if article 11 applies, no claims

15 13:30:39 shall be satisfied, while article 10 provides for the

16 13:30:44 consequences that no liability for the breach of

17 13:30:48 contract arises.

18 13:30:51 I now turn to specific heads of Gazprom's

19 13:30:54 counterclaims on liability.

20 13:30:58 Gazprom claims euro 346 million for gas delivered

21 13:31:03 in September and October 2022. This claim fails because

22 13:31:09 PPD had declared a valid set-off.

23 13:31:15 Austrian law, not CISG, applies to the question of

24 13:31:18 set-off, as the CISG does not cover this issue. On this

25 13:31:24 slide you can see authorities confirming it.

01 13:31:28 Under Austrian law, a set-off has the same effect as
02 13:31:33 the performance of a monetary obligation by payment and
03 13:31:39 has a retroactive effect.
04 13:31:42 The effect of the set-off goes back to the time at
05 13:31:46 which the claims were first capable of being set off
06 13:31:49 against each other.
07 13:31:54 Gazprom has no entitlement to payment for these
08 13:31:57 invoices because PPD declared a valid set-off against
09 13:32:02 its damages claims. Here you see the chronology, how
10 13:32:06 the claims developed and how the set-off was announced.
11 13:32:10 Initially, Gazprom claimed the debt without request
12 13:32:15 for interest running on that debt. On 9 March 2023 PPD
13 13:32:20 declared a valid set-off against this claim.
14 13:32:25 During this arbitration, Gazprom updated its
15 13:32:29 counterclaim, then also including a claim of penalties.
16 13:32:33 PPD updated its damages quantification, as well as
17 13:32:38 introduced its damages claim for market manipulation.
18 13:32:42 For the avoidance of doubt, PPD declared a material
19 13:32:46 set-off with its own updated claim for damages against
20 13:32:52 the payment for gas delivered in September and October.
21 13:32:56 Under Austrian law, set-off can also be declared
22 13:33:00 procedurally, conditionally. PPD did that in the
23 13:33:05 request for relief.
24 13:33:07 The difference is that of course PPD does not
25 13:33:10 acknowledge Gazprom's counterclaim. It is conditional,

01 13:33:14 but such relief is in front of the tribunal.

02 13:33:19 I now turn to Gazprom's counterclaim on unjust

03 13:33:23 enrichment.

04 13:33:27 Gazprom claims 4.5 million in unjust enrichment

05 13:33:29 under section 1041 of Austrian Civil Code.

06 13:33:37 What is Gazprom asking? Gazprom says PPD owes

07 13:33:42 Gazprom the funds which it had to pay for the September

08 13:33:48 and October deliveries. Then somehow Gazprom submits

09 13:33:53 that these funds, exactly these funds were used to

10 13:33:56 purchase LNG by PPD, and it claims the profits received

11 13:34:03 by PPD from the sold LNG.

12 13:34:06 This claim has no basis legally under Austrian law

13 13:34:10 of unjust enrichment.

14 13:34:12 The section 1041 on which Gazprom relies is

15 13:34:17 applicable, it is a subsidiary norm which is applicable

16 13:34:21 where there is no contract. In the case of the absence

17 13:34:24 of contract, it is based on a basic idea of reverse

18 13:34:30 unjustified transfers of assets.

19 13:34:33 Of course, what was transferred here? It was gas.

20 13:34:37 Was that transfer unjustified? Not, because the

21 13:34:41 contract is a basis for that transfer.

22 13:34:44 The legal prerequisites are simply not met.

23 13:34:48 This section does not apply where the contract

24 13:34:51 exists. This is that elementary. Unjust enrichment law

25 13:34:56 is designed to reverse unjustified transfers in

01 13:35:03 situations precisely where there is no contractual basis
02 13:35:06 for the benefit received.
03 13:35:12 The money, the alleged debt which Gazprom alleges
04 13:35:17 was unjustifiably used, of course was not transferred
05 13:35:23 unjustifiably. That money was of course PPD's funds.
06 13:35:34 There is no evidence whatsoever on the case record
07 13:35:37 that that money or that debt was used to buy LNG.
08 13:35:42 Prof Perner is very clear on this point.
09 13:35:47 This is not a factual situation that can engage
10 13:35:50 section 1041. Section 1041 is subsidiary in nature.
11 13:35:59 Gazprom cannot pursue unjust enrichment counterclaim
12 13:36:03 while simultaneously pursuing a contractual claim for
13 13:36:06 exactly the same debt.
14 13:36:10 A claim for unjust enrichment can never be brought
15 13:36:14 in a situation where the creditor has a contractual
16 13:36:17 claim against the enriched party arguing that.
17 13:36:23 This is impermissible. The law of contract and CISG
18 13:36:27 governs what a party must pay for a delivery, and
19 13:36:32 Gazprom has not established neither contractual nor
20 13:36:36 basis under the CISG of its claim.
21 13:36:40 Now I turn to the minimal annual quantities
22 13:36:44 counterclaim of Gazprom.
23 13:36:47 Gazprom claims 44 million for the 2022 minimum
24 13:36:52 annual quantity shortfall. This claim misunderstands
25 13:36:58 the nature of the minimum annual quantities.

01 13:37:03 This counterclaim has also undergone
02 13:37:05 a transformation. It began at over 343 million and has
03 13:37:11 now shrunk to more than sevenfold, to euro 44 million.
04 13:37:19 According to Gazprom's experts Fidem, MAQ is
05 13:37:23 a prepayment for future make-up gas.
06 13:37:27 The commercial premise of the MAQ clause is that the
07 13:37:30 seller will continue to supply gas in subsequent years,
08 13:37:35 allowing the buyer to take the prepaid quantities
09 13:37:40 without further payment.
10 13:37:43 You can see that in clause 3.2 of the contract.
11 13:37:50 3.2(a) establishes annual obligation of PPD. It
12 13:37:55 defines the quantities of gas that PPD has to take and
13 13:38:01 if not taken, to pay.
14 13:38:04 The quantities of gas which are not taken but paid,
15 13:38:09 they are being prepaid. PPD pays 75 per cent of the
16 13:38:15 arithmetic average.
17 13:38:17 But crucially, in point (c), those quantities which
18 13:38:21 were not delivered but prepaid would be delivered the
19 13:38:25 next year upon PPD's request, and only the remaining
20 13:38:30 25 per cent of the price would be paid.
21 13:38:38 Awarding the MAQ without consideration of PPD's
22 13:38:42 right to take make-up gas in future would overcompensate
23 13:38:46 Gazprom. It would ignore that there were no deliveries
24 13:38:53 from 1 November. This would be contrary to the
25 13:38:58 fundamental principle under the CISG, that damages

01 13:39:02 should place a party in the position it would have been,
02 13:39:04 but for the breach.
03 13:39:08 MAQ is a prepayment. It cannot -- it is not
04 13:39:12 a clause which is designed to calculate debt or damages
05 13:39:17 when the supplies were stopped.
06 13:39:19 Finally, I will touch upon one point of the lost
07 13:39:25 profits counterclaim before handing over to my
08 13:39:26 colleague.
09 13:39:28 Gazprom claims lost profits from 1 November to
10 13:39:31 31 December 2027. It assumes that the contract would
11 13:39:38 have been performed until that date.
12 13:39:42 This assumption is factually impossible. Although
13 13:39:45 the contract broke down, there were further decrees
14 13:39:48 regarding payment mechanism. There was a decree 1003
15 13:39:52 and finally in June 2024 the mechanism fell down because
16 13:39:59 US imposed sanctions on the MOEX and national clearing
17 13:40:02 centre. That mechanism was not anymore functional from
18 13:40:08 that date, June 2024.
19 13:40:13 The loss of profits cannot be calculated on the
20 13:40:16 assumption that the contract would have been performed
21 13:40:20 to 31 December 2027, which is a date in the future.
22 13:40:27 There is no causal link between the breach and the
23 13:40:31 claimed losses.
24 13:40:34 The remaining aspects of Gazprom's lost profit
25 13:40:38 counterclaim will be addressed by my colleague, Ben

01 13:40:40 Holland, like the quantum of the counterclaims. Thank
02 13:40:45 you.
03 13:40:46 Further opening submissions by Mr Holland
04 13:40:53 **PRESIDENT:** Mr Holland, you have the difficult task to do
05 13:40:57 this presentation on quantum of counterclaim in
06 13:41:00 six minutes. So if you need any additional time, let us
07 13:41:04 know now.
08 13:41:05 **MR HOLLAND:** We will be able to dispose of this
09 13:41:07 5.5 billion euro counterclaim in 10 minutes, if that
10 13:41:11 would be acceptable.
11 13:41:12 **PRESIDENT:** Very good.
12 13:41:13 **MR HOLLAND:** I think we'll find as well that it is more
13 13:41:15 exciting than the normal end of a quantum submission,
14 13:41:18 and that's because although it's common ground that
15 13:41:23 Gazprom is claiming under article 74 of CISG, Gazprom
16 13:41:28 says that it is a lost volume seller. And it does this
17 13:41:32 because a lost volume seller can claim damages that are
18 13:41:35 not reduced by mitigation. But the law, the facts and
19 13:41:39 your basic intuition speak with one voice, and Gazprom
20 13:41:43 is not a lost volume seller.
21 13:41:45 It's undisputed that the applicable test is that in
22 13:41:49 Sunrise Foods, and three points on that test.
23 13:41:53 First, summarising it, Gazprom has shown that it
24 13:41:56 could have, would have, sold the contract gas to
25 13:42:00 a subsequent buyer even without the breach and that it

01 13:42:05 would have done so for profit.

02 13:42:08 That's the test.

03 13:42:08 Second, Gazprom accepts the first and the third

04 13:42:11 elements. That's "could have" and "profit".

05 13:42:15 But Gazprom ignores -- third point -- the second

06 13:42:19 element of the test, and that element is crucial because

07 13:42:23 in Sunrise Foods the court rejected the seller's lost

08 13:42:28 volume claim due to lack of evidence of that second

09 13:42:32 independent sale, that it would have been made despite

10 13:42:37 the contract.

11 13:42:39 That is crucial, because that limb of the test

12 13:42:43 ensures that the seller is not overcompensated for its

13 13:42:46 loss.

14 13:42:49 On the facts, there is a complete failure of proof

15 13:42:52 on these points. Gazprom has provided no proof that it

16 13:42:56 has sufficient resources and capacities that it would

17 13:43:00 use to supply additional customers, despite admitting

18 13:43:05 that it's required to do so.

19 13:43:07 The entirety of the evidence is the bare assertion

20 13:43:12 that it has vast gas reserves and supply capabilities

21 13:43:17 that can be treated as unlimited.

22 13:43:20 But even if Gazprom had infinite gas resources, that

23 13:43:26 **doesn't dispose of the question:** could Gazprom have

24 13:43:30 supplied both replacement customers and the contract?

25 13:43:36 And the practicalities of gas sales say no on both

01 13:43:41 counts.

02 13:43:43 First, to sell gas you need to transport it to the

03 13:43:47 buyer. PPD's expert performs a gas flow analysis and

04 13:43:53 shows that it was not technically possible. That's

05 13:43:58 because in November 2022, gas under the contract was

06 13:44:03 transported through a pipeline into Hungary to Croatia,

07 13:44:07 and to get the gas into that point, you had to go

08 13:44:12 through Kiskundorozsm-2, or K2, and it's the connection

09 13:44:18 point between Hungary and Serbia and it's the only route

10 13:44:23 which Gazprom is still delivering gas to Europe today.

11 13:44:29 If you look at this next graph, it shows that it

12 13:44:32 can't possibly accommodate the contract volumes on top

13 13:44:38 of what is being supplied.

14 13:44:40 So, applying Sunrise Foods, Gazprom could not have

15 13:44:45 supplied contract gas in addition to the actual sales

16 13:44:50 it's making through the maxed-out K2.

17 13:44:54 Gazprom presents three witnesses, including

18 13:44:56 Mr Averkin, who's head of gas supply at the region, and

19 13:45:00 Mr Mazilov, who's in charge of transportation, and none

20 13:45:04 of them mention any of this at all.

21 13:45:07 Second, and separately, the gas purchase analysis

22 13:45:11 shows that Gazprom has been indirectly selling gas to

23 13:45:17 PPD since November 2022, and we need to go back to K2,

24 13:45:23 because two other things were happening there.

25 13:45:26 First, Gazprom was selling gas to a Bosnian company

01 13:45:31 at K2 and this gas was sold on to PPD at K2. It was
02 13:45:38 replacement gas. But the transit system operator
03 13:45:43 skipped this Bosnian middleman in the delivery protocol.
04 13:45:48 So on screen you can see that the seller of this gas was
05 13:45:53 Gazprom and the buyer was PPD.
06 13:45:56 After analysing the rest of these purchases,
07 13:46:00 74 per cent of the contract's volumes were being
08 13:46:04 indirectly sold to PPD by Gazprom and Gazprom could not
09 13:46:10 have supplied those volumes independent of the contract
10 13:46:16 because PPD couldn't take those molecules both directly
11 13:46:21 and indirectly; it did not need double the gas.
12 13:46:26 That must be why Gazprom is hiding its sales data.
13 13:46:32 So moving to the second part of my submissions,
14 13:46:35 because of all of that, Gazprom, like any other seller
15 13:46:38 seeking damages, has to comply with article 77 and it
16 13:46:42 acknowledges that duty of mitigation.
17 13:46:46 So the question is whether and to what extent
18 13:46:50 Gazprom could have reasonably mitigated its loss, and
19 13:46:56 I have four points to make.
20 13:46:58 The first is that each of Gazprom's four sets of
21 13:47:03 calculations of its loss assume that Gazprom did not
22 13:47:08 make any mitigation sales at all between November 2022
23 13:47:12 and December 2027, and that means that all Gazprom's
24 13:47:16 calculations are invalid if you are not convinced that
25 13:47:22 not a single molecule of gas has not been resold.

01 13:47:27 Second, as shown before, it's absolutely false to
02 13:47:30 say that there were no mitigation sales at all.
03 13:47:35 It's against ordinary commercial common sense and
04 13:47:38 it's clear that sales were being made to Hungarian
05 13:47:43 buyers, and because PPD has shown that Gazprom was
06 13:47:47 making subsequent mitigation sales of all the volumes,
07 13:47:52 the only possible loss that Gazprom could claim would be
08 13:47:56 that it suffered the price difference between the
09 13:48:00 volumes that it sold in mitigations and the contract
10 13:48:03 price.
11 13:48:04 But Gazprom has offered again no evidence on that
12 13:48:07 point at all, despite its burden of proof.
13 13:48:10 Now, Gazprom's experts do say otherwise, but they
14 13:48:13 have been given no sales data, they have been given no
15 13:48:16 contracts at all, so their evidence must be given next
16 13:48:20 to no weight.
17 13:48:21 Third, Gazprom is then forced to raise the truly
18 13:48:26 unworldly argument that this 3.6-billion-euro
19 13:48:33 counterclaim rests on the proposition that these volumes
20 13:48:38 of gas do exist, they have on Gazprom's calculations
21 13:48:43 been produced, but they then are all lost and they
22 13:48:49 cannot be sold ever.
23 13:48:54 Fourth, where does that leave us? Well, PPD need
24 13:48:57 only show, and it has shown, that reasonable mitigation
25 13:49:02 steps are possible.

01 13:49:04 If so, it's Gazprom's duty to prove the quantum of
02 13:49:08 its counterclaim after reasonable mitigation.
03 13:49:13 The experts can't help you because they've got no
04 13:49:15 further data that they could use to quantify this loss.
05 13:49:18 And of course that's right, because there was no loss,
06 13:49:22 because PPD has shown that Gazprom sales have already
07 13:49:27 been mitigated. So Gazprom can get no lost profit
08 13:49:33 damages.
09 13:49:35 Next, if the MAQ clause is applicable, which we
10 13:49:40 explained before it wasn't, but if it was, no payment
11 13:49:45 **still due, you compare two things:** first, the MAQ amount
12 13:49:51 under article 3 of the contract, and second, PPD's
13 13:49:56 offtake of gas in 2022.
14 13:49:59 So first, gas not made available due to any reason
15 13:50:04 counts towards the D parameter. That reduces it and
16 13:50:07 there are 58 days that needs reducing because of the
17 13:50:13 D parameter.
18 13:50:14 Now, 38 of those are in dispute. They're in dispute
19 13:50:18 because Gazprom told PPD that no gas would be available.
20 13:50:23 So PPD didn't nominate for it. But those days should
21 13:50:28 also count towards the D parameter when you look at its
22 13:50:32 language because under article 3.1, the duty to make gas
23 13:50:37 available each day applies regardless whether the buyer
24 13:50:42 is nominating.
25 13:50:43 If you didn't take that point of view, you would be

01 13:50:46 asking PPD to keep demanding gas day by day for gas that
02 13:50:52 it knew that would not be available.
03 13:50:55 Now, coming to the other side of the equation, PPD's
04 13:51:00 offtake, that should be based on the amount of gas that
05 13:51:04 PPD was required to take.
06 13:51:08 Gazprom is only guaranteed to sell that required
07 13:51:10 amount to PPD. We heard before that PPD does have an
08 13:51:15 option to take more gas on each day. But that option
09 13:51:19 was for the benefit of PPD and it can't be assumed or
10 13:51:23 forced to do something that was its sole option.
11 13:51:28 When you apply the two, the offtake was higher than
12 13:51:32 **the MAQ. So no minimum payment arises.**
13 13:51:38 **We have one point on late penalties there.**
14 13:51:43 **Gazprom is claiming both interest and penalties, and**
15 13:51:48 **as explained in our written submissions, that's not**
16 13:51:51 **correct. The contract is silent on whether you can**
17 13:51:53 **claim both simultaneously.**
18 13:51:56 **We say that it just has to be interpreted based on**
19 13:52:00 **a reasonable view, that a reasonable person would not**
20 13:52:04 **expect a daily penalty to be in addition to a daily rate**
21 13:52:12 **of interest. Both amounts fulfil exactly the same**
22 13:52:17 **commercial purpose and it would be unreasonable to apply**
23 13:52:22 **both.**
24 13:52:22 **To emphasise its double counting, Gazprom also say**
25 13:52:26 **that interest accrues on the penalties.**

01 13:52:30 That concludes PPD's submissions on the
02 13:52:34 counterclaim, but we sought earlier to update PPD's
03 13:52:38 request for relief. We will set that out on these final
04 13:52:45 slides.
05 13:52:49 Members of the tribunal, colleagues, that brings
06 13:52:52 PPD's opening presentation to an end.
07 13:52:56 PPD respectfully asks that the tribunal grant the
08 13:52:59 relief sought.
09 13:53:01 **PRESIDENT:** Thank you very much, Mr Holland. That
10 13:53:03 concludes the presentation for the claimant.
11 13:53:11 Thank you very much, we will now take a lunch break.
12 13:53:15 We will add, we will carefully calculate the extra
13 13:53:19 time, add it to the benefit of the respondent this
14 13:53:21 afternoon.
15 13:53:23 What is the preference of the respondent? Should we
16 13:53:25 keep the original timetable, which means we have
17 13:53:27 30 minutes to start or should we give extra time,
18 13:53:33 lunchtime? We have time. The members of the tribunal
19 13:53:38 are available.
20 13:53:40 What would you like to do? Do you want to keep
21 13:53:44 a one-hour break or would you like to start earlier?
22 13:53:47 **MR TALANOV:** We are fine in keeping one-hour break if the
23 13:53:49 other party and the tribunal agrees to that.
24 13:53:52 **PRESIDENT:** So we will commence again at 2.53. Thank you.
25 13:54:00 (1.54 pm)

01 13:54:03 (Lunch break)

02 13:54:04 (2.54 pm)

03 14:54:14 **PRESIDENT:** Just for the record, the claimant has used

04 14:54:17 217 minutes this morning. So you're allocated as well

05 14:54:21 217 minutes.

06 14:54:23 Opening submissions by Mr Talanov

07 14:54:25 **MR TALANOV:** Thank you so much.

08 14:54:25 Dear members of the tribunal, my pleasure and honour

09 14:54:28 to be representing the respondent in this matter GPE,

10 14:54:30 Gazprom Export, in these proceedings before the

11 14:54:36 honourable tribunal, before the learned counsel of the

12 14:54:39 claimant.

13 14:54:41 The difficulty of speaking after lunch is well

14 14:54:43 known, clearly, because everyone is quite fighting the

15 14:54:48 urge for a small post-lunch nap.

16 14:54:52 Well, I will do my best to ensure that the tribunal

17 14:54:55 as well as the other party does not necessarily succumb

18 14:54:59 to this temptation, but don't hold it against me because

19 14:55:02 we will necessarily talk of some of the very complex

20 14:55:05 details, which we unfortunately have to discuss so that

21 14:55:08 to understand the substance of the position of the

22 14:55:11 respondent.

23 14:55:13 As you well recall, this case is about taking the

24 14:55:17 gas and not paying for it.

25 14:55:19 There is no controversy to that fact. This is not

01 14:55:24 disputed. The gas for two months has been taken,
02 14:55:27 consumed and never paid for. Clinical, admitted fact.
03 14:55:31 And the claimant receives the gas, but fails to pay for
04 14:55:34 it in time. Well, actually, failed to pay for it ever.
05 14:55:40 However, just now, before the break, we heard
06 14:55:43 a different story of the difficulties and hardships by
07 14:55:46 the claimant. And this is nothing but a song about how
08 14:55:49 a party wants to take back their own words.
09 14:55:53 In April 2022, as you already well know, PPD,
10 14:55:58 without a single question, without any request for
11 14:56:01 clarification, within one business day, agrees to
12 14:56:06 introduce minor -- and I emphasise minor -- amendments,
13 14:56:10 changes to the contract, to keep making a fortune,
14 14:56:14 re-selling the Russian gas.
15 14:56:16 **They send a clear signal to the respondent:** we
16 14:56:19 continue the contract under the new terms.
17 14:56:22 However, as now already demonstrated by ample
18 14:56:26 evidence on the record, and actually even explained by
19 14:56:30 PPD themselves, already in the previous months,
20 14:56:34 in March 2022, PPD decided to start getting rid of the
21 14:56:40 long-term contract with the respondent.
22 14:56:43 Why so?
23 14:56:45 This is also pretty clear. We all remember the
24 14:56:47 times of the March 2022. And maybe potentially even
25 14:56:53 understandable from the business perspective, PPD

01 14:56:55 thought it may be politically reasonable to disconnect
02 14:56:59 itself from the GPE in the long run.
03 14:57:03 In March 2022, prior to any contract modifications
04 14:57:07 and any of the events that we mainly discussed before
05 14:57:10 the lunch break, PPD already books some capacities at
06 14:57:14 the Krk LNG terminal. They extend the LNG contract
07 14:57:19 in June, with the first LNG supplies effective
08 14:57:23 in November.
09 14:57:24 In 2022, PPD were rather late with LNG, as compared
10 14:57:28 to other market players, as they now admit, and their
11 14:57:31 witnesses say the capacities were not immediately
12 14:57:33 available and the booking had to be done in advance, so
13 14:57:36 they want to keep using GPE as long as PPD deems
14 14:57:41 convenient.
15 14:57:43 Clearly, nothing about LNG and all these plans ever
16 14:57:46 said to GPE, not a word.
17 14:57:50 Over May-October 2022, the long-term contract
18 14:57:54 between GPE and PPD is performed under the modified
19 14:57:58 payment mechanism. Gas duly supplied. Transfers made.
20 14:58:02 Nominations made. "K" type accounts opened. Despite
21 14:58:08 all the widely known difficulties and minor hitches that
22 14:58:12 all of us witnessed in those days.
23 14:58:14 Assess this cumulatively. Contract amendment signed
24 14:58:19 by PPD without any question, nearly overnight. Special
25 14:58:25 type "K" account opened. Five money transfers under the

01 14:58:30 amended regime effectively made by PPD.

02 14:58:34 All of this works as long as it is convenient to PPD

03 14:58:37 only.

04 14:58:39 GPE in July even agrees to further modifications to

05 14:58:43 the contract to the benefit of PPD as requested by them.

06 14:58:47 The so-called amendment 10.

07 14:58:50 All of this is convenient only until the moment that

08 14:58:53 replacement LNG supplies become fully available.

09 14:58:57 Then GPE will be conveniently kicked out and the

10 14:59:01 contract, as you well know, abandoned.

11 14:59:04 As now clear, they know already in June that they

12 14:59:08 are going to fully replace GPE gas in November with LNG,

13 14:59:13 but they are radio silent with the respondent.

14 14:59:16 Instead, PPD selects to stop paying for gas in

15 14:59:19 September and October, perfectly understanding that

16 14:59:25 their further supplies will be seized -- not even by the

17 14:59:28 respondent, that's the trick -- by the Russian customs,

18 14:59:33 given the clear failure and the refusal by PPD to pay.

19 14:59:37 And that's what happened.

20 14:59:39 So they keep getting the gas from GPE until end

21 14:59:42 of October and then on 4 November already LNG starts

22 14:59:47 coming. What a fortunate coincidence.

23 14:59:50 But even worse, as we now see from the evidence on

24 14:59:53 the record, the Russian gas has been effectively sold to

25 14:59:57 the consumers and the funds obtained have been then sent

01 15:00:03 to secure the LNG supplies. So it was GPE actually

02 15:00:06 paying for that launch.

03 15:00:12 This is already unbelievable convenience and

04 15:00:13 coincidence.

05 15:00:14 When the respondent asks PPD in October, what is

06 15:00:18 wrong? What is the problem with the payment? We value

07 15:00:21 our contract. What is the answer received? So, what we

08 15:00:25 would expect. Anything about duress, we heard so much

09 15:00:28 about duress today. Amendments to contract that are not

10 15:00:33 in force. Anything about sanctions? You bet. Not

11 15:00:36 a word of this. Nothing.

12 15:00:40 All these concepts will appear much later when the

13 15:00:43 case that you have just heard gets engineered.

14 15:00:47 What does PPD say? We will see this later, further

15 15:00:50 on, but just for starters, the CEO by PPD, Mr Vujnovac,

16 15:00:56 **says:**

17 15:01:00 "Due to the recent development in Croatian political

18 15:01:03 establishment, there is a lack of political and public

19 15:01:06 support towards cooperation with the Russian companies."

20 15:01:12 Fine. Be it as it may.

21 15:01:14 **Then:**

22 15:01:14 "All our past payments were approved by the Ministry

23 15:01:17 of Foreign Affairs."

24 15:01:19 **October, end of October 2026:**

25 15:01:22 "All our past payments were approved by the Ministry

01 15:01:25 of Foreign Affairs."

02 15:01:26 So they were absolutely fine sanctions wise.

03 15:01:29 This is a contemporaneous document.

04 15:01:32 But now the political landscape changed. Even if we

05 15:01:36 trust that happened, fine, what would you expect

06 15:01:38 a diligent businessman to do? The landscape changed.

07 15:01:42 Fine. Cooperation is no longer possible as we expected.

08 15:01:46 **Fine. A diligent businessman would say:** well, we will

09 15:01:50 pay for what was supplied, but now we would like to

10 15:01:53 terminate the contract. Let's discuss the termination

11 15:01:57 terms.

12 15:01:58 That would be fair and diligent. No problem.

13 15:02:02 Ever said? Never.

14 15:02:04 No duress, no sanctions, no dominance, no

15 15:02:08 fundamental breach on the side of GPE, nothing. The

16 15:02:11 **only thing said is, and I quote:**

17 15:02:14 "We are not in a position to fulfil our payment

18 15:02:17 obligation now. We will come back as soon as we have

19 15:02:22 more information on the topic."

20 15:02:23 **Well:** we will come back, these are difficult times,

21 15:02:27 wait for us, we're handling the political side of the

22 15:02:29 story domestically. No worries.

23 15:02:34 Note one more revealing thing. This very letter,

24 15:02:38 and I will show you that letter down the presentation,

25 15:02:43 was the letter that PPD sent to the respondent, and this

01 15:02:47 letter did not get submitted to this arbitration by the
02 15:02:52 claimant. It did not. Yet again, because it is
03 15:02:58 inconvenient.
04 15:03:00 The contract could be terminated in any case, with
05 15:03:04 whatever dominant company, based on any applicable law
06 15:03:07 on a number of reasons and primarily upon agreement
07 15:03:11 between the parties. And Gazprom has such experience.
08 15:03:14 But if you settle amicably, you need to pay back
09 15:03:18 what has been consumed and you need to resolve the issue
10 15:03:22 with the long-term contract penalties.
11 15:03:25 This is not in the interests of the PPD because when
12 15:03:28 the time is so conveniently against the Russian gas
13 15:03:30 supplies, why would you do that?
14 15:03:33 When does GPE hear for the first time in any clear
15 15:03:37 terms about fundamental breaches, duress, use of
16 15:03:40 dominance, non-existence of the contractual
17 15:03:43 modification? December 2022. When GPE is no longer
18 15:03:49 needed, the contract from a great commercial benefit now
19 15:03:51 turns into a burden for PPD, given they need now to pay
20 15:03:54 for LNG and the Russian gas is now toxic.
21 15:03:58 Time to get rid of the partner you no longer need.
22 15:04:03 In March 2023, this arbitration starts. PPD demands
23 15:04:09 damages at the amount of around 300 million losses as
24 15:04:15 a result of the alleged breaches under the contract by
25 15:04:19 the respondent.

01 15:04:21 Keep in mind that the price for the gas that was
02 15:04:24 supplied, consumed and never paid for is around that,
03 15:04:29 350 million. Again, convenient calculations for the
04 15:04:34 very nicely framed set-off.
05 15:04:38 Well, fine. These losses shall be assessed and
06 15:04:42 confirmed and determined to be real or not by the
07 15:04:45 tribunal and as you will see, even the financial experts
08 15:04:49 based on the claimant's own calculations arrived to the
09 15:04:52 conclusion that no such losses were suffered.
10 15:04:54 But PPD never expected the respondent to show up in
11 15:05:00 the arbitration. And they just submit the claim,
12 15:05:05 willing to win it, absent the other party.
13 15:05:09 GPE unexpectedly appears, submits serious
14 15:05:13 counterclaim, never anticipated, for all the contractual
15 15:05:16 losses as a supplier and what happens? Six months after
16 15:05:20 the start of this arbitration, PPD comes up with the
17 15:05:25 so-called supplementary claim on the anti-trust issues
18 15:05:30 and inflated gas prices as if because of the made-up
19 15:05:35 market manipulation by the respondent.
20 15:05:38 For the events that happened in 2011, 2022 -- why
21 15:05:42 was not that in the original request for arbitration?
22 15:05:45 Convenient memory loss.
23 15:05:48 Strikingly, in January 2023, before the counterclaim
24 15:05:51 arrives, PPD's CEO gives an interview that the tribunal
25 15:05:55 will see later in detail.

01 15:05:58 In this interview he mentions GPE, boasts of
02 15:06:03 extraordinary revenues, claims to have made fortune on
03 15:06:05 the last year sales, totally silent on any market
04 15:06:09 manipulations and actually boasting to the contrary.
05 15:06:13 So all the anti-trust claim is invented and
06 15:06:16 defectively inflated solely with a view to offset the
07 15:06:21 purely contract-based and very clear-cut counterclaim by
08 15:06:25 GPE.
09 15:06:25 Now, plainly, all these public policy issues that we
10 15:06:31 are hearing about, sanctions, market manipulation,
11 15:06:35 duress, as I said, they are never contemporaneously
12 15:06:38 raised. They are never fixed or proven before this
13 15:06:42 arbitration started.
14 15:06:44 Sanctions are no issued today as well. The
15 15:06:47 respondent until today sells gas to Europe. No
16 15:06:50 sanctions prohibited. Until today, the modified
17 15:06:55 contracts exist, operate. No one ever had any
18 15:06:58 liability, neither criminal, nor administrative,
19 15:07:01 nothing.
20 15:07:04 All these public policy concerns are just reverse
21 15:07:07 engineering, so that to impress the tribunal with
22 15:07:13 imaginary risks and threats.
23 15:07:16 Then, when the arbitration unveils and PPD
24 15:07:19 understands that they admitted that will have to be
25 15:07:22 ultimately paid back, what happens? Mr Pavao Vujnovac,

01 15:07:26 you will see him tomorrow, deliberately takes steps to
02 15:07:30 remove PPD from its former wealthy parent company, Enna,
03 15:07:34 and decreases PPD assets available for debt collection.
04 15:07:39 The tribunal will recall the details of their story; we
05 15:07:42 have discussed that a lot during the consideration of
06 15:07:44 the anti-suit application by the claimant that was
07 15:07:48 rejected by the tribunal.
08 15:07:51 So after GPE submits counterclaims, Enna removes PPD
09 15:07:58 from its group company structure, sells shares to
10 15:08:03 a shell company called Blue Horizons with next to no
11 15:08:06 charter capital of 3,000 euros, so that's effectively
12 15:08:09 the owner of PPD we are looking at.
13 15:08:12 All other corporate connections broken, all
14 15:08:15 meaningful assets diluted, again conveniently. Rather
15 15:08:20 than honouring contractual obligations, the claimant
16 15:08:23 embarked on a strategy of delay, initiating and
17 15:08:27 extending these proceedings through repeated procedural
18 15:08:30 and extra-procedural tactics, and the respondent has
19 15:08:33 addressed and refuted these in written submissions.
20 15:08:36 In this opening I will try to focus on the key
21 15:08:39 points demonstrating why the allegations and
22 15:08:42 counterdefences of the claimant fail.
23 15:08:47 As for the key facts of the case, as they were
24 15:08:49 discussed and as for the presentation, they have it.
25 15:08:54 To set the record straight on the main actors, the

01 15:08:57 claimant in this arbitration, PPD, is a well-experienced
02 15:09:01 gas trading major company with sufficient resources.
03 15:09:06 Claimant's business focuses on trade, import, sale,
04 15:09:08 supply of natural gas.
05 15:09:10 According to data from Croatian Ministry of Energy
06 15:09:12 agency HERA -- we will mention that abbreviation several
07 15:09:16 times in the course of the next days -- PPD is the
08 15:09:19 second major supplier into Croatia with around
09 15:09:22 25 per cent share of the domestic gas market.
10 15:09:26 Majority of PPD sales are, however -- and that is
11 15:09:29 important, majority of PPD sales -- conducted outside
12 15:09:32 Croatia. So gas supplied by GPE during the lifetime on
13 15:09:36 the contract was primarily sold outside Croatia.
14 15:09:40 The main actor on PPD's side is Mr Pavao Vujnovac,
15 15:09:43 I already mentioned him. The quote on the slide
16 15:09:47 provides Mr Vujnovac is known as the most powerful
17 15:09:50 businessman of Croatia, largely infamous, as also now
18 15:09:57 even more visible from the Saturday application by the
19 15:10:00 claimant, who is most responsible for the continued
20 15:10:03 leadership of the ruling political party in Croatia.
21 15:10:08 As facts on the record tellingly reflect, and this
22 15:10:12 evidentiary hearing will confirm, this influence, access
23 15:10:17 to which Mr Vujnovac has, continues to substantially
24 15:10:22 impact the relations between the parties during the
25 15:10:25 relevant time periods.

01 15:10:27 The claimant, being a preeminent national supplier
02 15:10:29 in Croatia, contracted with respondent in 2017. The
03 15:10:34 relations between the parties started in 2017.
04 15:10:38 Now, a lot has been said about the respondent, and
05 15:10:41 we yet need to reiterate one key point.
06 15:10:47 You have heard many times today that the respondent
07 15:10:50 is referred to as "Gazprom". This is totally
08 15:10:53 misleading. That is not the name of the respondent.
09 15:10:56 Gazprom is a different company, which is a parent
10 15:10:58 company of the respondent.
11 15:11:01 Indeed, there is a well-known company Gazprom,
12 15:11:04 everyone knows it and it is conveniently useful to use
13 15:11:08 this brand with certain connotations, but the respondent
14 15:11:12 here in the room is not Gazprom. It is Gazprom Export.
15 15:11:17 Therefore, all the relations between the two parties
16 15:11:21 were relations between Gazprom Export, we will refer to
17 15:11:24 as GPE, and PPD.
18 15:11:28 All that is done on purpose so that everything mix
19 15:11:31 up, father -- mother company, daughter company, the
20 15:11:35 Russian Federation, all one big ball, totally mixed up
21 15:11:39 and all taking decisions in one and the same place.
22 15:11:44 Respondent in this arbitration is a limited
23 15:11:47 liability company, a private legal entity, and
24 15:11:51 respondent is not fully owned by -- well, the respondent
25 15:11:58 GPE is fully owned by public joint stock company

01 15:12:02 Gazprom, PJSC Gazprom, but that company in its turn is
02 15:12:07 not fully owned by the Russian State. It is not.
03 15:12:11 It is only with respect to 40 -- it is with respect
04 15:12:17 to 50 per cent, 50.23 per cent that -- that's the
05 15:12:22 overall said indirect shareholding of the Russian
06 15:12:26 Federation in the company, through three separate
07 15:12:29 entities. Federal Agency for State Property Management,
08 15:12:33 that's the governmental body. Then a company called
09 15:12:37 Rosneftegaz and a company called Rosgazifikatsiya.
10 15:12:42 Well, as anyone with a knowledge of corporate law
11 15:12:45 may appreciate, the fact that the overall share of the
12 15:12:50 Russian Federation is split between three entities also
13 15:12:53 has certain meaning, and clearly it is not that the
14 15:13:00 government directly somehow easily gives directions to
15 15:13:05 Gazprom mother company, because it is the only or the
16 15:13:10 majority shareholder that can do that without any
17 15:13:14 problem.
18 15:13:16 49.77 per cent of the shareholders of the mother
19 15:13:21 company is free float, private investors.
20 15:13:27 PPD references to alleged state control in
21 15:13:30 decisions-making rest on a misconception of corporate
22 15:13:35 control.
23 15:13:35 So actually, the fact that GPE's sole shareholder is
24 15:13:40 itself partially owned by the state cannot transform the
25 15:13:43 claimant into a state controlled company by default.

01 15:13:48 The board of directors of the mother company Gazprom
02 15:13:53 currently has 11 members, six of which have either never
03 15:13:58 held any governmental positions or have already retired
04 15:14:01 long time ago. And when I say long, I mean over
05 15:14:04 20 years.
06 15:14:06 It is not disputed that the board does really
07 15:14:09 include certainly public officials. It does. However,
08 15:14:13 this presence arises solely from the state's
09 15:14:16 shareholding in the company, and under the company's
10 15:14:19 governance structure of the mother company Gazprom,
11 15:14:23 shareholders are entitled to nominate their board
12 15:14:26 representatives in proportion to their shareholding.
13 15:14:29 So accordingly, the board officials in question are
14 15:14:34 acting as shareholder representatives, not as agents
15 15:14:37 exercising state authority over the company or anything
16 15:14:40 of the kind. There are some allegations to that extent
17 15:14:42 that PPD makes that I will get to in a while.
18 15:14:49 Both companies, Gazprom Export and PJSC Gazprom, are
19 15:14:53 distinct from the state, independent, and the state's
20 15:14:56 status as a shareholder does not give the state any
21 15:15:01 privileges over other shareholders.
22 15:15:05 Corporate control shall not be confused in any case
23 15:15:07 with the regulatory powers which state necessarily
24 15:15:10 exercises over an entity within its jurisdiction, and
25 15:15:14 especially that is typical of strategic sectors like oil

01 15:15:19 and gas.

02 15:15:21 Natural gas is treated as part of state's strategic

03 15:15:26 sector, strategic interest, in any jurisdiction. There

04 15:15:31 is no jurisdiction where it is not the case.

05 15:15:34 Hence, many states seek to have certain influence on

06 15:15:37 the national oil and gas giants and may use it in

07 15:15:41 achieving their public policy goals.

08 15:15:44 On the slide, you may see the examples from the

09 15:15:46 other countries, where in France, in Norway, in the

10 15:15:50 United States and in the Republic of Croatia, such

11 15:15:53 companies that are responsible for gas or oil are really

12 15:15:58 being carefully scrutinised and in a way checked by the

13 15:16:06 government with additional -- additional willingness,

14 15:16:13 let's put it this way.

15 15:16:16 We all perfectly understand that it is a very

16 15:16:18 popular and yet populist scarecrow argument to say that

17 15:16:24 President Putin personally approves each and every

18 15:16:27 transaction of Gazprom Export, PJSC Gazprom, starting

19 15:16:30 from the gas price determination to the paperclip

20 15:16:35 procurement.

21 15:16:36 This position is especially popular in the European

22 15:16:39 Parliament that has been cited by the learned counsel

23 15:16:45 representing PPD.

24 15:16:48 But the members of the tribunal I guess clearly

25 15:16:51 understand that the participation through a corporate

01 15:16:54 structure is for a reason. The mankind knows far easier
02 15:17:00 ways for the state to dictate their will to the
03 15:17:03 commercial entities on a daily basis than the structure
04 15:17:06 on this slide.
05 15:17:09 That said, this influence of state towards major gas
06 15:17:11 and oil companies does not deprive this companies of
07 15:17:15 separate legal personality and does not imply in and of
08 15:17:20 itself the state's involvement in commercial
09 15:17:22 decision-making.
10 15:17:24 There are clear tests developed by ample case law
11 15:17:27 and none accept any default attribution of state actions
12 15:17:35 to a commercial entity with a state participation,
13 15:17:37 beyond a case-by-case analysis. Thus, these arguments
14 15:17:43 of PPD are frankly of no merit.
15 15:17:46 Fortunately, modern law does not condone such witch
16 15:17:50 hunts, even though this rhetoric still finds its way
17 15:17:53 into legal advocacy as well.
18 15:17:57 I must admit that we are witnessing quite regularly
19 15:18:03 also very selective and tendentious reading of the
20 15:18:08 evidence and statements when it comes to statements made
21 15:18:11 by Gazprom. My learned friends have cited twice the
22 15:18:16 phrase said by Mr Miller, "Our gas, our rules".
23 15:18:21 However, if you were to open that publication and
24 15:18:24 read the context, you would be puzzled to see that it
25 15:18:27 had nothing to do with the decree that we were

01 15:18:29 discussing, with none of the decrees that we were
02 15:18:31 discussing, and actually related to a totally different
03 15:18:34 story, the story that all of you know, which is the
04 15:18:39 Nordstream pipeline.
05 15:18:44 The claimant's only response -- well, actually, one
06 15:18:48 more thing.
07 15:18:49 In the written submissions, the parties have
08 15:18:50 discussed that all in length and actually it is even
09 15:18:54 embarrassing to quote the arguments of the claimant
10 15:18:56 against the applicable corporate law, case law, the
11 15:18:58 constitutional law of Russia, international practice
12 15:19:01 positions, but I just could not leave that without some
13 15:19:04 comment.
14 15:19:05 The claimant's only argument to all of the Russian
15 15:19:08 corporate law, structure, procedures, is that Russia is
16 15:19:13 placed lower in the civil justice ranking made by some
17 15:19:15 of the private foreign organisations, and therefore all
18 15:19:18 of the positions of the Russian domestic law,
19 15:19:21 constitutional court and so on, is not relevant.
20 15:19:25 Luckily, as will be demonstrated further, courts and
21 15:19:29 tribunals stand to apply a far more nuanced approach
22 15:19:32 than this nationality principle proposed by the
23 15:19:35 claimant.
24 15:19:37 The contract at hand that we are discussing, that
25 15:19:40 was concluded in 2017, was indeed a truly lucrative

01 15:19:47 contract for the claimant. In many respects. Though we
02 15:19:51 have heard to the contrary.
03 15:19:54 PPD has voiced its lamentation on the contract at
04 15:19:57 hand as a heavy burden it had to undertake for the lack
05 15:20:01 of any alternatives to the terrible and pressing Russian
06 15:20:07 pipeline gas.
07 15:20:09 This is yet again playing the victim whenever
08 15:20:12 convenient.
09 15:20:13 The truth is that a commercial contract is normally
10 15:20:16 beneficial to both parties, enabling them to make
11 15:20:19 profit.
12 15:20:20 Here, PPD's entire business model was built on the
13 15:20:24 advantages that it won from the contract, and the
14 15:20:28 contractual terms were and remain beneficial and
15 15:20:32 fruitful to PPD, and the tribunal will see how PPD's
16 15:20:36 witnesses openly confirm that in their witness
17 15:20:39 statements, that the contract was beneficial to the
18 15:20:45 company.
19 15:20:47 What were the points that matter for us?
20 15:20:50 The price formula. The price formula is a market
21 15:20:55 index. TTF. TTF means that it was designed as
22 15:21:00 a competitive market price determined by the supply and
23 15:21:03 demand at any given moment. By 2017 most of the GPE
24 15:21:11 contracts were tied to one or another market index, not
25 15:21:13 necessarily TTF, but around, say, 50 per cent of the

01 15:21:16 volumes supplied by GPE were sold at TTF prices, and no
02 15:21:20 one ever complained at this price formula to be somehow
03 15:21:24 unnecessarily burdensome or oppressive.
04 15:21:28 It can work for both parties, to the benefit or to
05 15:21:31 the detriment, depending on the market fluctuations.
06 15:21:35 The contract ensured stable supplies of quite
07 15:21:38 considerable volumes. The volumes under the contract
08 15:21:42 were up to 2 BCM after amendment 4. What is 2 BCM, so
09 15:21:47 **that you have the image of it:** 1 BCM of gas is enough to
10 15:21:50 cover the needs of, say, 1.5 million to 2 million
11 15:21:54 European households for a year.
12 15:21:56 So 4 million households of a year, that is the
13 15:22:00 volume of the contract at stake.
14 15:22:02 And as PPD itself confirms, the contract provided
15 15:22:07 a basis for growth because only with stable supplies for
16 15:22:11 predictable price PPD could properly plan and grow its
17 15:22:15 customers portfolio.
18 15:22:17 Issue number 3, we did not discuss that in a lot of
19 15:22:20 detail today, but it has been widely discussed in the
20 15:22:23 submissions.
21 15:22:25 Flexibility. It was in PPD's discretion within each
22 15:22:29 delivery to offtake the volumes equal to the MAQ --
23 15:22:33 minimum annual quantity -- or exceeding it up to
24 15:22:39 **the ACQ.**
25 15:22:41 **In commercial practice, the common value of MAQ is**

01 15:22:44 usually 80, 90 per cent or above that. Meaning that the
02 15:22:48 **buyer is usually asked to offtake most of the ACQ.**
03 15:22:54 **The contract at hand, under article 3.2, provides**
04 15:22:57 **for 80 per cent value, meaning that PPD had the highest**
05 15:23:02 **possible flexibility average in the market to maximise**
06 15:23:05 **its profits, buying less when the price is not**
07 15:23:08 **beneficial, where the price is peaking, or buying more**
08 15:23:12 **when the price was lower.**
09 15:23:14 **Despite any speculations otherwise, as explained in**
10 15:23:17 **the written submissions of the respondent, this**
11 15:23:20 **flexibility term is very beneficial to PPD in comparison**
12 15:23:23 **with the ordinary market practice.**
13 15:23:26 **Now, here we come to the key point. The deferral of**
14 15:23:30 **payment.**
15 15:23:32 **The deferral of payment is classified, labelled by**
16 15:23:36 **the witnesses of the claimant as foundation of the whole**
17 15:23:42 **business model in a way. Because in effect, every month**
18 15:23:49 **PPD gets gas and is not required to pay in advance, is**
19 15:23:56 **not required to pay in a week, is not required to pay in**
20 15:23:59 **a month given.**
21 15:24:02 **Effectively, every month GPE was giving out**
22 15:24:05 **a short-term loan to PPD for the price of gas supplied**
23 15:24:08 **in the preceding month, meaning that GPE would complete**
24 15:24:12 **two monthly supplies by the moment when PPD starts**
25 15:24:17 **paying for the first one.**

01 15:24:19 So after the gas was supplied, payment was to be
02 15:24:22 made by PPD only 60 days later or around 60 days later.
03 15:24:29 After the modification of the contract terms, and we
04 15:24:32 agree to that, this term got shorter by two days, needed
05 15:24:37 for the conversion. So 58 days following the
06 15:24:40 modification.
07 15:24:41 This actually is the only real change that happened
08 15:24:44 after the decree 172.
09 15:24:47 Many other long-term contracts with European buyers
10 15:24:51 provided for far more limited payment deadlines, like
11 15:24:54 15, 10 days of the following months, or even prepayment
12 15:24:57 for the supplies.
13 15:24:59 Unfortunately, it was precisely this exceptionally
14 15:25:02 favourable provision for the claimant that allowed it to
15 15:25:05 consume two months' worth of gas without ever paying for
16 15:25:08 it.
17 15:25:09 Well, with hindsight it is clear that such
18 15:25:12 a concession should never have been granted to
19 15:25:14 a counterparty of this kind of good faith as PPD has,
20 15:25:16 but that is what we have.
21 15:25:19 PPD could accordingly offer its customers better
22 15:25:22 terms, grow its customers portfolio, use the timelag
23 15:25:26 between the collection of payment and the supplies so
24 15:25:28 that to invest, gain extra revenue from the money and
25 15:25:33 really make fortune.

01 15:25:38 The said stable supplies, flexibility, deferral of
02 15:25:40 payment that PPD enjoyed under the contract, ultimately
03 15:25:43 put PPD's business on a completely new level, allowing
04 15:25:46 it to expand internationally.
05 15:25:49 PPD is a trader. So its growing appetite for cheap
06 15:25:53 and stable Russian gas naturally resulted from its
07 15:25:56 growing ambition to expand its operations to other
08 15:25:58 markets in the region, and what might have been enough
09 15:26:01 to meet the demand of its Croatian customers was not
10 15:26:05 enough to enter new markets that PPD wanted to conquer,
11 15:26:08 such as Hungary and South Eastern Europe.
12 15:26:13 As already said and as confirmed by the witnesses of
13 15:26:17 the claimant, the contract was the pillar of PPD's
14 15:26:19 business model. To this end PPD sought to agree on
15 15:26:24 excess volumes and it offered to amend the contract;
16 15:26:26 it offered to amend the contract and increase supplies
17 15:26:31 starting from the very first months.
18 15:26:34 So PPD immediately sought to extend the ACQ twofold,
19 15:26:39 amendment 1.
20 15:26:42 Same happened in 2018, 2019, ending up with
21 15:26:45 **amendment 4, which permanently increased the ACQ. Most**
22 15:26:49 **of that gas did not ever end up in Croatia. PPD's**
23 15:26:53 **business expanded largely because of the expansion to**
24 15:26:57 **the neighbouring countries beyond the Croatian border**
25 15:27:00 **through the Eastern Europe, with around 70 per cent of**

01 15:27:04 PPD profits, as we already said, generated outside
02 15:27:07 Croatia.
03 15:27:08 Well, PPD is not a local Croatian customer. It is
04 15:27:13 more of a global trader that it has the ambition to be.
05 15:27:18 In 2021, PPD stated that the company earns in the
06 15:27:22 Croatian gas market 35-40 per cent of its income from
07 15:27:25 sales and 60-65 per cent of income from selling gas to
08 15:27:29 international markets, well, taking into account the
09 15:27:32 60-65 revenue share generated outside of Croatia for
10 15:27:36 2022, when all these events that we discuss today
11 15:27:40 happened.
12 15:27:40 The share of revenue generated outside Croatia
13 15:27:44 increased further to 70 per cent. Meaning that only
14 15:27:49 30 per cent of PPD's revenues relate to Croatia, or even
15 15:27:53 20 per cent as Mr Vujnovac asserts.
16 15:27:56 So PPD, note voluntarily, willingly, on its own
17 15:28:01 demand and to its own convenience, keeps requesting for
18 15:28:05 increasing the volumes of gas supplies, which led to
19 15:28:08 further and further growth and benefit of PPD.
20 15:28:11 This was agreeable for GPE as long as the PPD duly
21 15:28:14 paid for the supplies.
22 15:28:17 The situation changed in 2022.
23 15:28:21 A lot has been said today about the decree 172 and
24 15:28:25 we will have to dive into this document in a lot of
25 15:28:29 detail.

01 15:28:31 The decree, as you already know, introduced
02 15:28:33 a special mechanism of payment under contracts for
03 15:28:35 export of natural gas and it implied that instead of the
04 15:28:43 initial account envisaged by the contract, both the
05 15:28:46 buyer and the seller were supposed to open the so-called
06 15:28:49 special type "K" account with the authorised bank, which
07 15:28:52 was Gazprombank.
08 15:28:54 Well, Gazprombank was the bank that the parties used
09 15:28:57 before the contract, so there was no problem with that.
10 15:29:00 PPD already knew that bank. They had relations with
11 15:29:02 them, they paid to that bank without any problems, and
12 15:29:05 in no moment relevant to the case at hand did
13 15:29:08 Gazprombank get sanctioned.
14 15:29:11 The buyer would transfer the funds in euro to this
15 15:29:19 type "K" account, nominated in foreign currency -- in
16 15:29:22 our case in euro -- as initially envisaged by the
17 15:29:25 contract.
18 15:29:27 The payment then would be converted by Gazprombank
19 15:29:30 to roubles and automatically credited to GPE account of
20 15:29:35 the same "K" type.
21 15:29:38 Moreover, what is important, the decree from day one
22 15:29:43 authorised the Central Bank of Russia to oversee the
23 15:29:46 implementation of the decree and to issue
24 15:29:49 interpretations of the provisions of the decree whenever
25 15:29:53 the bank deems necessary or wherever something needs

01 15:29:56 clarification.

02 15:29:59 In such a clarification, which is here on the slide,

03 15:30:01 the Central Bank of Russia specifically emphasises that

04 15:30:05 the buyer shall not bear any risks of this additional

05 15:30:10 conversion process by the Gazprombank.

06 15:30:14 **So, what does Central Bank says:** if the buyer timely

07 15:30:18 and in good faith transfers money to its type "K"

08 15:30:21 account in a foreign currency, in euro, then the

09 15:30:27 prohibition of supplies under decree 172 does not apply

10 15:30:31 even if the payment is not converted to roubles and does

11 15:30:35 not reach GPE by the payment due date.

12 15:30:40 So effectively, the claimant payment obligation

13 15:30:42 under the contract was discharged at this point. No

14 15:30:46 other action was required. There were no risks. There

15 15:30:50 was no other transaction that PPD was involved in. When

16 15:30:55 they credit their account, that's it. Full stop.

17 15:30:59 Nothing more needed.

18 15:31:02 The same, to the contrary, cannot be said about the

19 15:31:05 respondent GPE. Decree 172 imposed a mandatory

20 15:31:11 requirement restricting GPE's freedom to determine the

21 15:31:13 mode of performance of its and its counterparty's

22 15:31:17 obligations; compliance with the statutory requirement

23 15:31:20 now needs to be additionally overseen; then GPE needs to

24 15:31:24 make sure that it does not violate these rules, as they

25 15:31:28 are mandatory for GPE as a Russian company incorporated

01 15:31:32 in Russia, so that to be able to continue the supplies.

02 15:31:36 So, based on this clarifications of the Central

03 15:31:38 Bank, the risks of any failures in the conversion

04 15:31:42 mechanism lie with the respondent, not with the

05 15:31:44 claimant.

06 15:31:46 The claimant's position, that GPE somehow benefited

07 15:31:47 from this decree, is refuted by the very contents of

08 15:31:47 this decree and by the way how the scheme works.

09 15:31:55 Any reasonable assessment of the text of the decree

10 15:31:57 and the mechanism would clearly show that it was to the

11 15:32:00 commercial detriment of the GPE and not to the benefit

12 15:32:03 of the respondent.

13 15:32:05 Now, we would like to give a more detailed outline

14 15:32:09 of the payment mechanism to dispel the errors and those

15 15:32:12 misconcepts that were made by the claimant.

16 15:32:17 Please bear with me. It's a difficult story, but

17 15:32:20 I think it would not be that problematic if you have the

18 15:32:24 experience in understanding how any organised trade

19 15:32:27 works with any clearing houses, because that is exactly

20 15:32:30 what happened here.

21 15:32:32 The entire process of conversion is relatively

22 15:32:36 simple, though it looks complex on the scheme.

23 15:32:43 PPD, as I said, transfers euros to its account at

24 15:32:46 GPB. And it was already clear that it should be the GPB

25 15:32:57 account in euros and then the process starts.

01 15:33:03 The procedure is governed by the regulations of the
02 15:33:07 Moscow Stock Exchange. It's not regulated by the --
03 15:33:11 I mean, this conversion procedure is not regulated by
04 15:33:13 the presidential decree, not regulated by the
05 15:33:16 government. It's regulated by the stock exchange. And
06 15:33:18 all the steps I'm going to outline further were provided
07 15:33:23 in this MOEX regulations, the stock exchange
08 15:33:27 regulations, forex exchange regulations, effective both
09 15:33:38 in 2022 April, May 2022, and so on.
10 15:33:44 All these rules are available online. They are
11 15:33:46 available in English, what is not typical of the Russian
12 15:33:49 rules and it's not what happens regularly. So all very
13 15:33:53 transparent.
14 15:34:00 We have to deal with all this actually because we
15 15:34:03 need to understand if all these sanctions-related
16 15:34:07 arguments stand and to see what are the transactions
17 15:34:11 involved in the conversion and how it operates.
18 15:34:14 There is no sanctions issue at all here, as future
19 15:34:17 practice has demonstrated. There is no contemporaneous
20 15:34:19 evidence to show that any real sanctions concern that
21 15:34:23 PPD was voiced or even existed, and still we are
22 15:34:27 compelled to dive in these technicalities.
23 15:34:29 So, the payment here works as any forex at organised
24 15:34:33 trades. There is a clearing house. There is netting
25 15:34:38 and collateral. Nothing special.

01 15:34:42 PPD managed even today to totally confuse how it
02 15:34:45 works. Nothing actually complex. The mechanism works
03 15:34:51 as follows.
04 15:34:52 When the foreign buyer has the funds on its type "K"
05 15:34:55 account at Gazprombank, the same bank that parties as
06 15:35:00 I said use, the money gets in euros. Step 1. Foreign
07 15:35:10 buyer would transfer the payment and at this point, in
08 15:35:14 light of the shown clarification by the Central Bank,
09 15:35:20 the risk of non-payment already passed from PPD. The
10 15:35:24 payment obligation is effectively discharged.
11 15:35:28 Such transfer of money to the type "K" account
12 15:35:31 represents an irrevocable order from the client, PPD, to
13 15:35:36 the bank, Gazprombank, to carry out the transactions
14 15:35:40 necessary for the completion of the payment under the
15 15:35:43 decree, conversion into roubles.
16 15:35:46 PPD was never either effectively or legally involved
17 15:35:49 in any transactions starting from this point. So the
18 15:35:54 only party PPD involved in commercial relations with in
19 15:35:56 this mechanism is Gazprombank and no one else.
20 15:36:02 Not sanctioned at any relevant time, as said, and
21 15:36:04 PPD is now out of the picture.
22 15:36:07 Then the classical exchange routine works. To be
23 15:36:12 eligible to participate in any exchange transaction,
24 15:36:15 Gazprombank has to post collateral with the company
25 15:36:20 called NCC, the national clearing centre. That is the

01 15:36:24 clearing house of the stock exchange.

02 15:36:27 According to the rules of NCC and MOEX, transactions

03 15:36:31 and MOEX are settled from the provided collateral, which

04 15:36:33 has to be pre-posted prior to the date of settlement.

05 15:36:37 So it's an eligibility criteria to get access to the

06 15:36:43 exchange.

07 15:36:45 Gazprombank has a euro account with NCC, one euro

08 15:36:49 account with NCC. NCC in its turn reflect the sums that

09 15:36:54 it owns in euros in his own correspondent bank account,

10 15:37:02 which is Commerzbank and Societe Generale. There were

11 15:37:08 two. I don't know all of the details, which one was

12 15:37:10 selected, but all euros that were ever involved in any

13 15:37:14 transaction with NCC would be stored at the account with

14 15:37:18 the correspondent bank, Commerzbank or Societe Generale.

15 15:37:23 So the funds are reflected in those accounts and

16 15:37:26 unlike what we are hearing, it is not like the exchange

17 15:37:30 of cash, for instance. It's a totally different

18 15:37:35 mechanism.

19 15:37:36 So wherever we have the bank willing to do the

20 15:37:42 exchange, GPB wants to make the exchange, then they need

21 15:37:47 to have this collateral on their account with NCC. The

22 15:37:54 collateral pre-posted.

23 15:37:57 It could not be therefore that this collateral has

24 15:38:02 PPD euros or anyone else's euros or any of the clients'

25 15:38:07 euros; that is the bank that participates in exchange

01 15:38:12 operations with the clearing house.

02 15:38:14 So for all transactions it will do, it posts the

03 15:38:17 collateral for the whole day.

04 15:38:22 GPB, to enter the exchange, needs to maintain

05 15:38:24 a common collateral euro account, just one account with

06 15:38:27 the NCC for all the possible transactions within the

07 15:38:30 day.

08 15:38:31 In fact, this collateral is not and usually does not

09 15:38:35 need to be posted daily and prior to any particular

10 15:38:38 transaction. It is rather a minimum non-reducible

11 15:38:42 balance that needs to be on the account of GPB as

12 15:38:46 a bidder, so that to participate in the transactions

13 15:38:52 with NCC.

14 15:38:54 If for example on a given day Gazprom has enough

15 15:38:57 funds in euro on its account at NCC to cover the planned

16 15:39:01 transaction, it does not need to transfer anything at

17 15:39:04 all to the collateral. It keeps the funds that it got

18 15:39:08 from PPD and it may skip the step and proceed to the

19 15:39:12 trades. Because it is already eligible to the trade.

20 15:39:15 So there is no PPD funds going anywhere.

21 15:39:19 Moreover, GPB euro account at NCC is not only for

22 15:39:23 the collateral itself. It also includes euro received

23 15:39:27 as a result of trades. So it's one big pot. That's the

24 15:39:32 account.

25 15:39:33 The funds in the account constitute a common pooled

01 15:39:37 balance, they are not individually identifiable. They
02 15:39:39 are not earmarked or segregated by reference to the
03 15:39:42 party on whose behalf a particular exchange transaction
04 15:39:45 may be executed.
05 15:39:46 Clearly, as in any exchange transaction of this
06 15:39:49 type, PPD cannot claim any proprietary rights over this
07 15:39:54 GPB euro account with NCC.
08 15:39:59 Gazprombank, if it has the collateral, as the next
09 15:40:02 step may enter organised trading.
10 15:40:06 It enters into sale and purchase transactions with
11 15:40:10 NCC. NCC is a clearing house. As at any exchange.
12 15:40:16 Everyone makes transactions necessarily and solely with
13 15:40:20 NCC. There is no way to go around it in case of MOEX.
14 15:40:26 It's a mandatory party to any transaction and, as at
15 15:40:30 any organised trades, no one can make transactions
16 15:40:34 directly excluding NCC.
17 15:40:38 It is crucial to understand that in forex trade
18 15:40:42 Gazprombank does not actually exchange euros to roubles,
19 15:40:45 like we do when we go to the exchange office at the
20 15:40:51 Taksim Square.
21 15:40:53 At forex trade there are two different and
22 15:40:56 independent transactions. GPB sells euro to NCC and
23 15:41:00 then, separately, GPB buys roubles from NCC. And
24 15:41:05 effectively, when I change euro to liras in the Taksim
25 15:41:08 Square, I exchange one asset for the other, but in the

01 15:41:11 organised trades it is not how it works. It's not what
02 15:41:15 happens.
03 15:41:16 GPB separately sells 100 euro to NCC and then,
04 15:41:20 separately -- and then actually what happens is that NCC
05 15:41:25 records on the account of GPB that euro has been sold.
06 15:41:30 And then, separately, GPB purchases say 5,000 roubles
07 15:41:35 from NCC, and NCC reflects this on the GPB rouble
08 15:41:39 account, say plus 5,000 roubles.
09 15:41:43 At the end of the day, what happens is called
10 15:41:45 netting the settlement. And at that moment in time, all
11 15:41:49 claims of all bidders through the day are settled
12 15:41:53 between NCC and all of the bidders.
13 15:41:56 That is the essence of the clearing mechanism. So
14 15:41:58 if you enter into a transaction directly with another
15 15:42:01 bidder, you face the risk that a transaction may fail
16 15:42:05 because they or the party may fail. However, if your
17 15:42:09 counterparty is a clearing house, that risk is excluded.
18 15:42:12 A clearing house mitigates the risks by the
19 15:42:16 mandatory requirement to pre-post collateral at the full
20 15:42:20 amount of the transaction, so if the bidder does not
21 15:42:23 post collateral covering its future obligations under
22 15:42:25 the transaction, it simply cannot be admitted to
23 15:42:28 participate in the process.
24 15:42:32 Hence, when PPD states that clearing through NCC
25 15:42:36 posted additional risk that the clearing mechanism may

01 15:42:39 potentially fail and, plainly speaking, NCC would be out
02 15:42:43 of money to perform its obligations -- that is one of
03 15:42:46 the arguments in the submissions -- then, well, it is to
04 15:42:49 be, to say mildly, naive, and demonstrates the lack of
05 15:42:53 understanding how it works, because there is necessarily
06 15:42:55 a collateral. Without a collateral of GPB funds, own
07 15:43:01 funds or some other funds they may have in a big pool,
08 15:43:04 there can be no trade.
09 15:43:07 Once GPB has the funds back on its account at NCC
10 15:43:11 after netting, it is now free to withdraw them and
11 15:43:15 dispose of them as it wishes.
12 15:43:17 So now, upon instruction of PPD, GPB would
13 15:43:19 accordingly credit the funds in roubles to the GPE's
14 15:43:24 account. If GPB on a given day had enough funds in
15 15:43:28 roubles on account outside of NCC, it could potentially
16 15:43:31 also skip this step and just credit the requisite amount
17 15:43:34 to the GPE account without all these necessary or
18 15:43:39 unnecessary additional hurdles.
19 15:43:43 A foreign buyer, in our case PPD, is not legally or
20 15:43:48 factually involved in any of the transactions within the
21 15:43:51 conversion process following the receipt of funds in
22 15:43:53 euro on its type "K" account.
23 15:43:57 The claimant's heightened concern about the
24 15:43:59 involvement of the NCC is based on fundamentally wrong
25 15:44:03 assumption that PPD enters into some direct legal

01 15:44:06 relationship with NCC or with someone else, whoever may
02 15:44:11 be standing behind it. But this is incorrect.
03 15:44:16 Another concern of the claimant, which surfaced in
04 15:44:18 the recent rejoinder and counterclaim, is that claimant
05 15:44:21 was legally involved in the transaction with NCC as the
06 15:44:25 owner of this funds, and this concept of PPD euros is
07 15:44:30 the one you heard today.
08 15:44:32 The reality is different. When euro is transferred
09 15:44:33 from PPD, PPD effectively gets a contractual claim.
10 15:44:38 It's not cash, it's claims. So they effectively get
11 15:44:42 a contractual claim towards the bank, Gazprombank, and
12 15:44:46 this is the claim for the sum transferred.
13 15:44:50 This non-cash funds essentially represent an entry
14 15:44:53 in the bank account of PPD. They cannot be the object
15 15:44:56 of proprietary rights. It's a claim. It's an
16 15:44:58 obligation.
17 15:45:00 So when I say "Stradivarius violin", I understand
18 15:45:05 what that could mean. But when I hear "PPD's euros",
19 15:45:08 I cannot understand what it means when we talk not of
20 15:45:10 cash, but we talk of proprietary rights, claims.
21 15:45:15 So GPB in its turn has an agreement with NCC.
22 15:45:19 Actually, neither GPB nor NCC never sanctioned in the
23 15:45:24 relevant timeframe.
24 15:45:25 So GPB in its agreement with NCC posts collateral.
25 15:45:30 Gazprombank has a claim against NCC for the sum of the

01 15:45:34 collateral. This relations between GPB and NCC are
02 15:45:38 totally distinct of PPD, and they have nothing to do
03 15:45:41 with PPD at all, because there are maybe thousands of
04 15:45:44 bidders that GPB is taking care of in a given day.
05 15:45:51 So these relations between GPB and NCC, as on the
06 15:45:56 slide, are those relations that do not involve PPD or
07 15:46:00 any other of the numerous clients of GPB at any visible
08 15:46:03 angle.
09 15:46:05 This step was preliminary and was a matter of
10 15:46:09 ensuring Gazprom's eligibility to participate in
11 15:46:12 organised trade and clearing, and not at all as a matter
12 15:46:15 of the disposal of any assets owned by Gazprombank's
13 15:46:20 clients. Hence, PPD did not have any proprietary rights
14 15:46:23 to what it calls PPD euros and could not be legally
15 15:46:27 involved in any further transaction carried out by
16 15:46:29 Gazprombank with third parties.
17 15:46:31 Those are claims, obligations. Those cannot be
18 15:46:35 object of any proprietary rights in the scheme how trade
19 15:46:39 works.
20 15:46:41 Now, PPD claims that the decree 172 is a radical
21 15:46:46 change as compared to what the parties agreed upon in
22 15:46:48 the contract.
23 15:46:49 Let's check what was actually changed with the
24 15:46:52 decree.
25 15:46:54 Well, there are four issues that have been discussed

01 15:46:57 by the parties. The first two are on the slide.

02 15:47:01 The moment of the performance of payment does not

03 15:47:04 change. In accordance with the contract, the

04 15:47:07 performance of the buyer's obligation to pay is defined

05 15:47:10 as the moment of transfer of funds, not the receipt of

06 15:47:13 funds by the seller.

07 15:47:13 Under decree 172 as interpreted by the Central Bank,

08 15:47:20 the buyer's obligation is discharged by timely and good

09 15:47:25 faith transfer of funds to its type "K" account at GPB.

10 15:47:28 The moment of performance did not shift. The same

11 15:47:32 moment of performance.

12 15:47:33 Here, PPD misleads the tribunal and claims that

13 15:47:36 paragraph 7 of the decree requests the transfer to be

14 15:47:38 credited in roubles, for the payment under the contract

15 15:47:41 to be considered made. Well, that is the wrong reading,

16 15:47:44 not to mention that the Central Bank of Russia

17 15:47:47 clarifications plainly say to the contrary.

18 15:47:51 Paragraph 7 that is discussed by the parties in the

19 15:47:54 submissions was actually reflecting the moment when the

20 15:48:01 duty to comply with the payment mechanism prescribed by

21 15:48:04 the decree is deemed fulfilled, and not the contractual

22 15:48:08 duty to pay is deemed fulfilled.

23 15:48:10 So this is not about the contractual discharge of

24 15:48:13 obligations. It is about the discharge of the

25 15:48:15 obligations to comply with the decree, and it is

01 15:48:18 addressed to the Russian party obliged, to GPE.

02 15:48:21 So GPE's obligation to comply with the decree is

03 15:48:24 only discharged once the funds reach the rouble account,

04 15:48:27 and until the transfer of roubles reaches GPE, GPE is at

05 15:48:31 risk of penalties and statutory sanctions, while PPD is

06 15:48:37 feeling comfortable because the Central Bank explained

07 15:48:39 everything.

08 15:48:40 This is clear from the reading of the Russian text

09 15:48:42 of the decree as well. So the regulator does not care

10 15:48:45 about the moment of the performance of the contractual

11 15:48:46 obligations, they couldn't care less.

12 15:48:49 They are interested in ensuring that the exchange

13 15:48:51 mechanism is complied with and therefore they push GPE,

14 15:48:55 the seller, to push for the exchange at the GPB to be

15 15:48:59 done within the said two days.

16 15:49:02 So the moment of performance of contractual

17 15:49:04 obligations remains intact.

18 15:49:07 Currency of the payment. As numerous explained

19 15:49:10 before, decree 172 expressly requires claimant to

20 15:49:14 transfer funds in euro to its type "K" account. No

21 15:49:18 changes.

22 15:49:20 Now, timing of the payment. That was already

23 15:49:23 discussed today as well. The moment when claimant

24 15:49:27 practically needed to initiate the payment, to ensure

25 15:49:29 that it is received by GPE in accordance with the

01 15:49:33 decree, indeed shifted by two business days. This is
02 15:49:36 not disputed. This is accepted. This period was
03 15:49:39 required for the Gazprombank to complete conversion of
04 15:49:42 funds at the Moscow Stock Exchange. That is true.
05 15:49:45 So PPD was never required to pay in advance of the
06 15:49:50 supply, and essentially the 30 days' deferment of
07 15:49:54 payment that PPD enjoyed under the contract in any case
08 15:49:57 was just reduced by two business days. That is true.
09 15:50:02 Importantly, if we look at the contract, PPD was
10 15:50:05 supposed to pay no later than the 30th day. It was
11 15:50:09 never obliged or entitled to pay exactly on the 30th
12 15:50:13 day.
13 15:50:13 Given the EU sanctions and the European banks'
14 15:50:16 overcompliance that actually resulted to some minor
15 15:50:21 seizures of supplies that the parties faced in spring
16 15:50:26 and summer of 2022, PPD could have needed to make
17 15:50:32 payments earlier, because European banks may take longer
18 15:50:35 to go through the compliance checks and the funds need
19 15:50:40 to arrive in due time.
20 15:50:43 Then the fourth issue, account for the payment. It
21 15:50:46 was indeed changed, yes, that is true. This is not
22 15:50:49 disputed. GPE had to open a special type "K" account
23 15:50:53 with Gazprombank on the same terms as PPD. However,
24 15:50:58 I must emphasise that there were no charges at all
25 15:51:02 required for opening these type "K" accounts, and those

01 15:51:06 claimed bureaucratic issues, as you will see in the
02 15:51:10 coming days, is nothing but a made-up argumentation.
03 15:51:14 PPD perfectly managed to handle these issues without any
04 15:51:17 problem.
05 15:51:19 Now, the claimant tries to make a big point on what
06 15:51:22 had no effect on the payment mechanism at all, the
07 15:51:26 decree 254 that happened in 4 May 2022.
08 15:51:33 So what happened with this second decree 254? The
09 15:51:40 key change, which in claimant's opinion deserves to be
10 15:51:44 a whole new modification of the contract, is nothing but
11 15:51:48 the specific reference to the national clearing centre,
12 15:51:53 NCC, participating in the conversion process.
13 15:51:59 However, as you well understand, NCC was there even
14 15:52:03 before this direct reference, because NCC is the
15 15:52:06 clearing house of MOEX. Nothing changes.
16 15:52:10 I would like to emphasise that the decree 172, the
17 15:52:13 letter of 1 April 2022, both indicated that the
18 15:52:17 conversion would be conducted at the organised trade on
19 15:52:21 MOEX. So there is no other way to do organised trade at
20 15:52:24 MOEX than to have NCC involved.
21 15:52:29 Second, the applicable legislation and the trading
22 15:52:32 rules of MOEX provide plainly and expressly that all the
23 15:52:35 trades executed on MOEX are conducted solely with
24 15:52:39 clearing. NCC is a party to every transaction. You
25 15:52:43 don't have transactions with any other counterparties

01 15:52:45 even imaginable.

02 15:52:47 Finally, let me take you back to the scheme of the

03 15:52:50 payment mechanism outlining the steps after receipt of

04 15:52:52 euros on the PPD's type "K" account.

05 15:52:55 As we can see, all the steps involving NCC were

06 15:52:59 provided by the trading and clearing rules of MOEX and

07 15:53:03 in fact, the participation of NCC as a central

08 15:53:06 counterparty has been a feature of MOEX since its

09 15:53:10 outset, since 2007 when NCC was established.

10 15:53:14 And while the parties refer to a contemporaneous

11 15:53:17 version of the rules, they have not changed in the

12 15:53:20 relevant part, either in 2022 or after.

13 15:53:24 So, given the overall sanctions concerns of the

14 15:53:27 bank, the possible intention was to make the scope of

15 15:53:30 the participants of the conversion process transparent

16 15:53:33 and express from -- and, well, visible, clear for the

17 15:53:38 outsiders, mainly for foreign banks, to avoid issues

18 15:53:41 with payments due to the banks' overcompliance.

19 15:53:45 So this decree changed completely nothing.

20 15:53:49 Completely nothing.

21 15:53:51 Now, decree 992, which claimant portrays as yet

22 15:53:55 another alteration of the terms of the payment

23 15:53:58 mechanism. It did not affect the payment mechanism

24 15:54:02 at all.

25 15:54:04 This decree 992 merely provided that if the foreign

01 15:54:08 buyer failed to pay for gas supplies, it may settle the
02 15:54:12 outstanding debt without compliance with the decree 172.
03 15:54:17 So, for example, directly to the seller's account in
04 15:54:19 foreign currency if it exists, if that is what the
05 15:54:22 initial contract provided for.
06 15:54:27 So essentially, this meant that from 19 January 2023
07 15:54:32 when GPE had such euro bank account in place, PPD could
08 15:54:36 pay its own debt for September and October 2022 in the
09 15:54:40 same manner it originally did under the contract prior
10 15:54:43 to a decree, and without all those sanctions risks they
11 15:54:47 are referring to. Never done.
12 15:54:50 **So:** the mechanism is there, why don't you pay? No
13 15:54:53 sanctions, no risks, no NCC. Still not convenient.
14 15:54:59 Now, let me briefly remind you of the parties'
15 15:55:02 relations after and in response to the decree.
16 15:55:09 I will not definitely try to explain the whole
17 15:55:13 slide, but here what is important and almost instantly
18 15:55:19 after the decree, since 4 April 2022 and up
19 15:55:24 until October 2022 inclusive, the parties successfully
20 15:55:29 operated under the decree. They did operate under the
21 15:55:34 decree. And when we hear that they operated under some
22 15:55:36 other decrees and 172 was never complied with, but that
23 15:55:40 was the only decree of the substance.
24 15:55:44 No concerns about the commercial risks, no issues of
25 15:55:49 losses by PPD raised until the very end of 2022.

01 15:55:55 So due to time constraints I will not obviously go
02 15:55:57 through all of that. The key event is this letter of
03 15:56:01 1 April 2022, which has already been shown today by PPD.
04 15:56:08 This letter essentially recapitulates the provisions
05 15:56:12 of the decree and requests PPD to revert with an answer,
06 15:56:15 whether it is agreeable to the new terms or not.
07 15:56:18 The letter expressly refers, as I said, to organised
08 15:56:22 trades at MOEX, and therefore necessarily NCC, and it
09 15:56:27 also indicates the possibility of adjustment to be made
10 15:56:30 by the Central Bank of Russia, from day one it is clear.
11 15:56:34 And as can be seen from the language of this
12 15:56:37 request, PPD asks to confirm that PPD agrees. If so, it
13 15:56:42 does not demand, it does not threaten. It asks.
14 15:56:46 The deadline for the answer was set, that it is
15 15:56:49 important, for 30 May. 30 May. The date when the
16 15:56:55 letter is sent is 1 April. The anticipated reply date
17 15:57:00 is anything up to 30 May.
18 15:57:05 Nevertheless, the response was received on the next
19 15:57:08 business day. It was Friday when this letter was
20 15:57:11 drafted and the response was received on Monday, already
21 15:57:16 midday.
22 15:57:18 Interestingly, PPD is now criticising Gazprom Export
23 15:57:24 for as if having knowledge about this decree well in
24 15:57:27 advance. And as an argument unveils, the evidence in
25 15:57:33 support of that is that the letter was prepared very

01 15:57:36 quickly, within one day.

02 15:57:39 But if you would compare the text of the letter with

03 15:57:41 the text of the decree, you would not see any

04 15:57:42 significant difference.

05 15:57:44 The only thing that happened, they translated it

06 15:57:46 from Russian into English and put it on a standard

07 15:57:49 letterhead so that to inform the consumers, all of the

08 15:57:52 consumers who got affected by that. It was not only

09 15:57:55 PPD, but all the consumers that received it, and PPD

10 15:57:59 admits it. They were not the only to receive that

11 15:58:02 letter on the very same 1 April.

12 15:58:06 No problem to draft that letter. Anyone in this

13 15:58:08 room could do that within one, two hours.

14 15:58:14 Nevertheless, the response, as I said, was received

15 15:58:17 on the next business day, on Monday, 4 April. The

16 15:58:20 letter was signed by Mr Vujnovac, which, as indicated in

17 15:58:24 the letter itself, consents to the proposal. And as

18 15:58:30 follows from the cover letter, there are no

19 15:58:32 reservations, no conditions, no protests, no questions,

20 15:58:36 no enquiries made between 1 and 4 April.

21 15:58:42 The parties had thousands of ways to communicate.

22 15:58:45 Many of the employees knew each other. Many of people

23 15:58:49 were communicating on WhatsApp and other messengers.

24 15:58:52 Silence. Then you receive the letter signed without any

25 15:58:58 other additional reservation.

01 15:59:00 That is the only customer who managed to do that so
02 15:59:04 rapidly.
03 15:59:06 Then on 5 May, respondent informed the claimant that
04 15:59:11 decree 254 was adopted. So that the claimant knows what
05 15:59:21 all this fuss in the news could be about.
06 15:59:25 Along with that, the respondent does not request any
07 15:59:29 confirmation of agreement or disagreement, as I said,
08 15:59:31 there was nothing actually material in that decree.
09 15:59:37 Respondent informs the claimant of the
10 15:59:39 clarifications by the Central Bank as well, confirming
11 15:59:42 that all that was requested from PPD was just to
12 15:59:45 transfer the money in the same euro, but two business
13 15:59:50 days earlier. And that's it, nothing more.
14 15:59:55 And the letter of 26 May was sent already by the
15 15:59:59 claimant after 5 May but it did not contain any
16 16:00:04 reference as well to the new second decree of 254.
17 16:00:09 Instead, it reiterated the procedure as outlined by the
18 16:00:13 decree 172, with reference to the special "K" type
19 16:00:17 currency account and all this stuff. It refers to the
20 16:00:20 recent clarifications of the Central Bank, confirming
21 16:00:23 its understanding of the content, which respondent also
22 16:00:27 deemed correct.
23 16:00:29 No mentioning of sanctions, duress, abuse of
24 16:00:32 dominance, no challenge of PPD's acceptance of payment
25 16:00:35 mechanism or its validity. Well, they claim its payment

01 16:00:38 under protest, but we will get back to that as well.

02 16:00:41 In May and August 2022, there were two extremely

03 16:00:45 short-term suspensions of the supplies, but they were

04 16:00:48 due to PPD's failure to comply with the decree in a way

05 16:00:51 that the claimant exploited this so that to start the

06 16:00:57 transfers not well in advance, and the European banks

07 16:01:01 took longer to process the payment.

08 16:01:03 While the claimant exploits the situations to argue

09 16:01:06 that GPE threatened, pressured, cut the supplies off

10 16:01:09 whenever it wished, in fact the reasons for the

11 16:01:12 suspension are really trivial and they are visible on

12 16:01:15 the record.

13 16:01:17 All the information about the dates and the banks

14 16:01:20 was taken from the testimony of Ms Ivancic, the

15 16:01:25 claimant's own witness, so in May the claimant initiated

16 16:01:29 three payments from different banks, two of which were

17 16:01:33 at all not processed. Meaning that they never even left

18 16:01:37 PPD's local bank and hence, clearly, never received by

19 16:01:40 Gazprombank.

20 16:01:42 Only one payment, from Erste Bank, was successful,

21 16:01:45 and as we understand from the dates, there were no

22 16:01:49 issues with the processing of this payment on the side

23 16:01:51 of Gazprombank. However, these payments were received

24 16:01:55 by Gazprombank only on 31 May. Clearly, that was

25 16:02:01 already too late. Given that the contract due date was

01 16:02:05 supposed to be 30 May, the payment was too late; it was
02 16:02:10 received by Gazprombank on 31 May.
03 16:02:13 Who is to blame?
04 16:02:15 In August, PPD initiated three payments. It had to
05 16:02:18 divide the payment in three tranches due to some limits
06 16:02:22 on daily transfers from those banks, no problem. The
07 16:02:25 last tranche was initiated on 26 May but it was received
08 16:02:30 by Gazprombank only on 29 May, which was Sunday. So
09 16:02:35 then the conversion process starts, two business days,
10 16:02:38 and therefore it was complete on 31 May, which
11 16:02:41 apparently did not meet the requirement of the decree,
12 16:02:43 and the supplies were temporarily and very shortly
13 16:02:47 suspended.
14 16:02:50 Now, the other letter that is of interest, I already
15 16:02:54 mentioned it. The letter of 31 October 2022 is
16 16:02:59 important in several aspects.
17 16:03:02 Claimant again refers to the decree 172 only, no
18 16:03:07 decree 254, and once again admits that it has a payment
19 16:03:12 obligation to pay via type "K" account and confirms its
20 16:03:17 commitment to fulfil, that is the words of the letter.
21 16:03:22 Nevertheless, claimant indicates that it could not
22 16:03:24 pay for the September supplies at the moment due to the
23 16:03:28 change in political views of the Croatian political
24 16:03:31 establishment, and confirms that it was into the
25 16:03:36 discussion, assumedly with the Ministry of Foreign

01 16:03:39 Affairs, or whoever else is the political establishment,
02 16:03:42 because it is admitted that all past payments were kind
03 16:03:46 of approved by the Croatian Ministry of Foreign Affairs,
04 16:03:49 so were no problem. Sanctions wise as well.
05 16:03:53 Does this letter of 31 October mention sanctions,
06 16:03:57 duress, abuse of dominance? Does it challenge the PPD's
07 16:04:00 acceptance of payment mechanism? No. Yet again, not.
08 16:04:07 Following this failure to pay, for September,
09 16:04:11 and October, on 1 November 2022, GPE receives the order
10 16:04:17 from the central customs authorities to suspend
11 16:04:20 deliveries.
12 16:04:21 It is not the choice of GPE to suspend the
13 16:04:24 deliveries, though GPE does have such an option under
14 16:04:28 the contract. It's the decision of the customs
15 16:04:31 authorities and on 3 November GPE accordingly informed
16 16:04:36 PPD on the reasons for suspension, appending the order
17 16:04:39 from the central customs authorities.
18 16:04:42 So as of 1 November 2022 the supplies under the
19 16:04:46 contract were suspended, and the supplies delivered by
20 16:04:49 GPE in September and in October were never paid for.
21 16:04:55 You recall it was already time for conveniently
22 16:04:57 getting rid of GPE and making sure that you avoid what
23 16:05:02 any diligent business settlement would imply, and
24 16:05:06 therefore on 23 and 28 November, PPD does an
25 16:05:11 unbelievable thing. Perfectly knowing and having

01 16:05:15 acknowledged that the accounts identified in the
02 16:05:19 contract, euro accounts, have been closed, what PPD
03 16:05:23 does, to try construct their case, they attempt to pay
04 16:05:29 for these supplies to the euro account which has been
05 16:05:33 closed on 5 May 2022 and, clearly, the funds return.
06 16:05:41 In the letter of 26 May 2022, claimant expressly
07 16:05:45 acknowledges that those bank accounts are closed. Why
08 16:05:49 would you send funds to a closed bank account? To make
09 16:05:52 up the legal case.
10 16:05:55 To our knowledge, no further attempts, maybe of the
11 16:05:58 same kind, but to our knowledge no further attempts of
12 16:06:02 payment were ever made.
13 16:06:04 On 23 December 2022 claimant for the first time
14 16:06:08 tries to take back its consent to comply with the decree
15 16:06:13 and now starts telling us all those legends that you
16 16:06:16 have heard today.
17 16:06:17 It accuses the respondent of threatening, abusing
18 16:06:20 the dominant positional, alleges the violation of EU
19 16:06:23 sanctions, so apparently a good lawyer was on-boarded.
20 16:06:29 Remarkably, claimant does not challenge the
21 16:06:31 outstanding debt for September and October supplies, nor
22 16:06:35 does it propose to set it off.
23 16:06:38 Claimant essentially suggests the respondent to
24 16:06:41 continue supplies free of charge, in that letter, so
25 16:06:46 that the price of gas supplies by the respondent in

01 16:06:49 future would be offset against the alleged losses.

02 16:06:53 Well, this clearly couldn't happen because of the

03 16:06:56 mandatory rules that we already know of.

04 16:07:00 On 19 January 2022, the respondent notifies the

05 16:07:03 claimant of the decree 992, suggesting claimant to

06 16:07:09 settle the debt for the September and October 2022

07 16:07:12 supplies without compliance with the bad sanctions

08 16:07:16 related decree 172, NCC, God knows who gets the funds.

09 16:07:21 All that is no longer a burden. Pay directly to the

10 16:07:27 respondent's euro account, which GPE intentionally

11 16:07:30 opened to facilitate the settlement of the debt,

12 16:07:33 a separate bank account.

13 16:07:35 As we know, PPD did not follow this suggestion,

14 16:07:39 never had an intention to it, because they already had

15 16:07:41 a different business plan in mind.

16 16:07:42 Instead, on 30 January 2022, claimant went on to

17 16:07:48 challenge what was accepted and implemented for the

18 16:07:52 previous half a year. It accused the respondent of the

19 16:07:54 violations of EU law, the threats, yet no proposal to

20 16:07:58 settle the debt was made. The set-off proposal is again

21 16:08:01 misplaced. It refers to some future payments

22 16:08:05 obligations and the proposal to keep supplying free of

23 16:08:09 charge.

24 16:08:10 Understandingly, it cannot be the case, because of

25 16:08:12 the mandatory rules that apply to GPE.

01 16:08:16 The claimant simply could not pay off the debt
02 16:08:19 for September and October supplies, either in November
03 16:08:23 or thereafter, for a very simple business reason.
04 16:08:28 There is nothing hidden actually. They had to spend
05 16:08:32 the revenues made on the resale of gas to afford
06 16:08:34 supplies from other sources more politically reliable.
07 16:08:42 This transaction, from one source of supply to
08 16:08:45 another, at the expense of GPE, was meticulously and
09 16:08:48 cold-bloodedly planned by the claimant so that GPE
10 16:08:51 supplies would be necessarily suspended just several
11 16:08:54 days ahead of the first delivery from the alternative
12 16:08:58 supplier. It is so visible on any timeline that no one
13 16:09:03 could come to any different conclusion.
14 16:09:05 Once the transition was complete, the claimant
15 16:09:08 rhetorically makes U-turn, accusations, demands,
16 16:09:14 acknowledgement of obligations and commitments to work
17 16:09:18 out a solution never proposed, and that is what happens.
18 16:09:26 Now let's switch to the legal basis of the
19 16:09:28 claimant's obligation to comply with the payment
20 16:09:31 mechanism.
21 16:09:32 The factual circumstances outlined earlier
22 16:09:36 **illustrate one clear message:** claimant accepted the new
23 16:09:40 payment mechanism required under decree 172, or at least
24 16:09:44 created a strong impression of acceptance to make
25 16:09:48 respondent rely on it and maintain the supplies.

01 16:09:51 This acceptance, however, was effective as long as
02 16:09:53 it was convenient. Once the alternatives to the
03 16:09:57 contract became fully available, the claimant finally
04 16:09:58 walked away from the contract, taking the money for two
05 16:10:01 monthly supplies and pretend that nothing has happened,
06 16:10:06 no consent, no modification, no obligation.
07 16:10:10 Luckily, the CISG and the Austrian law are based on
08 16:10:15 the principles of reasonableness, good faith and, above
09 16:10:18 all, pacta sunt servanda.
10 16:10:22 Respondent respectfully invites the tribunal to look
11 16:10:24 at the claimant's alleged and backdated fears, concerns
12 16:10:27 and accusations through this lens.
13 16:10:31 To this end, respondent makes three arguments in its
14 16:10:34 defence.
15 16:10:37 To begin with, claimant was obliged to comply with
16 16:10:40 the payment mechanism under the CISG article 54.
17 16:10:46 Two, claimant was obliged to comply with the valid
18 16:10:49 modification of contract.
19 16:10:51 Three, claimant failure to comply with either of
20 16:10:55 these obligations entitled respondent to suspend the
21 16:10:57 supplies.
22 16:10:59 Alternatively, even if claimant was not obliged to
23 16:11:03 comply with the payment mechanism, respondent was still
24 16:11:07 entitled to suspend the supplies due to force majeure.
25 16:11:13 Article 54 CISG provides that a buyer is obliged to

01 16:11:16 take such steps and comply with such formalities as may
02 16:11:20 be required under any laws and regulations to make the
03 16:11:24 payment. This was cited today by the other party, with
04 16:11:28 no emphasis put towards any laws and regulations. But
05 16:11:32 these are the key words.
06 16:11:34 The purpose of this is to clarify that the buyer's
07 16:11:37 obligation to pay is not limited to mechanical transfer
08 16:11:41 of money from one account to another. That may also
09 16:11:44 require other action to ensure that payment is effected.
10 16:11:49 The latter, effective performance of the payment
11 16:11:50 obligation, is the core of this provision, article 54.
12 16:11:55 On this basis, the applicable steps and formalities
13 16:11:58 are defined as the moment of performance, and not the
14 16:12:01 moment of conclusion of the contract. And it's the
15 16:12:04 buyer's burden to apply due diligence and ensure that
16 16:12:07 the payment was effected.
17 16:12:09 The word "any" was also used on purpose to indicate
18 16:12:12 that the laws and regulations of either buyer or the
19 16:12:15 seller's place of business are applicable. Nor does
20 16:12:19 article 54 limit the scope of relevant regulations to
21 16:12:22 applicable laws.
22 16:12:23 **The actual test is rather functional here:** whether
23 16:12:26 the regulation affects the mode of performance of the
24 16:12:28 payment obligation or not.
25 16:12:31 Decree 172 met all the prongs of article 54. It was

01 16:12:37 envisaged by regulation, did not require claimant to pay
02 16:12:40 in a different currency, or pay a different sum, or do
03 16:12:44 anything beyond the scope of its obligation to pay. It
04 16:12:47 merely required to initiate payment two business days
05 16:12:50 earlier to ensure that the conversion is completed in
06 16:12:53 time, and send the money to a different account at the
07 16:12:56 very same bank.
08 16:12:58 Alternatively and most importantly, even if the
09 16:12:59 payment mechanism was applicable to claimant by default,
10 16:13:03 claimant has done everything to indicate its consent to
11 16:13:09 comply with the payment mechanism as part of its
12 16:13:11 contractual obligations.
13 16:13:13 First I will outline the factors that exactly
14 16:13:19 constituted the modification of the contract and
15 16:13:21 demonstrate that the claimant has accepted it.
16 16:13:24 Then I will go through each of the grounds for
17 16:13:26 invalidity of the modification raised by the claimant,
18 16:13:29 duress, breach of sanctions and use of dominance, to
19 16:13:32 address those.
20 16:13:33 So, a modification of initial terms of contract
21 16:13:37 implies that there are either new, additional or
22 16:13:41 different terms, as compared to the initial ones that
23 16:13:47 were proposed and agreed.
24 16:13:47 It is not contentious between the parties that
25 16:13:52 decree 172 did alter the initial payment mechanism, yes,

01 16:13:55 because PPD was required to initiate the transfer

02 16:13:57 payment two days earlier and use a different bank

03 16:14:00 account within the very same Gazprombank.

04 16:14:04 Decree 254 however did not influence the obligations

05 16:14:10 anyhow, because it did not introduce either new or

06 16:14:14 different terms as compared to those of the decree 172.

07 16:14:18 The only alteration identified by claimant was the

08 16:14:22 mentioning of NCC in the conversion process.

09 16:14:24 However, as I already explained, clearing is

10 16:14:27 a feature of MOEX and the NCC has been involved in

11 16:14:30 organised trades on MOEX for the last 20 years.

12 16:14:36 Moreover, claimant itself had been regarding the

13 16:14:39 decree 172 as the only modification of payment

14 16:14:43 mechanism. In the letters of 26 May, 31 October,

15 16:14:49 23 December, 30 January, notice of avoidance of the

16 16:14:53 8 March, claimant consistently refers to the payment

17 16:14:56 mechanism as payment in accordance with the decree

18 16:15:00 number 172. Even when the decree 254 was already in

19 16:15:05 force.

20 16:15:05 Finally, since the conversion process took place

21 16:15:09 after the transfer of money to PPD type "K" account at

22 16:15:12 Gazprombank, at which point PPD's contractual

23 16:15:13 obligations was already discharged, involvement of NCC

24 16:15:18 or the lack of it is largely irrelevant to the contents

25 16:15:23 of the obligations.

01 16:15:25 It could not constitute a modification of the
02 16:15:27 obligation, as the obligation is already discharged.
03 16:15:30 Gone. You already complied with.
04 16:15:33 In any event, in case there was a confusion about
05 16:15:38 the contents of the differences between the decree 172,
06 16:15:42 decree 254, it was PPD's duty to raise these questions
07 16:15:47 with GPE, and as said, whenever needed, PPD did that
08 16:15:51 perfectly.
09 16:15:52 The standard of reasonable person under article 8.2
10 16:15:56 of the CISG implies that in case a legal irrelevant
11 16:16:00 statement lacks clarity and is not sufficiently
12 16:16:03 understandable to the receiving party, it is the latter
13 16:16:07 that should make the requisite enquiries, request
14 16:16:10 translations, or otherwise seek to obtain reliable
15 16:16:14 knowledge of the content of the statement.
16 16:16:16 In other words, even if a businessperson lacks
17 16:16:19 expertise to fully comprehend the legally complex and so
18 16:16:23 unclear system of clearing at the exchange, then such
19 16:16:31 a businessman, being reasonable, needs to put effort to
20 16:16:34 obtain the necessary clarification from the
21 16:16:37 counterparty.
22 16:16:39 Under article 18 of the CISG an offer can be
23 16:16:43 accepted by statement or conduct.
24 16:16:46 In PPD's case there were both. The first and most
25 16:16:50 straightforward expression of PPD's assent was in the

01 16:16:55 first of 4 April 2022 letter signed by Mr Vujnovac.
02 16:17:02 Unconditional countersignature.
03 16:17:06 According to the express language of this letter,
04 16:17:08 such countersignature was to be regarded as an
05 16:17:11 acceptance of the proposed items. How else could it be
06 16:17:14 interpreted by GPE?
07 16:17:17 Claimant's key objection to the express acceptance
08 16:17:19 is based on alleged defects of the form. Claimant
09 16:17:23 relies on the contractual requirement to the form of
10 16:17:26 modification and the respondent never actually disputed
11 16:17:30 the application of those provisions. The contractual
12 16:17:32 requirements are very simple and straightforward. When
13 16:17:35 you make an amendment to a contract, what do you need to
14 16:17:38 do? Article 13.1, in writing signed by the authorised
15 16:17:43 representative. Article 16.1, in writing signed by
16 16:17:46 authorised representative. 16.2, documents transferred
17 16:17:49 by fax or email should be replaced with originals, hard
18 16:17:53 copy.
19 16:17:55 The letter of 1 April was made on paper
20 16:17:57 countersigned by Mr Vujnovac himself and he has never
21 16:18:01 claimed that his signature to be forged or --
22 16:18:04 importantly, the hard copy of the signed letter was
23 16:18:08 immediately despatched by the respondent to the
24 16:18:10 claimant, and why would have respondent done that if it
25 16:18:17 did not regard this letter to be an amendment subject to

01 16:18:19 article 16.2? Clearly.

02 16:18:24 Well, in any event, even there was a requirement to

03 16:18:30 draft -- well, even if there was a requirement to draft

04 16:18:33 a formal amendment with a title "Amendment" as the

05 16:18:38 parties did in the past, it is still excessively

06 16:18:45 formalistic to request that.

07 16:18:46 Yes, the other amendments to the contract were

08 16:18:49 labelled as amendments, but their content was different,

09 16:18:51 and they mainly dealt either with price revision or they

10 16:18:55 dealt with the quantities under the contract and that

11 16:18:58 implied formulas and that had to be the part of the

12 16:19:01 contract to be submitted actually to the bank for the

13 16:19:04 **currency controls. That's the proper English word: for**

14 16:19:11 the currency controls.

15 16:19:12 Here, the content of the letter did not necessarily

16 16:19:16 require formal title amendment.

17 16:19:20 But article 29.2 of the CISG provides that an

18 16:19:25 agreement that contains a provision requiring any

19 16:19:27 modification or termination to be in writing, cannot be

20 16:19:31 modified or terminated otherwise.

21 16:19:33 However, the second sentence of this paragraph,

22 16:19:35 subject if requirement to the principle of estoppel, the

23 16:19:39 party may be precluded by its conduct from raising

24 16:19:42 objections to the form of modification if the other

25 16:19:46 party relied on that conduct. And the claimant has

01 16:19:51 clearly foregone the right to raise such an objection

02 16:19:55 because of the clear behaviour that was in place.

03 16:19:59 The conditions for protection of legitimate

04 16:20:01 expectations under article 29 of the CISG are on the

05 16:20:06 slides. Of relevance are the two of them.

06 16:20:10 Well, to begin with, behaviour giving rise to trust.

07 16:20:15 Well, according to commentaries, even silence, in

08 16:20:17 combination with conduct or other circumstances, may be

09 16:20:20 even sufficient to establish acceptance of modification.

10 16:20:24 PPD's conduct throughout April-October 2022 passes

11 16:20:28 this test by a margin.

12 16:20:30 Claimant induced respondent's reliance on the

13 16:20:33 acceptance of modification by promptly and cooperatively

14 16:20:36 taking all necessary steps to open the type "K" account

15 16:20:40 in euro and in rouble. Posted nominations of volumes

16 16:20:44 under the contract. Accepted the supplies. Paid for

17 16:20:47 the supplies via the payment mechanism.

18 16:20:51 As for the effective agreement, except for formal

19 16:20:55 defects, since CISG does not govern issue of

20 16:20:58 representation at all, the relevance of this criteria in

21 16:21:00 the application of this provision is questionable and

22 16:21:02 therefore is not relevant for us.

23 16:21:05 But as for the actual trust, there was indeed GPE

24 16:21:11 relying on the conduct of the other party.

25 16:21:14 The asserting party's reliance can be indicated by

01 16:21:17 a range of actions, primarily by the performance of the
02 16:21:19 contract. Respondent in reliance on this conduct of the
03 16:21:23 claimant dutifully supplied gas upon claimant's
04 16:21:28 nominations and particularly by 26 May 2022, claimant
05 16:21:34 had already offtaken most an entire monthly supply. Is
06 16:21:40 not that behaviour self-speaking? And could not it
07 16:21:45 create actual trust?
08 16:21:48 As for the worthiness of protection, this criterion,
09 16:21:52 according to the commentators, merely adds
10 16:21:54 a qualification of reasonableness to the above
11 16:21:56 substantive conditions of reliance inducing and reliance
12 16:22:00 based conduct. While according to the claimant's
13 16:22:02 authorities, the reasonableness requirement implies that
14 16:22:04 if a party declares that it does not feel bound by the
15 16:22:08 changes due to the written form requirement, this also
16 16:22:12 destroys the trust with effect of ex tunc.
17 16:22:15 The claimant believes that the letter of
18 16:22:17 26 May 2022, where it expressly confirmed its intention
19 16:22:23 to fulfil the payment obligations in accordance with the
20 16:22:26 decree, but stated that it should not be construed as
21 16:22:28 acceptance of proposal, constituted such a declaration.
22 16:22:34 This allegation is wrong.
23 16:22:37 The reasonableness of reliance does not depend on
24 16:22:40 whether the party recognises the validity of
25 16:22:43 modification. It only matters whether the party

01 16:22:46 sufficiently indicated by its conduct that it will in
02 16:22:50 fact follow the agreement, regardless of whether it is
03 16:22:53 subjectively believed that this agreement is valid, or
04 16:22:56 gave it other subjective legal qualifications.
05 16:23:00 To put it simply, article 29.2 of the CISG was
06 16:23:04 designed to protect trust induced by the other party's
07 16:23:06 conduct. Both are questions of fact.
08 16:23:11 Even if the letter of 26 May 2022 could be given any
09 16:23:16 legal meaning, it still could not qualify as
10 16:23:19 a notification of the claimant's refusal to be bound by
11 16:23:22 the modification from then on, since it only confirmed
12 16:23:27 that the claimant will pay in accordance with the new
13 16:23:30 payment mechanism. Ie, that it will in fact accept the
14 16:23:33 agreement.
15 16:23:34 Hence, such conduct is sufficient to induce
16 16:23:37 reasonable reliance of the respondent.
17 16:23:41 Essentially, claimant seeks nothing but a second
18 16:23:45 bite of a cherry, suggesting that a letter sent
19 16:23:48 two months after the acceptance should somehow annul the
20 16:23:51 acceptance and/or eliminate the reliance induced by its
21 16:23:55 conduct throughout these two months. This cannot be
22 16:23:58 allowed.
23 16:23:59 In reality, the letter of 26 May which the claimant
24 16:24:02 labels "payment under protest" is of no help to the
25 16:24:06 claimant under the applicable legal standards.

01 16:24:09 Under article 22 of the CISG, the acceptance may be
02 16:24:13 withdrawn if the withdrawal reaches the offer before or
03 16:24:17 at the same time as the acceptance would have become
04 16:24:21 effective at the moment the indication of assent reaches
05 16:24:28 the offer.
06 16:24:31 Same applies to corrections, extensions,
07 16:24:33 restrictions, modifications of acceptance.
08 16:24:36 Hence, the PPD's acceptance of the 1 April offer
09 16:24:40 could not be revoked after 4 April.
10 16:24:44 Moreover, this vague and very unclear attempt to
11 16:24:48 kind of withdraw earlier consent was overridden by
12 16:24:52 consistent and subsequent further conduct, confirming
13 16:24:55 the claimant's consent to the new payment mechanism.
14 16:24:58 This alleged protest of the 26 May was not motivated
15 16:25:03 by any objective circumstances. There were no
16 16:25:05 meaningful developments in the EU sanctions policy for
17 16:25:08 instance in which claimant believes there were so many
18 16:25:13 risks associated to these payments. There were no other
19 16:25:19 reasonable grounds to believe that the circumstances
20 16:25:21 have changed. The claimant's authorities do not
21 16:25:24 represent the official stance of the EU on the legality
22 16:25:27 of the payment mechanism during this time changing.
23 16:25:31 So finally, here, even if none of the above
24 16:25:36 arguments about express consent of the claimant were
25 16:25:39 true, and the claimant actually revoked its consent on

01 16:25:44 26 May 2022, the modification was still accepted by the
02 16:25:49 further consistent conduct of PPD, both prior and after
03 16:25:54 26 May.
04 16:25:56 As demonstrated on the slide, the assent to an offer
05 16:26:00 may be given by various forms of conduct. All of these
06 16:26:03 examples may be found in our case.
07 16:26:06 PPD has been nominating and offtaking gas, both
08 16:26:09 before and after 26 May, perfectly knowing that the only
09 16:26:13 way these payments could be paid was in accordance with
10 16:26:16 the payment mechanism they are so unhappy with.
11 16:26:20 Remarkably, even on 31 October 2022, when PPD
12 16:26:26 informs GPE that September supplies would not be paid
13 16:26:28 for because of the changed political environment, PPD
14 16:26:32 nevertheless acknowledges that it has a payment
15 16:26:35 obligation under the decree. They acknowledge that they
16 16:26:38 have a payment obligation under the decree and not
17 16:26:41 otherwise.
18 16:26:43 The claimant's contention that respondent imposed
19 16:26:45 the modification on claimant via threat and duress is
20 16:26:51 plainly wrong.
21 16:26:53 The letter of 1 April 2022 was nothing more than
22 16:26:58 a notification of new requirements that are contained in
23 16:27:01 a binding decree, making it thus impossible for the
24 16:27:05 respondent to continue supplies under the contract
25 16:27:08 unless the decree was complied with and the contract was

01 16:27:14 accordingly altered.

02 16:27:15 If a person suffers from the pressure of

03 16:27:18 circumstances, without this pressure being wrongfully

04 16:27:21 exercised by the other party, this is not enough to

05 16:27:23 establish duress.

06 16:27:26 **As the Supreme Court of Austria phrases it:**

07 16:27:29 "every pressure creates the pressure of

08 16:27:30 circumstances, however, not every person exposed to the

09 16:27:33 pressure of circumstances is in such a position due to

10 16:27:36 a wrongfully exercise pressure."

11 16:27:39 There was no wrongfully exercised pressure by GPE in

12 16:27:42 this case.

13 16:27:44 The threefold test that is presented by PPD for the

14 16:27:48 duress finds absolutely no grounds in the facts of the

15 16:27:52 dispute with the opposite not proven by the claimant.

16 16:27:57 The action can neither be a lawful or an unlawful

17 16:28:00 threat if it is not a threat at all.

18 16:28:03 And there can be no causal link between a threat and

19 16:28:09 a party's declaration of intent to conclude a contract

20 16:28:11 if there is no threat.

21 16:28:15 The present case is a matching example of the

22 16:28:19 Supreme Court finding. The only and one reason for

23 16:28:21 respondent to suggest the amendment of the contract, as

24 16:28:24 well as to all other respondent's European buyers as

25 16:28:27 well on 1 April 2022, was the enactment of the decree,

01 16:28:32 having its unavoidable effect on both parties in spite
02 16:28:35 of, notwithstanding, the GPE's will.
03 16:28:39 **It is like the atmospheric pressure:** I can like it
04 16:28:42 or dislike it, but it exists.
05 16:28:44 The decree applies irrespective of what the
06 16:28:47 respondent wishes or thinks. The decree authorised the
07 16:28:49 central energy customs to monitor compliance with the
08 16:28:52 decree and, if violated, prohibit supplies. Not GPE,
09 16:28:57 but the central energy customs has control over the
10 16:29:00 infrastructure.
11 16:29:02 Mr Perner, expert of the claimant, fails to take
12 16:29:05 into account the above precedent of the Austrian Supreme
13 16:29:08 Court, which actually distinguishes the pressure of
14 16:29:11 circumstances from the pressure of the unlawful threat,
15 16:29:13 and that results in a logical fallacy.
16 16:29:17 Following his logic, even a letter about an
17 16:29:20 inadvertently falling meteorite, in the hypothetical
18 16:29:25 example, would constitute a threat.
19 16:29:29 Mr Perner's analysis fails to acknowledge the
20 16:29:31 existence of the pressure of circumstances, the
21 16:29:34 meteorite in the respondent's hypothetical example.
22 16:29:37 That's the decree 172 in the case of the contract.
23 16:29:42 In fact, the pressure was put on both parties by the
24 16:29:45 Russian Government, by virtue of unavoidable prohibition
25 16:29:47 of supplies under the contract if the decree is not

01 16:29:50 complied with.

02 16:29:50 The claimant's position, that the respondent was not

03 16:29:56 compelled to comply with the decree and could have

04 16:29:59 attempted to obtain an exemption from the Russian

05 16:30:00 Governmental commission, is entirely wrong. It is built

06 16:30:06 on retrospective and the wrong interpretation of the

07 16:30:08 decree.

08 16:30:10 Special rules to obtain permits at the governmental

09 16:30:17 commission on monitoring foreign investment for the

10 16:30:19 decree were only enacted on 9 April 2022 --

11 16:30:31 **PRESIDENT:** Sorry, we are with you. Do not worry. It's

12 16:30:35 an important matter and I know you're in the middle of

13 16:30:36 the presentation on duress.

14 16:30:38 When you complete the slides on duress, before you

15 16:30:41 move into competition or other topics, we'll make

16 16:30:45 a break. Thank you very much. But we're with you,

17 16:30:47 don't worry.

18 16:30:48 **MR TALANOV:** Thank you, thank you, no, I wanted to make

19 16:30:49 sure that we are all on the same page.

20 16:30:53 So, as I said, the pressure was on both parties and

21 16:31:00 both parties had to comply with the decree and

22 16:31:03 accordingly modify the contract.

23 16:31:05 The claimant's position, that respondent was not

24 16:31:07 compelled to comply with the decree and could have

25 16:31:10 attempted to obtain the exemption from the governmental

01 16:31:14 commission, is entirely wrong for a number of reasons.

02 16:31:17 But here the primary reason, that I mention on the

03 16:31:21 slide, is that there were no rules permitting such

04 16:31:29 exception, exemption, until 9 April 2022, and they only

05 16:31:36 happened five days after the contract was already

06 16:31:38 amended.

07 16:31:40 Clearly, there was already no field for discussion

08 16:31:44 of this kind. Why would you go and seek an exemption if

09 16:31:47 the other party already agreed?

10 16:31:50 GPE could not itself obtain any exemption, even if

11 16:31:53 after enactment of the special rules they wanted to, and

12 16:31:59 say PPD requested that. That never happened.

13 16:32:04 GPE simply has no right under the rules to approach

14 16:32:08 the governmental commission for this kind of exemption.

15 16:32:13 It can only be done by the Ministry of Energy.

16 16:32:16 Well, GPE is not the Ministry of Energy, it's

17 16:32:19 a different entity, it's a different state body and it

18 16:32:22 is not readily available to satisfy all the possible

19 16:32:28 demands that GPE or PPD may have.

20 16:32:31 Despite the statements of the claimant, GPE has

21 16:32:34 absolutely no guarantees of assistance by the ministry

22 16:32:37 under the federal law 59. I'm compelled to comment upon

23 16:32:41 that, that is a very recent argument and we did not have

24 16:32:44 a chance to otherwise address it, but unfortunately here

25 16:32:49 the claimant just simply reads the law wrong, because

01 16:32:54 this law is not applicable and it cannot be used by GPE
02 16:32:58 to approach the ministry.
03 16:33:01 The claimant arguments, that respondent was to
04 16:33:04 renegotiate the terms of the contract to consider the
05 16:33:08 impact of the offer on PPD but instead it magnified the
06 16:33:13 unjust treatment, shows actually that GPE's proposal was
07 16:33:15 obviously considered by claimant as a business offer.
08 16:33:20 The substance is not whether the respondent's
09 16:33:22 business offer was balanced or not, but an allegation of
10 16:33:25 a threat. The influence on the decision-making of the
11 16:33:30 contract partner by introducing fear.
12 16:33:34 Anyway, GPE could not be blamed for negotiating in
13 16:33:37 bad faith as PPD never informed it of any problems and
14 16:33:40 risks regarding the amendment before the breach.
15 16:33:45 The breach, I mean 31 October 2022.
16 16:33:49 On the contrary, PPD returned the countersigned
17 16:33:51 letter in three days, or in one business day, without
18 16:33:56 any comments, counteroffers, even though respondent
19 16:34:00 asked for the confirmation up to 30 May within two
20 16:34:03 months.
21 16:34:06 The only reason why respondent sent the letter of
22 16:34:10 1 April 2022 was nothing about duress; it was the
23 16:34:14 enactment of the decree, which was binding on the
24 16:34:16 respondent and would prevent any supplies to claimant if
25 16:34:20 not complied with.

01 16:34:23 As openly admitted by Ms Ivancic, PPD learned about
02 16:34:27 the decree from media first, and could have equally
03 16:34:32 received information of its content from the public
04 16:34:34 sources.
05 16:34:36 It could have hardly changed anything in the
06 16:34:38 modification, as the letter of 1 April basically quoted
07 16:34:45 the decree 172.
08 16:34:49 In the alternative, claimant failed to demonstrate
09 16:34:52 a causal link between the alleged threat in the letter
10 16:34:55 of 1 April and the modification.
11 16:34:58 As explained by the claimant's own expert Mr Perner,
12 16:35:02 the decisive question is therefore whether PPD would
13 16:35:05 have made its declaration of intent even without the
14 16:35:08 unlawful threat.
15 16:35:10 The abovementioned argument seems self-evident if
16 16:35:13 one appreciates that nothing would have changed if GPE
17 16:35:17 had decided not to notify PPD on the decree's
18 16:35:20 restrictions at all.
19 16:35:22 If the respondent remained silent, if the parties
20 16:35:27 had not agreed upon exactly the same payment mechanism
21 16:35:30 by 30 May 2022, what would happen? The central energy
22 16:35:35 customs of the Russian Federation would eventually have
23 16:35:37 simply cut off supplies to PPD under the specific
24 16:35:40 notice, analogous to the one that GPE shared with PPD
25 16:35:45 ultimately in November 2022.

01 16:35:48 This means that PPD would have made an identical
02 16:35:50 declaration of intent even without the unlawful threat.
03 16:35:55 PPD's argument on duress is based on the premises
04 16:35:58 that it was unable to finance any alternative sources of
05 16:36:01 gas in April and May, while Mr Way, the expert of the
06 16:36:06 claimant, also adds June 2022 in his account.
07 16:36:11 As per the claimant's own narrative, already in
08 16:36:14 summer 2022 the claimant could have concluded a similar
09 16:36:19 contract under similar conditions, or otherwise replaced
10 16:36:22 the volumes paid for, under the modification that it
11 16:36:26 allegedly considered detrimental to itself and
12 16:36:29 countersigned under duress.
13 16:36:31 However, despite all that, it continued to nominate
14 16:36:34 and offtake gas until 31 October.
15 16:36:38 PPD made several steps to get ready for the
16 16:36:39 well-planned breach of the contract.
17 16:36:44 On 12 April 2022 as I already said, PPD signs an
18 16:36:49 agreement with Krk operator in order to book all
19 16:36:52 **remaining available capacity. That's what they demand:**
20 16:36:54 all available capacity. All remaining available
21 16:36:57 capacity for four upcoming years.
22 16:37:00 From June to October 2022, PPD concluded many
23 16:37:05 contracts for the so-called replacement volumes. They
24 16:37:08 are carefully listed by Ms Ivancic in her second witness
25 16:37:12 statement, and we will have a look at those tomorrow.

01 16:37:15 On 30 June 2022, it concluded amendment, actually
02 16:37:20 restated agreement to the LNG agreement, which
03 16:37:24 introduced significant increase in the amount of LNG
04 16:37:27 supplies.
05 16:37:28 No wonder claimant was happy to send the letter of
06 16:37:31 31 October, having the gas supplied already secured,
07 16:37:34 thanks to the deals previously made, and financed from
08 16:37:37 the GPE's continued supplies under the amendment
09 16:37:40 contract terms.
10 16:37:42 The above timeline shows nothing but a cold-blooded
11 16:37:46 month-long preparation for inadmissible, unilateral
12 16:37:50 termination of payments under the contract. Searching
13 16:37:55 for a tool that would let us finish this plan, ie
14 16:37:57 escaping its obligation under the contract without
15 16:37:59 paying for the deliveries already completed. And PPD
16 16:38:04 chose to argue that the modification was imposed under
17 16:38:07 duress.
18 16:38:09 I think we could make a break here. Thank you.
19 16:38:12 **PRESIDENT:** Thank you very much. We will have now
20 16:38:14 a 20-minute break. We'll start in 20 minutes, so at
21 16:38:28 5 o'clock. 22 minutes.
22 16:38:31 (4.38 pm)
23 16:38:34 (Short break)
24 16:38:35 (5.01 pm)
25 17:01:16 **PRESIDENT:** You were allowed 217 minutes. You have used

01 17:01:19 so far 104 minutes, so you have 113 minutes left, and

02 17:01:26 I just checked with our stenotypist, you can go without

03 17:01:31 any break. If you wish to take a break we can take

04 17:01:33 a break, of course, but we're good to go and conclude in

05 17:01:37 one go. But we're in your hands; if you need to take

06 17:01:39 a break at a proper moment in your presentation, feel

07 17:01:42 free to do so.

08 17:01:43 **MR TALANOV:** Thank you so much. In any case, should you

09 17:01:45 feel the need for a break and if my presentation gets

10 17:01:48 too exhaustive, we're happy to accommodate. Please let

11 17:01:55 us know.

12 17:01:56 So the other tool which PPD conveniently employs to

13 17:02:09 shield itself from the obligation that it had actually

14 17:02:12 accepted under the contract, is the reference to the EU

15 17:02:16 sanctions, which do indeed impose a multiple number of

16 17:02:23 prohibitions and restrictions against the Russian

17 17:02:25 parties.

18 17:02:27 However, what is important, PPD's ingenious plan is

19 17:02:31 **shattered by one crucial factor:** there are no

20 17:02:34 prohibitions on Russian natural gas imports, nor are

21 17:02:38 there any prohibitions on the payment mechanism itself.

22 17:02:42 The absence of such prohibition is obvious. No

23 17:02:45 restriction on the Russian natural gas imports can be

24 17:02:48 found in any of the relevant provisions. Many of the

25 17:02:53 articles of the 833rd regulation are designed so they're

01 17:02:58 to specifically exclude their application to the supply
02 17:03:01 of natural gas from Russia into the EU.
03 17:03:04 And the clearcut situation, that there are no
04 17:03:11 restrictions at the EU level, and there is nothing that
05 17:03:16 is deemed to be restricted by the EU authorities,
06 17:03:20 becomes totally obvious, because some of the EU Member
07 17:03:23 States, such as Poland, Lithuania and Estonia, had to
08 17:03:28 implement some of the measures unilaterally, absent
09 17:03:32 rules in common.
10 17:03:34 If Russia's natural gas imports were subject to any
11 17:03:38 prohibitions or restrictions at the EU level, then no
12 17:03:41 unilateral actions of this kind would be required.
13 17:03:44 It is a common knowledge that the REPowerEU
14 17:03:49 initiative plans, so that to phase out the Russian gas
15 17:03:53 imports, is underway only now, and it was adopted
16 17:03:57 relatively recently after three years PPD stopped paying
17 17:04:02 under the contract.
18 17:04:03 So clearly, that none of those obvious and
19 17:04:09 straightforward sanctions were in place.
20 17:04:11 The EU Council has, before REPowerEU plan, never
21 17:04:16 intended to prohibit European companies from fulfilling
22 17:04:20 their obligations under existing long-term gas supply
23 17:04:24 contracts, well, at least until their expiration,
24 17:04:27 because even under this recent initiative, Russian gas
25 17:04:32 phased out by 2027, that is 30 September, by that moment

01 17:04:38 most of the contracts, including PPD contract, would
02 17:04:41 already expire.
03 17:04:44 The introduction of the payment mechanism in March
04 17:04:46 did not somehow get reflected in the position of the
05 17:04:51 European Council. There was absolutely no reaction by
06 17:04:54 the European Council responsible for the sanctions
07 17:04:57 following this move.
08 17:04:59 We see that the council actually, usually very
09 17:05:01 quickly and actively, reacts to the Russian legislation
10 17:05:05 that it deems to affect the objectives of its sanction
11 17:05:09 regime.
12 17:05:09 I could give you a number of examples, but to
13 17:05:11 **mention:** the council implements such measures, for
14 17:05:16 instance, as against the bad well-known, ill-known
15 17:05:19 Lugova(?) law proceedings, initiated before the Russian
16 17:05:25 courts when the Russian courts can exercise exclusive
17 17:05:29 jurisdiction. And whenever that happened and whenever
18 17:05:32 the council considered that to be sanction in
19 17:05:36 compliance, it immediately reacted.
20 17:05:39 Whenever the presidential decree in Russia number
21 17:05:43 302, that is the compensation mechanism for the change
22 17:05:47 of ownership, then, as a mirror to that, the European
23 17:05:53 Union Council enacts a measure to compensate who
24 17:06:00 suffered losses.
25 17:06:01 So council regularly implements measures

01 17:06:04 specifically against such legislation, directly cites
02 17:06:08 it, and like when it does so, it clearly explains that
03 17:06:14 it considers these rules to be contrary to the EU
04 17:06:18 sanctions policy.
05 17:06:19 Nothing has ever been said or done by the council
06 17:06:23 against the decree and the payment mechanism.
07 17:06:27 This actually explains why many European companies,
08 17:06:30 such as PPD, but not only PPD, have agreed to modify
09 17:06:36 their contract with GPE and continued to pay with the
10 17:06:42 new scheme, the new payment mechanism.
11 17:06:45 GPE has even concluded new gas supply contracts with
12 17:06:49 European companies under the very same payment terms of
13 17:06:52 the new decree.
14 17:06:54 Notably, as I already said, no criminal cases, no
15 17:06:58 investigations into any European company related to the
16 17:07:03 use of the payment mechanism has ever been reported.
17 17:07:08 And now you understand the structure of the
18 17:07:11 mechanism, you understand that there is no way you can
19 17:07:14 even try, reach and touch upon a sanctioned entity. So
20 17:07:20 its evident why the European Union bodies don't feel
21 17:07:26 necessary to respond.
22 17:07:30 Even assuming that such prohibitions existed, PPD
23 17:07:33 could at any time request codifications or licences from
24 17:07:37 the Croatian competent authorities, correct? However,
25 17:07:40 PPD has never done so.

01 17:07:43 In that famous letter dated 31 October that I showed
02 17:07:47 you already several times today, PPD refers to some
03 17:07:51 approvals granted by the Croatian Ministry of Foreign
04 17:07:52 Affairs.
05 17:07:55 Well, I put it aside that it is not a competent
06 17:07:59 authority to grant any approvals; maybe Mr Vujnovac
07 17:08:04 knows it better. However, to my knowledge, under the
08 17:08:06 Croatian laws on sanctions, it's the Ministry of Finance
09 17:08:09 and the Ministry of Economy and Sustainable Development
10 17:08:11 who are the competent authorities that really monitor
11 17:08:14 this stuff.
12 17:08:15 But in any case, there is not a single
13 17:08:17 contemporaneous document confirming the existence of any
14 17:08:21 prohibition for PPD to pay under the payment mechanism,
15 17:08:24 any interpretation of sanctions so they're putting any
16 17:08:28 risk on PPD by any of the national or EU level
17 17:08:33 authorities. And that makes it pretty clear what PPD
18 17:08:37 really intends to do is just to use this argument as
19 17:08:42 a shield so that not to comply with its obligations.
20 17:08:47 The council, as I already said, did not prohibit the
21 17:08:50 payment mechanism in general, nor did it prohibit each
22 17:08:53 of the transactions that it implies.
23 17:08:56 The European Commission specifically confirmed, it's
24 17:08:59 there on the slide, it specifically confirmed that
25 17:09:02 European companies are allowed to engage with GPE, open

01 17:09:08 accounts with Gazprombank, make payments to Russian
02 17:09:11 persons and trade on Russian exchanges, including MOEX.
03 17:09:18 Furthermore, to date, the council has not imposed
04 17:09:21 sanctions on participants of the payment mechanism,
05 17:09:23 specifically Gazprombank, Moscow Stock Exchange, Moscow
06 17:09:28 exchange, and the national clearing house, NCC.
07 17:09:33 In the absence of any applicable prohibition, PPD
08 17:09:36 now claims that any payment in euros to Russia
09 17:09:39 constitutes a violation or circumvention of the
10 17:09:42 sanctions or their objectives.
11 17:09:45 In PPD's view, that is because such a transfer makes
12 17:09:48 euros potentially available to sanctioned persons and
13 17:09:53 contributes to the stabilisation of the Russian rouble.
14 17:09:56 And they also claim that the payment mechanism was
15 17:09:59 created to circumvent European sanctions by its nature.
16 17:10:04 Well, essentially, PPD bases its arguments on
17 17:10:08 a pretty incoherently broad and incorrect interpretation
18 17:10:13 of the European sanctions, as I will show.
19 17:10:16 This interpretation would effectively look to
20 17:10:18 prohibition of any payment to Russia or to any Russian
21 17:10:22 person, because any asset that you sell to that Russian
22 17:10:29 person may potentially get resold and therefore may get
23 17:10:35 to a sanctioned person in the very long run.
24 17:10:38 The council has never intended to impose such
25 17:10:41 embargos.

01 17:10:43 PPD argued that payment under the payment mechanism
02 17:10:46 violated the prohibition to make funds and economic
03 17:10:50 resources available to persons included in the sanctions
04 17:10:52 list under the regulation 269, personal sanctions.
05 17:10:59 Because such persons might purchase those imaginary PPD
06 17:11:06 euros, if they existed, on Moscow exchange.
07 17:11:10 As already explained, if one understands how
08 17:11:12 exchange organised trade works and how non-cash foreign
09 17:11:15 transaction works, that they return PPD euros makes
10 17:11:18 completely no sense.
11 17:11:20 However, the payment mechanism does not violate
12 17:11:22 transaction with anyone. The payment mechanism, sorry,
13 17:11:26 does not involve transaction with anyone other than NCC.
14 17:11:31 It's only the clearing house, no one else. As the
15 17:11:34 central counterparty, NCC executes all foreign exchange
16 17:11:39 trades on Moscow exchange by pooling all offsetting
17 17:11:43 positions of its all counterparties into one single
18 17:11:46 debit or credit obligation. As a purchaser, the NCC is
19 17:11:51 the ultimate recipient of foreign currency.
20 17:11:54 Hence, even if we were to assume that there could be
21 17:11:57 identified some PPD euros to which PPD had some
22 17:12:01 proprietary right that follow this property even after
23 17:12:05 it has transferred to Gazprombank -- which is totally
24 17:12:08 wrong -- once these PPD euros were received by NCC, they
25 17:12:13 become part of NCC funds. That's it, full stop.

01 17:12:18 Whoever purchases it from NCC thereafter is none of
02 17:12:21 PPD's business. It has absolutely no relevance to the
03 17:12:25 sanctions application, because that is how the laws on
04 17:12:32 sanctions work. There is no other way to read and apply
05 17:12:35 it.
06 17:12:36 It is confirmed by the EU sanctions expert evidence
07 17:12:39 that is also on the record, that is the leading EU
08 17:12:41 sanctions law firm Daldewolf.
09 17:12:44 Otherwise, if you follow this logic and you worry
10 17:12:49 about who buys anything from NCC, then as I said, you
11 17:12:54 cannot sell anything to anyone, because they can
12 17:12:58 potentially once sell it to a sanctioned Russian entity.
13 17:13:03 Yes, they can do that, but you cannot be put under
14 17:13:07 any liability, even risk of liability for that. Your
15 17:13:13 responsibility as the EU party ends when you understand
16 17:13:18 that the other part of the transaction that you are in
17 17:13:21 is not sanctioned. And here the counterparty is only
18 17:13:25 NCC, the clearing house. That's it.
19 17:13:28 There is frankly no other way to read sanctions.
20 17:13:31 The argument that NCC might sell at least some of
21 17:13:35 the PPD euros to sanctioned persons does not correspond
22 17:13:38 to how foreign exchange works.
23 17:13:41 This is because transactions in euros would not be
24 17:13:43 possible without the participation also of the European
25 17:13:46 correspondent banks, since no foreign bank has direct

01 17:13:51 access to the European financial system.

02 17:13:55 So euros are not kept with Gazprombank. Euros as

03 17:14:02 obligations, as parts of the records, are kept with

04 17:14:06 the correspondent banks in Europe. And as I said, those

05 17:14:10 are the two banks, which we know because of the publicly

06 17:14:14 available rules of the Moscow exchange, those are

07 17:14:19 Commerzbank and Societe Generale.

08 17:14:21 So this is clear to anyone who knows how these banks

09 17:14:24 works, that those funds are not like physical goods.

10 17:14:30 They get reflected on the correspondent accounts of the

11 17:14:33 European correspondent banks.

12 17:14:36 In order to transfer euros to a trader who purchases

13 17:14:39 them on the Moscow exchange after netting, the NCC must

14 17:14:44 instruct whom? Its European correspondent bank to

15 17:14:47 assign the euro claimed to the trader.

16 17:14:51 So effectively what happens, that the European bank

17 17:14:57 when accepting this request from NCC will have to check

18 17:15:02 who gets the funds. Is it a sanctioned entity or not?

19 17:15:07 We have no doubt that the European banks, the two

20 17:15:10 I mentioned, have very strict compliance policies and

21 17:15:13 there is no evidence that they have been involved in any

22 17:15:16 sanctions circumvention or violation.

23 17:15:21 So a transfer would be impossible without the

24 17:15:23 involvement of the European bank.

25 17:15:27 For the same reasons, PPD's argument that its euros

01 17:15:31 could be transferred to a certain state-owned company

02 17:15:34 subject to sanctions under article 5aa lacks merit.

03 17:15:39 However, more importantly, article 5aa, which is one

04 17:15:43 of the grounds of the claim by the PPD, this article

05 17:15:47 directly excludes its application to any transaction

06 17:15:50 necessary for the purchase, import or transport of

07 17:15:54 natural gas from Russia to the EU.

08 17:15:57 Even though the council has been aware that the

09 17:15:59 payment mechanism is an obligatory condition for such

10 17:16:02 imports, the wording of article 5aa has not been amended

11 17:16:07 to this day, and we have no doubt that the EU Council,

12 17:16:10 the EU Commission, know about the decrees.

13 17:16:17 So PPD further argue that transactions under the

14 17:16:20 payment mechanism relate to the management of reserves

15 17:16:23 and assets of the Central Bank, because the Central Bank

16 17:16:28 might purchase, yet again, the so-called non-existent

17 17:16:32 PPD euros on Moscow exchange and, if not, to stabilise

18 17:16:38 Russian rouble exchange, even without any involvement of

19 17:16:40 the CBR, of the Central Bank.

20 17:16:43 However, neither is covered by article 5a of the EU

21 17:16:52 Regulation 833, taking into account its objective, the

22 17:16:57 meaning, and the terms of the legislative context.

23 17:17:03 The goal of this provision that PPD refers to is to

24 17:17:05 restrict access of Central Bank to its assets on the

25 17:17:10 territory of the EU, and that is mostly reasonable.

01 17:17:14 Well, as said, if NCC, as a result of netting, were
02 17:17:19 to order transfer euros to the Central Bank, this would
03 17:17:25 simply not be permitted by Commerzbank or Societe
04 17:17:28 Generale, because they hold NCC euros on their account
05 17:17:33 and they will have to comply with sanctions and permit
06 17:17:36 the transfers.
07 17:17:38 Gazprombank does not have its own euros. All euros
08 17:17:41 are in Europe.
09 17:17:44 On different occasions the council and the European
10 17:17:47 Commission have consistently stated that the aim of
11 17:17:49 article 5a(4) is to prevent the Central Bank of Russia
12 17:17:54 from accessing foreign reserves held in the EU.
13 17:18:01 As amply explained by the respondent in the written
14 17:18:04 submissions, this is one of the reasons why the council
15 17:18:06 **worded article 5a(4) so narrowly:**
16 17:18:10 "Transactions related to the management of reserves
17 17:18:12 as well as assets of the Central Bank of Russia ..."
18 17:18:16 According to the International Monetary Fund, the
19 17:18:18 management of reserves and assets involves allocating
20 17:18:22 assets as an investment to achieve an acceptable level
21 17:18:26 of return.
22 17:18:28 Allocation of assets as an investment to achieve an
23 17:18:32 acceptable level of return, that's the definition of the
24 17:18:34 IMF.
25 17:18:35 This objective can only be achieved through the

01 17:18:38 allocation of foreign exchange reserves held in the form
02 17:18:40 of convertible foreign currency claims of the Central
03 17:18:46 Bank, and to allocate these foreign exchange reserves
04 17:18:55 held in the form of convertible foreign currency claims
05 17:18:58 on non-residents.
06 17:19:01 Examples include the Central Bank of Russia euro
07 17:19:04 deposits, securities, financial derivatives, which are
08 17:19:08 held in euros and they are held with the European
09 17:19:11 companies.
10 17:19:11 And, as you well know, they are now blocked.
11 17:19:16 Not only has the IMF confirmed that other assets
12 17:19:19 cannot be viewed as reserve assets, but the Central Bank
13 17:19:24 of Russia itself has admitted that it had no possibility
14 17:19:27 to prevent the immobilisation of its foreign currency
15 17:19:30 reserves and assets, specifically because, and I quote,
16 17:19:32 "non-cash currency is always reflected in correspondent
17 17:19:37 accounts in foreign banks".
18 17:19:42 Non-cash currency, euro, is in Europe. And there,
19 17:19:47 further, transfers is monitored by the correspondent
20 17:19:52 European bank complying with the sanctions.
21 17:19:57 Today PPD claim that its non-cash payment in euro to
22 17:20:00 Russia contributes to the stabilisation of the Russian
23 17:20:03 rouble, without CBR's intervention. This contradicts
24 17:20:09 the wording of article 584. Article 584 applies to
25 17:20:12 reserves and assets of the Central Bank of Russia. This

01 17:20:16 means that the reserves and the assets must be owned by
02 17:20:18 the Central Bank of Russia.
03 17:20:21 The use of the preposition "of" clearly indicates
04 17:20:24 that article 5a(4) applies only to reserves and assets
05 17:20:27 that are owned or effectively controlled by the Central
06 17:20:30 Bank, and not to every foreign currency payment within
07 17:20:33 Russia. Clearly not.
08 17:20:37 If the council intended to prohibit any payments to
09 17:20:39 Russia that might contribute to its economy, it could
10 17:20:43 perfectly do that, very easy, and that has been done in
11 17:20:48 the past.
12 17:20:49 How was that done? Well, you should just impose
13 17:20:52 personal sanctions on the Central Bank and that's it.
14 17:20:55 As was done in the case of the central banks of Syria
15 17:20:58 and Iran. However, the council opted for a far more
16 17:21:02 limited prohibition, aimed specifically at freezing the
17 17:21:05 Central Bank's assets in Europe. It's just the
18 17:21:10 territorial implication of the rules of the council,
19 17:21:12 which is also reasonable and intuitive.
20 17:21:15 So PPD claims that the CBR participate, the Central
21 17:21:19 Bank of Russia participates in the payment mechanism and
22 17:21:23 this claim is totally unsubstantiated. I explained
23 17:21:26 today how the mechanism works in ample detail and there
24 17:21:30 is no Central Bank involvement as a necessary stage at
25 17:21:35 any of the steps at the payment mechanism realisation.

01 17:21:40 However, under the imperative rules of the Russian
02 17:21:43 law, the Central Bank is permitted to conduct foreign
03 17:21:46 exchange transactions only in two cases. There are two
04 17:21:49 cases when the Central Bank can conduct foreign exchange
05 17:21:53 transactions.
06 17:21:54 One is the so-called direct interventions, and the
07 17:21:58 second is pursuant to the instruction from the Ministry
08 17:22:01 of Finance under the so-called budget rule.
09 17:22:06 However, all such transactions, both under the first
10 17:22:09 and the second route, have been stopped in February 2022
11 17:22:14 for obvious reasons. There is enough evidence on the
12 17:22:18 record to that extent.
13 17:22:21 Consequently, PPD's payment under the contract were
14 17:22:24 in no way related to the management of the Central
15 17:22:26 Bank's reserves and assets, nor do they at all involve
16 17:22:30 the Central Bank at any stage of the transaction.
17 17:22:34 PPD also puts forward the argument that its payments
18 17:22:37 under the payment mechanism may also involve providing
19 17:22:41 loans or credits to the Central Bank.
20 17:22:44 However, PPD fails to consider that the Central Bank
21 17:22:47 does not participate in the payment mechanism at any
22 17:22:50 moment of time.
23 17:22:52 It also conveniently misreads the full text of
24 17:22:55 article 5a(2), the second part of article 5a, which
25 17:22:59 explicitly excludes payment for non-prohibited imports,

01 17:23:03 our case, exports of goods between the Union, and any
02 17:23:07 third state including Russia.
03 17:23:11 Apparently, aware of the weakness of its position on
04 17:23:15 the EU sanctions, PPD comes up with a fresh idea, with
05 17:23:22 a flawed argument that the payment mechanism was created
06 17:23:25 to circumvent. And what? To circumvent what? To
07 17:23:29 circumvent the effect of sanctions by ensuring the
08 17:23:33 financial stabilities of the Russian Federation.
09 17:23:34 Notably, none of the applicable regulations use the
10 17:23:39 term "effect of sanctions".
11 17:23:43 In fact, EU law provides a very precise definition
12 17:23:45 of circumvention. It's a very clear definition. And it
13 17:23:50 should be clear, because it entails serious
14 17:23:53 consequences.
15 17:23:55 So the EU law provides a very precise definition of
16 17:23:56 circumvention. That does not apply to the payment
17 17:23:59 mechanism at any point.
18 17:24:02 The definition is on the slide and as I explained,
19 17:24:05 the payment mechanism did not compel PPD to use,
20 17:24:09 transfer or dispose of any frozen funds or economic
21 17:24:13 resources.
22 17:24:15 **That is what circumvention is:** disposal, use,
23 17:24:20 transfer of frozen funds or economic resources.
24 17:24:24 If we were to go beyond the bald populism and these
25 17:24:29 general statements of the effects and spirits of

01 17:24:31 sanctions, we would see that the definition of
02 17:24:34 circumvention is very clear and it has just nothing in
03 17:24:37 common with the effects of sanctions doctrine invented
04 17:24:41 by PPD.
05 17:24:43 Furthermore, the purpose of the payment mechanism
06 17:24:45 was made abundantly clear. It was introduced as
07 17:24:50 a special procedure for fulfilling obligations to
08 17:24:53 Russian natural gas supplies.
09 17:24:56 There is actually and frankly no need for conspiracy
10 17:25:00 theories or red flag guesswork by long-retired banking
11 17:25:04 experts.
12 17:25:06 The reason for the creation of the decree has been
13 17:25:09 explained by President Putin on the very same day the
14 17:25:12 decree was adopted. It's on the record.
15 17:25:15 The reason behind the mechanism was the risk of such
16 17:25:20 payments being routinely blocked by European banks due
17 17:25:23 to overcompliance, and the assessment of those direct
18 17:25:27 transfers which PPD now advocates for is not
19 17:25:31 sufficiently transparent, especially at the beginning of
20 17:25:34 2022.
21 17:25:36 Even the GPE in these proceedings encountered
22 17:25:41 numerous issues with payments regarding to arbitration,
23 17:25:43 carved out of any sanctions.
24 17:25:47 Despite all of that, paying is not easy. So the
25 17:25:54 goal of the mechanism was to introduce a clear scheme,

01 17:25:58 with the clearing house and the exchange involved, so

02 17:26:03 that all persons participating in the mechanism are

03 17:26:08 known.

04 17:26:08 The EU sanctions did not alter PPD payments under

05 17:26:12 the mechanism. The PPD extremely broad interpretation

06 17:26:17 of sanctions is really of no help so that to protect

07 17:26:22 itself from the payment obligations, because frankly

08 17:26:26 there are absolutely, in addition to what I said, no

09 17:26:29 contemporaneous documents that would make reference to

10 17:26:33 sanctions.

11 17:26:34 All this was made up solely with a view to

12 17:26:38 conveniently avoid payments under the guise of

13 17:26:41 non-existent sanctions concerns.

14 17:26:45 Now, with your kind permission, we will switch some

15 17:26:48 of the slides and my colleague Natalia will get back to

16 17:26:51 that, and I would like now to address the issues related

17 17:26:54 to CISG. Slide 76 for ease of reference.

18 17:27:02 Article 9.10 of the contract provides a plain remedy

19 17:27:05 for a situation where the payment was effected in due

20 17:27:10 time -- where the payment was not effected in due time.

21 17:27:14 The seller is entitled to suspend the deliveries of

22 17:27:17 gas until such payment is effected.

23 17:27:20 So there is a contract remedy available to the party

24 17:27:24 in case of non-payment in due time.

25 17:27:28 While claimant argues that before the decree came to

01 17:27:32 life, before the decree 172 was enacted, respondent had
02 17:27:36 never suspended supplies in response to the claimant's
03 17:27:39 breaches, true, nonetheless, this provision is there in
04 17:27:44 the contract.
05 17:27:46 It can barely justify the claimant's expectations
06 17:27:49 that respondent would never exercise this right in
07 17:27:52 future if the claimant keeps non-paying.
08 17:27:57 So this right has always been available to the
09 17:27:59 respondent in case of even slightest delay, regardless
10 17:28:04 of the decree 172.
11 17:28:08 Article 71(1) of the CISG provides for the same
12 17:28:11 right in case it becomes apparent that the other party
13 17:28:14 will not perform a substantial part of his obligation,
14 17:28:16 of its obligation, as a result of a serious deficiency
15 17:28:19 in its ability to perform, or its conduct in preparing
16 17:28:22 to perform, or in performing the contract.
17 17:28:26 In particular, say with respect to instalment
18 17:28:29 contracts, if the buyer has not paid an outstanding rate
19 17:28:33 for a previous delivery, the seller is entitled to
20 17:28:36 suspend further supplies.
21 17:28:38 The claimant's failure to pay for the earlier, say
22 17:28:42 September 2022 supply, and its express refusal to pay in
23 17:28:47 accordance with the decree thereafter, made it apparent
24 17:28:50 to the respondent that claimant could not perform its
25 17:28:53 obligations under the contract ever since.

01 17:28:56 Importantly, both rules, contractual and the CISG,
02 17:29:00 refer to the more failure to perform, unlawful or not.
03 17:29:04 Hence, even if PPD was for any reason excused for its
04 17:29:10 failure to pay, GPE would still have the right to
05 17:29:14 suspend.
06 17:29:17 Another feature of the CISG which does not favour
07 17:29:21 claimant's case is that the modalities of payment,
08 17:29:23 currency, time, procedure, et cetera, are also outside
09 17:29:27 of the scope of the discussion about the lawfulness of
10 17:29:30 the GPE suspension.
11 17:29:31 The CISG clearly distinguishes the obligation to pay
12 17:29:35 in accordance with all requirements of the contract and
13 17:29:38 the other applicable formalities as provided in
14 17:29:41 article 54, from the obligation to pay in principle
15 17:29:45 under article 53. The buyer's inability to fulfil all
16 17:29:49 requirements and pay properly under the contract and
17 17:29:52 applicable laws does not relieve it from an obligation
18 17:29:56 to pay in principle.
19 17:29:58 Accordingly, putting the claimant's case at its
20 17:30:01 highest, and assuming that it was not bound to comply
21 17:30:04 with the decree 172, that it did not accept the
22 17:30:08 modification, or that the modification was invalid or
23 17:30:11 that claimant had another ground for lawful non-payment
24 17:30:14 for September and October supplies -- while only
25 17:30:17 hypothetically because the claimant has not pleaded any

01 17:30:20 other defences so far -- respondent was still entitled
02 17:30:25 to suspend the supplies as of 31 October 2022.
03 17:30:31 Alternatively, GPE was entitled to suspend supplies
04 17:30:35 by virtue of force majeure.
05 17:30:39 Under both article 11 of the contract and article 79
06 17:30:44 of CISG, the impediment, force majeure, is an event or
07 17:30:49 circumstance that affects performance of one of the
08 17:30:52 parties and, one, was beyond its control, two, was not
09 17:30:56 reasonably foreseeable at the moment of the conclusion
10 17:30:59 of the contract, three, could not be avoided or
11 17:31:02 overcome.
12 17:31:04 Decree 172 provided for the prohibition of supplies
13 17:31:08 to foreign buyers who failed to comply with its payment
14 17:31:12 obligations. So this prohibition was not blanket, it
15 17:31:15 applies only if the buyer failed to pay in accordance
16 17:31:18 with the decree 172.
17 17:31:20 Hence, while the decree 172 was issued on 31 March,
18 17:31:25 the force majeure event in the present case crystallised
19 17:31:30 at the moment when PPD refused to comply with the
20 17:31:32 payment mechanism. And that triggered the prohibition
21 17:31:37 under the decree.
22 17:31:39 Claimant's key objection goes to the first
23 17:31:41 criterion. The claimant challenges the respondent
24 17:31:44 entitlement to rely on the decree as force majeure due
25 17:31:47 to, I quote, "complete unity of interest between Gazprom

01 17:31:52 and the Russian Federation".

02 17:31:54 Well, according to PPD, that does not allow GPE to

03 17:31:59 say that the decree 172 was beyond its control.

04 17:32:03 The claimant's argument that the effects of the

05 17:32:05 decree could be avoided or overcome by GPE equally

06 17:32:09 dwells on the alleged unity of GPE and the Russian

07 17:32:11 State, so we would have to comment on that.

08 17:32:15 The argument however does not have any legal merit.

09 17:32:18 The most straightforward and important argument here is

10 17:32:22 the text of the contract itself.

11 17:32:25 The corresponding provision is here on the slide.

12 17:32:30 Article 11.2(vi) expressly refers to the actions of

13 17:32:31 the Russian Government as a possible force majeure

14 17:32:38 **event. It specifically says:** if that is done by the

15 17:32:42 Russian Government, that is force majeure.

16 17:32:45 This contract was signed in 2017. The same Russian

17 17:32:51 Government had a major stake in Gazprom mother company

18 17:32:55 at all times, including in 2017, when the contract was

19 17:32:59 agreed and signed.

20 17:33:01 So hence, this circumstance alone cannot possibly

21 17:33:05 bar respondent from leading force majeure defence.

22 17:33:12 Second argument is that in any event, respondent has

23 17:33:16 separate legal personality from Gazprom PJSC, and the

24 17:33:20 Russian State as such shall be presumed to be

25 17:33:23 independent from both and be entitled to raise the same

01 17:33:26 claims and defences as private companies do, unless
02 17:33:29 proven otherwise.
03 17:33:32 The presumption may only be overridden in limited
04 17:33:34 cases, and the burden of proving of this case is
05 17:33:41 a pretty high threshold.
06 17:33:45 It lies with the claimant. Contrary to the
07 17:33:48 claimant, the presumption is to the opposite. The
08 17:33:50 separate legal personality of an entity is the
09 17:33:54 presumption and if you want to demonstrate the contrary,
10 17:33:59 a lot of evidence has to be provided and assessed so
11 17:34:04 that to be sufficient.
12 17:34:08 On the question of whether the general presumption
13 17:34:10 of separate legal personality can be rebutted, in which
14 17:34:13 cases both parties relied on the so-called Bockstiegel
15 17:34:19 test. That was already mentioned today. Well, it
16 17:34:21 essentially represents a number of reasoned conclusions
17 17:34:24 of Prof Bockstiegel, based on analysis of cases where
18 17:34:30 those issues arose.
19 17:34:32 This set of conclusions was adopted by many
20 17:34:34 tribunals as an authority guidance. Clearly the
21 17:34:37 tribunal is not bound by this test, but to begin with,
22 17:34:41 we shall clarify that what claimant presents as two
23 17:34:46 tests, general law and administrative law, is in fact
24 17:34:51 a rule for the allocation of the burden of proof, rather
25 17:34:54 than a substantive criterion allowing to define whether

01 17:34:57 it was a general law or administrative law. That we'll
02 17:35:01 look at.
03 17:35:02 Under rule A of this Bockstiegel test, if an act
04 17:35:06 qualifies as administrative act, the presumption is that
05 17:35:10 it does not constitute force majeure for a state
06 17:35:13 enterprise, and the latter therefore bears the burden of
07 17:35:18 proving the opposite.
08 17:35:20 So if it's an administrative act, the presumption is
09 17:35:24 that the act which is administrative does not constitute
10 17:35:28 force majeure, and the enterprise has to rebut the
11 17:35:32 charge.
12 17:35:33 In particular, the presumption may be rebutted by
13 17:35:36 the fact that the administrative act was based on
14 17:35:39 general considerations.
15 17:35:43 Under rule B, if an act qualifies as a general law,
16 17:35:47 the presumption is that a state enterprise may invoke
17 17:35:51 force majeure and the other party shall disprove it.
18 17:35:55 However, what constitutes a general law and general
19 17:35:58 considerations is a different question.
20 17:36:01 The answer to this question lies with the purpose of
21 17:36:03 the public act and the interests pursued by the state in
22 17:36:06 its adoption.
23 17:36:08 So essentially, the tribunal needs to establish an
24 17:36:11 abuse of public authority for commercial benefit of the
25 17:36:15 state as a shareholder of a state company, that the

01 17:36:19 state abused its public authority to meet its commercial
02 17:36:22 interests, to find that the state enterprise is barred
03 17:36:27 from invoking the state act as a force majeure event.
04 17:36:30 That is what is needed.
05 17:36:33 The case law on the question of whether the state
06 17:36:36 enterprise is allowed to invoke state act as an event of
07 17:36:41 force majeure is telling. Due to the time constraints
08 17:36:43 I will clearly not stop at each of these cases. The
09 17:36:47 analysis was set out in detail in section C1 of the
10 17:36:51 GPE's rejoinder.
11 17:36:52 I would only like to note that this table summarises
12 17:36:55 the findings of different tribunals on criteria that are
13 17:36:58 usually considered relevant for the matter and that were
14 17:37:05 particularly raised by the claimant.
15 17:37:09 As we can see, the tribunals do not recognise any
16 17:37:12 presumption that an entity where the state has a share
17 17:37:14 is automatically barred from invoking the state's action
18 17:37:18 as force majeure. No.
19 17:37:20 Rather, they would meticulously engage in
20 17:37:23 a case-by-case analysis to ascertain whether they can
21 17:37:27 depart from the presumption of separate legal
22 17:37:30 personality and declare that the state's act constitute
23 17:37:33 an abuse and, as such, cannot excuse the state's
24 17:37:37 enterprise failure to perform.
25 17:37:40 The case law indicates that neither the level of

01 17:37:45 state's stake or other indication of state's control

02 17:37:49 over the enterprise, nor the state involvement in the

03 17:37:53 conclusion and performance of a particular contract, nor

04 17:37:56 the scope of application of the state act, whether it

05 17:38:00 applied to other entities, but for the responding party

06 17:38:03 in that dispute, were decisive. None of these three

07 17:38:07 were decisive for the question of whether a state

08 17:38:09 enterprise may rely on force majeure or not.

09 17:38:12 The decisive factor was the purpose of the public

10 17:38:15 act, whether the purpose was to meet general public

11 17:38:19 policy considerations.

12 17:38:23 So if the purpose is to meet general public policy

13 17:38:26 considerations, and the measure was not found to

14 17:38:29 constitute an abuse, then the state entity was always

15 17:38:35 allowed to invoke force majeure.

16 17:38:38 The decree 172 was exactly such a measure that

17 17:38:42 pursued a general public policy goal. Why the

18 17:38:45 decree 172 was applicable only to contracts for export

19 17:38:48 of natural gas? It was adopted in a range of other

20 17:38:52 presidential decrees issued in 2022 to tackle or

21 17:38:56 mitigate the risks of foreign trade transactions.

22 17:38:58 It follows directly from the preamble of the decree,

23 17:39:01 which refers to four other decrees adopted earlier that

24 17:39:05 year with the same goal. So this decree is part of

25 17:39:09 a package of measures developed by the Russian

01 17:39:12 Government and it is not a standalone document developed
02 17:39:17 somehow to the benefit of GPE.
03 17:39:21 Meanwhile, absolutely no benefit was gained by the
04 17:39:24 Russian Federation as a shareholder of GPE as well. No
05 17:39:28 commercial interests of the Russian Federation as
06 17:39:30 a shareholder of Gazprom PJSC got protected through this
07 17:39:35 decree.
08 17:39:36 Contrary to the claimant's misconception, it cannot
09 17:39:39 be presumed that the Russian State always acts in the
10 17:39:42 interests of Gazprom mother company or any other company
11 17:39:45 where it holds a share.
12 17:39:47 State measures adopted for public policy reasons,
13 17:39:49 the public interest, are really precluded by the risk of
14 17:39:54 pecuniary losses on the part of the state-owned
15 17:39:57 enterprise and the state as a shareholder. It's
16 17:40:00 a private interest.
17 17:40:01 That was exactly the case with the decree 172 as
18 17:40:04 well as many other instances where the Russian
19 17:40:06 Federation acted in the public interest and contrary to
20 17:40:10 the interest of the state-owned company and itself as
21 17:40:13 a shareholder, if we were to think of it maximising
22 17:40:18 profit as a shareholder of Gazprom Export. Well,
23 17:40:22 remotely.
24 17:40:23 GPE, PJSC Gazprom and its shareholders, including
25 17:40:28 the Russian Federation, did not really benefit from the

01 17:40:31 adoption of the decree.

02 17:40:32 Why so? GPE now has to -- well, to begin with, it

03 17:40:35 is not released from an obligation to supply gas. The

04 17:40:41 contractual price and the conditions of payment, other

05 17:40:44 than the payment mechanism, do not change to the benefit

06 17:40:47 of GPE. GPE did not obtain any contractual rights, but

07 17:40:51 only new obligations.

08 17:40:53 Even the alteration of the payment mechanism under

09 17:40:55 the modification cannot be said to benefit GPE, as this

10 17:40:59 mechanism did not increase the price, did not hasten the

11 17:41:01 moment of the payment. On the opposite, it took effort,

12 17:41:06 cost, for GPE to comply with the decree, and actually it

13 17:41:11 had to deal now with a lot of contracts with foreign

14 17:41:14 buyers and some of them, unlike PPD, refused to continue

15 17:41:18 the contracts on the new conditions and they did it

16 17:41:22 straightaway and opted for termination. That's how

17 17:41:25 diligent counterparties act.

18 17:41:28 So it contributed ultimately to the historical net

19 17:41:32 loss of Gazprom group, actually at an amount of

20 17:41:37 USD 7 billion in 2023.

21 17:41:40 So it is also worth reminding that in this

22 17:41:45 particular dispute, it is GPE who ended up with an

23 17:41:49 undisputed loss of over 350 million, which PPD plainly

24 17:41:54 refuses to pay for two months of gas supplies.

25 17:41:57 In this vein, claimant's points on the complete

01 17:42:01 unity of interest between Gazprom and the Russian
02 17:42:04 Federation is remarkably ignorant. The claimant's
03 17:42:08 suggestion that the interests of the Russian State was
04 17:42:11 in protecting Gazprom revenues from sanctions is
05 17:42:16 nonsensical, as decree 172 has in fact done the
06 17:42:20 **opposite**: negatively affected those revenues.
07 17:42:28 Now, the claimant also raises a new argument in its
08 17:42:33 recent submission suggesting that GPE actually was not
09 17:42:38 able to perform because it was supposed to explore the
10 17:42:43 alternatives, which we can see on the slide.
11 17:42:46 So the claimant suggests that GPE European
12 17:42:48 subsidiaries should have been used to procure gas at
13 17:42:52 European hubs and supply it to PPD for euros, or GPE
14 17:42:57 European subsidiaries should have supplied GPE gas to
15 17:42:59 PPD for euros and paid to GPE via payment mechanism.
16 17:43:03 Well, none of this, however, from a legal standpoint, is
17 17:43:08 any alternative form of performance.
18 17:43:11 First, it is well established in CISG that the
19 17:43:15 seller's obligation consists either in despatch of the
20 17:43:18 goods to the buyer, or in placing the good at the
21 17:43:21 buyer's disposal, making it available. Arranging and
22 17:43:26 ensuring that these actions are carried out in favour of
23 17:43:28 the buyer by a third party, who is not a party to the
24 17:43:32 contract, cannot be considered to constitute performance
25 17:43:35 of the seller's obligation. It's not performance.

01 17:43:40 Yes, the assignment of right or obligations is
02 17:43:42 possible and it was in principle permitted under the
03 17:43:46 contract. That is not disputed.
04 17:43:48 However, that by no means would have qualified as
05 17:43:51 performance of the seller obligations, in the sense of
06 17:43:55 article 30 of CISG governs the seller's obligations, and
07 17:43:59 article 79, force majeure.
08 17:44:02 In this regard, Prof Perner's opinion that contract
09 17:44:05 transfer was a commercially reasonable substitute, well,
10 17:44:07 potentially commercially, yes, but then the respondent
11 17:44:14 was not obliged to seek and propose to claimant, because
12 17:44:18 this reasonable commercial substitute has no support in
13 17:44:22 the applicable legal framework. It is untenable.
14 17:44:26 It is no surprise that none of the authorities
15 17:44:28 brought up by Prof Perner actually suggested transfer of
16 17:44:32 contract as a substitute.
17 17:44:34 Second, this suggestion, to transfer the contract to
18 17:44:38 the EU subsidiary, contradicts claimant's own arguments
19 17:44:42 on EU sanctions. That is the most cherished baby in
20 17:44:47 this case theory.
21 17:44:48 If claimant was right in its allegation that the
22 17:44:51 payment mechanism contravened EU sanctions, an
23 17:44:55 assignment of contract by GPE to a 100 per cent
24 17:44:58 controlled subsidiary only to avoid application of this
25 17:45:01 mechanism would, under the claimant's own interpretation

01 17:45:05 of sanctions, qualify as circumvention of EU sanctions

02 17:45:12 falling within that definition.

03 17:45:14 Third, this would be in any event a temporary

04 17:45:18 solution, as to the best of our knowledge GPE has pretty

05 17:45:21 soon lost control over its European subsidiaries, as

06 17:45:25 claimant itself notes in the rejoinder.

07 17:45:29 Finally, claimant's objection dwells on the lack of

08 17:45:34 force majeure notification. As argued by the respondent

09 17:45:38 from the outset, the CISG approach to notification is

10 17:45:42 that of substance and not the form.

11 17:45:45 Hence, if the notification met the purposes and was

12 17:45:49 sufficiently clear to inform the party of the

13 17:45:51 impediment, the affected party has discharged the duty.

14 17:45:57 What has to be done is that notification needs the

15 17:46:01 purposes and is sufficiently clear to inform the party

16 17:46:04 of the impediment.

17 17:46:06 This was done initially on 1 April 2022 when

18 17:46:10 respondent flagged the impediment to claimant.

19 17:46:13 However, at that point the impediment did not

20 17:46:15 produce effect on the respondent's ability to perform,

21 17:46:18 because claimant agreed to renegotiate, to adapt the

22 17:46:25 contract to overcome the obstacle and prevent the

23 17:46:27 prohibition of supplies.

24 17:46:29 Then on 3 November 2022 the claimant refused to

25 17:46:34 continue with this adjustment and now failed to pay for

01 17:46:37 the September 2022 supplies.

02 17:46:41 This triggered the prohibition under paragraph 1 of

03 17:46:44 the decree 172. GPE receives an order from the central

04 17:46:48 customs authorities confirming that GPE was simply

05 17:46:52 obliged to stop the supplies from 1 November 2022

06 17:46:56 onwards, of which GPE notifies PPD immediately.

07 17:47:02 This constitutes a genuine notice of force majeure

08 17:47:04 in a sense that it was made already after the force

09 17:47:07 majeure produced effect on the particular performance of

10 17:47:11 the respondent under the contract, although it is

11 17:47:14 important that respondent has been diligently and in

12 17:47:17 good faith flagging the possibility and conditions of

13 17:47:20 such event, the prohibitions of supplies, in its letter

14 17:47:24 of 1 April, in its letter of 5 May, in its letter of

15 17:47:29 31 October when it reminded the claimant about the

16 17:47:32 payment due date. No measures were adopted by the

17 17:47:36 claimant to address this obstacle.

18 17:47:40 That concludes my part of the submission and I will

19 17:47:42 hand over to my colleague Natalia Soldatenkova, thank

20 17:47:48 you.

21 17:47:49 Opening submissions by Ms Soldatenkova

22 17:48:03 **MS SOLDATENKOVA:** How much time do we have left so that

23 17:48:05 I can properly time myself? I think it should be around

24 17:48:13 one hour, but I'm not sure about the minutes precisely.

25 17:48:22 **PRESIDENT:** 58 minutes.

01 17:48:24 **MS SOLDATENKOVA:** Perfect.

02 17:48:25 **PRESIDENT:** Roughly 58 minutes. It could be round up or

03 17:48:29 down by 1 minute.

04 17:48:30 **MS SOLDATENKOVA:** I will try to be as brief as possible,

05 17:48:31 and maybe some of the subjects --

06 17:48:33 **PRESIDENT:** Take your time, you have the time.

07 17:48:34 **MS SOLDATENKOVA:** On some of the subjects, you will have

08 17:48:35 to hear more from the experts and maybe in the closings

09 17:48:38 submissions, as far as they concern the legal expertise.

10 17:48:41 Now, moving to the next slide, the tribunal has

11 17:48:44 already been addressed on the timeline and when the

12 17:48:47 supplemental claim was submitted.

13 17:48:49 Next slide.

14 17:48:52 My screen works a little bit slower. Sorry for

15 17:48:55 this.

16 17:48:56 Now, the tribunal has already been updated on the

17 17:48:58 matter and the supplemental claim was in fact never part

18 17:49:01 of the original request for arbitration. And even in

19 17:49:04 the public communications, after the parties' dispute

20 17:49:07 broke out, the claimant's beneficiary and the president

21 17:49:13 of the management board never mentioned that there is in

22 17:49:16 fact any grievance in relation to GPE in relation to the

23 17:49:20 events in 2021 and 2022.

24 17:49:23 This is it for the historical aspect of that claim.

25 17:49:25 The claim, as the tribunal will see on the next

01 17:49:27 slide, also changed very substantially.

02 17:49:30 So if initially in the present case claimant

03 17:49:35 submitted three separate grounds of claims, including

04 17:49:37 lockout from auction pricing and abusive discrimination

05 17:49:40 and leveraging through subsidiaries, well, in the

06 17:49:44 statement of claim, on 4 April 2024, all of these claims

07 17:49:48 were dropped, and the only claim which is remaining in

08 17:49:51 these proceedings relates to this alleged unlawful

09 17:49:55 capacity withholding.

10 17:49:56 Now, enough for history, and we will move, if we can

11 17:50:00 go back to the previous slide, and I will briefly

12 17:50:03 address the tribunal with the structure of the

13 17:50:05 respondent's objections in relation to the supplemental

14 17:50:09 claim.

15 17:50:09 So the respondent's first objection is the tribunal

16 17:50:14 has no jurisdiction over the supplemental claim in

17 17:50:17 general.

18 17:50:18 Second, the REMIT claim, which forms part of the

19 17:50:21 supplemental claim, is not arbitrable.

20 17:50:24 Third, even if the tribunal finds that it has

21 17:50:27 jurisdiction over the supplemental claim, in any event

22 17:50:30 the claimant failed to prove this claim in substance

23 17:50:34 under the applicable law. And this goes both to the

24 17:50:37 third and the fourth ground that the tribunal can see on

25 17:50:40 the screen.

01 17:50:41 So the claim fails both as a matter of applicable
02 17:50:44 competition law and REMIT, and as a matter of applicable
03 17:50:48 private law on which claimant bases its claim for
04 17:50:51 damages.
05 17:50:52 Finally, I will very briefly address what claimant
06 17:50:55 calls market manipulation damages, and show that they
07 17:51:00 also significantly overstate it.
08 17:51:02 Moving to the jurisdictional objection, and we have
09 17:51:04 to skip one slide one more time, the tribunal is well
10 17:51:12 familiar by now with the arbitration clause in clause 14
11 17:51:15 of the contract, and this arbitration clause contains
12 17:51:17 some very specific wording, which specifically says that
13 17:51:17 the arbitral award has to be enforceable under the New
14 17:51:25 York Convention.
15 17:51:27 The arbitration clause also points to a seat in
16 17:51:31 Austria.
17 17:51:32 What is peculiar here is that both Austrian law and
18 17:51:35 the New York Convention in article 2.1 contain
19 17:51:40 a reference to a defined legal relationship to which the
20 17:51:43 arbitration agreement must be linked.
21 17:51:45 The commentary to the New York Convention emphasises
22 17:51:48 that the reason why there is a reference to the defined
23 17:51:51 legal relationship in the convention is exactly to
24 17:51:55 protect the parties from unnecessarily expanding the
25 17:51:59 scope of potential disputes which can go to arbitration

01 17:52:02 instead of state courts.

02 17:52:04 Now, moving to the next slide, let us briefly have

03 17:52:08 a look at how the claimant frames its claim. In the

04 17:52:12 present case the arbitration clause is part of the

05 17:52:15 contract, it's not a separate agreement. It's contained

06 17:52:19 in article 14 of the contract. It also contains wording

07 17:52:22 referring to the contract, although respondent admits

08 17:52:25 that this wording is very broad.

09 17:52:28 Let's look at the claimant's claim.

10 17:52:30 Claimant does not plead that respondent committed

11 17:52:34 any market manipulation, any competition law or REMIT

12 17:52:38 violation with -- and at the same time violated

13 17:52:40 a contractual provision. This is not a claim the

14 17:52:44 claimant is making before this tribunal.

15 17:52:47 Claimant argues that the contractual link between

16 17:52:50 the supplemental claim and the contract is in fact the

17 17:52:54 contract price, which increased because, as per

18 17:52:58 claimant, respondent's actions were the reason behind

19 17:53:01 the rise of the TTF index. And the contract price was

20 17:53:05 linked to that TTF index.

21 17:53:08 Now, that could have been the case if the

22 17:53:10 supplemental claim by claimant remained in its original

23 17:53:14 form as when it was filed on 28 August 2023.

24 17:53:20 At this time, when the claimant first announced its

25 17:53:23 competition law and REMIT claims, it indeed asked to be

01 17:53:26 compensated for the excessive payments, because the
02 17:53:30 contract price rose because of the TTF index price.
03 17:53:34 Now, in the present documents, so how the
04 17:53:39 supplemental claim developed for instance in the
05 17:53:41 statement of -- in the claimant's latest submission,
06 17:53:44 which is the statement of reply, the tribunal can see
07 17:53:48 the wording in the slides. So this is the only type of
08 17:53:51 relief that the claimant is asking for with respect to
09 17:53:55 the supplemental claim.
10 17:53:57 Claimant does not seek any excessive contractual
11 17:54:00 payments. Claimant seeks to recover damages which
12 17:54:04 relate to its relations with third parties, who stopped
13 17:54:09 purchasing gas from claimant, who failed to pay for
14 17:54:12 supplies, who refused to patch PPD's transactions.
15 17:54:17 In theory, such claims could be brought against GPE,
16 17:54:19 although not arbitration but to a national court, even
17 17:54:23 in the absence of the contract and even in the absence
18 17:54:28 of the arbitration agreement.
19 17:54:30 If we can move to the next slide.
20 17:54:32 The tribunal will see one of the precedents on which
21 17:54:35 claimant relies quite heavily, which is a decision by
22 17:54:37 the Austrian Supreme Court in 2020.
23 17:54:42 Now in that case, the national court indeed found
24 17:54:47 that the arbitration agreement covered the competition
25 17:54:50 law claim. But there was one important difference,

01 17:54:53 because the competition law violation in that case,
02 17:54:55 actually as per the claimant's position in that case,
03 17:55:00 affected the validity of the contract.
04 17:55:04 In the present case it arguably applies to one of
05 17:55:07 the claimant's objections against the validity of the
06 17:55:10 modification, which is abuse of dominance, and
07 17:55:14 respondent does not challenge jurisdiction with respect
08 17:55:16 to that objection to the modification.
09 17:55:20 Respondent challenges jurisdiction only with respect
10 17:55:22 to the supplemental claim and also the claims under
11 17:55:24 article 102 of the Treaty on the Functioning of the
12 17:55:28 European Union and REMIT in relation to the events of
13 17:55:33 2021 and 2022.
14 17:55:36 We will focus more on them throughout the
15 17:55:38 presentation.
16 17:55:40 To explain why there is no in fact requirement of
17 17:55:43 the defined legal relationship, claimant's expert
18 17:55:47 Dr Koller referred to the European Convention, although
19 17:55:50 the tribunal considers respondent's pleadings in that
20 17:55:53 respect and this is addressed quite in detail on them.
21 17:55:56 European Convention in fact rather reinforces
22 17:55:59 respondent's position, because European Convention, as
23 17:56:04 the drafting documents do clearly demonstrate, actually
24 17:56:07 presupposes that it applies to disputes which are
25 17:56:10 considered to be commercial in nature.

01 17:56:15 This commerciality of disputes is determined in
02 17:56:17 accordance with the law of the parties to the dispute or
03 17:56:20 the parties to the arbitration agreement.
04 17:56:23 In the present case I cannot for sure speak for
05 17:56:26 Croatian law, although I understand that the Croatian
06 17:56:28 law situates competition law disputes as non-arbitrable,
07 17:56:31 but under Russian law those disputes are not considered
08 17:56:35 to be commercial, they are completely public in nature.
09 17:56:37 And for that reason, even if we consider the European
10 17:56:41 Convention as the other side suggested, that would
11 17:56:44 rather support the respondent's position that the
12 17:56:46 supplemental claim in fact falls outside the tribunal's
13 17:56:50 jurisdiction.
14 17:56:51 Now I will briefly address, if we move to the next
15 17:56:53 slide, claimant's proposition that here the parties had
16 17:56:58 an intention not to split disputes.
17 17:57:01 In fact, there is neither general agreement to
18 17:57:04 arbitrate in the present case, nor a one-stop forum, or
19 17:57:09 any other presumption that there is no split
20 17:57:11 jurisdiction between different categories of disputes.
21 17:57:14 This is because in the present case, the arbitration
22 17:57:17 clause is contained in a contract, whereas Austrian law
23 17:57:22 clearly identifies two options how to conclude an
24 17:57:24 **arbitration agreement:** either by concluding it as
25 17:57:28 a separate document, or by including a clause in

01 17:57:30 a contract. And if the parties want a universal
02 17:57:34 arbitral agreement, what claimant calls a general
03 17:57:37 agreement, it seems like having a separate document
04 17:57:40 could be an illogical solution.
05 17:57:42 This is especially so in the present case, because
06 17:57:44 I don't want my argument to appear formalistic, because
07 17:57:47 the parties also entered into the gas transportation
08 17:57:51 agreement, which was concluded just I think a couple of
09 17:57:54 weeks after the contract, and the gas transportation
10 17:57:58 agreement includes a completely different arbitration
11 17:58:02 clause, which the tribunal can see on the screen. In
12 17:58:05 particular it provides for a Swiss-seated arbitration.
13 17:58:09 What is very important, and the claimant emphasised
14 17:58:12 it itself, both arbitration clauses are not
15 17:58:15 standard-template arbitration clauses. They were
16 17:58:18 drafted by the parties. So the parties clearly did not
17 17:58:21 have an intention, which claimant now suggests, to have
18 17:58:25 one-stop forum for all source of disputes.
19 17:58:33 This swiftly brings me to the next objection in
20 17:58:36 relation to jurisdiction, which concerns in particular
21 17:58:39 REMIT.
22 17:58:40 I will start by addressing the difference between
23 17:58:43 REMIT and article 102 of the TFEU, because in fact in
24 17:58:47 the claimant's submission it was largely conflated and
25 17:58:50 claimant usually does not distinguish between the two,

01 17:58:52 although these are two very separate and very distinct
02 17:58:57 instruments.
03 17:58:58 So first of all, article 102, together with
04 17:59:02 article 101, is actually the pillar of European
05 17:59:07 competition law. They represent European competition
06 17:59:08 law.
07 17:59:10 By contrast, REMIT regulation is based on a
08 17:59:13 different provision of the TFEU, namely article 194,
09 17:59:18 which is part of TFEU's energy chapter.
10 17:59:23 So REMIT in essence is concerned with the provision
11 17:59:26 of harmonised rules for wholesale energy market
12 17:59:29 transparency and integrity. It is not concerned with
13 17:59:33 setting out the competition law rules.
14 17:59:36 Now, we also have quite distinct regimes in terms of
15 17:59:41 violations and how they established.
16 17:59:43 Article 102 is concerned with abuse of dominance on
17 17:59:47 a relevant product and geographic market.
18 17:59:50 Article 1(2) of the REMIT expressly indicates that
19 17:59:54 its provisions are without prejudice to the application
20 17:59:57 of European competition law, so a breach of REMIT may be
21 18:00:01 completely legitimate under article 102 and vice versa.
22 18:00:05 And the core distinction in relation to the
23 18:00:08 jurisdictional objection by the respondent is in fact
24 18:00:11 the approach to arbitrability of those two instruments.
25 18:00:14 Whereas it is expressly recognised that national

01 18:00:18 courts are entrusted to apply competition law rules as
02 18:00:22 courts of first instance, REMIT has a distinct regime
03 18:00:26 where the function of the court of first instance is
04 18:00:30 entrusted to nationally regulate through authorities.
05 18:00:33 The tribunal can see the relevant provisions on the
06 18:00:35 slides and in fact it is expressly stated in
07 18:00:39 article 13.1 that the national regulatory authorities
08 18:00:43 are the bodies which shall ensure that the prohibitions
09 18:00:46 set out in the REMIT are applied.
10 18:00:53 For national regulatory authorities to be able to
11 18:00:55 exercise its function, national states take an
12 18:00:59 obligation to provide them with investigatory and
13 18:01:02 enforcement powers. This is what REMIT expressly says,
14 18:01:06 it's not even a matter of interpretation.
15 18:01:08 Now I envisage from the claimant's written
16 18:01:12 submissions what could be a potential counter-argument
17 18:01:14 to this, that, well, REMIT also mentions national
18 18:01:16 courts, and in particular its recital 31 refers to the
19 18:01:20 standard rules of proof and the necessity to establish
20 18:01:23 facts by national regulatory authorities and courts.
21 18:01:26 A simple response to this is that national courts
22 18:01:30 are not completely excluded from the REMIT framework.
23 18:01:34 They do have a role, but this is a role of assistance
24 18:01:38 and a role of appeal, and this is what is exactly stated
25 18:01:42 in articles 13.2 and 14 of the REMIT. The tribunal can

01 18:01:47 see those provisions in a simplified and shortened form

02 18:01:50 on the screen.

03 18:01:51 There is no other role that national courts are

04 18:01:54 provided with under REMIT.

05 18:01:57 Moving now to the next slide to show briefly the

06 18:02:03 objectives of REMIT also support the reading that it is

07 18:02:08 only a national regulatory authority that is entitled to

08 18:02:12 establish an infringement under REMIT.

09 18:02:15 And to move to the next point, to briefly address

10 18:02:20 the authorities which were relied upon by claimant in

11 18:02:23 the present case.

12 18:02:27 Now, the key in relation to how the claimant framed

13 18:02:30 this case on arbitrability of REMIT is that claimant

14 18:02:33 failed to bring at least one example where REMIT was

15 18:02:36 applied either by a national court or by a tribunal as

16 18:02:40 a court of first instance. And when I say "apply",

17 18:02:43 I mean when infringement was established by a national

18 18:02:47 court or tribunal.

19 18:02:49 This is for a reason.

20 18:02:51 Respondent exhibited a collection of enforcement

21 18:02:54 decisions from the ISA website. There are no such

22 18:02:56 decisions. Simply none. This is because of the wording

23 18:03:00 of the REMIT, because the REMIT provides that

24 18:03:02 infringements are to be established by the national

25 18:03:05 regulatory authorities.

01 18:03:07 Now, claimant and its expert Dr Koller provided
02 18:03:11 a variety of examples, which were supposed to support
03 18:03:16 the proposition that REMIT is arbitrable.
04 18:03:19 Now, the issue with these examples is as follows.
05 18:03:22 All of them, including the cases which claimant
06 18:03:25 screen-shared today, or rather demonstrated today as
07 18:03:27 part of its presentation, concern articles 101 or 102 of
08 18:03:33 the Treaty on the Functioning of the European Union,
09 18:03:33 which is European competition law, and as already
10 18:03:40 explained, which is actually arbitral, which is
11 18:03:42 expressly recognised in the relevant provisions.
12 18:03:46 Those cases do not concern REMIT, which has
13 18:03:48 a separate regime.
14 18:03:50 Equally, reference to Austrian case law and
15 18:03:51 legislation in this respect are irrelevant. With
16 18:03:56 respect to article 1311 of the Austrian Civil Code, this
17 18:04:00 is a special tort clause which provides the rules for
18 18:04:04 compensation for private persons if a violation of
19 18:04:06 a protective law is established.
20 18:04:09 What is key here is that this governs the private
21 18:04:12 law damages after the infringement is established.
22 18:04:16 Article 1311 cannot serve as a basis to allow the
23 18:04:20 tribunal or national court to establish an infringement
24 18:04:24 as a court of first instance, and this is what claimant
25 18:04:27 is inviting this tribunal to do.

01 18:04:30 Now, one last point in this respect is perhaps that
02 18:04:35 even if Austrian law did contain any provisions to the
03 18:04:38 contrary which could be interpreted as potentially
04 18:04:41 allowing to submit REMIT disputes, disputes arising from
05 18:04:46 REMIT, infringements to arbitration, then the principle
06 18:04:49 of primacy of European law, of which REMIT forms part,
07 18:04:54 would override such provisions of national law.
08 18:04:58 Now moving to the next slide, claimant also referred
09 18:05:01 to the Munoz decision of the Court of Justice of the
10 18:05:04 European Union. Now, that case is quite different from
11 18:05:07 the present one for several reasons.
12 18:05:09 First of all, that case concerned different
13 18:05:12 regulations, which contained quality standards
14 18:05:15 applicable to fruit and vegetables. Quite different
15 18:05:18 from wholesale energy markets, you would agree.
16 18:05:22 Now, in that particular regulations, there were no
17 18:05:26 provisions on enforcement, just some very general
18 18:05:29 wording that there can be inspections and checks and
19 18:05:31 that they would be conducted by authorities appointed by
20 18:05:35 each member state. So basically, if you sell rotten
21 18:05:37 tomatoes, you get a fine. That is what those
22 18:05:40 regulations said.
23 18:05:41 Now REMIT, as I already mentioned, has a quite
24 18:05:44 detailed enforcement regime. It contains a variety of
25 18:05:47 provisions which govern cooperation between the national

01 18:05:50 regulatory authorities, the relations between ISA and
02 18:05:52 national regulatory authorities, so it's a completely
03 18:05:56 different situation.
04 18:05:57 Finally, and this is perhaps key in the present
05 18:06:00 case, is that the referral in the Munoz case
06 18:06:04 specifically concerned an ability to claim private law
07 18:06:09 damages.
08 18:06:09 So the infringement itself of those relevant
09 18:06:12 regulations was considered by the defendant. It was not
10 18:06:17 in dispute. The court of justice simply needed to say,
11 18:06:20 well, what do you do if you infringed those regulations
12 18:06:24 concerning food quality, and whether you can bring
13 18:06:28 a private law claim if such infringement is already
14 18:06:31 established. And the present case is very different
15 18:06:33 from this.
16 18:06:34 Respondent does not dispute that once a REMIT
17 18:06:37 violation has been found by a competent national
18 18:06:41 regulatory authority, claimant could in principle pursue
19 18:06:44 civil damages.
20 18:06:47 But this does not mean the tribunal has competence
21 18:06:50 to establish the infringement which could eventually
22 18:06:53 give rise to such damages.
23 18:06:55 This power is reserved to national regulatory
24 18:06:58 authorities.
25 18:07:00 And just for the record, there has been no decision

01 18:07:03 against respondent by any national regulatory authority

02 18:07:06 in relation to the events which is the subject of the

03 18:07:09 supplemental claim.

04 18:07:13 This answered jurisdictional objections and now we

05 18:07:16 shall go to the merits of the supplemental claim.

06 18:07:21 We will start with briefly addressing the burden of

07 18:07:23 proof, which is extremely high in the present case and

08 18:07:28 that will apply both to article 102 and to REMIT.

09 18:07:32 So European Union's charter provides that everyone

10 18:07:36 who has been charged shall be presumed innocent until

11 18:07:39 proved guilty according to law. And the case law of the

12 18:07:42 court of justice as well as the wording of the REMIT

13 18:07:45 support the proposition that this provision is

14 18:07:48 applicable to any allegations of violations of

15 18:07:52 competition law or REMIT.

16 18:07:54 Now in the present case and based on the case law,

17 18:07:56 PPD bears burden to override presumption of innocence,

18 18:08:00 to prove breach and its causal link with GPE's conduct

19 18:08:05 beyond any doubt and to adduce specific and tangible

20 18:08:10 evidence. Respectfully, this has not been done.

21 18:08:13 I will start by addressing a violation under

22 18:08:15 article 102.

23 18:08:18 On the next slide the tribunal will see three layers

24 18:08:21 which have to be passed before use of dominance under

25 18:08:25 article 102 can be established, and the burden of

01 18:08:28 proving those three elements lies on the claimant.

02 18:08:32 So, first, the claimant needs to define the relevant

03 18:08:35 market. Second, it needs to establish respondent's

04 18:08:39 dominance on the relevant market. And finally, it needs

05 18:08:43 to prove abuse, because being dominant itself is not

06 18:08:46 a violation.

07 18:08:49 Importantly, all this has to be done in the relevant

08 18:08:52 period.

09 18:08:54 The relevant time period is actually a very

10 18:08:56 important point because it will eliminate a lot of

11 18:08:59 discussion both between the experts and between the

12 18:09:01 parties.

13 18:09:02 The market definition notice at paragraph 18

14 18:09:06 contains a very clear wording that the competitive --

15 18:09:10 when you assess a breach, what has to be assessed is the

16 18:09:15 position of the market participant of the undertaking at

17 18:09:17 the time of the conduct which is alleged to be a breach.

18 18:09:21 In the present case, as the tribunal can see from

19 18:09:23 the snapshots of the claimant's position on the slide,

20 18:09:26 claimant submits that the breaches occurred in 2021 and

21 18:09:32 2022.

22 18:09:34 The claimant's expert Dr Riechmann did not conduct

23 18:09:37 his own analysis of the relevant time period. As

24 18:09:40 clearly follows from his instructions, he was instructed

25 18:09:44 to consider 2017 as well. That is expressly stated in

01 18:09:49 paragraph 26 from his first report, as the tribunal can
02 18:09:54 see on the screen.
03 18:09:55 Now, as it is alleged that respondent's breaches
04 18:09:59 were committed in 2021 and 2022, this is the only
05 18:10:04 relevant periods for the discussion.
06 18:10:07 Moving to the next slide, the relevant product
07 18:10:10 market in the present case is PNG and LNG.
08 18:10:13 The market definition notice -- and this was already
09 18:10:16 quoted by the claimant today -- clearly provides that
10 18:10:20 the relevant product market comprises all those products
11 18:10:24 that customers regard as interchangeable or
12 18:10:28 substitutable and the particular substitutability
13 18:10:31 conditions include characteristics, such as prices and
14 18:10:34 the intended use.
15 18:10:36 Now Prof Dr Hildebrand concludes that similarities
16 18:10:40 between LNG and PNG certainly far outweigh any
17 18:10:44 differences, because the key difference is a long
18 18:10:47 distance transportation mode.
19 18:10:49 Of course PNG is transported as a gaseous substance,
20 18:10:51 whereas LNG is transported as a liquid.
21 18:10:56 All other points are in fact in common. So short
22 18:10:59 distance transportation would also be a pipeline. The
23 18:11:03 product is the same gas molecules. And the purpose of
24 18:11:06 consumption is also the same.
25 18:11:08 In fact, claimant's own experience points to the

01 18:11:11 similarity between PNG and LNG. Because claimant just
02 18:11:15 as many other European gas buyers, purchases both LNG
03 18:11:19 and PNG, substitutes PNG with LNG, and even swaps PNG
04 18:11:25 with LNG.
05 18:11:27 Moving to the next slide, the tribunal can see
06 18:11:32 a letter which I think was not mentioned in the
07 18:11:34 claimant's pleadings today, albeit it is very important
08 18:11:36 with respect to both the parties' market positions and
09 18:11:41 claimant's contemporaneous position on the relevant
10 18:11:43 product market.
11 18:11:45 This is a price revision request that claimant sent
12 18:11:48 respondent on 12 December 2020.
13 18:11:52 In this press revision request, claimant
14 18:11:55 specifically relied on the rise of LNG input in Europe,
15 18:11:58 as well as the opening of the Krk terminal in the
16 18:12:00 beginning of 2021.
17 18:12:04 From the claimant's explanation, it clearly follows
18 18:12:07 that already in the end of 2020, that is before the
19 18:12:12 opening of the Krk terminal, claimant already considered
20 18:12:15 that LNG was putting a competitive pressure on PNG
21 18:12:19 price wise.
22 18:12:21 Ultimately, that price revision was granted as the
23 18:12:23 tribunal will see a little bit further in the pleadings.
24 18:12:28 If we move to the next slide, we can see an
25 18:12:34 interview or a snapshot from the interview with

01 18:12:37 claimant's beneficiary, Mr Pavao Vujnovac, where he also
02 18:12:40 commented on PPD's position vis-a-vis LNG.
03 18:12:44 And specifically he noted that the (unclear ...) for
04 18:12:47 PPD has increased. That PPDPNG buys gas from diverse
05 18:12:52 sources, including European stock exchange, and through
06 18:13:00 terminal at Krk. And that in fact he also emphasises
07 18:13:03 that they do have a stable supply. But the tribunal
08 18:13:06 will see some snapshots from this article further.
09 18:13:09 So claimant itself relies on this (unclear ...)
10 18:13:11 between LNG and PNG throughout these pleadings.
11 18:13:16 Claimant's witnesses concede replacing PNG with LNG.
12 18:13:19 And as claimant noted today and if this is also
13 18:13:23 confirmed by the calculations, at least one-third of
14 18:13:26 those replacement transactions was concluded
15 18:13:29 specifically at LNG terminal.
16 18:13:31 The next slide briefly addresses the position of the
17 18:13:34 Dr Riechmann in this respect, where he leaves this
18 18:13:37 question open, but at the same time concedes that since
19 18:13:41 January 2021, LNG may have been part of the relevant
20 18:13:45 product market.
21 18:13:46 There is also a snapshot from the relevant report in
22 18:13:49 relation to LNG specifically which was co-authored by
23 18:13:53 Dr Riechmann in 2020.
24 18:13:55 And this report cites some relevant case law in this
25 18:13:58 respect, which specifically says that following the

01 18:14:01 opening of infrastructure for LNG, LNG would constitute
02 18:14:06 a direct competitive constraint to gas imported by
03 18:14:10 pipeline.
04 18:14:11 It is not disputed fortunately between the parties
05 18:14:13 that Krk terminal did open in January 2021. And
06 18:14:17 following this period, LNG and PNG are clearly two
07 18:14:22 sources equally available in Croatia and that possibly
08 18:14:26 ends the discussion on this matter.
09 18:14:28 Now we will move to the relevant geographic market.
10 18:14:35 With respect to the relevant geographic market,
11 18:14:38 claimant has already cited to the relevant criterion,
12 18:14:40 which is whether the conditions of competition are
13 18:14:44 sufficiently homogeneous.
14 18:14:46 In the present case, I would just point to several
15 18:14:51 sources the tribunal could have in mind in this respect,
16 18:14:53 and which were treated as relevant by Prof Dr Hildebrand
17 18:14:57 in her reports in which respondent relies.
18 18:15:00 So first of all, the practice of the commission in
19 18:15:03 relation to gas markets so far includes no conclusive
20 18:15:08 findings where a relevant geographic market would be
21 18:15:11 found larger than a national one.
22 18:15:14 So claimant already referred to the Gazprom decision
23 18:15:17 2018, where Hungary was treated as a national market.
24 18:15:21 Although different positions with respect to larger
25 18:15:23 markets were considered in the practice of the

01 18:15:25 commission, there is no conclusive finding -- and

02 18:15:28 I emphasise conclusive finding -- that there is a market

03 18:15:31 that is larger than national.

04 18:15:33 Now Prof Dr Hildebrand also observes that conditions

05 18:15:37 of competition in Croatia and Hungary are not

06 18:15:39 homogeneous.

07 18:15:40 And to conclude this, to make this conclusion, she

08 18:15:43 conducts two types of comparisons between the prices in

09 18:15:47 Hungary and in Croatia.

10 18:15:49 And there are also other factors, including factual

11 18:15:51 absence of bi-directional flows, different market

12 18:15:54 positions of largest wholesalers and non-economic

13 18:15:57 barriers.

14 18:15:59 On the next slide which I will skip because it

15 18:16:01 contains a lot of numbers, given how much time I have.

16 18:16:06 **PRESIDENT:** You have until -- I forgot to add the seven

17 18:16:10 minutes extra you had. You have until 5 past 7.00, so

18 18:16:14 you have another 40 -- don't make me count.

19 18:16:19 **MS SOLDATENKOVA:** Maybe I should break before I start

20 18:16:22 addressing damages, so that I can take note of how much

21 18:16:25 time I have left for that.

22 18:16:27 We will skip the next slide in relation to the price

23 18:16:29 comparison, so the tribunal can see here the, so to say,

24 18:16:31 political argument.

25 18:16:33 So what is probably relevant to consider as well is

01 18:16:35 how the two nations -- Hungary and Croatia -- perceive
02 18:16:39 each other, whether they do consider each other to be
03 18:16:41 a common market or not.
04 18:16:43 In fact, this is not an imaginary criterion. The
05 18:16:47 market definition notice specifically says the
06 18:16:49 differences in culture, language, lifestyle,
07 18:16:51 demographics or socioeconomic background can lead to
08 18:16:56 preferences.
09 18:16:58 Here as the tribunal can see, quotes which are quite
10 18:17:00 recent, both of 2024, from the Hungarian Ministry of
11 18:17:05 Foreign Affairs and from the Minister of Economy of
12 18:17:08 Croatia. And both seem to consider the relations in the
13 18:17:12 energy sector to be quite weak -- the weakest link.
14 18:17:16 I would quote directly the Hungarian position, in
15 18:17:20 relation to how those two countries trade between
16 18:17:26 each other.
17 18:17:28 So moving to the next slide, which summarises the
18 18:17:30 disagreements between the experts and summarises why the
19 18:17:34 respondent's expert Prof Dr Hildebrand and the
20 18:17:36 respondent disagree with the position of Dr Riechmann,
21 18:17:39 with respect to the geographic market.
22 18:17:45 The factors which are considered as key by
23 18:17:46 Dr Riechmann are presented on this slide. The first one
24 18:17:50 concerns the physical pipeline capacity between two
25 18:17:53 countries which allows to exploit arbitrage

01 18:17:55 opportunities.

02 18:17:57 Now Prof Dr Hildebrand concludes that while that

03 18:18:01 could be technically possible, in fact those

04 18:18:03 opportunities are not exploited, because there are no

05 18:18:06 bi-directional flows between the countries.

06 18:18:10 The second point on which Dr Riechmann relies is

07 18:18:13 that the storage in Hungary is used to meet demand in

08 18:18:15 Croatia.

09 18:18:17 Now storage is a distinct market, and the experts

10 18:18:21 agree that the relevant market is wholesale supply.

11 18:18:26 Finally, the experts treat swaps quite differently.

12 18:18:29 And respectfully we submit that the correct position in

13 18:18:32 the present case, that in fact swaps prove that there

14 18:18:35 are substantial transport costs and restrictions between

15 18:18:39 two countries.

16 18:18:41 Second, that those documents are non-transparent,

17 18:18:44 confidential and arbitrary, in the sense that the

18 18:18:48 existence of the swap depends on the budget's ability to

19 18:18:51 actually find a swap opportunity.

20 18:18:54 And finally, that if swaps could in principle be

21 18:18:57 used to enlarge geographic markets, then say that could

22 18:19:03 lead to a conclusion that Croatia and South Africa or

23 18:19:06 any other distant country is the same market, if the

24 18:19:09 parties do find an arbitrage opportunity, they need to

25 18:19:12 exchange gas.

01 18:19:13 You can even create what I would call a fictitious
02 18:19:17 device quoting from the REMIT in this respect,
03 18:19:18 specifically to create an impression of an enlarged
04 18:19:22 market.
05 18:19:23 On the next slide, the tribunal can see charts
06 18:19:25 considered by Prof Dr Hildebrand. And I will skip this.
07 18:19:31 And the next slide swiftly brings us to the section
08 18:19:34 concerning whether the undertaking is dominant or not.
09 18:19:40 The first step in the assessment of dominance is in
10 18:19:43 fact always the market share. Only after the market
11 18:19:46 share is considered is it relevant to view other
12 18:19:49 factors.
13 18:19:51 There is a clear distinction between different
14 18:19:53 market shares which point us to different conclusions
15 18:19:56 with respect to this first step.
16 18:19:58 So when the share is more than 50 per cent, this is
17 18:20:02 clearly evidence of dominance.
18 18:20:04 When the share is between 40 and 50 per cent, this
19 18:20:07 is the so-called risk zone to consider possible
20 18:20:10 dominance. And if the share is less than 40 per cent,
21 18:20:14 then dominance is unlikely.
22 18:20:17 Now to overcome this arithmetic approach, I would
23 18:20:21 say, because claimant may be dissatisfied with the
24 18:20:25 conclusions of Prof Dr Hildebrand in this respect,
25 18:20:29 claimant and its expert also came up with this so-called

01 18:20:34 pivotality analysis.

02 18:20:35 And this analysis is taken from the Hoffmann-La

03 18:20:38 Roche decision of the commission.

04 18:20:42 Conveniently, in the reference to this decision

05 18:20:46 which we saw on the slides presented by claimant today,

06 18:20:48 the first part of the citation was missing.

07 18:20:53 This very first part specifically refers to an

08 18:20:56 undertaking which has a very large market share.

09 18:21:00 So this case in fact does not say -- the Hoffmann-La

10 18:21:03 Roche precedent does not say that you can be an

11 18:21:06 unavoidable trading partner or a pivotal supplier in the

12 18:21:11 absence of the large market share.

13 18:21:13 In that particular case, this conclusion about

14 18:21:16 unavoidability was specifically reached because the

15 18:21:19 undertaking in question had very large market shares.

16 18:21:24 Moving to the next slide, the tribunal can see the

17 18:21:27 conclusions of Prof Dr Hildebrand with respect to the

18 18:21:32 market shares of respondent.

19 18:21:39 There are three distinct approaches which were

20 18:21:41 applied. But for the sake of time, I will reserve this

21 18:21:45 for Prof Dr Hildebrand's presentation this Friday.

22 18:21:50 Next we would -- if we move to the methodological

23 18:21:55 differences, I would say, between the experts, then the

24 18:21:58 three key differences are the so-called back tracing

25 18:22:01 approach, treatment of indirect sales and the treatment

01 18:22:05 of swapped volumes.

02 18:22:06 All of them are kind of related.

03 18:22:10 In relation to back tracing approach, what

04 18:22:13 Dr Riechmann does he calculates the share of Russian gas

05 18:22:17 on the relevant market -- either in Croatia or in

06 18:22:21 Croatia plus Hungary.

07 18:22:22 The rationale of this approach, as explained by

08 18:22:25 Dr Riechmann, is that respondent is a monopolist

09 18:22:29 exporter of Russian gas to Europe.

10 18:22:32 Nevertheless, this approach is still problematic for

11 18:22:35 two reasons. First of all, the opposing side does not

12 18:22:38 provide any examples where that approach would be used

13 18:22:41 in the commission's practice.

14 18:22:43 And second, that approach incorrectly captures all

15 18:22:47 indirect sales of Russian gas in the relevant markets.

16 18:22:51 So even if say those volumes are resold 100 times,

17 18:22:55 those would still be captured as Russian gas, although

18 18:22:58 respondent would clearly have no control with respect to

19 18:23:02 those volumes and therefore the destiny.

20 18:23:05 The same goes to indirect sales. The cumulative

21 18:23:08 test proposed by Dr Hildebrand is not satisfied with

22 18:23:11 respect to all those transactions that would be

23 18:23:14 incorrectly captured by this approach.

24 18:23:17 And finally, the swapped volumes. Now the swapped

25 18:23:22 volumes are treated by experts distinctly differently.

01 18:23:26 While Prof Dr Hildebrand attributes them to the
02 18:23:29 Hungarian market because they physically stayed in
03 18:23:32 Hungary, Dr Riechmann attributes them to the Croatian
04 18:23:36 market in a scenario where he considers Croatian market
05 18:23:39 only, which is the position of the respondent.
06 18:23:41 Now respondent respectfully disagrees with this
07 18:23:43 approach for several reasons.
08 18:23:45 So first of all, respondent is not a party to the
09 18:23:48 swap agreements.
10 18:23:49 Second, in a practical sense, if you consider the
11 18:23:53 physical flows, the gas supplied by GPE into Hungary
12 18:23:56 never entered Croatia, so Croatian market was not
13 18:23:59 supplied with that gas.
14 18:24:00 And finally, the swap was actually contrary to the
15 18:24:04 gas transportation agreement. So claimant and its
16 18:24:07 experts attempt to rely on the gas transportation
17 18:24:11 agreement to explain the swaps were in fact necessary to
18 18:24:14 fulfil the obligations under those agreement is void.
19 18:24:18 And the reason for this is that the gas
20 18:24:20 transportation agreement provides for physical
21 18:24:22 transportation only.
22 18:24:24 Swaps clearly do not entail physical transportation.
23 18:24:28 Now on the next slide, the tribunal would see the
24 18:24:32 outcome of Dr Riechmann's calculations before they
25 18:24:36 adjusted for the swapped volumes.

01 18:24:40 And on the next slide.

02 18:24:44 And just a brief comment on the previous slide.

03 18:24:46 There is no dominance, if you consider the calculation

04 18:24:50 based on how the computer code calculated those shares

05 18:24:54 prior to the adjustment for swaps and for replacement

06 18:24:57 transactions.

07 18:24:58 Now the next slide.

08 18:24:59 The tribunal can see the alternative analysis by

09 18:25:02 Prof Dr Hildebrand, where for the sake of testing this

10 18:25:08 assumption, she agrees to include the swap volumes into

11 18:25:12 the market share of respondent in Croatia.

12 18:25:16 Now the tribunal can see the outcome of this

13 18:25:18 approach in the red box in the bottom of the slide, and

14 18:25:23 the conclusion is that the market share will be

15 18:25:27 35 per cent in 2021 and 19 per cent in 2022.

16 18:25:31 This is well below the dominant threshold as

17 18:25:35 likewise.

18 18:25:38 If we were to consider the pivotality analysis, as

19 18:25:41 suggested by claimant, albeit it has no support in the

20 18:25:44 commission's practice, the outcome is likely to be

21 18:25:48 similar.

22 18:25:49 Respondent was not a dominant undertaking.

23 18:25:51 If the tribunal -- if I ask the tribunal to consider

24 18:25:54 the next slide.

25 18:25:56 The tribunal can see the very same interview of the

01 18:26:00 claimant's beneficiary, where he emphasises the

02 18:26:03 excellent position of Croatia in terms of natural gas

03 18:26:06 supply, diversified supply routes and he specifically

04 18:26:11 mentions LNG and Hungarian and Slovenian gas storage and

05 18:26:14 domestic production, so multiple sources.

06 18:26:17 Another relevant point is the so-called residual

07 18:26:21 supply index.

08 18:26:23 The residual supply index measures the market's

09 18:26:26 dependence on the largest supplier by analysing the

10 18:26:29 availability of alternative suppliers, to avoid full

11 18:26:32 reliance of the market on its largest supplier to meet

12 18:26:35 market demands.

13 18:26:37 Both experts agree that the minimum threshold for

14 18:26:39 this RSI index which demonstrates that the entity is in

15 18:26:44 fact independent, is 110 per cent.

16 18:26:48 Prof Dr Hildebrand in her reports rely on assessment

17 18:26:51 of those numbers by the Croatian energy regulatory

18 18:26:56 authority, HERA. And the assessment of HERA is as

19 18:26:59 follows.

20 18:26:59 In 2021, Croatia's independence in the gas sector

21 18:27:06 was above 110 per cent. The number was not specified.

22 18:27:11 Whereas in 2022, it was 155 per cent. So well

23 18:27:17 beyond the threshold where we could conclude that the

24 18:27:20 market is in fact dependent on the dominant undertaking.

25 18:27:25 And the findings of the commission in one of the

01 18:27:27 reports also conclude -- I think the report itself was
02 18:27:30 published in 2023. But the commission considered the
03 18:27:34 situation in 2021. And the commission also came to
04 18:27:38 a conclusion that Croatia's dependence on Russian gas in
05 18:27:42 2021 was in fact zero.
06 18:27:46 Moving to the next slide. And I already mentioned
07 18:27:48 this today. The so-called pivotality analysis must take
08 18:27:53 into account how the parties behaved in relation to this
09 18:27:56 particular contract.
10 18:27:59 The definition of dominance basically pre-supposes
11 18:28:02 that the entity is able to behave independently of its
12 18:28:05 customers.
13 18:28:07 Now what happened in the present case is that in
14 18:28:09 December 2020, PPD asked GPE to decrease the price under
15 18:28:14 the contract. The offer was clearly unfavourable to
16 18:28:17 GPE. But in July 2021, GPE agreed to decrease the price
17 18:28:24 to its disadvantage.
18 18:28:25 An unavoidable trading partner will not agree to
19 18:28:29 lower the price if it is actually unavoidable.
20 18:28:33 In fact the reduction of the priming in the price
21 18:28:34 formula was almost by two times in favour of PPD. This
22 18:28:41 happened in the very period when claimant and its expert
23 18:28:46 allege that respondent was dominant.
24 18:28:51 I will move to the next block in relation to the
25 18:28:54 supplemental claim, which concerns the respondent's

01 18:28:57 alleged role in relation to the price development in
02 18:29:00 2021 and 2022.
03 18:29:03 The conclusion of Dr Prof Hildebrand in the present
04 18:29:07 case is actually in line with what was generally the
05 18:29:10 position on the market at that time. And it is that the
06 18:29:14 price developments were the result of the so-called
07 18:29:16 perfect storm. So a number of external factors.
08 18:29:19 In the present case, this concern and this
09 18:29:22 conclusion is in fact reinforced by the fact the
10 18:29:25 claimant alleges that respondent abused and its actions
11 18:29:30 led to the decrease of TTF index. Whereas TTF is a high
12 18:29:35 (unclear ...) benchmark with thousands of daily trades,
13 18:29:38 where a lot of professional entities will specialise
14 18:29:43 specifically in financial operations trade.
15 18:29:46 It is impossible that a unilateral action by
16 18:29:51 a certain entity could shift this market balance and
17 18:29:56 this trading market in such a direction as suggested by
18 18:29:59 claimant.
19 18:30:01 On the next slides the tribunal can see a summary of
20 18:30:05 key criticisms, so to say, in relation to the claimant's
21 18:30:08 expert's evidence.
22 18:30:11 None of the claimant's experts in this arbitration
23 18:30:15 presented a finding of a breach under article 102 of
24 18:30:18 REMIT.
25 18:30:20 Their findings contradict the contemporaneously

01 18:30:23 publicly expressed views and the general consensus on
02 18:30:26 the expert community.
03 18:30:28 And there is also a contradiction with respect to
04 18:30:31 what is considered to be the relevant market, and where
05 18:30:35 the alleged abuse occurred.
06 18:30:38 If we move to the next slide, the tribunal can see
07 18:30:41 the statements both by the claimant's beneficiary in
08 18:30:45 2023 and claimant's two experts in this proceeding
09 18:30:49 Dr Riechmann and Mr Fulwood in 2021 and 2022
10 18:30:53 respectively, where with respect to the relevant events,
11 18:30:56 they rely on a multitude of factors which led to the
12 18:31:01 price developments as they were in 2021 and 2022.
13 18:31:07 None of them makes a conclusion that that was the
14 18:31:09 result of GPE's actions, the result of GPE's conduct.
15 18:31:15 Moving to the next slide, this is very notable and
16 18:31:18 very important with respect to the tribunal's analysis
17 18:31:21 of the expert report presented by claimant. None of the
18 18:31:25 experts were actually instructed to assess abuse or
19 18:31:27 violation under REMIT.
20 18:31:30 So the extracts from the instructions are available
21 18:31:33 on the slide.
22 18:31:37 Moving to the next slide, respondent also addressed
23 18:31:41 to a large extent in its written submissions, the
24 18:31:45 difference between exploitative and exclusionary abuses,
25 18:31:48 whereas in the present case, there is clearly an

01 18:31:50 exploitative abuse, that is an abuse against the
02 18:31:54 customer, with respect to which the standard of proof is
03 18:31:57 very high, and there is no relevant case law.
04 18:32:02 The next two slides as analysis of the case law in
05 18:32:05 this respect. And for the sake of time, I will just
06 18:32:07 keep them.
07 18:32:09 But I will instead focus on the last point in
08 18:32:11 relation to article 102, which is that the alleged abuse
09 18:32:15 happened on a different market.
10 18:32:18 In the present case, to set the facts straight,
11 18:32:21 claimant submits that the relevant market is Hungary
12 18:32:24 plus Croatia. And to be precise, all sale gas supply in
13 18:32:29 Croatia and Hungary.
14 18:32:31 At the same time, claimant submits that the alleged
15 18:32:33 abuse occurred at the gas trading market at the
16 18:32:36 Dutch TTF.
17 18:32:38 Both experts agree that gas trading is a separate
18 18:32:42 market, so here we speak not only of different market as
19 18:32:47 in trading versus wholesale supply, but also different
20 18:32:51 geographic market, as in Croatia plus Hungary versus The
21 18:32:55 Netherlands, if you consider the position of the
22 18:32:57 claimant.
23 18:32:57 Now, there are exceptions, in practice, where you
24 18:33:03 can establish -- try to establish abuse through
25 18:33:05 a related market. But it is required to establish

01 18:33:08 concrete links which claimant and its experts have
02 18:33:12 not done.
03 18:33:13 Also, all examples provided in the relevant -- all
04 18:33:17 the relevant examples would relate to exclusionary
05 18:33:22 abuses and also the product and not geographic markets.
06 18:33:26 And finally, what is specifically relevant here is,
07 18:33:29 once again, the high liquidity of the benchmark, such as
08 18:33:35 TTF, which cannot be influenced by a single physical
09 18:33:37 supplier.
10 18:33:38 And the last point in this respect is, perhaps, the
11 18:33:42 key one. Claimant and its experts actually did not
12 18:33:45 analyse the respondent's position in TTF.
13 18:33:47 The claimant mentions in its submissions today that
14 18:33:50 the pivotality analysis conducted by Dr Riechmann would
15 18:33:53 lead to a conclusion that respondent is in fact dominant
16 18:33:57 also in The Netherlands.
17 18:34:00 As I mentioned with the example of the Hoffmann-La
18 18:34:02 Roche precedent, you cannot establish dominance based on
19 18:34:06 the so-called pivotality analysis in the absence of
20 18:34:09 large market shares.
21 18:34:12 There is no analysis on the record with respect to
22 18:34:14 the respondent's market share in relation to the trading
23 18:34:17 market at the Dutch TTF.
24 18:34:20 **And the last part of the supplemental claim: REMIT.**
25 18:34:24 So first of all, the standard of proof for REMIT is

01 18:34:27 even higher.

02 18:34:28 And the reason for this is twofold. So first of

03 18:34:31 all, REMIT is very likely to affect the fundamental

04 18:34:33 rights under the charter of the European Union.

05 18:34:39 And second, REMIT, in its objectives, specifically

06 18:34:43 states the relevant conduct should affect wholesale

07 18:34:46 energy markets.

08 18:34:48 So it is not sufficient for PPD to just show that

09 18:34:51 it, as a private entity, was affected. It needs to show

10 18:34:54 that there was affect on the entire market.

11 18:34:58 Now moving to the next slide.

12 18:35:02 The tribunal can see the relevant explanation with

13 18:35:07 respect to the first violation alleged by claimant in

14 18:35:11 the present case, which is the violation under article

15 18:35:14 **2(2)(a)(iii), which relates to:**

16 18:35:19 "entering into any transaction or issuing any order

17 18:35:20 to trade ... which ... employs or attempts to employ

18 18:35:24 a fictitious device or any other form of deception or

19 18:35:27 contrivance ..."

20 18:35:29 Following claimant's submission, I still do not

21 18:35:31 understand what is the fictitious device which was

22 18:35:34 allegedly used by respondent.

23 18:35:38 And respectfully claimant provided no evidence that

24 18:35:40 could show that this provision is anyhow relevant to the

25 18:35:44 actual claims which it is bringing before respondent.

01 18:35:47 So it did not identify the type of conduct which
02 18:35:50 could meet this definition. And in fact what is alleged
03 18:35:54 by claimant is distinctively different. Claimant
04 18:35:55 alleges capacity withholding and dissemination of
05 18:35:59 misleading information.
06 18:36:00 On the next slide, which I will definitely skip for
07 18:36:03 now, the tribunal can see an analysis of certain
08 18:36:05 selective statements, by which PPD claims GPE violated
09 18:36:09 the obligation not to disseminate the misleading
10 18:36:13 information.
11 18:36:15 And on the next slide, the tribunal can see
12 18:36:16 a definition with respect to manipulative capacity
13 18:36:20 withholding from the ACER guidance.
14 18:36:23 There are five key requirements which have to be
15 18:36:24 established, including the available capacity, the
16 18:36:28 ability to affect market price, conscious decision not
17 18:36:32 to offer capacity, no legitimate justification for the
18 18:36:34 withholding and market distorting effect.
19 18:36:38 This was not analysed by the claimant's expert.
20 18:36:41 So there is no consideration of those factors with
21 18:36:44 respect to the respondent's conduct which is alleged to
22 18:36:47 violate REMIT.
23 18:36:49 The tribunal can see a classic example with respect
24 18:36:51 to PPD's own actions, with respect to the fine and the
25 18:36:55 administrative offence of which PPD was found guilty by

01 18:36:59 the relevant national regulatory authority which, once
02 18:37:02 again, emphasises that REMIT is not arbitrable.
03 18:37:05 Now that conduct concerned PPD bidding for nearly
04 18:37:10 100 per cent of the available capacity across 36 bidding
05 18:37:15 rounds. So PPD participated in the auction for
06 18:37:17 36 bidding rounds, bidding for nearly 100 per cent and
07 18:37:21 maintaining high volume bids.
08 18:37:23 They're driving the prices up. And after prices
09 18:37:27 were already very high, PPD simply exited that auction
10 18:37:31 without making transaction.
11 18:37:33 That was found to be a classic example of violation
12 18:37:36 under article 5 of REMIT.
13 18:37:38 Respondent's conduct is respectfully not, and the
14 18:37:41 tribunal can see a summary of explanations in this
15 18:37:43 respect in the last slide.
16 18:37:47 So 98 per cent of production was in fact marketed.
17 18:37:49 There was no unilateral pricing power for TTF prices.
18 18:37:55 GPE committed to link prices to provide
19 18:37:57 a competitive benchmark. In 2021, production was
20 18:38:01 scaled up.
21 18:38:02 The under-deliveries in 2022 were caused by
22 18:38:04 contractual force majeure events. And the only minor
23 18:38:08 differentials between TTF and other hubs, while
24 18:38:11 respondent is alleged to have manipulated TTF.
25 18:38:17 Moving to the next slide, I will very briefly

01 18:38:19 address claimant's arguments with respect to the private
02 18:38:24 law aspect of a supplemental claim.
03 18:38:25 So claimant brings it under several heads, which are
04 18:38:28 all based on Austrian law. While as the tribunal can
05 18:38:32 see from the next slide, Austrian law is not applicable
06 18:38:35 in the present case to the supplemental claim in this
07 18:38:38 private law aspect, because of the Rome II regulation,
08 18:38:40 which operates as a relevant and mandatory conflict of
09 18:38:45 law rule, either as part of Austrian law as the law of
10 18:38:49 the seat, or because it represents public policy, as in
11 18:38:53 fact expressly follows from recital 21 of Rome II
12 18:38:58 regulation.
13 18:39:00 What it means, in practice, is that the relevant law
14 18:39:03 which would be applicable under article 6 of the Rome II
15 18:39:07 regulation is a law of the affected market.
16 18:39:10 Respondent's position is the law of the affected
17 18:39:12 market is Croatian law, and the tribunal can see the
18 18:39:15 position in Croatian law on the next slide.
19 18:39:18 Basically, the Croatian law has to prove adequate
20 18:39:19 causality between the alleged breach and damages.
21 18:39:26 While claimant insists on application of Austrian
22 18:39:29 law is because Austrian law contains so-called
23 18:39:32 protective law rules, the special tort for violation of
24 18:39:35 protective laws, which provides for lowest threshold for
25 18:39:40 lower burden of proof for claimant. And this is what

01 18:39:42 claimant discussed today in front of the tribunal.

02 18:39:47 Croatian law contains no such provisions. It

03 18:39:49 requires to show the damages were caused by the conduct

04 18:39:52 in question.

05 18:39:53 On the next slide, the tribunal can see the same

06 18:39:55 position under Hungarian law.

07 18:40:00 And lastly, I will explain why in the present case,

08 18:40:02 even if claimant tried to prove causation, claimant

09 18:40:05 could not possibly do it.

10 18:40:07 So claimant claims damages of three categories. So

11 18:40:10 first of all, the alleged losses from sales to

12 18:40:12 Petrokemija.

13 18:40:14 Second, alleged losses from sales to GPZ.

14 18:40:18 Finally, alleged losses from sales to HEP.

15 18:40:22 All those losses, as in fact considered by claimant,

16 18:40:25 it follows directly from the description of those

17 18:40:26 damages, were actually as a result of other human

18 18:40:30 actions.

19 18:40:31 So Petrokemija's management decided to take little

20 18:40:35 or no gas. PPD decided to maintain supplies to GPZ,

21 18:40:39 even after GPZ failed to pay. And some potential

22 18:40:44 counterparties declined to hedge transactions of PPD.

23 18:40:49 All of this is beyond respondent's control and

24 18:40:49 cannot be attributed to respondent.

25 18:40:53 Now for the same reason, section 1295 of the

01 18:40:59 Austrian Civil Code is inapplicable. If you move to the
02 18:41:03 next slide and the next slide, claimant also failed to
03 18:41:08 prove intent to inflict harm which is necessary for that
04 18:41:13 provision to be invoked.
05 18:41:16 As claimant did not address it today, I will also
06 18:41:19 skip duties of care and loyalty.
07 18:41:23 So I think that could be it.
08 18:41:26 If I can take a small pause to consider what sort of
09 18:41:30 damages we would have sufficient time to address, that
10 18:41:33 would be very helpful.
11 18:41:35 **PRESIDENT:** You have, at this moment, 25 minutes left.
12 18:41:42 It's 41 until 5 past 7.00. It's now 24 minutes.
13 18:41:50 **MR HAUGENEDER:** According to our calculation, this should
14 18:41:52 end at 18.57 at the latest.
15 18:42:01 **PRESIDENT:** When counsel started at 5.49, she had --
16 18:42:05 I told her she had 58 minutes left. I was wrong. She
17 18:42:10 had 66 minutes left, because she's entitled to 217
18 18:42:14 minutes.
19 18:42:14 So my understanding is that the respondent still has
20 18:42:19 25 minutes left, until 5 past 7.00.
21 18:42:23 If I'm wrong, correct me if I'm wrong.
22 18:42:29 **MR HAUGENEDER:** I believe we were already before -- at
23 18:42:34 18.23, we were at 181 minutes.
24 18:42:41 **PRESIDENT:** Please go on.
25 18:42:42 **MR HAUGENEDER:** But we --

01 18:42:43 **PRESIDENT:** No, no. Please make your point. I don't want
02 18:42:46 to be right because I'm wrong. You see?
03 18:42:51 I just want to know.
04 18:42:57 Let's take a three-minute break.
05 18:43:01 (6.43 pm)
06 18:43:04 (Short break)
07 18:43:05 (6.49 pm)
08 18:49:13 **MS SOLDATENKOVA:** So we will go straight to damages, and
09 18:49:15 I will just address the key legal points made by the
10 18:49:18 other side.
11 18:49:19 If we can go to the slide number 162, I will briefly
12 18:49:29 explain -- or rather slide 161, I will briefly explain
13 18:49:34 why the claimant's approach to damages to flawed,
14 18:49:36 meaning to those replacement transactions.
15 18:49:39 Claimant alleges that all transactions from 1 April
16 18:49:44 are in fact replacement transactions. And claimant
17 18:49:46 relies in this respect on articles 75 and 76 of
18 18:49:49 the CISG.
19 18:49:51 But the true nature of articles 75 and 76 of the
20 18:49:56 CISG is that those regulate the so-called avoidance
21 18:50:00 damages -- so after the contract is avoided.
22 18:50:02 For this reason, those clauses are not accessible to
23 18:50:06 PPD prior to the notice of avoidance, which was only
24 18:50:09 submitted by PPD in March 2023.
25 18:50:13 Moving to the next slide, when the claimant's expert

01 18:50:18 Mr Way calculates claimant's losses from the replacement
02 18:50:21 transactions, he applies the peculiar approach. In
03 18:50:24 a way that he relies, he considers only those
04 18:50:27 replacement transactions which entail lost PPD.
05 18:50:30 In the sense that when the contract price was in
06 18:50:33 fact more beneficial than the price under this contract,
07 18:50:37 he does not consider those transactions in his analysis.
08 18:50:41 This approach is respectfully incorrect. To support
09 18:50:44 this approach, Mr Way relied on article 12 of the
10 18:50:48 contract, but article 12 of the contract is irrelevant
11 18:50:52 to the assessment of damages.
12 18:50:54 Article 12 provides remedy for under-supply, which
13 18:50:59 is not what claimant seeks here.
14 18:51:01 Second, it is also inconsistent with the CISG to
15 18:51:06 consider only loss making transactions.
16 18:51:09 The approach that claimant suggested that each
17 18:51:11 individual successive delivery is to be treated as
18 18:51:15 a separate contract is respectfully incorrect, because
19 18:51:18 it applies to instalment contracts, whereas this is not
20 18:51:22 the case here.
21 18:51:23 A remedy REMIT for breach of the entire contract
22 18:51:25 relies on a remedy for a breach of a particular
23 18:51:28 instalment, a particular transaction, applies to the
24 18:51:31 entire contract.
25 18:51:33 This can be well illustrated by the next slide.

01 18:51:36 So many transactions, as the tribunal can see from
02 18:51:39 the calculations of the respondent's experts, actually
03 18:51:44 were beneficial to PPD. So PPD managed to acquire gas
04 18:51:48 under the conditions which were much more beneficial to
05 18:51:51 claimant than the price under the contract.
06 18:51:54 Yet, those transactions are wrongly included from
07 18:51:57 the assessment of claimant's replacement damages.
08 18:52:00 This naturally inflates the amount of the claimant's
09 18:52:04 claim against the respondent.
10 18:52:07 Now if we can move to the next block of claims
11 18:52:11 brought by claimant which concerns the gas
12 18:52:14 transportation losses. This is slide 169.
13 18:52:19 Those losses are also outside what could be awarded
14 18:52:25 possibly by this tribunal to claimant.
15 18:52:27 And the reason for this is very simple. GTA, as
16 18:52:30 I already mentioned, contains a different arbitration
17 18:52:33 clause. So any claims for damages under the gas
18 18:52:38 transportation agreement or the GTA are to be submitted
19 18:52:41 to arbitration under article 12.2 of the GTA, which is
20 18:52:45 a different arbitration seated in Switzerland.
21 18:52:49 However, even if the tribunal were to accept those
22 18:52:51 claims and to consider them, then that claim is not
23 18:52:55 substantiated as a matter of substance.
24 18:52:58 That is because respondent had no obligation to
25 18:53:01 eliminate under the GTA.

01 18:53:04 The tribunal can see the relevant provisions of the
02 18:53:07 GTA on the slide. The GTA does not provide a minimum
03 18:53:11 amount of gas that has to be nominated by GPE.
04 18:53:16 This is quite different from the contract, where PPD
05 18:53:18 did have minimum nominations which it was to make,
06 18:53:21 otherwise it had to pay the so-called take or pay
07 18:53:26 clause. There is no such clause in the GTA.
08 18:53:29 So GPE was not obliged to make those nominations.
09 18:53:33 Now with respect to the casual link, because it
10 18:53:36 addresses potentially the claimant's argument that while
11 18:53:40 GPE did not have an obligation, but it did in fact
12 18:53:42 nominate gas. There is in fact no casual link in the
13 18:53:46 present case.
14 18:53:47 That is because the claimant's own case, which it
15 18:53:52 emphasises loss specifically in respect of its
16 18:53:54 competition law claims, delivery point of the contract
17 18:53:57 is Croatia and GTA was specifically concluded to ensure
18 18:54:02 physical transportation of gas to Croatia. So to make
19 18:54:06 sure that respondent fulfils its obligation to deliver
20 18:54:09 gas in Croatia.
21 18:54:11 Naturally, for the gas to be delivered to Croatia,
22 18:54:13 this gas first has to be transported to Croatia. So in
23 18:54:18 this sense, the obligation under the GTA precedes the
24 18:54:21 fulfillment of the obligation under the contract.
25 18:54:24 For this reason, the casual link which the claimant

01 18:54:27 pleads between the breach of this contract and the GTA

02 18:54:30 is, in fact, non-existent.

03 18:54:33 There are also multiple other arguments which

04 18:54:35 respondent submitted, which explain why GTA damages are

05 18:54:38 not claimable.

06 18:54:40 But I will stop just on one of the last arguments,

07 18:54:43 which is on slide 174.

08 18:54:46 That is that the gas transportation loss is, in

09 18:54:51 fact, unforeseeable.

10 18:54:54 If the tribunal considers the relevant provisions of

11 18:54:56 the GTA, then article 2.2 of the GTA says that the

12 18:55:00 company, which is PPD under the GTA, must make available

13 18:55:05 to the client the transportation capacity.

14 18:55:08 So the transportation capacity must be booked

15 18:55:11 by PPD.

16 18:55:13 Now, by contrast, there is no minimum nomination on

17 18:55:18 the part of GPE.

18 18:55:20 What it means is that the obligation to make

19 18:55:24 available the transportation capacity exists without and

20 18:55:28 separately from nominations made by GPE.

21 18:55:30 So this is an obligation of PPD without any

22 18:55:35 bilateral relationship, so to say, whether there is

23 18:55:38 a nomination by GPE or not.

24 18:55:41 This means that this loss is not foreseeable.

25 18:55:43 Because if you go to the next slide, GPE cannot be held

01 18:55:46 liable for non-performance of obligations it never
02 18:55:49 committed to. And GPE never committed to nominate any
03 18:55:53 volumes under the GTA.
04 18:55:56 PPD is unable to claim any transportation fee as far
05 18:56:00 as no obligation to provide the transportation service
06 18:56:02 has arisen. And GPE could also not foresee the
07 18:56:04 transportation loss to be claimed under the contract,
08 18:56:08 especially in the circumstances when PPD did not in fact
09 18:56:11 provide -- did not in fact book the transportation
10 18:56:14 capacity.
11 18:56:16 Now that is all for the claimant's claims.
12 18:56:17 And I have seven minutes for the respondent's
13 18:56:20 counterclaim.
14 18:56:21 If we go to slide 178, this concerns the first block
15 18:56:28 of claims brought by respondent in this arbitration.
16 18:56:31 Now when claimant presented its position on the
17 18:56:34 counterclaim, it did not focus a lot on this particular
18 18:56:36 block, but in fact this is perhaps central to this
19 18:56:39 dispute.
20 18:56:40 Those are the two amounts of gas supplies which were
21 18:56:42 not paid for, and now the amount is substantially
22 18:56:45 higher -- the undisputed amount between the parties. It
23 18:56:48 is 455 million euros. Because the penalties on this
24 18:56:52 amount has already accrued.
25 18:56:56 If we go to the next block of claims, which is

01 18:57:01 heavily disputed by claimant in this proceeding, that

02 18:57:03 would concern the GPE's entitlement to claim payment for

03 18:57:06 minimum annual quantities. This is slide 183.

04 18:57:13 PPD suggests that in response to its refusal to pay

05 18:57:18 for gas deliveries, GPE was still required to make those

06 18:57:24 deliveries to make the gas available.

07 18:57:26 This is a completely illogical proposition. Because

08 18:57:30 otherwise PPD says GPE does not have an entitlement to

09 18:57:34 claim those minimum annual quantities, because it did

10 18:57:37 not perform the obligation on its part. It did not make

11 18:57:41 those volumes of gas available.

12 18:57:43 But this puts respondent in an impossible position.

13 18:57:46 Because it means that PPD's refusal to pay for gas

14 18:57:51 deliveries, GPE has two forms of response available,

15 18:57:53 both of which inflict inevitable damage on the part of

16 18:57:57 GPE, which arises from PPD's misconduct.

17 18:58:00 The first block is GPE's -- the first option is that

18 18:58:04 GPE supplies gas free of charge and does not lose the

19 18:58:09 right to claim minimum annual quantities, as suggested

20 18:58:11 by claimant.

21 18:58:13 And the second option is the one exercised by

22 18:58:15 respondent, that it suspends supplies and loses the

23 18:58:18 right to minimum the annual quantity payments.

24 18:58:23 It is clear from the CISG that the party should not

25 18:58:27 benefit from its unlawful conduct. And this situation,

01 18:58:30 which the claimant suggests, would be exactly as such.

02 18:58:34 If we move to the lost profits section, and this is

03 18:58:37 slide 185, respectfully, a lot of what was said by

04 18:58:42 claimant today in relation to the counterclaim of

05 18:58:46 respondent concerning lost profits, is completely

06 18:58:49 irrelevant to the lost profits approach.

07 18:58:53 For example, claimant focused a lot on the

08 18:58:55 replacement transactions and the fact that claimant's

09 18:58:58 experts were supposed to consider those replacement

10 18:59:00 transactions.

11 18:59:01 But this ignores the essence of lost profits

12 18:59:04 calculation. Because the essence of lost profits

13 18:59:07 calculation -- the tribunal can see it on the next

14 18:59:09 slide -- is this no mitigation is in fact possible. No

15 18:59:13 substitute transactions are possible. And damages are

16 18:59:16 equal to the profit margin from the failed contract.

17 18:59:20 Yes, if you look at this, it could seem that this

18 18:59:23 actually entails a very, very significant remedy which

19 18:59:27 could put a lot of pressure on the other party.

20 18:59:30 But if we go to the previous slide, there are

21 18:59:33 concrete reasons why respondent suggested that this type

22 18:59:35 of and this concept is available.

23 18:59:39 And for the sake of time, I will not address it now,

24 18:59:42 but this is related directly to the nature of gas as

25 18:59:46 goods, to the nature of the market where you have only

01 18:59:50 a limited list of potential buyers, and finally to the
02 18:59:53 access to the infrastructure, for which respondent is
03 18:59:56 not responsible, but which limits its ability to
04 18:59:58 market gas.
05 19:00:00 Now lastly, I will address the sanctions relief
06 19:00:04 argued by claimant which claimant submits actually
07 19:00:08 prevents the granting of the respondent's counterclaim.
08 19:00:11 This approach is incorrect for several reasons, both
09 19:00:13 under article 11 and article 10.
10 19:00:17 So first of all, with respect to article 11 of
11 19:00:22 regulation 833, the payment mechanism as demonstrated by
12 19:00:27 my colleague, entails no prohibited transactions. And
13 19:00:32 in any event, the argument that the payment mechanism
14 19:00:35 contradicts sanctions is completely irrelevant and does
15 19:00:38 not allow to invoke article 11 with respect to two
16 19:00:43 months of gas supplies which were not paid for.
17 19:00:46 This is for two reasons. First of all, that amount
18 19:00:48 has not relation to the continuation of supplies in the
19 19:00:50 contract, if claimant consider that to be contrary to
20 19:00:54 sanctions.
21 19:00:55 Claimant also had a concrete mechanism to pay for
22 19:00:58 those two months of gas supplies.
23 19:01:01 What claimant could do is in response to the
24 19:01:05 respondent's letter of 19 January 2023, when respondent
25 19:01:11 proposed to claimant to settle that for two months of

01 19:01:15 gas supply directly to GPE's account in euros, PPD could
02 19:01:20 recover, could actually pay the debt, and no concerns
03 19:01:24 with respect to sanctions would arise. Because that
04 19:01:27 would be a direct payment to GPE's account.
05 19:01:31 Claimant failed to do it. And from the moment when
06 19:01:33 claimant refused to do it, if the impossibility -- the
07 19:01:38 non-performance is on the claimant's side, because
08 19:01:41 respondent actually gave claimant a mechanism how to
09 19:01:45 settle its debts sanctions free.
10 19:01:48 For those reasons, articles 11 and 10 of the
11 19:01:52 relevant EU sanctions regulations are plainly
12 19:01:55 inapplicable in the present case. They do not apply on
13 19:01:58 any occasion to the claim with respect to the two months
14 19:02:03 of unpaid gas supplies.
15 19:02:05 Finally, claimant cannot rely on them to avoid those
16 19:02:09 payments because it was provided with a concrete
17 19:02:11 mechanism where those payments would be settled directly
18 19:02:14 to respondent's account, and without the use of the
19 19:02:17 payment mechanism.
20 19:02:19 This ends my submission. Thank you very much.
21 19:02:25 **PRESIDENT:** This concludes your presentation?
22 19:02:27 **MS SOLDATENKOVA:** Yes. Thank you.
23 19:02:28 Questions by TRIBUNAL
24 19:02:44 **MS HOFFMANN:** I have one question.
25 19:02:45 The question is in relation to the presentation you

01 19:02:47 gave, Mr Talanov.

02 19:02:50 I think you might have answered something I have

03 19:02:52 been wondering when looking at the payment mechanism, as

04 19:02:57 it's been set out by both parties, with circles and

05 19:03:01 squares and the chain of events, so to speak.

06 19:03:04 You said during your presentation that Gazprombank

07 19:03:10 does not have its own euros.

08 19:03:12 And Gazprombank, being a Russian bank, without, as

09 19:03:17 far as I know, branches in Europe, would need

10 19:03:21 a correspondent bank to hold its euros. Am I correct?

11 19:03:25 **MR TALANOV:** Absolutely.

12 19:03:26 **MS HOFFMANN:** Thank you.

13 19:03:30 Sorry. Do you happen to know who that correspondent

14 19:03:32 bank is?

15 19:03:33 **MR TALANOV:** I'm afraid not. Because we have no knowledge

16 19:03:35 of Gazprombank.

17 19:03:39 **MS HOFFMANN:** Thank you.

18 19:03:40 **MR TALANOV:** It's in Luxembourg.

19 19:03:51 **DR REINER:** One question to both parties.

20 19:03:56 I think I understand that respondent says that the

21 19:04:02 payment mechanism required payments two days earlier

22 19:04:08 than under the contract.

23 19:04:11 **And my question to both sides is:** how do you assess

24 19:04:16 that from a purely contractual point of view? In

25 19:04:19 particular vis-a-vis article 54 of the CISG.

01 19:04:32 **MS SOLDATENKOVA:** Respondent assess it exactly as a minor
02 19:04:34 correction. It does not, for the reasons explained by
03 19:04:37 my colleague, change the actual moment when the
04 19:04:39 obligation is fulfilled, but it does require the party
05 19:04:42 to take steps to make payment earlier to this.
06 19:04:45 Because for the payment to arrive by the contract
07 19:04:49 due date, it needs to be made earlier.
08 19:04:52 So that would be the summary. And because two days
09 19:04:55 in comparison to 30 days -- I mean, in comparison to
10 19:04:58 almost a month which PPD had to pay for the previous
11 19:05:02 months of gas supplies, is indeed marginal.
12 19:05:05 So right now PPD has effectively 58 days from the
13 19:05:09 first day of the previous month of supplies to pay
14 19:05:12 for it.
15 19:05:13 **MR TALANOV:** If I could add. I fully see your point on
16 19:05:16 the contractual side of the story, and I really agree
17 19:05:20 that these two days may have contractual consequences,
18 19:05:22 in the sense of the funds available to an entity in the
19 19:05:28 course of these two days.
20 19:05:29 But I think the parties could perfectly agree on
21 19:05:32 some corresponding modification maybe of the contract
22 19:05:35 price or whatever, so that to address that concern, if
23 19:05:38 it was raised by PPD.
24 19:05:40 But given that there was no concern ever raised and
25 19:05:43 the proposal was signed in two days after it was

01 19:05:49 received, there was absolutely no ground for any

02 19:05:53 discussion on the possible contractual relief that PPD

03 19:05:56 could ask for, unfortunately.

04 19:06:01 **DR REINER:** Any comment by claimant?

05 19:06:20 **MR HAUGENEDER:** Yes. We don't know where these two days

06 19:06:25 come from.

07 19:06:26 And in actual fact, the completion of this process

08 19:06:33 was much longer, so we say four to eight days

09 19:06:39 approximately.

10 19:06:44 We also do not understand in this context that it

11 19:06:48 was said that the payment obligation would somehow be

12 19:06:54 already discharged with the transfer of the euros to the

13 19:06:58 Gazprom account, because decree 172 clearly says that

14 19:07:04 the payment obligation is only discharged with the

15 19:07:09 transfer of the roubles to Gazprom.

16 19:07:15 So we don't know where these two days come from. We

17 19:07:20 dispute this. This wasn't the actual reality to

18 19:07:23 complete this process.

19 19:07:27 **DR REINER:** My next question relates more fundamentally to

20 19:07:29 the payment mechanism.

21 19:07:34 **MR TALANOV:** For a sense of clarification, because if you

22 19:07:34 permit.

23 19:07:34 As the representatives of the claimant said that

24 19:07:39 these two days term has no clear source. To that letter

25 19:07:44 which is on the record C03, which is the letter of

01 19:07:48 1 April, there was an instruction of Gazprombank
02 19:07:51 attached and it was the mandatory term for Gazprombank
03 19:07:55 to do this transfer.
04 19:07:56 So this term was always complied with.
05 19:07:59 I see the point that maybe the claimant may feel
06 19:08:03 longer timeframes, but they were not somehow relevant to
07 19:08:06 Gazprombank, but to longer European bank compliance
08 19:08:11 proceedings that may apply because of the possible
09 19:08:14 sanctions.
10 19:08:15 But there is a very hard time limit in this
11 19:08:18 instruction that was attached to the original
12 19:08:20 letter C03.
13 19:08:21 **MS SOLDATENKOVA:** And those compliance issues would apply
14 19:08:23 irrespective of whether the payment is made to PPD's own
15 19:08:26 account or to GPE's account in Gazprombank.
16 19:08:31 **DR REINER:** My next question relates to the payment
17 19:08:33 mechanism more generally.
18 19:08:36 What I tried to understand is what the purpose of
19 19:08:38 that mechanism was.
20 19:08:42 I understand respondent to say that all what
21 19:08:45 happened after the payment to this new euro account is
22 19:08:51 of no relevance to claimant.
23 19:08:55 But if that's the case, why not just keep the
24 19:08:58 initial euro account and then whatever respondent wants
25 19:09:02 to do with these euros, it's respondent's business. Why

01 19:09:07 not just stick to that?

02 19:09:11 I understand there's a dispute about the implication

03 19:09:14 of claimant in all those further steps. But I mean,

04 19:09:22 without going into those details now, the question still

05 19:09:26 **remains:** why not do it whatever respondent wants to do,

06 19:09:30 do it internally once you receive the claimant's euros

07 19:09:35 on the initial euro account?

08 19:09:38 **MR TALANOV:** We fully share your concern and GPE has the

09 19:09:42 same logic. It will be happy to receive the same euros

10 19:09:44 on the same account.

11 19:09:46 It's difficult for GPE to actually address the

12 19:09:50 reasons behind this document as published by the

13 19:09:55 president.

14 19:09:56 However, as I tried to clarify during my speech,

15 19:09:59 based on those clarifications that were given by the

16 19:10:03 president on the very same day when the decree was

17 19:10:05 issued, and given that it was one of the number of

18 19:10:10 measures that have been developed by the Russian

19 19:10:12 Federation to address the problems with foreign

20 19:10:17 transactions.

21 19:10:19 Apparently, based on these clarifications, one could

22 19:10:22 conclude that this mechanism was necessary to ensure

23 19:10:26 that foreign banks consider the scheme transparent and

24 19:10:30 they see that it is exchange trade of foreign currency

25 19:10:35 with a clearing house that is visible, non in sanctions

01 19:10:41 and there is no one standing behind it pretending to be
02 19:10:45 a non-sanctioned entity.
03 19:10:47 So as I understand the clarifications by the
04 19:10:49 president, it was a measure so that to reduce risks of
05 19:10:54 overcompliance to the parties paying for the Russian gas
06 19:10:59 by their banks. Effectively addressing the concerns of
07 19:11:02 these longer timeframes as mentioned by my learned
08 19:11:07 colleague, to minimise those days from 10, eight, six at
09 19:11:12 the European side, to one or two.
10 19:11:17 **DR REINER:** Any comment on claimant side?
11 19:11:19 **MR HAUGENEDER:** Yes. That was, I believe, not the answer
12 19:11:23 to the question that you posed.
13 19:11:26 **The question that you posed was:** what was the
14 19:11:28 purpose? And clearly this mechanism makes only sense
15 19:11:34 when one looks at the documents that have been submitted
16 19:11:38 and the statements of Mr Putin in those documents, which
17 19:11:45 clearly underline that the purpose of the mechanism was
18 19:11:51 to manage the currency reserves of the CBR and the
19 19:11:57 Russian economy and to create a mechanism that would
20 19:12:03 allow sanctioned entities to have access to foreign
21 19:12:09 currency, to euros.
22 19:12:12 That is clearly the purpose of this, otherwise this
23 19:12:18 very complex and in-transparent succession of transfers
24 19:12:25 makes no sense whatsoever.
25 19:12:30 Gazprom itself is unable to explain what actually

01 19:12:32 the purpose was.

02 19:12:35 **DR REINER:** Thank you.

03 19:12:35 My last question -- there will be more questions,

04 19:12:38 I think, in the course of those two weeks. But my last

05 19:12:41 question, just a clarification, relates to the decree

06 19:12:45 amendment number 992.

07 19:12:48 If I understand well, that decree would have allowed

08 19:12:52 to pay for the unpaid deliveries that you say were

09 19:12:59 unpaid without going through the new payment mechanism.

10 19:13:08 Do both sides agree on that?

11 19:13:12 Right.

12 19:13:12 But my follow-up question is assuming claimant would

13 19:13:17 have done that, could they also have relied on the

14 19:13:21 initial payment formula, in accordance with decree

15 19:13:27 amendment number 992 for any future gas deliveries or

16 19:13:31 would any payment for any future deliveries of gas have

17 19:13:37 had to be made in accordance with the new payment

18 19:13:43 mechanism decree 172 and 254?

19 19:13:49 **MS SOLDATENKOVA:** The purpose of the decree was

20 19:13:52 specifically settlement of debts. So from the (unclear

21 19:13:54 ...) of the decree, it follows that, no, the settlement

22 19:13:56 of debt via this direct mechanism was not a ground under

23 19:14:00 the decree to resume supplies.

24 19:14:02 To resume supplies, the other party would need to

25 19:14:05 agree to pay for them in the future, in accordance with

01 19:14:08 the payment mechanism.

02 19:14:10 **DR REINER:** That was my understanding. I wanted to

03 19:14:11 double-check.

04 19:14:15 **MS PETKUTE:** Yes. The decree 992 allowed to pay the debts

05 19:14:18 in euros. It specifically says that any payment for the

06 19:14:22 future supply of gas has still to be made via the

07 19:14:27 mechanism if gas is to be delivered.

08 19:14:31 **DR REINER:** Thank you.

09 19:14:34 **PRESIDENT:** I have a simple question, with simple

10 19:14:38 questions.

11 19:14:39 There is a sequence of letters exchanged between

12 19:14:44 31 October 2022 and 3 November 2022.

13 19:14:49 So I refer to C12, R8 and C13, which are presented

14 19:14:56 in the e-bundle on the contractual documents on the key

15 19:15:00 correspondence under B227, B228 and B229,

16 19:15:08 particularly -- because the parties have referred to

17 19:15:10 these letters today.

18 19:15:13 Particularly on 31 October 2022, two letters were

19 19:15:18 exchanged. In the bundle, they're presented as first

20 19:15:26 Gazprom's letter or respondent's letter, and then that's

21 19:15:31 C12. And then PPD's letter R8, on that same date.

22 19:15:38 I would like to know whether there is any sequence

23 19:15:41 in which this should be read or whether they are

24 19:15:46 independent from each other. They're not -- none is

25 19:15:49 answering the other.

01 19:15:55 So maybe either of you.

02 19:15:59 **MR HAUGENEDER:** We believe we would have to verify the

03 19:16:03 time.

04 19:16:05 **MS SOLDATENKOVA:** Likewise.

05 19:16:06 **PRESIDENT:** Yes. Maybe it's a question that the tribunal

06 19:16:09 could ask to the witnesses, to the authors of the

07 19:16:12 letters. But since the parties have relied on these

08 19:16:17 letters -- so thank you very much, respondent. Maybe

09 19:16:21 you want to --

10 19:16:23 **MR TALANOV:** We will also prefer to clarify. We have some

11 19:16:25 initial understanding of that, but not to mislead the

12 19:16:28 tribunal, we'll prefer to double-check. Thank you.

13 19:16:31 **PRESIDENT:** Thank you.

14 19:16:33 We have housekeeping matters which won't be on the

15 19:16:35 record.

16 19:16:36 Thank you very much.

17 19:16:37 We will resume tomorrow at 9.30 with the examination

18 19:16:42 of the first witness.

19 19:16:46 This is all for today.

20 19:16:48 We are off record now. (Pause).

21 19:17:09 We go back on record.

22 19:17:22 The tribunal has prepared a form of oath and a form

23 19:17:27 of affirmation for the fact witnesses. Unless the

24 19:17:30 parties have agreed otherwise on a form, I was just

25 19:17:36 offering to circulate it to you for tomorrow. So you

- 01 19:17:41 will shortly receive an email to that extent.
- 02 19:17:44 But if you wish to agree on another formulation, the
- 03 19:17:48 tribunal will gladly take the other formulation.
- 04 19:17:52 **MR TALANOV:** Thank you.
- 05 19:17:53 **MR HAUGENEDER:** Thank you.
- 06 19:17:53 **PRESIDENT:** Now we are off record.
- 07 19:17:56 (7.18 pm)
- 08 19:17:58 (The hearing adjourned until 9.30 am on the following day)